

transformation

for financial inclusion



annual report 2016

syariah
btpnⁱ



A great deal of efforts have been made to strengthen women in managing family finances in order to nurture a smart generation and a more prosperous family. This is the mission for which BTPN Syariah has chosen to exist.

To be the mercy of nature, *rahmatan lil alamin*, is a mission that BTPN Syariah is honored to deliver.

Financing Customer from
Tegal Ampok *Sentra* is doing a
transaction through BTPN Wow! iB

Entering the third year upon its inception, BTPN Syariah started to transfer the business by shifting the paradigm of the employees and changing the working system as well as the enabling technology.

The initial stage is improving the information technology system capability and developing mobile phone-based product application and financing administration.

This transformation is aimed at delivering ease in transaction processing for financial inclusion customers.

transformation
for financial inclusion

btpn
WOW!



As part of our effort for financial inclusion, Bank BTPN Syariah encourages its customers to do simple financial transactions using hand phone. Bank BTPN Syariah makes it easy for them manage cash; makes saving a habit; and in so doing, paves the way for a better life.

1.4 million costumers



121,081
agents



table of contents

Financial Highlight	6
Performance Highlights 2016	7
Significant Events 2016	8
Awards	10
President Commissioner's Report	13
President Director's Report	19
Sharia Supervisory Board's Report	25

29



company profile

Mission, Vision, and Core Values	32
BTPN Syariah in Brief	34
Organization Structure	36
Board of Commissioners Profile	38
Board of Directors Profile	40
Sharia Supervisory Board Profile	44
Board of Commissioners Committees Profile	46
Shareholders Composition and Profile	48
Structure of Ownership	50
Information for Shareholders	51

55



management discussion and analysis

Financial Review	59
Economic Outlook	59
Sharia Banking and Conventional Banking Overview	60
Financial Performance	62
Financial Impact	64
2017 Business Outlook	66
Business Review	69
2016 Business Activities	69
Development of Leading Products	71
Progress Out of Poverty Index® (PPI®) BTPN Syariah 2016	77
Development Plan in 2017	81



Financing Customer
Mat Crafter from
Rawa 3 Sentra, Pidie, Aceh

113



corporate governance

Operational Review	83
Human Resources	83
Operational	90
Information Technology	92
Risk Management	96

Good Corporate Governance Report	117
Internal Audit Report	152
Compliance Report	156
Committee Report	159
Social System, Environment and Management	176

105



daya

About Daya	109
Three Pillars of Daya	110
Sahabat Daya	110

183



corporate data

Executive Officers	186
Products and Services	188
Office Addresses	189
Statement of the Board of Commissioners and the Board of Directors	194
Financial Statements	195
Consolidated Financial Statement of Parent Company	286
Financial Services Authority (OJK) Reference	293

financial highlight

[in million Rupiah]

Balance Sheet	2016	2015	2014
Total Asset	7,323,347	5,196,199	3,780,498
Total Financing	4,996,812	3,678,027	2,499,087
Third Party Funds	5,387,564	3,809,967	2,707,504
Current Account	13,400	28,755	20,000
Savings	1,043,452	756,756	510,680
Deposits	4,330,712	3,024,457	2,176,824
Total Equity	1,592,716	1,163,471	905,429
Profit/Loss			
Income from the Bank's Fund Management as <i>Mudharib</i>	2,226,482	1,562,647	1,037,733
Third Party Rights on the Profit Sharing of Temporary <i>Syirkah</i> Fund	(290,310)	(247,178)	(168,814)
Other Operational Income	4,895	4,834	7,264
Operational Expense	(1,386,238)	(1,070,219)	(751,622)
Operational Income	554,829	250,084	124,561
Nett Non Operational Expense	914	360	(128)
Profit Before Tax	555,743	250,444	124,433
Profit of the Current Year from Discontinued Operations ¹⁾	-	(19,149)	7,897
Nett Profit After Tax	412,495	169,206	98,941
Other Comprehensive Income ²⁾	9,978	5,312	(7,639)
Comprehensive Income of the Current Year	422,473	174,518	91,302
Financial Ratios [%]			
Cost to Income Ratio (BOPO)	75.14	85.82	85.92
Capital Adequacy Ratio (CAR) ³⁾	23.80	19.93	33.88
Gross Non-Performing Financing Ratio (NPF gross)	1.53	1.25	1.29
Nett Non-Performing Financing Ratio (NPF nett)	0.20	0.17	0.87
Return on Assets (RoA)	8.98	5.24	4.23
Return on Equity (RoE)	31.71	17.89	13.75
Financing to Deposit Ratio (FDR)	92.75	96.54	93.97

1) Profit on Assets and Liabilities from the operation discontinued due to the conversion of Bank Sahabat Purbadanarta into BTPN Syariah.

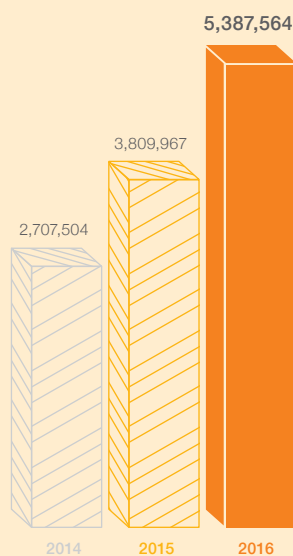
2) Income or Expenses that will not be reclassified to the Current Year Profit and Loss.

3) The risk weighted asset in Capital Adequacy Ratio (CAR) in the year 2014 only takes into account the Financing Risk.

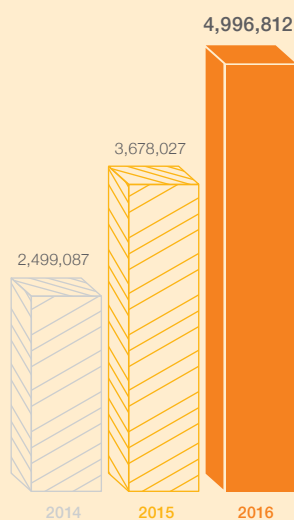
performance highlights

2016

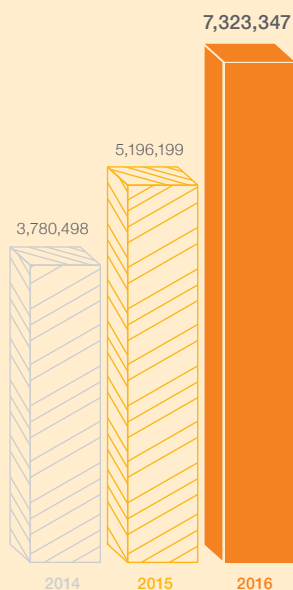
third party funds
(in million Rupiah)



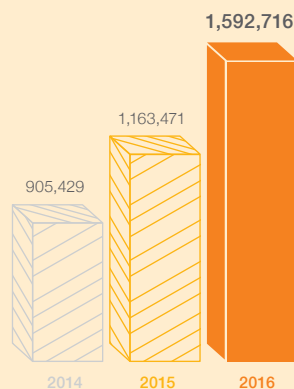
financing
(in million Rupiah)



total assets
(in million Rupiah)



equity
(in million Rupiah)



cost to income
ratio (BOPO)

75.14%

gross non-
performing financing
ratio (gross NPF)

1.53%

return on assets

8.98%

return on equity

31.71%

significant events 2016

19 January 2016

Signed the Memorandum of Understanding between BTPN Syariah and PT Bank Aceh to conduct knowledge sharing in supporting Bank Aceh conversion into a Syariah Bank.



19
January

2 March 2016

BTPN Syariah obtained the agreement of OJK as one of the Banks to serve Laku Pandai (Branchless Banking Services for Financial Inclusion) by launching BTPN Wow! iB.

2
May



2 May 2016

BTPN Syariah held Annual General Meeting of Shareholders and Extraordinary General Meeting of Shareholders to approve the amendments in the Articles of Association.

15
July



15 July 2016

Relocation of Sleman - Raya Magelang Supporting Branch Office.



1
August

1 August 2016

Official Roll out of BTPN Wow! iB, upon successful completion of the piloting which converted 321,113 customers of Tunas Usaha Rakyat (TUR) and acquired 20,231 Agents.

19 August 2016

Relocation of Tegal-Mayjen Sutoyo Branch Office.

23 September 2016

Relocation of Pekalongan-KHM Mansyur Supporting Branch Office.

22 November 2016

BTPN Syariah obtained approval from OJK to operate *Electronic Banking Transactional – Mobile Banking*.

28 November 2016

BTPN Syariah obtained approval from Bank Indonesia to issue ATM and Debit Card.

awards

Awards from KARIM Consulting Group, May 25, 2016



Islamic Finance Awards & Conference (IFAC).

1. **The Best Islamic Full Fledge Bank.**
2. **The Most Efficient - Islamic Full Fledge Bank.**
3. **The Most Prudent - Islamic Full Fledge Bank.**
4. **The Most Profitable - Islamic Full Fledge Bank.**



Award from Bank Indonesia, June 1, 2016



BTPN Syariah was awarded **1st Rank as the Best Bank for Micro, Small and Medium Enterprise, Category BUKU 1 and BUKU 2.**

Infobank Awards, August 25, 2016



BTPN Syariah was awarded **"Very Good" in the category of Commercial Banks with total assets below Rp10 trillion.**

Tempo Indonesia Banking Awards 2016, September 7, 2016



BTPN Syariah was awarded:

1. **The Most Reliable Bank** – in the category of Sharia Bank with total assets below Rp10 trillion.
2. **The Most Efficient Bank** – in the category of Sharia Bank with total assets below Rp10 trillion.

GIFA – Global Islamic Financial Awards 2016, September 29, 2016



BTPN Syariah was granted international award from the **Global Islamic Finance Awards (GIFA)** for the category **“Social Innovation Awards” 2016.**

Infobank Award, September 30, 2016



BTPN Syariah was awarded **“Very Good”** in the category of **Sharia Bank with total assets of Rp5-10 trillion.**

Warta Ekonomi Award, December 16, 2016



BTPN Syariah was awarded **“Special Mention”** on **Good Sharia Business Performance.**



Lombok *Tenun* crafted by Mrs. Indriani,
Financing Customer from Songket Sukarara Sentra,
Lombok, West Nusa Tenggara

president commissioner's report

Kemal Azis Stamboel

president commissioner (independent)



“In the midst of the increasingly challenging external environment, both in the banking sector and the other economic sector, BTPN Syariah kept on growing fast in 2016 and initiated a sustained transformation to enhance the Bank’s capacity in serving the productive productive poor member of the community. The review and supervision from the Board of Commissioners and other Committees concluded that the Board of Directors have undertaken all the key strategic initiatives to deliver superior performance.”

Bismillahirrahmannirrahim.

Assalamu'alaikum Warahmatullahi Wabarakatuh.

Dear Shareholders,

2016 remained a challenge for the banking sector as well as other economic sectors. The year, however, became the turning point for an economic recovery both in the global and national context for the years ahead. This situation impacted the performance of national banking industry including Islamic banking and BTPN Syariah.

The lower-than-expected growth of the global economy still showed improvement from the previous year, 3% as compared to 2.4% last year. The rebound of growth in the volume of world merchandise trade which contributed to the recovery of primary commodity prices, the strong domestic economy and the increasing government spending in infrastructure; have led the Indonesian GDP to grow at 5.01%, higher than 4.79% in the previous year.

Outlook Sovereign Credit Rating for Republic of Indonesia from Fitch Ratings also improved from stable to positive, affirming the credit rating of Indonesia at BBB- (Investment Grade); followed by the increase of Consumer Confidence Index from 103.5 to 116, reflecting the increasingly better prospects in the years ahead.

The relatively low economic growth that was also attributed to the declining export of primary products and low investment realization; generated pressures to the banking industry, resulting in the slower credit growth at around 9% and lower third party fund as compared to the year 2015. Whereas, the Non Performing Loan (gross) rose to 3.22% from 2.49% last year.

In the Islamic banking sector, assets grew by 49.3%, financing grew by 47.1%, funding grew by 43% and the Capital Adequacy Ratio remained stable at the range of 15.43%. This concluded that amidst the relatively less conducive economy – backed by strong capital adequacy, Islamic banks whose financing is directly linked to the business of the customers continued to earn the trust of the public and investor.

transformation for financial inclusion

The only way to conquer the challenge is by embracing it and work to outweigh the challenge. Bank BTPN Syariah response to the external challenge impacting to the banking performance in 2016 was by devoting all the efforts to deliver superior performance. The disciplined efforts for performance resulted in 41% growth in total assets, from Rp5.2 trillion in 2015 to Rp7.3 trillion in 2016. This growth represented total financing growth of 35%, from Rp3.68 trillion to Rp5 trillion and total funding growth of 41%, from Rp3.8 trillion to Rp5.4 trillion. The asset quality was well maintained, with Non Performing Financing (NPF) at 1.5%, better than the national average of Islamic Banking. Today BTPN Syariah has served more than 2.5 million financial inclusion customers.

To continuously serve financial inclusion customers by providing the products and services that are tailored to their specific needs, in 2016 BTPN Syariah started the initial stage of business transformation, by developing the programs for integrated online services, developing new products and services and improving organizational capabilities.

The Board of Commissioners fully supported those initiatives and witnessed a significant growth in serving our financial inclusion customers. Those initiative facilitated the integration of financing and saving program into the empowerment program for the productive poor community. BTPN Syariah will operate at a larger platform to enable the productive poor community to easily access banking services and this will eventually increase the financial inclusion index of Indonesia.

By developing products and services that are tailored to the needs of the customers and potential customers, BTPN Syariah will always be in partner with our customers and support them in achieving a more meaningful life.

future business prospect

To accelerate the development of Islamic financial sector, in November 2016 the Government of Republic of Indonesia has issued the Government Regulation to form the National Committee on Islamic Finance under direct supervision of the President of Republic of Indonesia. The role of this Committee is to provide recommendation on the policy direction and strategic program for national development in Islamic financial sector; to coordinate the development and implementation of the plan of strategic program for Islamic financial sector; to recommend solution to the problems in Islamic financial sector; and to monitor and evaluate the implementation of the policy direction and strategic program in Islamic financial sector. The Government commitment to grow the Islamic financial sector, supported by the improving economic indicators in the near future, will generate opportunities for a promising growth.

corporate governance

In 2016, the Board of Commissioners and its Committees, have played the role as a supervisory board, by actively visiting branch offices to meet and speak directly with the employees and communicate with the customers to learn the effectiveness of the Bank's products and services for the customers. In so doing, the Board of Commissioners has always maintained constructive communication with the Board of Directors and mutually committed to achieve quality growth with adequate risk management.

appreciation

On behalf of the Board of Commissioners, I would like to express our gratitude to all our customers for extended support and trust, and to all our employees for endless dedication to serve our financial inclusion customers.

In this occasion, I would like to express our appreciation to the Board of Directors for such an inspirational leadership to face the continuing challenges in 2016 and prepare BTPN Syariah for a quantum leap growth in the near future.

Lastly, we extend our appreciation to the regulators for the support in creating a business climate that is increasingly conducive, safe and promising.

*Wassalamu'alaikum Warahmatullahi
Wabarakatuh,*



Kemal Azis Stamboel
president commissioner (independent)



members of the board of commissioners
from left to right

Kemal Azis Stamboel
president commissioner (independent)

Dewie Pelitawati
commissioner (independent)

Mahdi Syahbuddin
commissioner



Bima Tenun crafted by Mrs. Muslimah,
Financing Customer from Ntobo 07 Sentra,
Bima, West Nusa Tenggara

president director's report

Harry A.S. Sukadis

president director

“The year 2016 was the starting point of business transformation in BTPN Syariah, by initiating programs for on-line integrated services, developing new products and services and improving organizational capabilities. This transformation is our dedication for continuous improvement of our services for our financial inclusion customers throughout Indonesia.”

Bismillahirrahmannirrahim.

Assalamu'alaikum Warahmatullahi Wabarakatuh.

Dear Shareholders,

Gratefully, I would like to report that BTPN Syariah has gone through 2016 with exceptional performance, serving our financial inclusion customers, while at the same time the economic indicators in Indonesia has shown significant signs of improvement. The recovery of the Indonesian economy was backed by the increasingly stronger macro economy, with infrastructure and domestic consumption fueled by the emerging Micro and Small Medium Enterprise businesses and Islamic financing scheme as the main contributor for its growth. The contribution of Islamic banking to the national banking financing is becoming more significant with the establishment of Bank Aceh Syariah as the 13th Islamic bank at the end of 2016; for which BTPN Syariah has taken part in its inception through intensive sharing of experience of the similar undertaking on BTPN Syariah in 2014.

2016 as the starting point of transformation

In line with the development of Islamic banking sector in 2016, BTPN Syariah still focuses the financing business on the Tunas Usaha Rakyat segment or the productive poor segment, by planning and implementing strategic actions.

For us, the year 2016 is the starting point of business transformation of BTPN Syariah, by initiating programs for on-line integrated services, developing new products and services and improving organizational capabilities. This transformation is our dedication for continuous improvement of our services for our financial inclusion customers throughout Indonesia in the future.

The stages of 2016 transformation began by improving the capability of Information Technology (IT) and developing applications to administer financing products using mobile phone which had initiated in 2015. This will make it easier for our financial inclusion customers to do financial transaction and at the same will improve efficiency and accuracy of transaction recording for our employees. For this purpose we developed the product BTPN Wow! iB, which was introduced early August 2016.

BTPN Wow! iB is a mobile banking platform specifically designed for mass market customers using hand phone as the main device for financial transaction. This product was aimed at encouraging our financial inclusion customers to enjoy the benefits of banking services by making it simple and easy to do financial transaction such as saving and fund transfer, without having to wait for the schedule of *sentra* routine meeting (known in Indonesian term as *pertemuan rutin sentra*). The easier it is for them to manage their cash, the faster it is to do financial transaction to support their business and the easier it is to do saving; then, eventually the easier it will be for them to realize their dreams. Until the end of 2016, 1.4 million customers were recorded to have had access to this services, delivered through more than 121 thousand agents.

performance

Our hard work in initiating transformation in various lines of business has made BTPN Syariah booked Nett Profit After Tax (NPAT) of Rp412 billion, improving the Return on Assets (RoA) to 9% and Return on Equity (RoE) to 31.7%.

In 2016, we have mobilized funds of Rp5.4 trillion, 41% increase from Rp3.8 trillion in 2015. This fund was channeled to financing financial inclusion customers that increased by 36% to Rp5 trillion from Rp3.7 trillion last year.

The financing quality is maintained at healthy level, as reflected in the Gross Non-Performing Financing (Gross NPF) at 1.5%, much below the national industry average of Islamic banking. The liquidity is kept at optimum level at 92.7% Financing to Deposit Ratio (FDR) and Capital Adequacy Ratio is maintained strong at 23.8%.

Towards the end of 2016, we have served more than 2.5 million customers and booked total assets value of Rp7.3 trillion, 41% increase of the previous year of Rp5.2 trillion; or 118% increase of total assets of BTPN Syariah at its inception in 2014 of Rp3.4 trillion.

empowerment program

We are consistent to our mission to not only focus on business or financial performance. In 2016, BTPN Syariah has intensively implemented empowerment program called “Daya” through various improvement of our Daya program both in quality and quantity, one of which is developing training module on how to use hand phone as the means for financial transaction and module to encourage saving by nurturing the four effective behavior of financial inclusion customers, that is, Courage (to do Business), Discipline, Hard Work and Solidarity (BDKS).



while the Non-Performing Financing Ratio (Gross NPF) is maintained at a level of 1.5%, below the national Sharia banking average.

future plan

We believe that 2017 will offer a lot of opportunities, in line with the increasing growth of national economy and more conducive business environment. *Insha Allah*, taking into account the external condition and the increasingly growing financial inclusion customers, we will continue the transformation that we have initiated.

We will make every effort, by leveraging the power of digital technology of BTPN Wow! iB, to enable all our financial inclusion customers throughout Indonesia to enjoy the benefits of our services. Through our integrated on-line services, we will continue to develop products and services to meet the needs of our customers and their families. The implementation of this plan will require improvement of organizational capacity, strengthening the management team, improvement of efficiency and effectiveness of policies and work processes; so that we will be able to realize our vision "To be the best Islamic Bank, for financial inclusion, making a difference in lives of millions of Indonesians."

Lastly, on behalf of the Board of Directors, I would like to say thanks to all stakeholders for their trust and support to BTPN Syariah: to Regulators, Shareholders, Board of Commissioners, Sharia Supervisory Board, and to all our employees for all the endless and tireless work to serve our customers, and also the families of our employees for their continued support to make it happen to deliver performance, and most importantly to all our customers for trusting us as their partner to make a better life.

*Wassalamu'alaikum Warahmatullahi
Wabarakatuh,*



Harry A.S. Sukadis
president director



members of the board of directors

from left to right

M. Gatot Adhi Prasetyo
operations director

Harry A.S. Sukadis
president director

Taras Wibawa Siregar
compliance and risk director

Ratih Rachmawaty
deputy president director

Setiasmo Samami
IT director



The Sharia Supervisory Board are wearing Bima Tenun crafted by Mrs. Muslimah, Financing Customer from Ntobo 07 Sentra, Bima, West Nusa Tenggara

sharia supervisory board's report

from left to right

KH. Drs. Amidhan

chairman of sharia supervisory board

KH. Ahmad Cholil Ridwan, Lc

member of sharia supervisory board

“In 2016 BTPN Syariah has started the era of technology to its customers. This development will improve the quality of customer experience, improve the Bank’s capability to enable the productive poor community to have a better life and at the same time improve their technology literacy in order to keep up with the advances of the changing world. We, therefore, as the Sharia Supervisory Board fully support and are committed to oversee the process to ensure its alignment with the cutting-edge of technology while keep maintaining the adherence to Islamic principles.”

Bismillahirrahmannirrahim.

Assalamu'alaikum Warahmatullahi Wabarakatuh.

Dear Shareholders,

Entering the third year of operation as an independent entity, BTPN Syariah has introduced technology-based banking transaction through a massive and smooth transformation program. The development of banking transaction model in this digital technology era was fully supported by the Regulator, including Bank Indonesia, Financial Services Authority (OJK), National Sharia Board and MUI; as it facilitated customers to do banking transaction with ease, without having to go the branch offices.

In our view, this development really suits the business activities of BTPN Syariah that is primarily serving productive poor customers living in remote areas. Having faith in the benefits of applying the right technology, BTPN Syariah as the bank focusing to serve productive poor community initiated the program to improve our customer literacy to the technological advances. Our customers must have a certain degree of technology literacy by which they can effectively use digital technology, in this case hand phone, both as communication devices and as a means for banking transaction. In this context, Sharia Supervisory Board appreciates the efforts of the Bank's Mobile Marketing Sharia (MMS) team in teaching the effective use of the gadget to our customers.

We affirm that the right use of technology will improve the quality of customer experience. *Daya* activities are now part of the *sentra* routine meeting aimed at inculcating the saving-conscious behavior using technology-based banking services. This knowledge is very critical for financing customers of Paket Masa Depan (PMD) since saving is the essential element of assets accumulation which is a necessity to create a better life. And from the Islamic banking point of view, this practice is highly encouraged. The transformation program will better facilitate BTPN Syariah in serving no less than 2.5 million customers living in rural areas with limited infrastructure. We realize, however, that face-to-face meeting through *sentra* routine meeting must remain part of our business model to maintain *silaturahmi* (harmonious relationship), to facilitate empowerment program and to ensure that KYC-based (KYC – know your customer) risk mitigation concept is effectively applied.

At the same time, in 2016 BTPN Syariah launched a new product BTPN Wow! iB, with license granted by OJK to serve the productive poor needs for banking services through Laku Pandai (Branchless Financial Services for Financial Inclusion) for which more than one hundred thousands agents were recruited as part of the Bank's marketing team to penetrate the market and to educate the customers on the effective use of gadget to operate banking services in order to enjoy the benefits of the other Islamic products that will be further introduced very soon.

In line with the role of the Sharia Supervisory Board, that is to ensure adherence of the Bank to the Islamic principles, we fully support the Bank's participation in Laku Pandai. From our observation through a number of meetings with customers as well as the employees in our various visits to oversee the Bank, we acknowledge that the use of technology has become mandatory nowadays; and that ATM and mobile banking has become urgent needs of the community.

For this purpose, the Sharia Supervisory Board has stated our opinion that the activities and services of Electronic banking to facilitate transaction is in line with Islamic principles. The license for ATM services and mobile banking has been granted by the regulator. We believe that BTPN Syariah will perform a more significant role in helping our customers to have a better life through the use of various electronic banking transactions in the years ahead.

Islam is *Rahmatan Lil Alamin*, blessings for the whole world, emphasizing the importance of *silaturahmi* (harmonious relationship) and good communication amongst human being. We uphold this principles in our interaction with our customers by making our *sentra* routine meeting as a media for *silaturahmi* and maintain good communication. The effective use of communication technology in this forum will enable quick detection of customers problem and therefore, quick problem solving for customers. Technology would, therefore, play an important role to maintain good quality of financing. Educated with technology literacy, our customers will be more motivated to maintain their financing-worthiness by making on-time payment of installment, which now has been made easy by use of technology.

We strongly encourage the Bank Management to keep on exploring technology as a means to optimize customer experience and to serve our customers' needs for communication, information and education, as such that they will be able to protect and grow themselves and not being taken advantage by irresponsible people. We believe that the management of BTPN Syariah will continue to play an active role in the undertaking of this noble activity.

In our endeavor, we always seek refuge to *Allah SWT* and prayed to Allah, so that all the good-intended activities, God willing, will be granted ease and that all of us will be granted strength to endure the long journey with a noble purpose. All the obstacles that stand in the way are only the means to strengthen our chain of our bonding. We have faith that our endeavor to serve the productive poor customers and community will lead them for a better life. We pray for refuge in the light of His Countenance, by which darkness is dispelled and dissolved are all challenges of the world and the hereafter.

May *Allah SWT* bless us. *Aamiin YRA*.

*Wassalamu'alaikum Warahmatullahi
Wabarakatuh,*

KH. Drs. Amidhan
chairman DPS

KH. Ahmad Cholil Ridwan, Lc
member of DPS



Discipline in customer interaction is the key to understand the need of financial inclusion customers.

Cut Mulyana, MMS Facilitator (known in Indonesian term as Pembina MMS) is in conversation with Ibu Rohati, Financing Customer of Merak Mesjid Sentra, Tangerang.

company profile



BTPNS five uniqueness

1

The only sharia bank in Indonesia
with financial inclusion
focus, serving productive
poor family.

Facilitating access to financial services and empowering productive poor families to have a better is the ultimate objective of BTPN Syariah in creating a financial inclusion for the nation.



Direct interaction has become a routine habit to understand the needs of the financial inclusion customers.

Bapak Harry A.S. Sukadis is wearing batik made by Financing Customer of Batik Trusmi Community, Cirebon.

mission

Together, we create opportunities
for growth a more meaningful life

vision

To be the best sharia bank for financial
inclusion, making a difference in the lives of
millions of Indonesia

core values

PRISMA:

professionalism, integrity, respect differences and
teamwork – the Indonesian acronym is PRISMA

professionalism

**Is embodied by
improving expertise
as required by
the profession.**

All employees are expected to demonstrate the behavior of continuously enhance the expertise in line with the respective profession, maintain strict discipline and adherence to the code of conduct of the Company, and strive for excellence.

integrity

**Is essentially a
demonstration
of the integration
between action and
principles or values.**

All employees are expected to be honest and truthful, to act according to the norms, and to deliver commitment.

respect differences

**Being respectful
and appreciate
the opinion and
contribution
of others.** All employees are expected to listen and appreciate the works of others.

teamwork

**Put the common
objectives as the
primary concern
and leveraging
difference to
become the ultimate
source of strength.**

All the employees are expected to be able to work in a team, seek to understand the differences of the team and figure out how to capitalize the differences to reach the ultimate objective of the team, and show mutual trust to work and help each other.



KFO Cimone employees

mission, vision and core values of BTPN Syariah are our true-north – our direction, objectives and commitment in serving financial inclusion customers.

BTPN Syariah in Brief

Established through a conversion of PT Bank Sahabat Purba Danarta (Bank Sahabat) and the spin-off Unit Usaha Syariah (UUS) PT Bank Tabungan Pensiunan Nasional Tbk, on July 14, 2014 BTPN Syariah has officially become the 12th Sharia Bank in Indonesia.

Pledged to create opportunities for growth for millions of Indonesia, BTPN Syariah through its products, services and activities, always involves all stakeholders to provide access to financial services for the productive poor community (financial inclusion), through women empowerment based on sharia principles.





Ibu Rahel, Financing Customer
Seaweed farmer
Mutia Cibi-cibi Sentra, Kupang

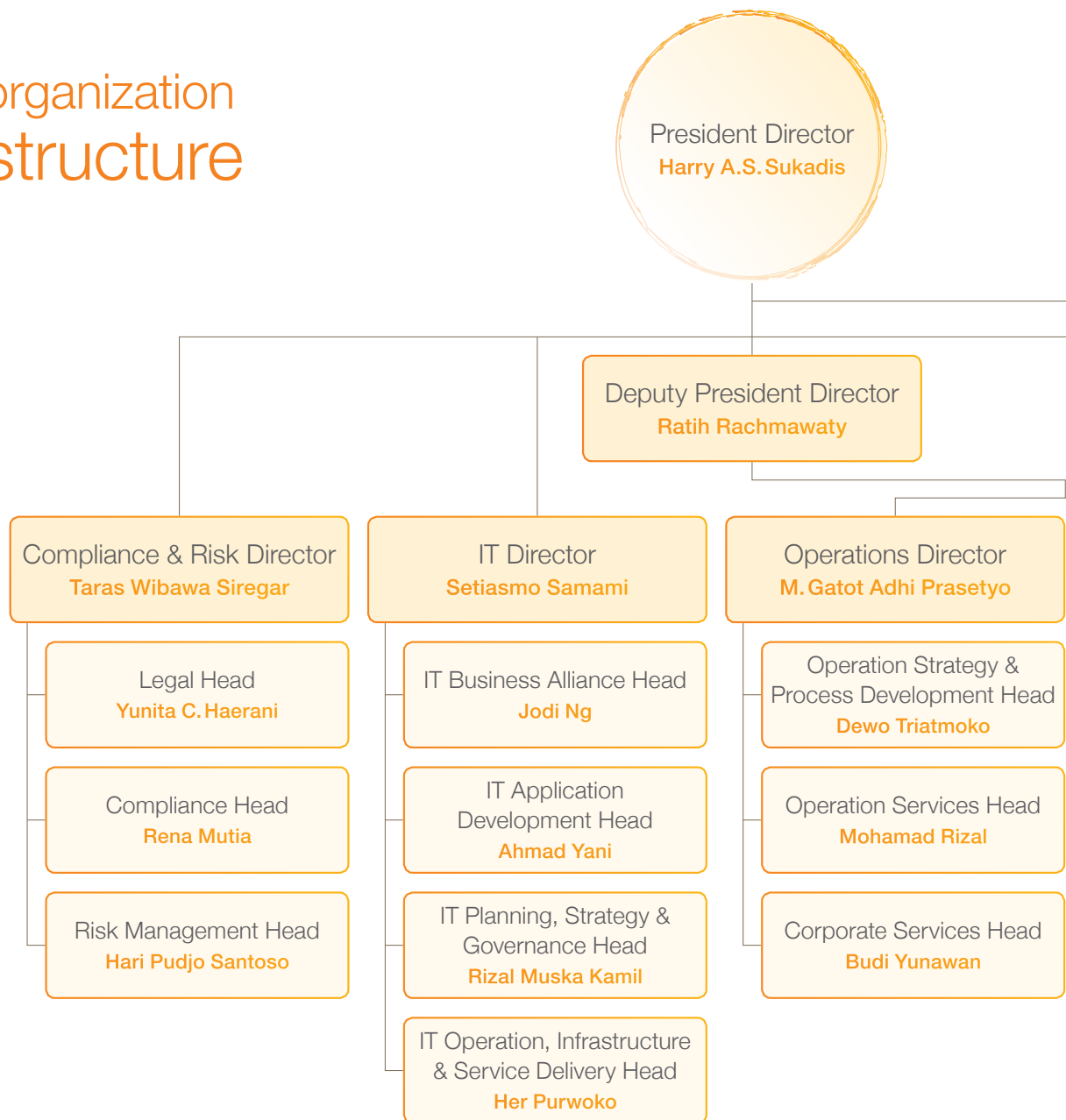


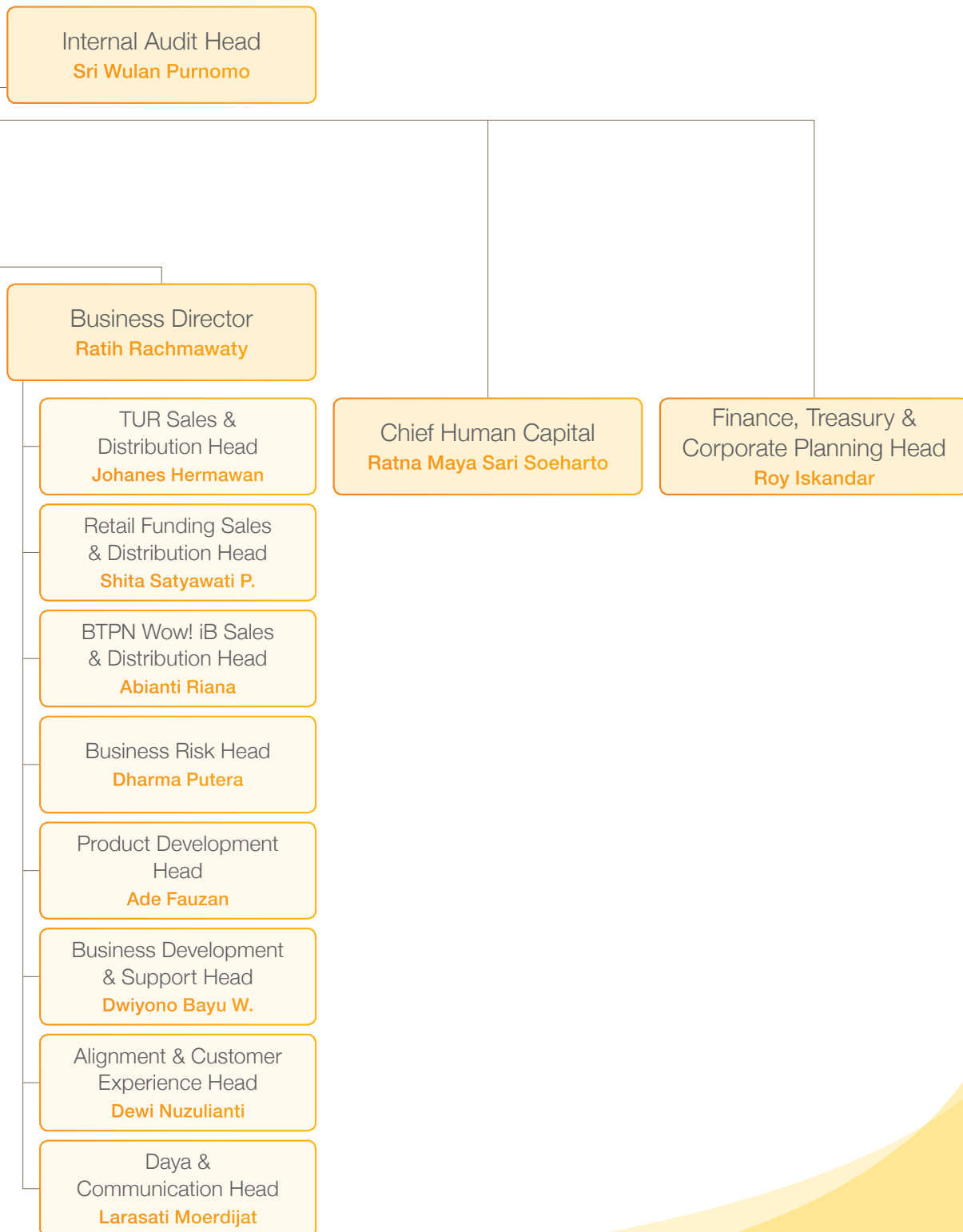
Established in March 1991 in Semarang, PT Bank Sahabat Purba Danarta was a non-foreign exchange licensed bank that was acquired by PT Bank Tabungan Pensiunan Nasional Tbk (BTPN), following the decree of the Financial Services Authority (OJK) through its letter dated May 22, 2014; and its Circular Shareholder Resolution in lieu of an Extra Ordinary General Meeting of Shareholders on January 20, 2014. Bank Sahabat was then converted into BTPN Syariah, being effective on July 14, 2014, based on the decree of the Board of Commissioner of Financial Authority Services (OJK) dated May 22, 2014.



Sharia Business Unit of BTPN, focusing on serving and empowering productive poor women, was a business unit initiated in March 2008. It was then spun-off and merged to the converted bank Sahabat and officially became BTPN Syariah on July 14, 2014.

organization structure





board of commissioners profile



Kemal Aziz Stamboel

President Commissioner/
Independent Commissioner

Indonesian citizen, 67 years old, Kemal Aziz Stamboel was appointed as the President Commissioner and Independent Commissioner of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Starting his career in PT Indonesia Asahan Aluminium (1977-1982), he carries more than 40 years of experience in multiple organization and corporation. Kemal Aziz Stamboel was the former President Director of Price Waterhouse Coopers Consulting Indonesia (1982-2002) who then became the Indonesia Country Leader & Partner in IBM (from the legacy firm PwC, 2002-2004). He was actively involved in various organization, including Member of Supervisory Authority of the Aceh and Nias Rehabilitation and Reconstruction Agency (2005-2008), Deputy Chief Executive of the Board of National Information and Communication Technology (2006-2008), Independent Commissioner of PT Krakatau Steel (2007-2008) and

PT Titan Petro Chemical (2006-2012), Chairman of Commission I of the House of Representatives (2009-2010), Vice Chairman of the Working Committee on Inflation and Interest Rates (Commission XI of the House of Representatives).

Along with BTPN Syariah, he also serves as Independent Commissioner of PT Holcim Indonesia Tbk, Advisor to the Board of Directors of PT Indosat Tbk, Chairman of Board of Management of WWF Indonesia and the Secretary General of Association of International Bank of Indonesia.

Holding a Bachelor of Psychology from Padjajaran University and Master of Science in Business Management from Hult International Business School USA, Kemal Stamboel also attended various training program and conferences, amongst others are those organized by LSPP, Price Waterhouse Coopers, XXVI IAFEI World Congress ASEAN Federation of Accountants.



Dewie Pelitawati

Member of the Board
of Commissioners/
Independent Commissioner



Mahdi Syahbuddin

Member of the Board
of Commissioners

Indonesian citizen, 57 years old, Dewie Pelitawati was appointed as member of the Board of Commissioners and Independent Commissioner of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Starting her career in PT Indosat (1985-1999), Dewie had various exposure in senior management positions in several organization, including: as Head of Chairman Office in Indonesia Bank Restructuring Agency (1999-2000), Secretary to Junior Minister in the Ministry of National Economic Restructuring-RI (2001), Commissioner of PT Indosat Mega Media Mobile and Commissioner of PT Satelindo (2002-2003), Chief Legal and Compliance in PT Indosat (2009-2010), Partners in Bahar and Partners Attorney At Law (2010-2013). Along with BTPN Syariah, she also serves as the Advisor in PT XL-Axiata Tbk.

Holding a Bachelor Degree in Law and Magister in Law from the Faculty of Law, Padjadjaran University; Dewi took several program for her professional development, including the programs conducted by LSPP, Indonesian Advocate Association, Dubai International Finance Center, Corporate Leadership Development Institute.

Indonesian citizen, 55 years old, Mahdi Syahbuddin was appointed as member of the Board of Commissioners and Independent Commissioner of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Circular Decision of Shareholders taken apart from the General Meeting of Shareholders on January 13, 2015 and the approval of the Financial Services Authority on December 23, 2014.

With more than 32 years of experience, Mahdi was the Former Human Capital Director of PT Bank Tabungan Pensiunan Nasional Tbk ("BTPN") leading a number of strategic initiatives to transform the Human Capital through massive organizational alignment, redesign the human capital policy, processes and systems; and involve employees at various leadership levels to craft the vision, mission and values of the Bank. Prior to Bank BTPN, Mahdi was the Director in Bank Permata from the legacy firm Bank Universal where he had held various positions in senior management level including Deputy President Director before he was then appointed as the Chairman of Implementation Team for the merger of several banks into Bank Permata. Starting his intensive exposure in banking industry in 1989 with Citibank N.A. as the Manager of Asset Product Services, Mahdi's first career step was as an Engineer in Atlantic Richfield and IPTN.

Mahdi holds a Bachelor Degree in Aerotechnics in 1987 from Bandung Institute of Technology.

board of directors profile



Harry A.S. Sukadis
President Director

Indonesian citizen, 63 years old, Harry A.S. Sukadis was appointed as the President Director of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Harry Sukadis had a career exposure of more than 39 years in various companies. He began with several companies, that is PT Ma'soem, PT Kasoem, Economics and Human Resources Research Center in Padjajaran University, Accounting Firm R. Supardi Sugandakusumah (Public Accountant), and PT Indosat. During his service in PT Indosat, upon the approval of shareholders and management, he also serves as the consultant for financial information system in several corporations: PT Telkom, PT Sucofindo, PT Garuda Indonesia, PT Merpati Nusantara Airlines, Logistics Agency and several others.

Advancing further in his career, Harry Sukadis was then exposed in PT Semen Cibinong Tbk., then in Indonesia Bank Restructuring Agency (IBRA) where he held the responsibility as the Coordinator of Daily Execution of the Finance Minister as the Head of Clearance Team in IBRA. His exposure in banking industry proceeded with

his appointment as the Commissioner, member of Audit Committee, member of Risk Management Committee and member of Remuneration and Nomination Committee in Bank Danamon, Tbk.

Prior to BTPN Syariah, Harry Sukadis had served as the Consultant in Directorate General of Hajj and Umrah in the Ministry of Religious Affairs before he was then appointed as Director for Finance, Human Resources and Security in Perum Peruri (Money Printing Public Company of Republic of Indonesia). Reporting directly to the President Director of Perum Peruri, Harry Sukadis supervised Finance Division, Human Capital Division, Security Division, IT and Asset Optimization Department. At the same time, he also served as the Director of the Trustees of the Pension Fund of Peruri, Peruri Pension Foundation dan Peruri Healthcare Foundation.

Harry holds the Bachelor Degree in Accounting from the Faculty of Economics Padjajaran University and actively participated in various training program from PT Telkom, IBM, Monash University, BSMR-ABN AMRO, and Standard Chartered Bank.



Ratih Rachmawaty

Deputy President Director

Indonesian citizen, 45 years old, Ratih Rachmawaty was appointed as the Deputy President Director of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Ratih is the founder and the architect of the Tunas Usaha Rakyat (TUR) which now becomes the backbone of the BTPN Syariah Business. This business was rooted in her previous role as the Sharia Business Unit Head of Bank BTPN since 2011 where she formulated a business model to serve the productive poor customers to realize a better life through women empowerment by inculcating the spirit of Courage, Discipline, Hard Work and Solidarity to the customers. When the Sharia Business Unit was spun off and transformed as BTPN Syariah, Ratih's leadership had delivered a tremendous growth of the business with more than 1.2 million productive poor customers served by more than 8,000 employees.

Her expertise in Micro Banking was dated back to her experience in Bank Danamon (2003-2008) when, as the founder of Mass Market Business (Danamon Simpan Pinjam – DSP), she built the design architecture of the business and managed to deliver the expected business performance. With a mission to develop the micro banking industry in Indonesia, Ratih then proceeded to Bank BTPN to establish

a new business unit focusing on micro banking, Mitra Usaha Rakyat (2008-2011). Not only leveraging her experience in Bank Danamon, Ratih had actively studied world class micro banking best practices in various countries to develop the design architecture of the Mitra Usaha Rakyat. The benchmarking studies include countries such as India, Mexico, Peru and Latin America; and she has also actively built strategic alliance with institutions of financial inclusion and poverty eradication such as Grameen Foundation, IFC, and United Nation Capital Development Fund (UNCDF). To obtain the state-of-the-art of the micro banking knowledge and leadership, she attended world class micro finance conference, such as World Micro Credit Summit and leadership program from Harvard Business School, Boston, USA.

Holding a Bachelor Degree of the Faculty of Economics major in Accounting from Padjajaran University Bandung with cum laude predicate and MBA from Melbourne Business School University of Melbourne, Ratih has attended a number of training in Harvard Business School USA, INSEAD Singapore, McKinsey, Risk Management Certification Board, Sharia Certification from Karim Business Consulting and LPPI, Stephen Covey, Dave Ulrich, Euro David International Limited, Auditors Club Perbanas, DDI, Perbanas Business School, FCG, TGMH Consulting, Bankers Club, Prof. Terry S. David, Grameen Foundation, Indonesian Banker Association, and Indonesian Institute of Commissioners and Directors, and Bank Indonesia.



**Taras Wibawa
Siregar**

Compliance and
Risk Management
Director

Indonesian citizen, 47 years old, Taras was appointed as Compliance and Risk Management Director pursuant to the Extraordinary General Meeting of Shareholders on October 1, 2015 and the approval of the Financial Services Authority on September 9, 2015.

Prior to being a member of Board of Directors of BTPN Syariah, Taras served as a member of the Board of Commissioners at BTPN Syariah (2014-2015) and as Deputy Chief Risk Officer in PT Bank Tabungan Pensiunan Nasional, Tbk (2008-2015).

Taras was the former Credit Risk Head in Self Employed Mass Market (Danamon Simpan Pinjam) in Bank Danamon (2004-2008) and he was formerly the Citi Financial Credit Risk Head in Citibank NA (1998-2004). His starting point in the career was in PT Freeport Indonesia (1993-1996) as Senior Systems Analyst.

Taras holds a degree of Master of Business Administration from Tulane University – A.B. Freeman School of Business, Louisiana, USA (1998), Bachelor of Science (Faculty of Computer Science) and Bachelor of Arts (Faculty of Business Administration) from Washington State University, Washington, USA (1993).



**M. Gatot Adhi
Prasetyo**

Operations Director

Indonesian citizen, 54 years old, Gatot Adhi Prasetyo was appointed as Operations Director of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Starting his professional career in 1987, Gatot has been exposed to various industries, including: Engineering Consultant (PT Infratama Yakti, PT Ripta Paripurna, PT Mirazh), general insurance (Asuransi Astra Buana), cable television (PT Direct Vision/Astro TV) and banking (Bank Pasific, Bank Universal, Bank Permata, Bank Sahabat Purba Danarta and BTPN Syariah) in a number of functions – Operations, Credit, System and Procedure Development, Human Capital and Board of Management).

Holding a Bachelor degree in Engineering from the Faculty of Geodesy, Bandung Institute of Technology – Geodetic Engineering, Gatot has attended a number of training programs from Center of Management Technology, IMPM Prasetya Mulya, Business Forum, Asia Pacific Institute, KPMG Management Consultant, Astra Management Institute of Development, Covey Leadership Center, Law Education & Training Hotman Paris, IBC Asia Limited, Care Consulting, Ministry of Finance Republic of Indonesia, Business Consulting, Directorate General of Land Transportation, Kellogg School of Management, Plasmedia, Lawrence Walter Ng, SCB, Risk Management Certification, LPPI and LSPP.



Setiasmo Samami

Information Technology Director

Indonesian citizen, 48 years old, Setiasmo was appointed as Information Technology Director of PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") pursuant to the Extraordinary General Meeting of Shareholders on May 20, 2014 and the approval of the Financial Services Authority on February 24, 2014.

Setiasmo spent almost his entire 23 years of career in areas of operations and information technology both in banking industry and general insurance. His career started as a management trainee in PT United Tractors and as sales administrator in PT Courtaulds Coatings Indonesia. His next career movement was then always centered around banking and insurance business. The beginning was as the executive trainee Bankers Development Program in PT Bank Universal for which he served for 9 years in various positions. From this point, he proceeded to PT Bank Permata, PT Bank Mega, PT Asuransi Astra Buana, PT Bank Danamon, Potensia HR and finally PT Bank Tabungan Pensiunan Nasional Tbk ("BTPN").

Holding a Bachelor degree in Agricultural Technology majoring in Agricultural Engineering from Bogor Institute of Agriculture and a Master of Science (MSc.) in Electronic System and Engineering Management and Magister Computer (M.Kom) in Information Technology from Swiss German University; Setiasmo has attended a number of training programs in Banking, Sharia Banking, Leadership, Information Technology, Risk Management, Productive Poor and Financial Inclusion both in domestic and overseas.

sharia supervisory board profile



KH. Drs. Amidhan

Chairman of Sharia Supervisory Board

Indonesian citizen, 77 years old, KH. Drs. Amidhan serves as the Chairman of Sharia Supervisory Board of PT Bank Tabungan Pensiunan Nasional Syariah since July 2014. At the same time he also serves as a member Supervisory Board of PT Asuransi Tokio Marine Insurance (d/h MAA) since 2006, as a member of Supervisory Board of PT Asuransi ADIRA since 2004 and as the Chairman of Supervisory Board of PT K-Link Nusantara since 2013.

He was granted scholarship by Ministry of Religious Affairs to attend the education for Religious Teacher (from State Education for Religious Teacher) in Banjarmasin (1952-1956) and State Education for Islamic Judge in Yogyakarta (1956-1959). Holding a Bachelor degree in the Faculty of Sharia in IAIN Yogyakarta (1967), he also attended school in Faculty of Law in Indonesian Islamic University (1968). On top of those educations, he actively participated in various courses, including "Management and Strategic Planning" in Massachusetts University, USA (1990), Regular Course of Lemhannas batch XXII (1989), Manggala BP7 Course (Istana Bogor, 1995) and Human Rights Course in Oslo, Norway (2002).

Starting his career in Kerapatan Qadli Besar, Banjarmasin, he continued his career as Manager in the Religious Court Supervisory Office covering Kalimantan based in Banjarmasin before he was then assigned in the Head Office of Ministry of Religious Affairs in 1972, where he was given various responsibilities, including as the Secretary of Directorate General for Islamic Guidance and Hajj (1989-1991), then as Director General for Islamic Guidance and Hajj (1991-1996) and as the Advisor to the Minister of Religious Affairs in Inter-Religious Harmonious Living (1996-1999). He was also trusted a number of positions in several organization including, Chairman of MUI (2005-2015), Member of Human Rights National Committee (2002-2007), member of People's Consultative Assembly of Republic of Indonesia (1999-2004), member of Working Committee in People's Consultative Assembly of Republic of Indonesia on the Changes of Indonesian Constitution (PAH I Perubahan UUD 1945) in 2000-2004, member of Depertim MUI (2015-2020), member of Review Committee in People's Consultative Assembly of Republic of Indonesia (2015-2019) and Chairman of Jakarta Islamic School Foundation in Jakarta (2015-2019). He was also actively involved in a number of teaching activities such as Guest Lecturer in Sespim Polri, Lembang Bandung, Lemhannas Jakarta and the Indonesian Army Mental Development in Cilangkap Jakarta, and trusted as subject matter experts and key notes speaker in many conferences both domestic and overseas.



KH. Ahmad Cholil Laili, Lc
Member of Sharia Supervisory Board

Indonesian citizen, 69 years old, KH. Ahmad Cholil Laili has served as the member of Sharia Supervisory Board of PT Bank Tabungan Pensiunan Nasional Syariah since July 2014. He was also a member of MP3A in the Ministry of Religious Affairs (2005-present).

Holding a Bachelor degree from Islamic University in Madinah Saudi Arabia in 1975, he was assigned as the Chairman of the MUI Head Office (2005-2015) and now serves as the member of the MUI Advisory Board for the period of 2015-2020. Along with those, there are a number

of other positions that he was held responsible for including Deputy Chairman of Working Committee of Dewan Da'wah Islamiyah Indonesia (2014-present), Deputy Chairman of Indonesian Islamic Students Association (2010-2015), Chairman of Islamic Boarding School (Pondok Pesantren) Husnayain in Jakarta (1986-present). He also taught Arabic lessons and Islam Religion in Pesantren Assyafiliyyah (1976-1985) and as employee in Hajj Attache at the Embassy of Republic of Indonesia in Jeddah in 1976.

board of commissioners committees profile

composition of the board
of commissioners' committee

risk monitoring committee

Chairman:

Dewie Pelitawati
(Independent Commissioner)

Members:

Kemal Azis Stamboel
(President Commissioner/Independent)

Mahdi Syahbuddin
(Commissioner)

Azis Budi Setiawan
(Independent)

Muhammad Faisal Muchtar
(Independent)



**Muhammad Faisal
Muchtar**

Member of Audit Committee
and Member of
Risk Monitoring Committee

audit committee

Chairman:

Kemal Azis Stamboel
(President Commissioner/Independent)

Members:

Dewie Pelitawati
(Independent Commissioner)

Mahdi Syahbuddin
(Commissioner)

Azis Budi Setiawan
(Independent)

Muhammad Faisal Muchtar
(Independent)

He holds Magister degree in Ushul Fiqh from Al-Azhar University Cairo, Mesir and Islamic Economy from Indonesian Islamic University with a cum laude predicate. His expertise in Islamic Economy led him to various assignment as key notes speaker in this subject, amongst others are Sharia Business and Finance, Sharia Risk Management, Sharia Financial Management, Sharia Insurance, Sharia Capital Market and Fraud Risk Management in Indonesia, Malaysia, Mesir, Saudi Arabia, Moscow in Czech Kazan (Russian Federation) and is currently completing his Doctoral Degree in Sharia Finance in Middle East.

Starting his career in PT Bank Muamalat Indonesia as Business Development Officer, his career journey brought him to various assignment, including as Sharia Compliance Manager Bank Syariah Mega Indonesia, as Assistant General Manager Sharia Head Syarikat Takaful Malaysia Berhad (STMB) Malaysia, Sharia Advisory Council in Asuransi Takaful Indonesia, lastly as the Corporate Secretary Al Ijarah Indonesia Finance (ALIF). In September 2014 he was appointed as the member of Audit Committee and Risk Monitoring Committee in BTPN Syariah.

remuneration and nomination committee

Chairman:

Kemal Azis Stamboel
(President Commissioner/Independent)

Members:

Dewie Pelitawati
(Independent Commissioner)

Mahdi Syahbuddin
(Commissioner)

Ratna Maya Sari Soeharto
(Executive Officer in Human Resources)



**Ratna Maya
Sari Soeharto**

Member of
Remuneration and
Nomination Committee

She currently holds the responsibility as Chief Human Capital BTPN Syariah. She had her Bachelor Degree in Psychology in 1990 and Magister in Industrial Psychology and Organization in 2002 from Faculty of Psychology University of Indonesia. Further enhancement of her education was when she completed her International Management Program in 2008 and Innovative Dynamic Education & Action for Sustainability (IDEAS) in 2008-2009 in MIT Sloan School of Management, MA, USA.

Starting her career as Media, Promotion & Sales in Prospek Magazine (1990); she was exposed to various industry in her career journey including: as Executive Search & Organizational Development di PT Pricewaterhouse Konsultan Indonesia (1991-1994); as Assistant Manager Group Human Resources in PT Ongko Multicorpora (1994-1995); as Senior Manager Recruitment & Development PT Keramika Indonesia Asosiasi (1995-1998); and as Head of Human Resources UNICEF Indonesia (1998-2000). Her intensive experience in Human Resources brought her to a number of senior positions: PT Excelcomindo Pratama with last position as General Manager Human Capital Development; as Director for Human Resources and Organization in PT Ericsson Indonesia; as Corporate HR Director in PT Makassar Tene & Group; and prior to joining BTPN Syariah she was the Founder and CEO PT Begawan Inovasi Global (BEING).

In October 2015 she was appointed as the member of Remuneration and Nomination Committee BTPN Syariah.



Azis Budi Setiawan

Member of
Audit Committee
and Member of Risk
Monitoring Committee

He started his career as the Lecturer and Researcher in Sharia Banking subject in Sekolah Tinggi Ekonomi Islam (STEI) SEBI since 2006 until today.

He holds a Bachelor Degree in Sharia Banking in STEI SEBI and Master Degree in Paramadina Graduate School of Business-Universitas Paramadina in the Magister Program in Islamic Business and Finance majoring in Sharia Banking.

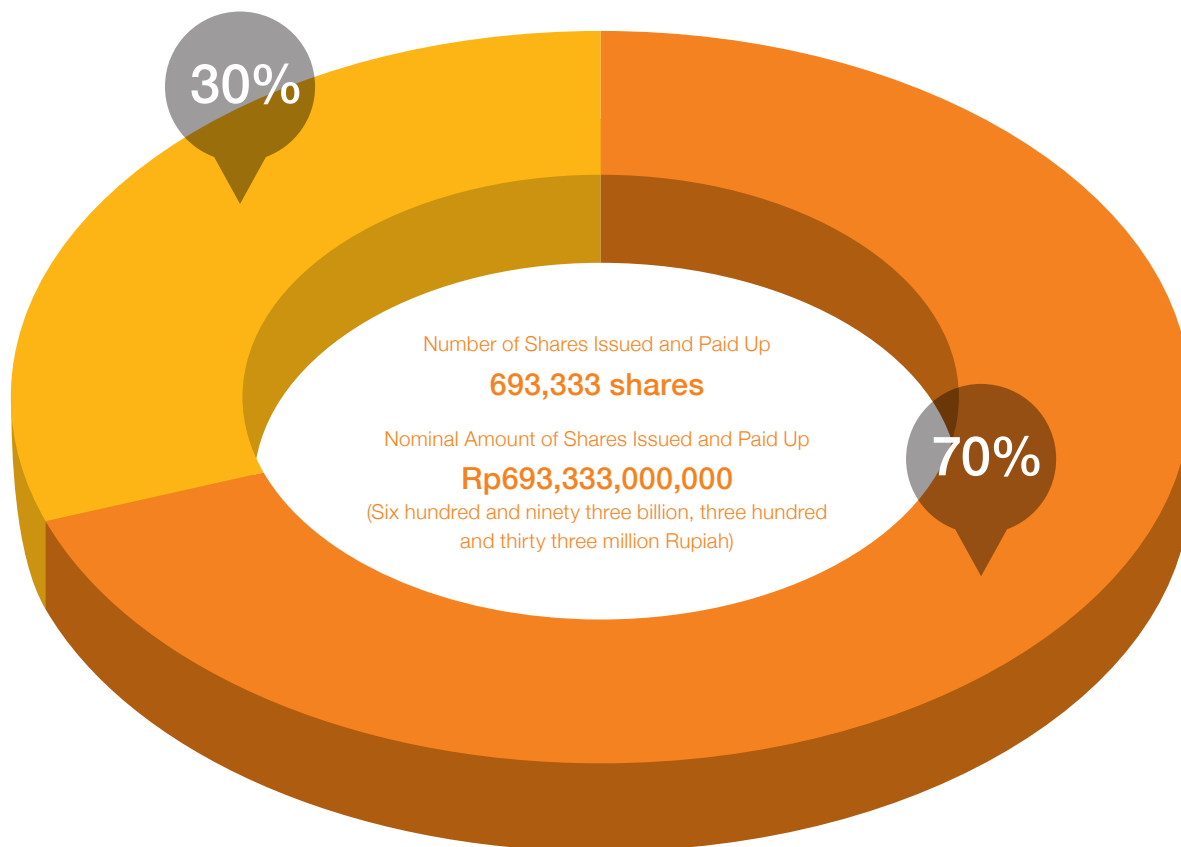
He currently serves as the Deputy Chairman I in Academic Affairs STEI SEBI supervising Study Program of Sharia Banking and Sharia Accounting. Prior to this assignment, he was the Chairman of Study Program of Sharia Banking from 2008 to 2012.

He is also actively involved in a few organizations, including as management team in Association of Indonesian Islamic Economy Experts (IAEI) and Sharia Economic Community. He is also actively involved in a number research, publication, and forum related to sharia banking and finance. Some of the studies that he conducted were related to the policy development, performance, healthiness level and governance of Sharia banking. He also regularly publishes articles on sharia economy, finance and banking in several media.

As the member of the committee, he has completed Risk Management Certification Level IV from Risk Management Certification Board in Jakarta.

In September 2014 he was appointed as the member of Audit Committee and Risk Monitoring Committee BTPN Syariah.

shareholders composition and profile



● BTPN (70%)

Number of Shares

485,333 shares

Nominal Amount of Paid-Up Shares

Rp485,333,000,000

(Four hundred and eighty five billion three hundred and thirty three million Rupiah)

(The deed of resolution of Shareholders in lieu of Extraordinary General Meeting of Shareholders No.98 dated June 23, 2015)

● Triputra (30%)

Number of Shares

208,000 shares

Nominal Amount of Paid-Up Shares

Rp208,000,000,000

(Two hundred and eight billion Rupiah)

(The deed of resolution of Shareholders in lieu of Extraordinary General Meeting of Shareholders No.98 dated June 23, 2015)



PT Triputra Persada Rahmat (Triputra)

Established by TP Rachmat and Benny Subianto, PT Triputra Persada Rahmat (Triputra) is a manifestation of concern to build a better Indonesia by empowering productive poor communities to attain their economic freedom. The motto “Less for self, More for Others, Enough for Everyone” is the spirit that enlightens the founders to build a financial institution for micro-businesses, financing productive under privilege families to start or develop their own micro-businesses and encouraging them to do saving as a means of asset accumulation to change their lives. The founders believe that this intention will be best realized by investing through stock ownership in BTPN Syariah (from the legacy PT Bank Sahabat Purba Danarta).

Inspired by Muhammad Yunus’ Grameen Bank, the founders – through their stock ownership in BTPN Syariah – not only aimed at gaining economic return from their investment, but most importantly to participate in the acceleration of micro-business development by financing the under privileged previously-unbanked communities to start and/or develop their own businesses to attain a better life.



PT Bank Tabungan Pensiunan Nasional Tbk (BTPN)

BTPN is a bank which focuses to serve and empower low-income communities including pensioners, micro-small- and medium enterprises, and productive poor communities. All those segments fall under the category mass market.

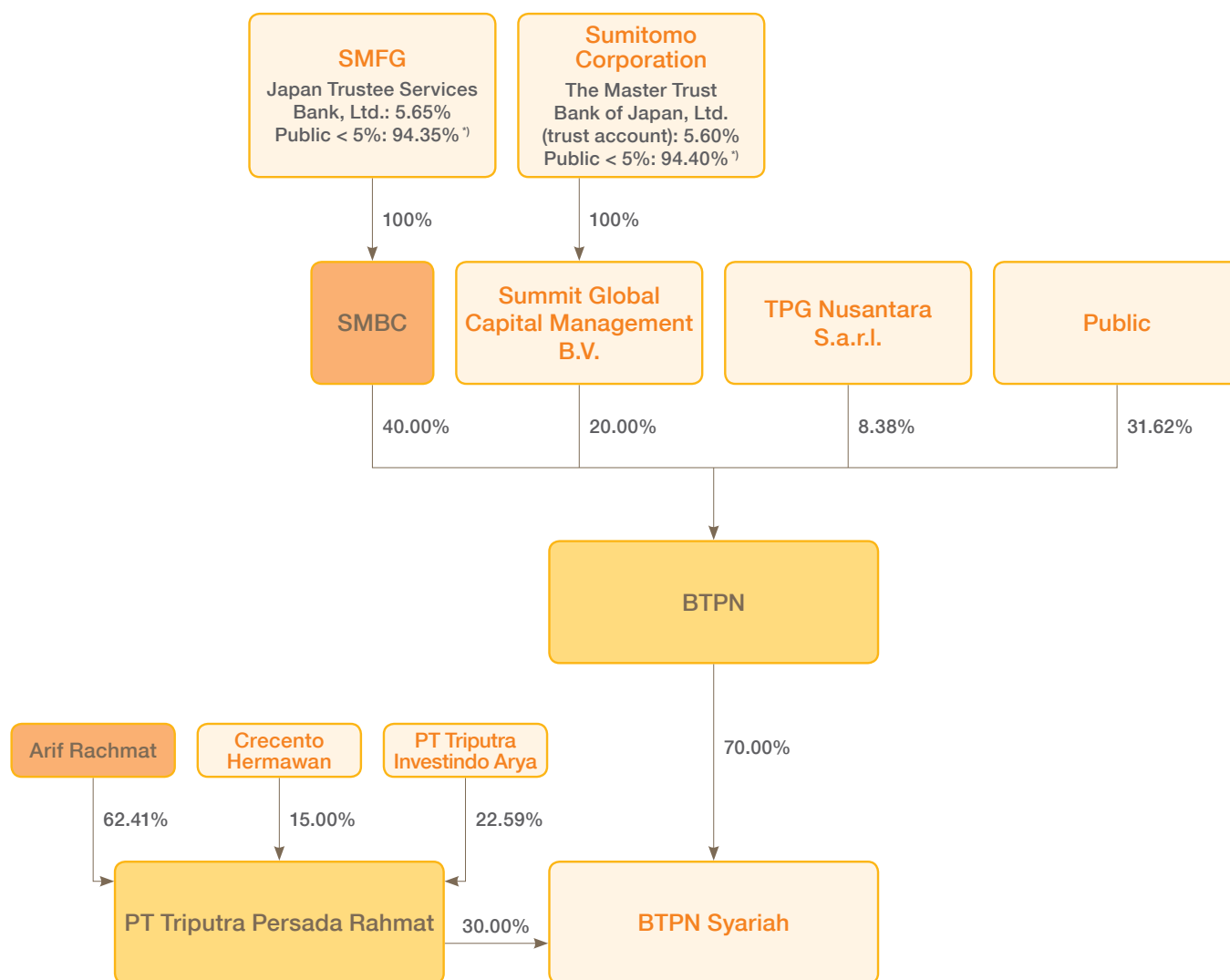
Established in Bandung, West Java, on 1958 with the name Bapemil, the Bank underwent several stages of transformation in its history, until it became PT Bank Tabungan Pensiunan Nasional in 1986. Now BTPN operates with Head Quarter in Jakarta with branch offices located in more than 300 cities throughout Indonesia. BTPN serves its target through six lines of businesses. The first is BTPN Purna Bakti which focuses on pensioners and pre-pensioners segment. The second is BTPN Mitra Usaha Rakyat which serves self-employed micro-business customers. The third is BTPN Mitra Bisnis serving small and medium enterprise customers. The fourth is BTPN Sinaya which focuses to acquire funding by serving the institutional market and high net-worth individuals. BTPN engages multiple delivery channels to serve its customers, consisting of 383 branches of BTPN Purna Bakti, 148 payment points, 348 BTPN branches of BTPN Mitra Usaha Rakyat, 6 branches of BTPN Mitra Bisnis and 66 branches of BTPN Sinaya all over Indonesia.

The last two lines of business applies mobile banking platform as its main delivery channel, that is BTPN Wow! – serving mass market using simple hand phone, and, Jenius – serving those customers with a more advanced needs for technology-based financial services which requires smart phone as the main device for financial transactions.

BTPN believes that financial and social missions are inseparable two sides of a coin that an organization can only achieve the financial objectives by empowering the social communities. People empowerment is, therefore, an integrated element of the business model. It goes beyond a corporate social responsibility. Creating opportunities for growth and a more meaningful life for our customers is essentially the purpose of BTPN existence. The Bank believe that by serving the needs of millions it will ultimately attain a more meaningful life for all stakeholders.

structure of ownership

Position as of December 31, 2016



Controlling Shareholder:

1. PT Bank Tabungan Pensiunan Nasional Tbk (BTPN).
2. PT Triputra Persada Rahmat (Triputra).

Ultimate Controlling shareholder:

1. Sumitomo Mitsui Financial Group (through Sumitomo Mitsui Banking Corporation).
2. Arif Rachmat (through PT Triputra Persada Rahmat).

Note: ^{*)} Position as of September 2016

information for shareholders

website

<https://www.btpnsyariah.com/>

deed of incorporation

PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah") was formerly PT Bank Sahabat Purba Danarta, a non-foreign exchange licensed Bank established based on Notarial Deed and the Articles of Association that has been amended several times and the latest amendment on August 27, 2013 on Notarial Deed No. 25 and September 25, on Notarial Deed No. 30 by Notary Hadijah, S.H. and was approved by the Minister of Law and Human Rights ("Menkumham") of Republic of Indonesia ("RI") in its Decree Number AHU-50529.AH.01.02. Year 2013 dated October 1, 2013 regarding the Approval of Ratifications of Company's Article of Association and has been published in the State Gazette of the Republic of Indonesia No. 94 Year 2013, supplement to the State Gazette of the Republic of Indonesia No. 124084 dated November 22, 2013.

bank articles of association

The most recent amendments of the Articles of Association is based on Notarial Deed No. 20 dated May 11, 2016 by Notary Ashoya Ratam, SH,M. Kn, which was approved and recorded in the Legal Entity Administration Database System of Minister of Law and Human Rights, regarding the Amendments of Articles of Association in its Decree No. AHU-AH.01.03-0048779 dated May 3, 2016 juncto Notarial Deed No. 20 dated September 9, 2014

by Notary Hadijah, S.H., which was approved and recorded in the Legal Entity Administration Database System of Minister of Law and Human Rights, regarding the Amendments of Articles of Association in its Decree No. AHU-06242.40.21.2014 dated September 16, 2014.

bank directors and commissioners

The latest composition of the Board of Directors and the Board of Commissioners is based on Notarial Deed No. 01, dated October 1, 2014, which has been approved and recorded in the Legal Entity Administration Database System of Minister of Law and Human Rights, regarding the Amendments of Articles of Association in its Decree No. AHU-AH.01.03-0968867, dated October 1, 2015, and the Composition of Sharia Supervisory Board is based on Notarial Deed No. 19 dated May 11, 2016, which has been approved and recorded in the Legal Entity Administration Database System of Minister of Law and Human Rights, regarding the Amendments of Articles of Association in its Decree No. AHU-AH.01.03-0055113 dated June 7, 2016.

composition of shareholders

The latest composition of Shareholders is based on Notarial Deed No. 98 dated June 23, 2015 which has been approved and recorded in the Legal Entity Administration Database System of Minister of Law and Human Rights, regarding the Amendments of Articles of Association in its Decree No. AHU-AH.01.03-0945709 dated

June 25, 2015 which has been approved by the Minister of Law and Human Rights of the Republic of Indonesia regarding the ratification of the BTPN Syariah article association in its Decree No. AHU-0938093.AH.01.02. Year 2015 dated June 25, 2015.

In accordance to Article 3 of the Bank's Articles of Association, the purpose and objectives of the activities of BTPN Syariah is to conduct banking business based on Sharia principles. BTPN Syariah has been granted sharia-based business license from Financial Services Authority (OJK) following the OJK Supervisory Board's decision in its Decree No. Kep-49/D-03/2014 dated May 22, 2014. PT Bank Tabungan Pensiunan Nasional Tbk (BTPN), has also been granted approval to its Sharia Business Unit to BTPN Syariah, following the Decision of OJK Supervisory Board in its letter No. S-17/PB.1/2014 dated June 23, 2014.

The spin off process of Sharia Business Unit of BTPN is executed by means of transfer of rights and obligations to BTPN Syariah, as stated on Notarial Deed regarding Spin off No.08 dated July 4, 2014 by Notary Hadijah, S.H.

The plan to transfer the rights and obligations of Sharia Business Unit of BTPN to BTPN Syariah has been announced to employees, customers and related third parties through national newspaper on July 3, 2014.

The Bank has officially declared July 14, 2014 as the cut off date for financial statement reports (balance sheet) and started its operational activities on that particular date. BTPN Syariah has reported the effective date of business activities to OJK in its letter No.S.031/DIR/LG/VII/2014 dated July 17, 2014.

The address of BTPN Syariah Head Office is Menara Cyber 2, 34th Floor, Jl. H.R. Rasuna Said Blok X-5 No. 13 Jakarta 12950, Indonesia.

composition of ownership

name	ownership	total number of shares	nominal amount of paid up shares	supporting document
PT Bank Tabungan Pensiunan Nasional, Tbk	70%	485,333 shares	Rp485,333,000,000 (Four hundred and eighty five billion three hundred and thirty three million Rupiah)	Deed of Resolution of Shareholders in lieu of Extraordinary General Meeting of Shareholders No.98 dated June 23, 2015
PT Triputra Persada Rahmat	30%	208,000 shares	Rp208,000,000,000 (Two hundred and eight billion Rupiah)	Deed of Resolution of Shareholders in lieu of Extraordinary General Meeting of Shareholders No. 98 dated June 23, 2015
Total	100%	693,333 shares	Rp693,333,000,000 (Six hundred and ninety three billion three hundred and thirty three million Rupiah)	

issued and paid up capital

Capital Base	Rp1,500,000,000,000 (One trillion five hundred billion Rupiah)
Issued and Paid Up Capital	Rp693,333,000,000 (Six hundred and ninety three billion three hundred and thirty three million Rupiah)
Total Number of Shares	693,333 shares
Share Nominal Value	Rp1,000,000 per share

controlling shareholders

name

PT Bank Tabungan Pensiunan Nasional Tbk

PT Triputra Persada Rahmat

ultimate controlling shareholders

company	ultimate shareholder
PT Bank Tabungan Pensiunan Nasional Tbk	Sumitomo Mitsui Financial Group (through Sumitomo Mitsui Banking Corporation)
PT Triputra Persada Rahmat	Arif Rachmat (through PT Triputra Persada Rahmat)

tax payer identification number (NPWP)

01.551.806.1-511-000

certificate of company registration (TDP)

09.03.01.64.92406 dated July 15, 2019



Pak Ketut Sadhya is having conversation with Customers in Apuan Bersemi Sentra, Sukowati Subdistrict, Gianyar, Bali.

management discussion & analysis





BTPNS five uniqueness

2

BTPN Syariah generates
a new breed of bankers
who serve the productive
poor community,
those who we call bankers for the poor.

Employing a great number of graduates from high school and above, BTPN Syariah opens the opportunities for people to start early in their banking career journey and contribute to the nation by serving the productive poor.



Being open to transformation and keep on learning as a manifestation of the core values "Professionalism" that becomes part of the work culture.

Bapak Setiasmo Samami is wearing batik made by Financing Customer from Batik Trusmi Community, Cirebon.



Amalia E. Maulana, Ph.D, Brand Consultant & Ethnographer Director
PT Etnomark Consulting is in a discussion with weaver, who is a financing
customer from Rakuta Bahagia Sentra, Pematang Siantar – North Sumatera



financial review

The fundamentals of Indonesian economy was strengthening in 2016, as shown by GDP growth of 5.02%, due to domestic consumption, government spending to infrastructure and improving performance of export trade

economic outlook

Increasing prices of primary commodity such as coal, nickel, tin and CPO since the third quarter of 2016 brought positive impacts to the Indonesian export trade, making the international balance of trade become even better. The initiatives to strengthen the macroeconomy also delivered positive results and the intensification of the infrastructure development has boosted the domestic consumption.

All those elements have brought the Indonesian economy to grow at 5.02%, higher than 4.79% in 2015; supported by good macroeconomic indicators such as well-managed inflation rate of 3.02% (lower than last year of 3.35%) and strengthening rupiah by 2.6% to Rp13,436/US\$, stronger than Rp13,795/US\$ at the end of 2015.

Government's pledge to improve the domestic regulatory environment through the implementation of deregulation programs have also generated positive results, as shown in the increase of Indonesian investment incentives rating to level 91 (from 115 in 2015) and the improvement of consumer confidence index.

The development in 2016 gives confidence to the strengthening economic growth in the future which will lead to a better distribution of income to the society.

conventional banking and sharia banking industry outlook

The tendency of improving economy was not automatically followed by the immediate recovery of the conventional banking sector, which only grew at 5.4%, in January – November 2016, much lower than its 10% growth in 2015. The third party funds grew relatively higher, resulting in the increasing financing to deposit ratio of 90.7%. The Non-Performing Loan (NPL) increased from 2.7% in 2015 to 3.2% in 2016 (per November). Profitability in banking sector started to show a limited growth, with Capital Adequacy Ratio improving to 23.04% (per November 2016), providing a resilient support to offset the NPL growth.

On the other hand, the Sharia banking sector was able to better respond the economic recovery by achieving annual financing growth by 15.1% (per November 2016), incredibly higher than 6.9% in the previous year. The Third Party Funds grew considerably fast at 17.0% as compared to 6.1% in 2015 resulting in an improvement in financing to deposit ratio to 86.27%. This phenomenon is attributed to the nature of Sharia banking which always corresponds to the growth in the real sector since every sharia financing always

requires an underlying transaction. This prevents the decline of financing quality as the real sector grow. The Non-Performing Financing in the Sharia Banking sector also remained stable at 4.68% (October 2016), slightly better than 4.84% in 2015. The capital resilience also improved, with Capital Adequacy Ratio grew from 15.02% in 2015 to 15.78% in November 2016.

By November 2016, the Sharia Banking industry is operated by 13 Sharia Banks, 21 Sharia Business Units, and 164 Sharia Rural Banks; with a total number of Sharia banking customers of 20 million. This statistics shows a huge market potential for Sharia banking in Indonesia as the country with the biggest moslem population in the world. The Financial Services Authority recorded the share of Sharia Banking of the total conventional banking assets is currently 5.1% (by November 2016), which is exactly within the targeted share and is expected to continue to rise in the future.

In contrast to the situation in commercial banking being pressurized by worsening non performing loan, the Sharia banking industry - backed by clear underlying transactions - was better able to respond to the recovery of the domestic economy. Sharia financing increased 15.1% and third party fund increased 17.0% while maintaining the financing quality in a healthy level. All of these brought the profitability ratio RoA in Sharia banking improved to 2.34% in November 2016.

financial performance

In 2016, BTPN Syariah has booked a total financing of Rp5 trillion representing 36% growth from last year, with non-performing loan well maintained at 1.5%, making the net profit after tax of Rp412 billion or 144% growth.

By September 30, 2016 BTPN Syariah continued to grow in line with the development in Sharia banking sector. As the 12th bank in the Sharia Banking Industry, BTPN Syariah was ranked 9th in terms of total assets. The Bank experienced a considerably high asset growth by 41% in 2016.

In contrast to the other Sharia banks which incline to operate in the market segment similar to its conventional banking, BTPN Syariah has pledged to serve the low income rural community or productive poor communities since its inception, a market segment which was not served by any banks before, either conventional nor sharia. For this particular market, BTPN Syariah offered Tunas Usaha Rakyat program to implement financial inclusion.

assets and liabilities

In 2016 BTPN Syariah has booked a total assets of Rp7,3 trillion with total financing of Rp5 trillion, all being allocated to the Tunas Usaha Rakyat segment with *akad Murabahah*. This reflected 36% growth from 2015, which booked a total assets of Rp5,2 trillion with total financing of Rp3,7 trillion.

Following the tremendous growth in financing business, BTPN Syariah also recorded a significant increase of the Third Party Funds to Rp5,4 trillion, structured in Deposit 80% and Current Account 20%, representing a 41% annual increase from 2015.

profitability

In 2016, BTPN Syairah booked Net Profit After Tax (NPAT) of Rp412 billion, an increment of 144% from the previous year, making the Return on Asset increase to 9% from 5.2% last year and Return on Equity (RoE) increase to 31.7% from 17.9% in 2015.

Cost to Income Ratio was better managed in 75.1% as compared to 85.8% in the previous year. The operating cost was primarily driven by the manpower cost, as a consequence of the people-intensive nature of the Tunas Usaha Rakyat segment.



Discipline in managing family finances is one of the main characteristics that is being nurtured in financial inclusion customers

solvency

In 2017, for the first time Fitch Ratings granted BTPN Syariah “AA(idn)” rating category with stable *outlook*. This rating was attributed to the support of BTPN, the use of the similar name – BTPN Syariah, the role of BTPN as the controlling shareholder with 70% share, and the operational leverage from BTPN by BTPN Syariah on key areas such as risk management, IT, senior management and network utilization. Fitch noted that BTPN plays a strong control to the subsidiary and pledged full support in capital and funding for BTPN Syariah. Fitch has confidence that BTPN has the capacity to support BTPN Syariah which represented 7.3% of the total assets of BTPN (by September 2016).

In Fitch Ratings category, the ‘AA’ ratings denotes expectations of a very low default risk. This indicates very strong capacity for payment of financial commitments.

liquidity

The Financing to Debt Ratio improved to 92.7% from 96.5% in 2015. This improvement was a result of intensive Sharia Banking Services delivered in 44 BTPN Sinaya branches.

The Bank also maintained the liquid asset ratio (Quick Ratio) at 41% (better than 2015 of 31%) which ensured adequate liquidity to anticipate the tightening liquidity in the domestic market.

financing quality

In 2016, the Bank contained the Non Performing Financing/NPF at 1.5%, slightly higher than 1.2% in 2015, but still much below the average NPF in the sharia banking industry.

financial impact

Increase in net income in the operating year has made BTPN Syariah as the bank in BUKU 2 category booked a Capital Adequacy Ratio of 23.8%. With the additional capital, the Bank continued the program to develop infrastructure, expand the Operation Functional Office network, and initiated the transformation in operational processes by introducing the mobile banking platform which enlarged the Bank's outreach to serve customers in the most remote areas with a high standard of accuracy and efficiency.

capital structure and strategy

In the first quarter of 2015, the shareholders have injected more capital, making BTPN Syariah categorized in BUKU 2 (category of banks with core capital of at least Rp1 trillion up to Rp5 trillion). The capital strengthening enabled more variety in products and services and improved supporting infrastructure both in information technology and operations.

The performance improvement in 2016 which delivered net profit after tax of Rp412 billion, made the total equity at the end of 2016 rose to Rp1,6 trillion and the Capital Adequacy Ratio increased to 23.8% significantly higher than the minimum requirement of 8%.

The Composition of Shareholders of BTPN Syariah currently consisted of PT Bank Tabungan Pensiunan Nasional Tbk (BTPN) with 70% shares and PT Triputra Persada Rahmat (Triputra) with 30% shares.

infrastructure

In 2016, BTPN Syariah has built network infrastructure of 122 well-functioning KFO (Operations Functional Office). The Bank has also rearranged the branch office network by relocating several branches to improve productivity and efficiency. The Bank has also completed the formation and relocation of Mobile Marketing Syariah (MMS) teams to improve efficiency in reaching potential customers even in the remote areas. In total there are 1.850 MMS operating in all marketing areas of BTPN Syariah.



Saving habit of the financial inclusion customers is key enabler for assets accumulation and therefore, reach the dream

A significant breakthrough was made in 2016 – which marked the beginning of the Transformation of the Bank – bringing all the infrastructure network of the Bank including 1 Head Office, 24 Sharia Branch Offices, 3 Supporting Branch Offices, 122 KFO and 4 KFNO, 44 Sharia Banking Services, 9 ATM, 1,850 MMS Team, now operate in an integrated platform with support of the latest Information System so that all operational activities can be done online.

As part of the implementation of the transformation, the Bank's marketing force has now included 121.081 Laku Pandai Agents operating with BTPN Wow! iB applications.

important changes to the accounting regulations and policies

There were no changes to the accounting regulations and policies applied in the current year.

changes of government policies with significant impacts to btpn syariah

There were no changes of government policies which imposed significant impacts to BTPN Syariah.

subsequent events

There were no material activities affecting the Bank's financial statement after closing the book at the end of 2016.

business outlook 2017

Branchless banking (Laku Pandai), launched by Bank Indonesia and OJK in the third quarter 2015, is an opportunity for the Banks, including BTPN Syariah, to enlarge financial access for mass market segment. 2016 was the first year for BTPN Syariah to roll out BTPN Wow! iB, financial inclusion services dedicated for productive poor customers. Continuing the transformation process for financial inclusion, BTPN Syariah will proceed to develop other products and services in 2017 to meet the specific needs of *Tunas Usaha Rakyat*.

economy and business prospect 2017

The economists, including Bank Indonesia and other international economic institutions, project Indonesian economy to grow at 5.1-5.5% in 2017, outpace that of the global economy which is predicted at 3.2%. Accelerated government spending on infrastructure and the rise of aggregate domestic consumption are the main drivers of the economic performance next year.

Despite the uncertainty owing to the dynamics in the US foreign policy; the continued raise of interest rate by US Federal Reserve, the general election in several European countries such as Germany and French, the stabilizing economy in China and Japan, and the sustained growth of Indian economy are believed to bring positive impacts to the Indonesian economy. The price increase of primary commodity like mining and plantation will strengthen the Indonesian balance of trade and will eventually back the strengthening exchange rates. All those condition combined with inflation rate that is maintained within BI's target range, gave room for Bank Indonesia to lower the interest rate and thus improving banking liquidity in general.

The continuously improving macro economy will boost the growth of various economic sectors including infrastructure, services, transportation, telecommunication and financial services. The Micro, Small and Medium Enterprise as the underpinning sector of economic growth will also be projected to grow better, especially with support of Sharia Financial National Committee (Komite Nasional Keuangan Syariah – KNKS), formed by government in November 2016, chaired directly by the President of Republic of Indonesia, supported by the state institutions including Coordinating Ministry of Economy, Bappenas,

Ministry of Finance, Ministry of Religious Affairs, Ministry of State Enterprise, Ministry of Cooperatives and Small and Medium Enterprise, OJK, BI, LPS and MUI.

The role of this committee is to synergize the policies amongst several authorities and the relevant stakeholders to ensure the optimum development of the sharia financial and banking institutions in Indonesia and thus improving their contribution in the economic growth. Formation of such committee is a common practice to foster the growth of Sharia financial sectors in various countries, some of which are in Malaysia with its MIFS – *The Malaysia International Islamic Financial Centre* (MIFC) and in *United Kingdom through its Islamic Finance Task Force* (IFTF). The sharia financial market in Malaysia has now grown very rapidly and become a respectable global player.

In addition, from the monetary perspective, in 2017 Bank Indonesia will apply a new system, Averaging Reserve Requirement as the mechanism to intensify the inter-bank transactions, manage interest rate volatility and strengthen the transmission of monetary policy.

All those factors backed by the improving regulatory environment through various deregulation and debirocratization programs, will drive the banking credit and other financing to grow more rapidly, at an estimated of 10%-12% in 2017, higher than the growth in 2016 which was at 8%-9%. As the sharia banking is expected to grow better than 2016; the support of the KNKS Committee will help making it happen.

BTPN Syariah priorities 2017

In 2017 BTPN Syariah will undertake several key strategic initiatives to realize its vision and mission to be the best Sharia Bank for Financial Inclusion.

Continuing the roll out of BTPN Wow! iB as the starting point of the transformation program for Tunas Usaha Rakyat, BTPN Syariah will focus to expand the roll out to customers in all segments. New products and services with BTPN Wow! iB platform will be developed, including micro finance products, micro insurance, e-money transaction services and new feature of payment to third party through BTPN Wow! iB.

Along with that, BTPN will also develop new business and product to broaden the banking services access for mass market customers. The new business development will still focus on mass market segment, in line with the Bank's vision and mission, that is financial inclusion.

The branchless banking product development focusing on mass market must be backed by sophisticated IT, enhancement of Human Resources capability, Quality Assurance (QA) and efficient control. Several development in operation system is also implemented including ATM Services, EDC and Mobile Banking, and operational process reengineering which simplifies the operational flow process through digitalization and thus improving the efficiency of transaction services processing to the customers.



Women capability in managing family finances will contribute to the creation of a smart generation and a more prosperous family.

Business Outlook

In 2016, BTPN Syariah has laid down the foundation for the transformation to become a Bank with an integrated IT platform. Starting with the roll out of BTPN Wow! iB backed by sufficient Laku Pandai Agents, the Bank will continue to optimize the features and utilization of BTPN Wow! iB to further strengthen its role as the Best Financial Inclusion Bank for productive poor community

Activities in 2016

Pledged to contribute in the sharia banking industry through its mission to make a difference in the lives of productive poor communities, BTPN Syariah always strive to improve the Bank's performance and improve services quality and product development to meet the evolving needs of the customers.

Having increased capital and categorized into BUKU 2 in 2015, BTPN Syariah continued to strengthen its lines of businesses, expand the network infrastructure, develop product and enhance human resources in 2016. Those four components are the main transformation programs in 2016 in creating an operation-integrated platform for the employees and customers to accelerate the realization of financial inclusion for the productive poor communities.

Continuing the expansion of office network which was initiated in 2015, BTPN Syariah proceeded to improve the process and infrastructure through simplification of systems and procedures with the use of electronic banking technology infrastructure aiming to deliver greater process efficiency for the customers. In 2016, BTPN Syariah has added a number of Functional Operational Office (KFO) making a total of 122 KFO to broaden the service reach for the micro segment or mass market. The spreading of the KFO is expected to improve the operational efficiency in serving the micro business customers. At the end of 2016, BTPN Syariah has developed ATM network in a number of branch offices. The existence of ATM Network will further improve customers' access for banking services.

development of BTPN Wow! iB services (Laku Pandai)

Aligned with government program Laku Pandai that had been initiated in the first quarter 2015, with the license granted by OJK as the operator of Laku Pandai, the Bank implemented financial inclusion services for mass market by launching the on-line based banking product, BTPN Wow! iB.

Since its official roll out in August 2016, BTPN Wow! iB has registered 1,4 million conversion of customers Tunas Usaha Rakyat to this on-line banking platform and acquired more than 121 thousand at the end of 2016. This reflects a high enthusiasm of the micro-segment customers for financial literacy and the use of technology to attain a better life.

Recruited from TUR customers, the agents will make it easy for the BTPN Wow! iB customers to do banking transactions such as account opening, fund transfer, cash deposits and withdrawals just like doing banking transactions in a branch office, but instead, they do it through the agents. Banking has now become easy.

To further improve BTPN Wow! iB, the Bank leveraged the parent company (BTPN) in the development of infrastructure, operations processes dan agents.



Ibu Aeng Khaeriah, Agent of BTPN Wow! and Financing Customer, Tegal Amprok Sentra, East Sepatan, Tangerang

development of leading product

Paket Masa Depan Program (Package for Better Future)

Paket Masa Depan (PMD) Program, a business financing program for rural communities, is the leading product of BTPN Syariah. This program is essentially an empowerment program aiming at nurturing four key characters necessary to succeed in the business, that is Courage (to do Business), Discipline, Hard Work, and Solidarity.

The foundation of *Paket Masa Depan* (PMD) BTPN Syariah is made of four core pillars. Those four pillars have established the prominence of BTPN Syariah in the national sharia banking industry as the economic integrator, serving the customers who has never had any access before to the banking services.

The four fillars are (PMD):

1. **Five-year Financial Program**

The bank provides access to capital to start a business and develop the existing business, to be repaid through installment every two weeks. Customers were also granted other benefits including life insurance for customer and the husband, saving account and a waiver on installment payment during Eid al-Fitr. After completion of the third cycle, entitled customers will be offered the facilities for house renovation and children education.

2. **Program Daya**

A measured sustainability program to integrate the business mission and social mission through three-pronged training program including *Daya Sehat Sejahtera* (Daya Program for Health), *Daya Tumbuh Usaha* (Daya Program to Grow Business) and *Daya Tumbuh Komunitas* (Daya Program for Community); aiming at building the capacity of customers through knowledge acquisition and skills enhancement.

3. “Sentra” Membership System

Sentra (‘center’ in English) is a customer community consisting of a minimum of 1 (one) group and a maximum of 5 (five) groups, in which every group has on average of 5 (five) members selected by the customers themselves. The membership system is designed to nurture the behavior of solidarity.

4. *Sentra* Facilitator (known in Indonesia term as *Pembina Sentra*, PS)

At the forefront of the empowerment program to the productive poor families are the *Sentra* Facilitator. The need of customers is fundamentally beyond access to capital. A cultivation of belief that they can realize their dream is essentially the starting point of the empowerment. This belief is then further reinforced by nurturing the behaviour to build the characters of courage to do business, discipline, hard work and solidarity. Majority of the *Sentra* Facilitator are women trained to demonstrate the behavior of honesty, courtesy and discipline. Their education levels are S1, D3, D1 and also high schools.

products and services

BTPN Syariah serves the customers through its two core products, funding and financing. The funding products, by which the customers keep their deposits, are delivered through BTPN Syariah Branch Office or BTPN Sinaya Branch Office with its Sharia Banking Services.

Customers will be offered various options of products to serve their particular needs, including Tabungan Citra iB, Taseto Premium iB, Deposito Berjangka iB, Taseto Mapan iB, Giro iB and Wow! iB. The deposits will be entirely channelled to the productive poor families through financing product Paket Masa Depan iB.

funding

1. Tabungan Citra iB

A profit-sharing-agreement (*akad mudharabah mutlaqah*) saving account with a minimum deposit. Customers will have access to do banking transactions in all BTPN Syariah Banking with free monthly administration fee.

2. Taseto Premium iB

On top of the optimum gain, this profit-sharing-agreement (*akad mudharabah mutlaqah*) saving account offered the benefits of unlimited cash withdrawals and free monthly administration fee (*).

3. Deposito Berjangka iB

This profit-sharing-agreement (*akad mudharabah mutlaqah*) time deposits offered various maturities ranging from 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 18, and 24 months.

4. Taseto Mapan iB

A profit-sharing-agreement (*akad mudharabah mutlaqah*) saving plan offering competitive yield with monthly or timed deposit option.

5. Giro iB

Deposit of fund with wadiah agreement, offering ease of transactions using cheque/giro.

6. Tabungan BTPN Wow! iB

Saving account with electronic banking facilities accessible through GSM (*Global System for Mobile Communication*) handphone. This financial inclusion product provides the customers with ease of transaction including bills payment, air time purchase, fund transfer, cash deposit and withdrawal through Agents or BTPN Syariah branches.

(*) Terms and conditions applied.

financing business model

Financing Program for Business

Bundled Financing Solution:

- Working Capital: 25 installments every 2 weeks
- Life insurance
- Saving

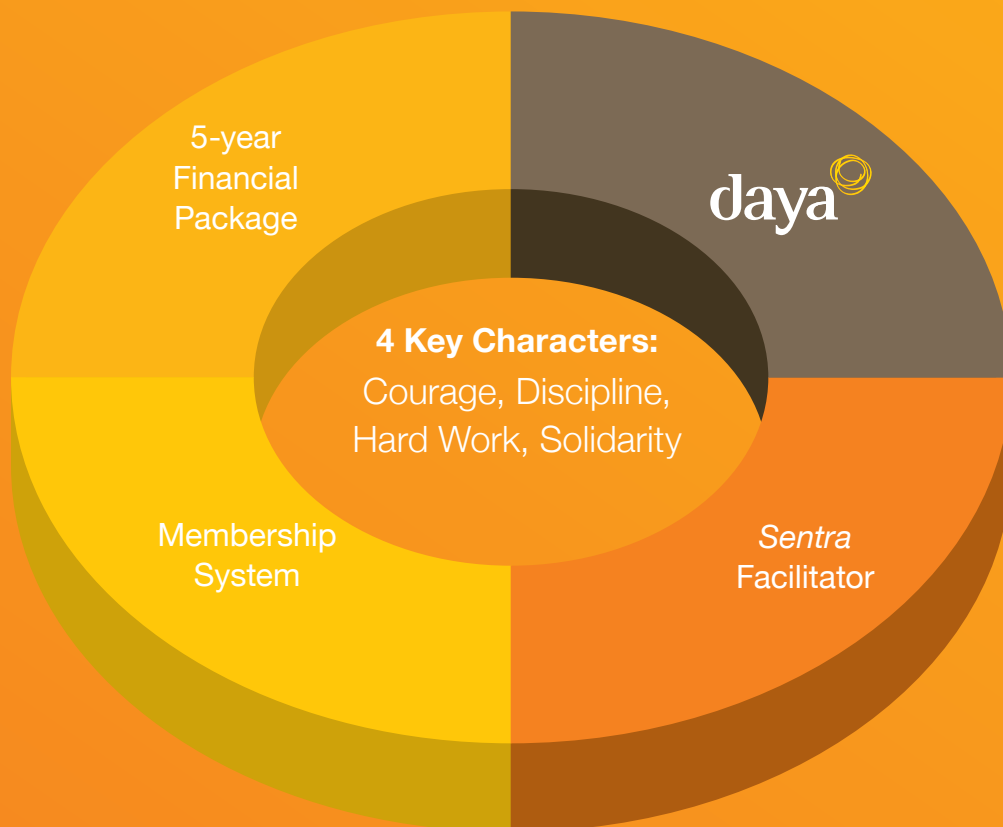
Future Benefits:

- Entitlement for working capital increase up to 100% upon completion of each cycle
- After the third year, entitled for house renovation and education financing

Daya Sustainability Program

Integrated in the Financial Solution:

- Daya Sehat Sejahtera (Daya Program for Health)
- Daya Tumbuh Usaha (Daya Program to Grow Business)
- Daya Tumbuh Komunitas (Daya Program for Community)



Membership System

- 5 customers per group, selected by customers
- Formal organization, meeting every 2 weeks
- Mandatory saving
- Shared liabilities

Sentra Facilitator

- Well-trained *Sentra* Facilitator, as a role model of:
 - Honesty
 - Courtesy
 - Disciplin
- Facilitator of Daya Program

financing

1. Paket Masa Depan (PMD) iB

Financing programs dedicated for productive poor women, on sale-and-purchase agreement basis (*akad wakalah wal murabahah*). This program focuses on nurturing four habits to develop key characters, that are Courage, Discipline, Hard Work and Solidarity.

the approach of tunas usaha rakyat

Until the end of 2016, BTPN Syariah still focused on developing business in mass market segment – particularly the under privilege family, named Tunas Usaha Rakyat business segment; through its leading product product: Paket Masa Depan (PMD) Financing Program that has served more than 2,5 million customers and with outstanding financing of Rp5 trillion.

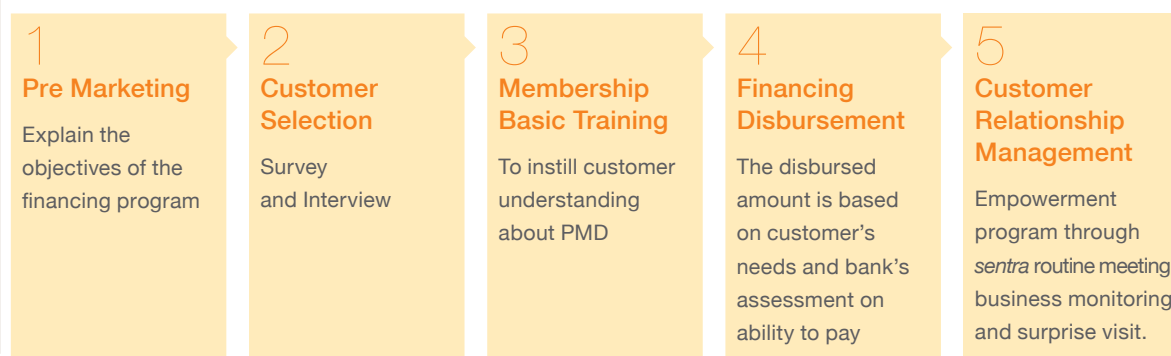
PMD is a sharia product with purchasing agreement (*akad wakalah wal murabahah*). This financing scheme is to finance the purchase of

new capital goods for the customers who have not done any business, or capital goods to support the business for those who already have started a business. The customers will then have to repay the financing including the agreed margin through installments for certain period of time as agreed.

The PMD customers will automatically have life insurance, will be granted financial support at the event of death of the husband, will have a saving account to facilitate the discipline of saving and will benefit from Daya training program on practical cash management, entrepreneurship, and health.

As the customer's business grows, the Bank can offer to increase the financing through the next cycles – dependent on certain terms and conditions. This is where the fruit of character building efforts to nurture the behavior of Courage, Discipline, Hard Work, and Solidarity will manifest. The customers who had the discipline to attend the *sentra* routine meeting and pay the installments are entitled for next financing with a maximum amount of twice as great as the amount of the previous cycle. Furthermore, at the end of the third cycle, the customers will be entitled for house renovation and education financing.

stages of PMD customer relationship management



The four characters of Courage, Discipline, Hard Work and Solidarity are cornerstone of realizing their dreams – courage is built by providing them capital to start or develop business; discipline is nurtured through compliance to regulation to attend the *sentra* routine meeting every two weeks and to pay timely installment; hard work is encouraged by educating them about the need to have saving for which they will have to work hard to earn more money to save; solidarity is maintained by setting the mechanism of shared liabilities for which every member of the team always set aside a certain amount of fund (solidarity money) to be used when any member is unable to pay the installment.

The customer relationship management process for PMD customers consists of several stages, as follows:

Stage 1: Pre Marketing

- *Silaturahmi* (establish relationship) with local authorities.

Introduction to local formal/informal leaders to explain the objectives of the financing program for customers.

- Mini Meeting.

Meeting with a small number of prospective customers to establish trust and relationship, explore their dreams and identify how the Bank's program can help them to realize their dreams.

- Projection Meeting.

Formal meeting with a group of prospective customers in the place of one of the prospect, to explain the objectives and rules of Paket Masa Depan.

Stage 2: Customer Selection Process

In this stage, the *Sentra* Facilitator will do survey and interview to assess the financing worthiness of the prospective customers.

Stage 3: Membership Basic Training

Membership Basic Training is aimed at instilling customer understanding on Paket Masa Depan as such that they will voluntarily accept the rules and regulations and implement them in a disciplined manner. The training is conducted in 5 (five) consecutive days.

Stage 4: Financing Disbursement

The amount of financing disbursed is based on customer's need and the Bank's assessment on customer's ability to pay taking into account the goodwill and character of the customers.

Stage 5: Customer Relationship Management

The quintessence of Customer Relationship Management in Tunas Usaha Rakyat segment is empowerment, through *sentra* routine meeting, business monitoring and surprise visit.

challenges in developing tunas usaha rakyat business

In the midst of the dynamics of the economy and global financial market in 2016, infrastructure and human resources constraints remained huge challenges for the Bank. Productive poor families have quite distinctive characteristics and therefore, present unique challenges.

One of the biggest challenge is the limited communication network in remote areas where the Bank's MMS team work to serve the customers. The KFO network located in the Districts, therefore, plays a critical role in overcoming the

constraint in data transmission from regions to Head Office and in ensuring data integrity in the process. The information system technology has now enabled online data transmission, significantly improving control, efficiency and Bank's service to customers.

The broad coverage of BTPN Syariah operations serving more than 2,4 million mass market customers to the most remotes areas requires a great deal of investment both in IT and human resources. Not only that the Bank needs manpower in a significantly high quantity, but also skilled, physically fit, and aspired to empower the productive poor families. Those two factors are the strengths, and at the same time, serious challenges to the Bank.

Through its Transformation Program, BTPN Syariah strives to deal with the challenge of efficiency by initiating funding products with the use of information-technology based banking transaction processing or mobile banking. This product, named BTPN Wow! iB, is in line with the Bank Indonesia initiative Laku Pandai (branchless banking services for financial inclusion). With Prospera that has been designed to record the financial transaction, the Bank targeted to implement both the systems in an integrated manner so that the recording and the booking of transaction will be made on D-0 making the bank operations more effective and efficient.

To expand the financial inclusion marketing network for productive poor communities in rural areas, the Bank has recruited and trained Laku Pandai Agents, enabling the the Bank to improve its market share. The Bank has also improved the KFO systems to improve operational efficiency.

Today, sharia funding remains challenging for national sharia banking. Increasing the complication of challenge due to the high competition – both with the conventional banks and other sharia banks – is the fact that people have limited knowledge about sharia banking. To overcome this challenge, Bank BTPN Syariah collaborates with the parent bank BTPN in Sharia Bank Services to acquire third party sharia-based funds through BTPN channel/outlet, while keep optimizing the funding from mass market sources, productive poor families.

Progress out of Poverty Index® (PPI®) BTPN Syariah 2016

To realize the vision of BTPN Syariah, “to be the best sharia bank for financial inclusion, making a difference in the lives of millions of Indonesia”, the management has decided to use the internationally-acknowledged measurement tool, that is *Progress out of Poverty Index*® (PPI®), an index to measure the progress of customer’s life – to what extent the customers has lived above poverty line.

about the PPI

PPI is a tool to measure the welfare of the communities initially living below or at subsistent level. Developed by Grameen Foundation, this tool is to be used by organization or other business entities that serve productive poor communities. The PPI is statistically sound – yet simple to administer. With the PPI, organizations can identify customers who are most likely to be productive poor or vulnerable to poverty.

PPI is country-specific. Currently, Indonesia use the PPI version referring to the National Socio-Economic Survey (SUSENAS) 2010, renewed by Mark Schreiner who developed PPI standards from Microfinance Risk Management L.L.C.

(source: www.progressoutofpoverty.org/country/indonesia).

PPI in BTPN Syariah

Since its inception as the Sharia Business Unit in 2011, the Management of BTPN Syariah realized the importance of measurement tool to measure the progress of customer's welfare. Sharia Business Unit of BTPN invited a team from Grameen Foundation to train the management team and employees about PPI in 2011.

In 2016, BTPN Syariah was certified for Advanced Level in terms of PPI data collection, by MicroFinanza Rating Srl, proving that BTPN Syariah has implemented very good data collection process according to the standards of Grameen Foundation.



With the attainment of the mentioned training and certification, BTPN Syariah has sufficient competence in the process of collection and analysis of PPI data.

BTPN Syariah PPI report 2016

PPI data analysis is presented in 2 types of reports, *Poverty Outreach Report* (POR) and *Poverty Movement Report* (PMR). The approach in the data analysis is normal and universal, that is:

- The percentage of productive poor customers is assumed to be evenly distributed in the whole portfolio of BTPN Syariah customers.
- The national number of productive poor communities is the multiplication of the number of household in one province with the poverty rate issued by Central Statistical Bureau through SUSENAS 2010.

I. *Poverty Outreach Report* (POR) 2016

POR is the PPI reports which analyzes the outreach in serving productive poor communities. The parameters to identify the productive poor communities are:

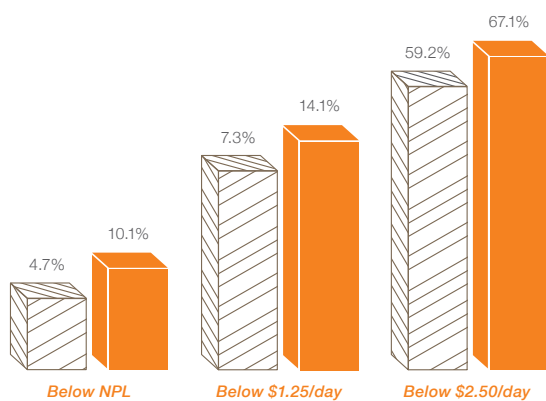
1. National Poverty Line (NPL) as the standard against which the productive poor served by BTPN is benchmarked.
 2. Total expense below US\$1.25/day.
 3. Total expense below \$2.5/day
- (source: PPI scorecard and lookup table for Indonesia from www.progressoutofpoverty.org/country/indonesia).

Three important aspects in analyzing POR are:

- Concentration – representing the ratio of the served productive poor communities to the total number of customers in the BTPN Syariah financing portfolio.
- Scale – indicating the distribution of services of BTPN Syariah in certain regions.
- Penetration – the level of BTPN Syariah outreach in serving productive poor communities in certain region.

Below is the overview of Poverty Outreach Report 2016*):

% living below poverty line



BTPNS Clients Poverty Rates
 Indonesia Poverty Rates

*)Data from 354,208 new customers

From the chart, we can conclude that:

- BTPN Syariah has served productive poor customers – as reflected by the ratio that 59.2% of the total financing portfolio is living with total expense below US\$2.5/day, pretty close to Indonesia National Poverty Line which is 67.1%, which means that BTPN Syariah has been targeting the right segment, that is productive poor communities.
- BTPN Syariah is targeting the right service outreach by establishing presence in regions with high concentration of productive poor communities – as reflected by BTPN Syariah's existence in 9 (nine) from 10 provinces in Indonesia with the highest concentration of productive poor communities (the number of productive poor communities in those 10 provinces is 74.9% of the total number of productive poor communities in Indonesia), including East Java, West Java, dan Central Java. Overall, BTPN Syariah has existed in 21 provinces in Indonesia.

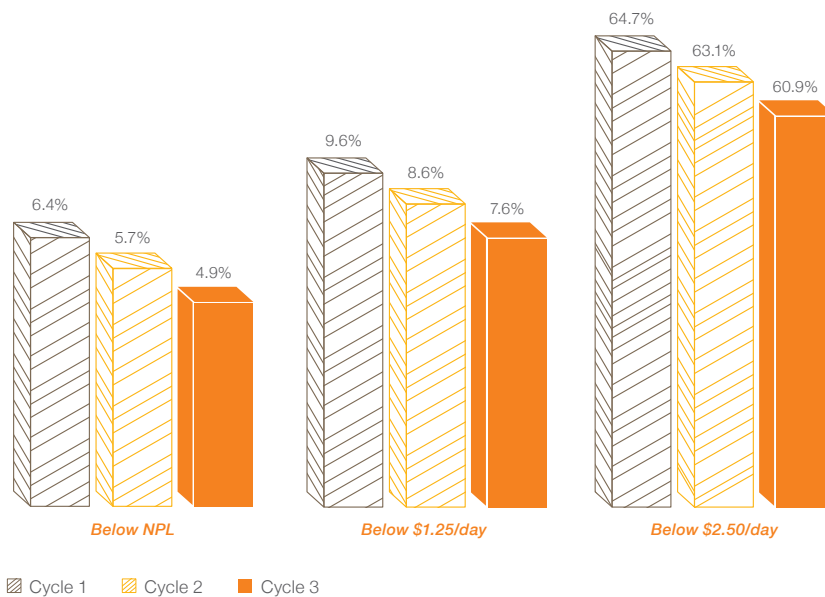
*)Source: Table of Jumlah Penduduk Miskin Menurut Provinsi 2016 www.bps.go.id.

II. Poverty Movement Report (PMR) 2016

Paket Masa Depan financing product is offered in a sustained basis, whereby customers who have completed the first cycle is offered to continue the program to the next cycle. The progress of customer's welfare from the first cycle to the next cycles is analyzed and reported in the **Poverty Movement Report (PMR)**, which measures the changes of the concentration of productive poor communities in one region from cycle to cycle.

Below is an overview of **Poverty Movement Report 2016***):

national - cycle 1, 2 & 3



*)Data from 81,034 customers

The chart reported a decline in the concentration of productive poor communities with spending less than \$2.50 per day, from 64.7% in the first cycle to 60.9% in the third cycle. This indicates a sustained improvement of customer's life from cycle to cycle, which is attributed to a number of factors, one of which is the financing program from BTPN Syariah.

development plan 2017

Taking into consideration the national economic indicators, performance, development of POR and PMR in 2016, BTPN has set the target and development plan in 2017. In line with the future vision and mission, BTPN Syariah will continue to focus on the mass market segment. This decision based on several reasons. First, the huge market potential. Second, opportunity to seize a big market share since the majority of players in this segment is small-scale micro finance institution with low market share. Third, market penetration is still relatively low, leaving a big financing needs unserved.

In the next period, the Bank will continue to focus on maximizing infrastructure to support the efficiency of banking operation. One of the plan is to relocate the Head Office to Menara BTPN to facilitate a more effective and efficient coordination with the parent company, Bank BTPN.

The Bank will also continue the focus to develop BTPN Wow! iB (Laku Pandai) by keep on offering BTPN Wow! iB saving products to the customers of Tunas Usaha Rakyat and the surrounding communities. BTPN Syariah will also recruit more agents to serve the increasing number of BTPN Wow! iB customers.

Products and services related to BTPN Wow! iB such as financing product, e-money, micro-insurance, and payment to the third party features will be further developed as part of BTPN Wow! iB service improvement to the customers.

The Bank will also refine the business and operational processes by optimizing the agent infrastructure of BTPN Wow! iB.

The development of new products and businesses will further proceed to ensure that the needs of the micro-segment customers are always served. The micro financing products for individual customers will be targeting the customers of Tunas Usaha Rakyat who have the completed the financing program and the micro-business owners in the surrounding communities.



Ibu Sulastris, Financing Customer,
Daya Daboh Two Sentra, Banda Aceh

operational review

In 2016, BTPN Syariah has developed job competency, blueprint and road map for Human Capital Development. The Bank will also continue the programs in recruitment, training and employee development to support the mission and vision of the Bank. With the competency model, employees will have a more structured individual development, making the organizational capability in aggregate to efficiently increase

human capital

For BTPN Syariah, Human Capital is the most valuable asset and the key factor in achieving the vision as the best Sharia Bank for financial inclusion. Human Capital is always managed wisely and carefully. The Bank always ensures the sufficiency of the number of people to meet the business objectives, develops the competency, measures the performance using the best performance management tools, and fulfills their needs in accordance to the performance and capability of organization.

key achievement in 2016

In the implementation of Transformation Program – to strengthen the foundation of online-based operation to foster business growth, BTPN Syariah has made a number of significant achievement in human capital management in 2016. The Bank has completed the development of Human Capital (HC) Blueprint and Roadmap for the period of 2016 – 2020. The blueprint and roadmap will ensure the alignment and integration of human capital programs with the strategic intents of the organization.

Part of the *Blueprint* is the Human Capital *Competency Model* which will be used as the basis for people development. With the competency model, employees will have a more structured individual development, making the organizational capability in aggregate to efficiently increase.

From the Industrial Relations perspective, the Company Regulations for the period of 2016 – 2018, has been endorsed by the Ministry of Manpower and Transmigration. This document is crucial to ensure a harmonious industrial relations between the Company and the Employees. This will also help the employees concentrate better on their job as all the rights have been guaranteed with the endorsement of the Company Regulations by the Ministry of Manpower and Transmigration.

With the competency model, employees will have a more structured individual development, making the organizational capability in aggregate to efficiently increase.

To improve the quality of administration of Human Capital Management, the Bank has completed the review of the Human Capital System that is needed to integrate all the HC Programs in the future. The employees will enjoy the benefits of the implementation of the new HC System next year. Performing its role as the support function for the business growth, the Human Capital continued to recruit and train the MMS Teams. The needs for *Sentra* Facilitators was well fulfilled, overall every *Wisma* is equipped with an optimum number of *Sentra* Facilitator to deliver business objectives.



Not only serving financial transaction, BTPN Syariah employees at the same time become customers' coach in nurturing character of the financial inclusion customers.

In 2016, there were additional new MMS of 56 units, for which the Bank continued the recruitment and training to new employees, and the assessment program to build sufficient pipelines of leaders in the organization. To improve the job-fit of *Sentra* Facilitator, the recruitment process had now involved *Sentra* Manager in the *Sentra* Facilitator Selection and included an on-boarding program which required the new *Sentra* Facilitator to stay in the Wisma prior to attending the training program.

As part of the Bank's commitment to improve the capability of Human Capital, in 2016 the Bank has implemented a number of development program for the MMS employees, that is employees located in the customer serving location; including

TUR Induction for new employees who perform direct interface with the customers; Managerial Training for employees with leadership responsibility such as MMS Leaders (MS and *Pembina* MMS), Quality Assurance Manager, Operation Supervisor, Personal Banker Manager, Business Coach and Expert Coaching Training for those who have attended the Managerial Training aimed building the coaching skills of leaders. To maintain motivation and nurture the personal aspirations of the frontliners, Life Design workshop is delivered for *Sentra* Facilitator, *Sentra* Manager and MMS Coach (*Pembina* MMS/PM). Head Office employees undertook programs related to individual development on top of technical mandatory programs including the Risk Management Certification and Sharia Banking Basic Certification. The development of those training programs is based on the competency model. To strengthen

employee engagement, particularly at PS level, the Bank continued the Program *Sekolah-Ku* (My School program) which has been conducted for 2 (two) batches.

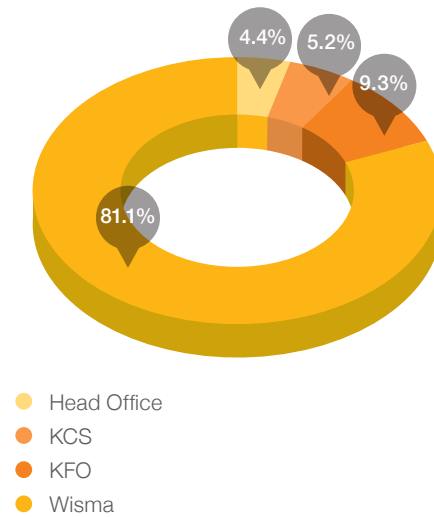
employee profile

Throughout 2016, BTPN Syariah recruited over 4.700 employees, to fulfill the needs of the new businesses as well as to replace the resigning employees. Majority of BTPN Syariah employees is female which accounts 92.5% of the total employees, this is in line with the business model which focuses on women empowerment. The similarity of gender between the officers and the customers creates a great level of comfort in the customer relationship and thus, brings positive impacts to the business.

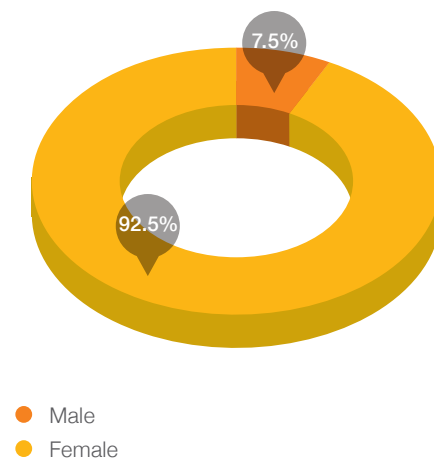
The unique business model of the Bank allows young people with high school education start career as a Banker in BTPN Syariah. This is reflected in the demography: 65% of the total employees is at the age of 18 to 25 years old; and 44% with high school education or equivalent, and 11% with Diploma (D1 to D3).

BTPN Syariah employee demography

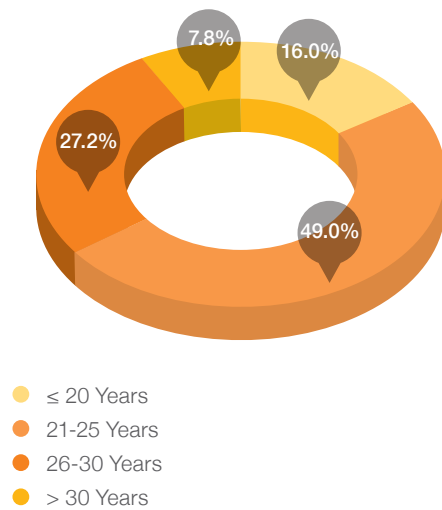
based on location



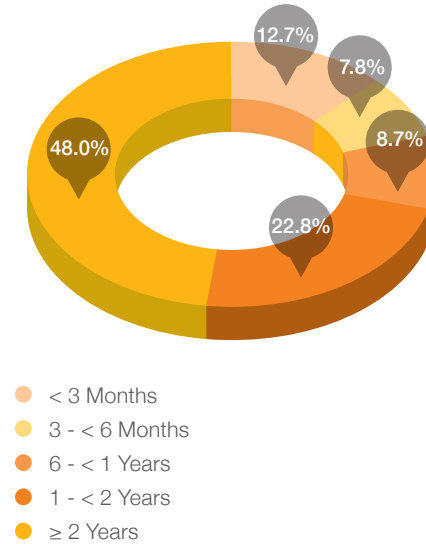
based on gender



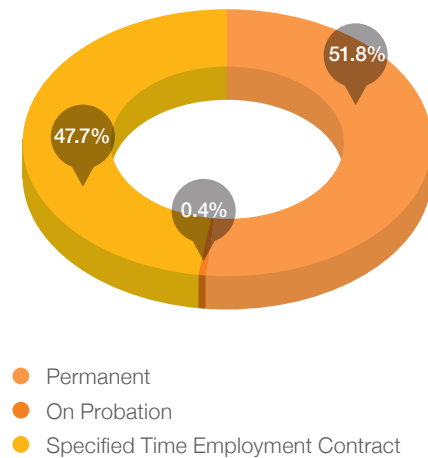
based on age



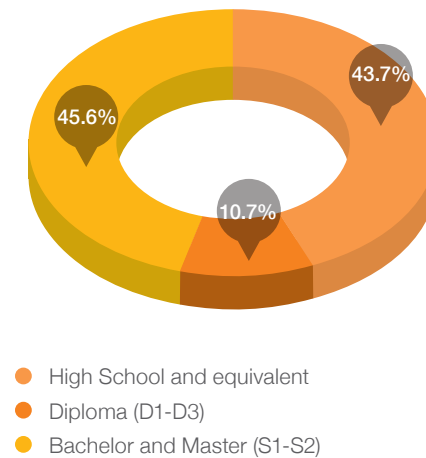
based on years of service



based on employee status



based on education



Notes:

Total number of employees, including Management, Commissioners, Independent Committees and Sharia Supervisory Board (12 people)

2017 priorities

Continuing the 2016 achievement, in 2017 the Bank is pledged to succeed the business and organization transformation by ensuring the development of human capital with character and competence, living the vision, mission and values of the company. Structure and working system will be further improved for a greater effectiveness and efficiency, aimed at delivering business objectives in 2017.

The Human Capital Information will be developed with two-stream strategy in line with the business model. The first stream is aimed at developing an integrated Human Capital System for Non-MMS employees (Head Office, Branch Offices, and KFO). The second stream focuses on MMS employees, to develop a HC System to accommodate the administration and development of MMS employees located in dispersed location throughout Indonesia.

Training and development will be structured to meet current needs of business to have a sufficient number of people with required competence, as well to meet future needs for leaders to ensure business sustainability. The training program will refer to the competency model of BTPN Syariah which has included also the assessment program to objectively evaluate the employees' leadership potential to fill leadership positions. The employee

competency development is structured into personal development, management and business development, technical/functional development and leadership development. Specific training programs are also developed to implement the new initiatives such as BTPN Wow! iB and m-Prospera.

The Bank will provide rewards and incentives to employees based on performance, taking into account the external competitiveness, internal equity and company capacity. The Bank will implement the program to strengthen employee engagement and employee turnover in MMS. The incentive program that has been implemented to MMS employees will be further reviewed to ensure its impact to performance.

Salary benchmarking will be conducted in a more comprehensive manner to ensure the Bank's competitiveness in the market, especially for key positions and key talents in the organization. Retention and engagement programs will be reinforced, including the implementation of new engagement program, *Umroh IbuKU* (*umroh* program for employee's mother). All those HC Program are dedicated to prepare the employees for the business transformation of BTPN Syariah.



Cut Mulyana

Employee – Financing Division BTPN Syariah

“Six years in BTPN Syariah brings me a lot of experience and lessons. How? Starting as a *Sentra* Facilitator, it never came into my imagination to go into the villages, meet with the productive poor women and explain why we exist.

As I knew them deeper, I found how resilient they were. Somehow, they inspired me to work with more passion. Until finally I was trusted to lead my fellow *Sentra* Facilitator to aspire them with the dedication to empower the productive poor women in the villages. I felt so touched and at the same time happy, for having acquired such a lot of knowledge and friends, things that I am not so sure I can find in other places. This is my pride and also my happiness.”



Yollanda Dwilova

Employee – Funding Division BTPN Syariah

“For majority of people, the job of a Personal Banker is solely to acquire customers, as many as possible to meet the target. But I believe in a different principle, that the job of personal banker is more than simply introduce the products and services to customers.

I believe that in every rupiah that my customers save in the Bank, will not only benefit themselves, but also contribute to help millions of poor families to realize their dreams. This is what I communicate to my prospective customers and existing customers, that every goodness that we sincerely extend to others will eventually return to ourselves.”

operations

The Bank rearranged the *Mobile Marketing Sharia (MMS)* network to improve its efficiency and develop the infrastructure to facilitate a smooth implementation of Laku Pandai program through *mobile banking services BTPN Wow! iB* as an indicator of success of the Transformation Program.

Advantages in service quality and efficient and effective operational processes are the key success factors to lead the competition in the dynamic banking sector Indonesia, especially with the vision "To be the best Sharia Bank for Financial Inclusion, making a difference in the lives of millions of Indonesia." The wide span of operational areas which covers the whole key rural areas in Indonesia and the huge number of customers and officers in the field require the Bank to develop a robust operational network in order to deliver service excellence.

The operations team must play an active role to establish the development of the network by providing sustained services, always maintaining the robustness of the operations team and always seeking for a breakthrough to improve the effectiveness and efficiency of operational processes using the most advanced technology and reducing the potential of operational risk.

key achievements in 2016

The key achievements in 2016 in Operations, include amongst others:

- Obtain the license to operate Laku Pandai by leveraging the parent company (BTPN)
- Start the implementation of Laku Pandai
- Complete the licensing requirement for APMK (issuer of ATM and Debit Card)
- Complete the licensing requirement for Mobile Banking
- Rearrange the network of Branch Offices (Kantor Cabang/KC), Supporting Branch Offices (Kantor Cabang Pembantu/KCP), Operational Functional Office (Kantor Fungsional Operasional/KFO) and Non-Operational Functional Office (Kantor Fungsional Non-Operasional/KFNO), with the following details:
 - Relocate 1 KC, 2 KCP, 1 KFO, and 1 KFNO
 - Open 43 KFO and 2 KFNO
 - Close (optimization): 1 KC, 1 KCP and 3 KFO
- Rearrange the network of Mobile Marketing Sharia (MMS), including: opening 56 new MMS, relocating 422 MMS and closing 56 MMS, making in total remain 1.850 MMS.
- Optimize the synergy with the parent Bank (BTPN), not only in Sharia Bank Services, Contact Services and Cash Management Services, but also to leverage the parent Bank to support BTPN Syariah as the operating Bank for Laku Pandai through BTPN Wow! iB.
- Strengthen operations control and funding customer services.
- Implement a number of process improvement initiatives to improve efficiency and productivity and to develop operations people to become trusted leaders in the operations organization, particularly in their roles as business partner and service provider.



KFO Cimone employees.
Strong synergy will always result in remarkable results.

priorities 2017

Operations team will continue the efforts that had initiated in the previous year by which the focus of the period 2016-2018 is to generate operational breakthrough to support business development by optimizing the development of digital technology, including:

- Process efficiency through Business Process Outsourcing or leveraging mechanism;
- Simplification of acquisition processes, financing maintenance processes and TUR Services;
- Monitoring budget in a measured and disciplined manner (budget driven);
- Network optimization;
- Cash Management process efficiency while keep on exploring the cashless ways of transaction;
- Adding more features of electronic banking services in the forms of ATM, EDC, and mobile banking;
- Operations process re-engineering by simplifying flow processes to improve efficiency through process digitalization towards a paperless system while keeping adherence to the legal aspects and prevailing rules and regulations;
- Optimizing digital technology in developing operations tools or systems to improve customer data security, particularly with the use of mobile/handheld devices to deliver Bank services to the customers;
- Improving the synergy with parent bank to ensure their continued support in the implementation in branchless banking to facilitate efficiency of cash transaction process for financing services.

information technology (IT)

In 2016, IT has developed a new mobile-technology-based products and delivery channels to improve process efficiency and widen the service coverage of BTPN Syariah in order to serve the customers real time online, as part of the Transformation Program.

IT Directorate plays a strategic roles in succeeding the operation of the business of BTPN Syariah, as the sustainability of the Bank's business to large extent depends of the reliability of technology solution. In 2016, the IT Directorate continued its significant roles to support the Bank's business by providing a stable and consistent infrastructure to serve more than 2 million customers throughout Indonesia.

The biggest challenge in technology implementation is the outreach of the bank's service coverage which are spread to even the most remote areas. The IT directorate is expected to develop a new mobile-technology-based products and delivery channels to widen the service coverage of BTPN Syariah to the customers, through BTPN Wow! iB, Mobile Prospera, m-Banking, and ATM.

This achievement is part of the Transformation Program, initiated in 2016, aiming at improving effectiveness and efficiency in customers servicing process through process automation for Tunas Usaha Rakyat business, operations process digitalization, and inter-sytems integration. The development of mobile technology-based solution is an option for those particular needs.

IT Directorate, in collaboration with respective stakeholders, strived to make innovation to develop a more agile methodology in designing the required solution so that it can be faster implemented to meet the developing needs of the Bank business. Included in those initiatives were research and development on the cutting-edge technology.

key achievement 2016

BTPN Syariah focused to deliver financial inclusion services for productive poor customers throughout rural areas of Indonesia. Behind the services excellence for the customers is the support of well-planned reliable information technology. To serve the needs, BTPN Syariah has formulated the information technology strategic planning for the period 2015-2018 which is aligned with the operations and business development of the Bank.

In 2016, the IT Directorate has:

1. Completed the technology infrastructure development to widen the coverage of offices network, including:
 - Adding new Operational Functional Offices (KFO) and Non-Operational Functional Offices (KFNO) to facilitate on-line real-time transaction processes in MMS.



IT Team performing control to the infrastructure network system to ensure a well-functioning operations in Head Office, Branches and KFO

2. Completed the application development for financing business Tunas Usaha Rakyat which enabled all MMS transaction to be booked on-line real-time through KFO.
3. Developed m-prospera system (mobile application for TUR business) first generation and pilot the implementation, as the basis towards a paperless/digitized process.
4. Completed the development of BTPN Wow! iB (Laku Pandai) services – with leveraging mechanism with the parent bank (BTPN) – integrated in the financing system of Tunas Usaha Rakyat business.
5. Completed the implementation of basic electronic banking (e-banking) services, by adding ATM and mobile banking Services to the funding product features.
6. Completed the development of other supporting systems, including: implementation of the new *Enterprise Data Warehouse*, updating the system for Regulatory and Reporting Services, office automation for better services in e-mail, drop-box and instant messaging, developing Human Capital System, developing internal portal and developing MIS;
7. Developed new financing product into the Core Banking System.
8. Executed the migration to the new data center location with better facilities to improve the quality of IT operations services.

IT Directorate has also strengthened the quality assurance processes to IT processes by aligning it with the corporate quality assurance program

priorities 2017

1. Enhance the services of Laku Pandai (BTPN Wow! iB) in collaboration with the parent bank by adding more features of specific services to address specific needs of Tunas Usaha Rakyat customers.
2. Develop the m-prospera (system for Tunas Usaha Rakyat business) second generation by adding new features to support lean operation process, process automation and integrating them into the BTPN Wow! iB system.
3. Develop solution for Laku Pandai BTPN Wow! iB Agent Management and Agent Liquidity Management in collaboration with the parent Bank.
4. Develop technology solution to serve new target market – Individual Financing, such as Financing Origination System and Scoring System.
5. Continue the implementation of IT Strategic Planning 2015-2018 including: development of customers management information system (Single CIF), development of platform analytics, development of new HC System and improvement of IT governance process.



Indra Gunawan

Employee – IT Operation, Infrastructure &
Service Delivery Division BTPN Syariah

“Work ethics to me is how we deliver benefits to the society through our work. As an IT worker, my job goes beyond making sure that the IT system works to support the daily operations in Head Office, Branch Office and Operational Functional Office. But more importantly, it is about how the IT system can penetrate the lives and economy of the productive poor communities and bring them to a new dimension of life. The more literate they are to technology, the more technology they in their businesses; then the easier it will be for them to do business and the more empowered their lives will be. I deeply believe in this principle and it guides me in my works, everyday.”

risk management

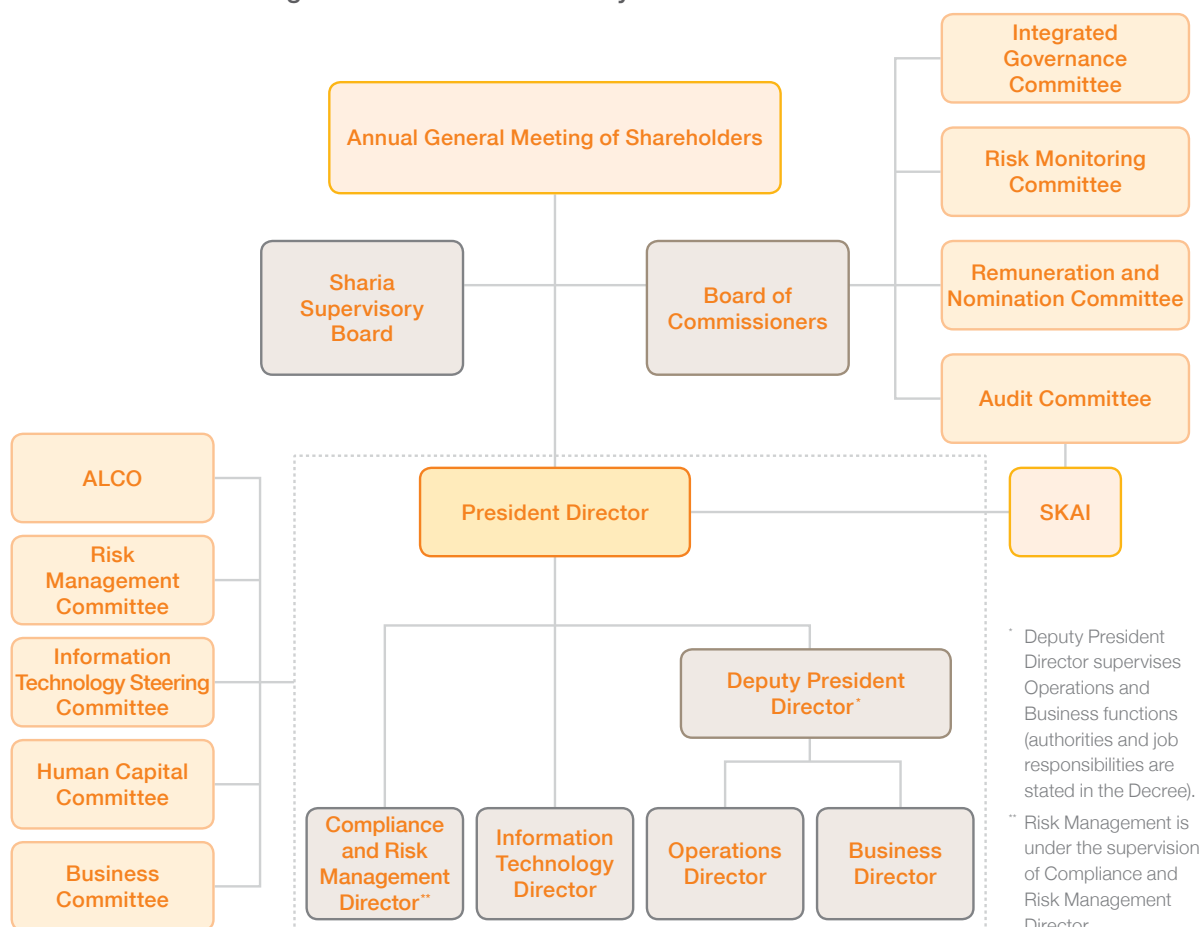
BTPN Syariah has implemented risk management in a comprehensive manner through a series of techniques, policies, and tools to identify, measure, control and mitigate risk with a highest standard of quality. The risk profile of the Bank in 2016 is 2 (Low to Moderate) and the Bank has the capital ratio that is adequate to absorb the potential risk and to support the development of new businesses.

In achieving business objectives, BTPN Syariah implements risk management strategy which ensures that the whole risks inherent in the operations of the business are well controlled within the targeted risk level. The implementation of the risk management strategy involves a series of techniques, policies, and tools to identify, measure, control and mitigate risks with a highest standard of quality.

The implementation of Risk Management in BTPN Syariah refers to the OJK Regulation No. 65/POJK.03/2016 dated December 28, 2016 concerning "Risk Management Implementation for Sharia Bank and Sharia Business Unit" which includes four activities: 1) active supervision by the Board of Commissioners, the Board of Directors and Sharia Supervisory Board; 2) adequacy of risk management policies and procedures and risk limit setting; 3) adequacy of risk identification, measurement, monitor and control process; and adequacy of risk management information system; 4) comprehensive internal control system.

Risk Management Implementation in BTPN Syariah also refers to documents from Basel Committee on Banking Supervision.

1. Structure of Risk Management Function in BTPN Syariah



2. Active Supervision by the Board of Commissioners, the Board of Directors and Sharia Supervisory Board

The Board of Commissioners, assisted by the members of Audit Committee, Risk Monitoring Committee, and Remuneration and Nomination Committee, conducts the supervision through regular meetings of the Board of Commissioners and regular meetings of related committees.

The Board of Directors, assisted by the members of Asset and Liability Committee (ALCO), Risk Management Committee, Information Technology Steering Committee

and Human Capital Committee, and with the input from Risk Management Unit and Compliance Unit, perform the supervision through regular meetings of the Board of Directors and regular meetings of related committees.

The Sharia Supervisory Board performs supervision on the application of Islamic banking principles through management meetings or direct visits to the field.

In 2016, the meetings have been held in accordance with the prevailing regulation. The meeting decisions were all well documented and the follow up actions were well monitored.

3. Adequacy of Risk Management Policies, Procedures and Risk Limit Setting

BTPN Syariah has developed adequate risk management policies and procedures as the basis for operating the business, which included but not limited to: Risk Management Policy, Financing Policy, Market and Liquidity Risk Management Policy, and Operational Risk Management Policy. The Bank has reviewed the existing policies and procedures to ensure compliance with the authorities' regulations, internal regulations and the prevailing conditions.

The risk limit has been well documented in the Bank Business Planning and other official documents.

4. Adequacy of Risk Identification, Measurement, Monitor and Control Process and Risk Management Information System

Risk Management Process was implemented by BTPN Syariah by identifying, measuring, monitoring and controlling of 10 (ten) types of risks: credit risk, market risk, liquidity risk, operational risk, strategic risk, reputation risk, legal risk, compliance risk, rate of return risk, and investment risk. Under current circumstances of the Bank's scope of business, BTPN Syariah is not exposed to any investment risk.

The measurement is performed through several processes: risk profile assessment, capital adequacy assessment or Internal Capital Adequacy Assessment process (ICAAP), and Risk Based Bank Rating assessment (RBBR).

On December 2016, the risk profile rating of the Bank was 2 (Low to Moderate). The Risk Based Bank Rating assessment (RBBR) on December 2016 was 2 (Low to Moderate). This rating in an accumulation of several assessments including: Risk Profile, Good Corporate Governance, Rentability and Capital Adequacy.

The Bank's Capital Adequacy Ratio on December 2016 was at 23.8%, improving by 3.9% year on year.

The 2016 ATMR (risk-weighted asset) Operational Risk of Rp2.1 Trillion had a significant impact to the computation of the Bank's Capital Adequacy Ratio.

On December 2016, the Bank's operating loss was Rp2.8 billion or 0.1% of Operational Risk ATMR, while the portfolio of low quality financing the same position amounted to Rp150.5 billion or 3.61% of ATMR Credit Risk.

Those indicators reflect that the Bank has managed the business in a prudent manner, backed by capital resilience strong enough to absorb the potential risks and high enough to expand the business.



The attitude of discipline manifested in the routine attendance to the *Sentra* Routine Meeting and timely payment of installment.

Financing Customer, Berkat Usaha Namosain Alak *Sentra*, East Nusa Tenggara, Kupang.

In adherence to the authorities' regulation, the Bank's monitoring to liquidity and market is performed, amongst others, by providing market update on regular basis to the related parties. The Bank maintained several liquidity and market indicators as follows: Financing to Deposit Ratio (FDR) at 92.75%, ratio of top 25 biggest depositors at 35.02% of the total fund, Liquidity Coverage Ratio at 132.78%; the resilience of the Bank's liquidity – to cope with possible crisis – remained strong and the counterparty utilization limit were also well maintained.

The Bank also performed an integrated stress testing to assess the impact of worsening macroeconomy to the quality of portfolio, profitability, liquidity and the Bank's capital resilience.

The Bank has developed and implemented Process, Risk and Control, and Risk Grading Matrix to identify and measure potential operational risks inherent in every activity in the unit. The Bank has also administered, governed and analyzed all the risk and loss events using Operational Risk Management System.

To strengthen the monitoring and control of operational risks, the Bank conducted risk awareness and fraud awareness training on regular basis to all employees to educate the importance of the risk management in every unit.

The Bank has also established Business Continuity Management and Contingency Funding Plan to ensure the continuity of the Bank's business and operations in the event of emergency. On September 2016, the Bank has migrated the Data Center to new location (Menara BTPN), before which a Disaster Recovery Testing had been performed to ensure that the migration did not significantly impact the operations of the Bank.

The Bank has human capital which is sufficient – in terms of quality and quantity – to operate the Bank's business. The Bank has also developed the Human Capital Development Plan. On regular basis, the Bank conducts training and certification to enhance the human capital competencies.

5. Internal Control System

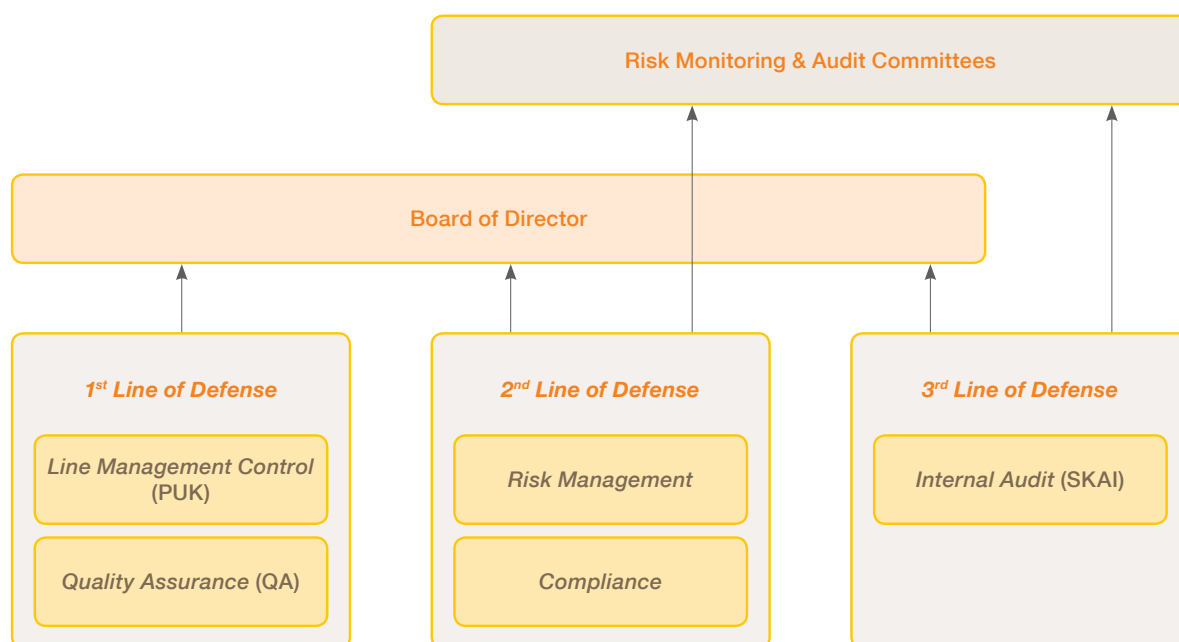
Bank applies 3 (three) lines of defense in internal control. First, Quality Assurance Unit to help the business units and support Risk

Taking Unit (RTU) in reinforcing the discipline of risk control practices. QA has now worked in partner with the units in each Directorate in performing its operational activities.

Second, Risk Management Unit and Compliance Unit as the second line of defense, to define and maintain risk management methodology, to ensure the adequacy of risk mitigation, policy and procedures, and to coordinate and facilitate the implementation of overall risk management.

Third, Internal Control Unit as the third line of defense serve as a unit – independent from operating units – to ensure that all the residual risks are managed within the approved risk tolerance level. The control report was presented to the Board of Directors and the Board of Commissioners for further review to decide necessary action for improvement.

chart 3 internal control principles



managing 10 (ten) types of risk

1. Credit Risk

Credit Risk is the risk of default on a debt that may arise from a borrower failing to fulfil obligation (make required payment) to the Bank as stated in the credit agreement.

The Bank applies prudent principles in financing business by performing feasibility analysis of business prospect and customer's ability to pay.

2. Market Risk

Market risk is the possibility of losses in positions (in balance sheet or administrative account) arising from the movements in market prices. One type of market risk is the risk of changes of values of traded or rented assets. Market risks include amongst others benchmark interest rate risk and exchange rate risk. As of today, the Bank is only exposed to the market risk related to *Benchmark Rate Risk Banking Book* (BRRBB), as the Bank does not maintain portfolio in foreign exchange and does not perform any trading activities. The measurement and monitoring of BRRBB is performed on regular basis using the revenue approach and economic value approach.

3. Operational Risk

Operational Risk is the risk of losses due to inadequate internal processes, human error, system failure, and external event impacting the Bank operation.

The implementation of operational risk management framework in the Bank is performed in integrated manner, phased into several processes of Risk Identification, Measurement, Monitoring and Control.

In those processes, review on the overall risks of new products, systems and activities/ process along with its changes, is conducted in stages; risk registration system is created and mitigation/control system is defined; the risk exposure and the level of discipline of the work unit in implementing control mechanism is continuously measured.

4. Liquidity Risk

Liquidity Risk is the risk that the Bank may be unable to meet short term obligation by using its source of fund and cash flow or liquidating high-quality pledgeable assets without creating a loss of capital and/or income in the process.

The Bank manages liquidity by maintaining sufficient level of liquid assets to anticipate cash withdrawals by depositors. The Bank also maintains contingency of liquidity funding as part of managing liquidity risk in the event of crisis. The Bank has also implemented the Liquidity Coverage Ratio (LCR) Basel III.

5. Legal Risk

Legal Risk is the risk of loss due to law suits or uncertainty in legal proceeding. The Bank has taken several measures to manage legal risk, including: ensuring that the clauses in every agreement protect the best interest of the Bank, monitoring maturing agreements and keep them updated, and ensuring proper documentation of the agreements.

6. Strategic Risk

Strategic Risk is the potential loss due to inaccuracy in decision making and/or implementing strategic decision and failure in anticipating changes in the business environment.

Periodically the Bank assess actual business achievement against the targeted performance stated in the Bank Business Plan. The probability of unachieved annual targets should always be predicted in advance – giving a chance for the Bank to set a new strategy to deliver the targeted performance.

7. Compliance Risk

Compliance is the potential loss resulting from the Bank's incompliance to the prevailing laws and regulations and Islamic banking principles.

The development of policies and procedures which guides the governance and operation of the bank has incorporated the laws and regulations of the banking authorities, including Regulations of Bank Indonesia, Regulations of Financial Services Authority (Otoritas Jasa Keuangan/OJK), and Indonesian Ulama Council (Majelis Ulama Indonesia). The Compliance Unit will remind the working unit and further monitor to ensure the timely submission of mandatory reports of the regulators.

8. Reputation Risk

Reputation risk is the potential loss resulting from the damages of the Bank's reputation or the negative perception of the Bank causing the stakeholders to lose confidence to the organization. The Bank must respond to the customers' complaint within the timeframe specified by the regulators. Every decision and action which carry potential reputation risk must be taken with a great precaution and necessary measures must be acted out to prevent the occurrence of the risks.

9. Rate of Return Risk

Rate of Return Risk is the potential loss resulting from the changes in rate of return paid by the Bank to customers as a consequence of the changes of the rate of return received by the Bank from financing activities. In determining the rate of return for customers, the Bank has taken into account several factors including the rate of return from its financing activities, rate of return paid by commercial banks and rate of return paid by Islamic Banks.



Employees of MMS Plumbon, Cirebon.

10. Investment Risk

Investment risk is the risk that occurs when the Bank partakes the loss of the customers' business financed under the net revenue sharing or profit and loss sharing method.

The current business activities do not expose the Bank to investment risk, since the customer's financing scheme is made under the *akad murabahah*.



Ibu Yuanita, Funding Customer, is participating in Daya program with the customers of Cipari Lembur Sentra, Cikupa, Tangerang.

daya



BTPNS five uniqueness

3

The only sharia bank with
the primary focus on
women empowerment.

Women empowerment is the quintessence of BTPN Syariah in delivering financial inclusion, paving the way for the customers to attain a better life.



Conducting regular visits and dialogues with customers are customary in BTPN Syariah.

Ibu Ratih Rachmawaty is wearing batik made by Financing Customer of Batik Trusmi Community, Cirebon.



Diki, Student of Brawijaya University Malang, is participating in the empowerment program through Sahabat Daya University.



For BTPN Syariah, creating opportunities for growth must include building the non-financial aspects that are critical to the sustainability of the business of productive poor customers. Through Daya program, the customers are provided with the opportunities to acquire knowledge and skills in health, business and community building

about daya

Aspired to deliver social mission, BTPN Syariah creates Daya as its unique value proposition to empower mass market in a sustained and measured manner. Implemented throughout the year, Daya is manifested in three core pillars, namely Daya Sehat Sejahtera (Daya Program for Health and Wellness), Daya Tumbuh Usaha (Daya Program to Grow Business), and Daya Tumbuh Komunitas (Daya Program for Community Building).

3 pillars of daya

Daya Sehat Sejahtera (Daya Program for Health and Wellness) is aimed at educating the customers and the family to adopt healthy living habits. One of the program was Health Cadre program, initiated in collaboration with Medical Science Community – Faculty of Medicine University of Indonesia. In this program, customers are selected and trained to become Health Cadre and then empowered to guide the other customers and their families to develop healthy living habits. A new initiative was introduced in 2016, in which a collaboration with the Faculty of Psychology University of Indonesia resulted in a new module called “Principles in Raising Children”. This particular topic was developed based on customers feedback.

Daya Tumbuh Usaha (Daya Program to Grow Business) includes training programs to equip the customers with the skills and knowledge of practical business application to help them grow business faster. In 2016, Daya also put its focus on activities that can support Laku Pandai. The module design is aimed at educating the customers to manage cashflow better by which they will then be able to set aside money for saving. In the “The Importance of Saving” Module, the customers are given practical tips to do saving and take advantages of using the facilities of Laku Pandai BTPN Wow! iB. The low technology

literacy level of the productive poor customers – particularly on using handphone for banking transaction – drove the empowerment program to focus on building the customers’ confidence to use the handphone for Laku Pandai.

Daya Tumbuh Komunitas (Daya Program for Community Building) is aimed at empowering the customers’ community, by identifying their needs, common interest and commitment; and then channel those into productive activities which develop their capacities. Included in this pillar is the dissemination of simple tips to promote clean and healthy living to the surrounding community.

sahabat daya (Friends of Daya)

Complementing the above 3 pillars, Sahabat Daya is a volunteer program inviting internal and external stakeholders to participate in the empowerment activities in BTPN Syariah. Taking the opportunity to interact and share knowledge and experience with customers, every Sahabat Daya is actively involved in making a difference in the lives of millions of Indonesians.

Collaboration with the academic sector was initiated in 2016 through the program “Sahabat Daya Universitas” (Friends of Daya in University) which had been implemented in Trisakti University, Jakarta and Muhammadiyah University, North Sumatra, where the students of the Faculty of Medicine participated as the “Sahabat Daya Universitas” in Health programs; and in Brawijaya University with the students of Faculty of Administrative Science participating in the business development activities.



Daya Pillars for Health provided customers with education on healthy living and unique and specific health services performed by Health Cadre Program.

In 2016, all the Directors and a numbers of employees of BTPN Syariah have volunteered as Sahabat Daya, sharing tips for success and disseminating healthy living habits. BTPN Syariah employees have also actively participated in Sahabat Daya by marketing the customers products through events “Selendang Mayang” and “Bunga Rampai” – exhibition events organized together with BTPN to promote selected products of BTPN and BTPN Syariah customers.



Bapak Wagino, Head of BKKBN Central Java, is visiting the businesses of women associated in UPPKS (Businesses to Improve Family Income for Prosperity) who are also the financing customers of BTPN Syariah.

corporate governance



BTPNS five uniqueness

4

The only sharia bank
providing opportunities for high
school graduates to build a
career as a banker.

Pledged to develop people and talents, BTPN Syariah not only employs bachelor graduates, a significant number of the employees are high school and diploma (D1 and D3) graduates.



Collaborating with a number of schools in recruitment process to hire the best candidates to serve financial inclusion customers.

Bapak Gatot Adhi Prasetyo is wearing batik made by Financing Customer from Batik Trusmi Community, Cirebon.



Siti Ihda Hudia, *Sentra* Facilitator, MMS Kuta Baro, Banda Aceh, is having conversation with the customers' family.

corporate governance report

In 2016, BTPN Syariah has taken measures to implement good corporate governance practices with the highest standard of quality

Good Corporate Governance ("GCG") report

The increasing complexity in banking industry leads to the amplified intensity of risks inherent in the banking business. The implementation of GCG in the banking industry is crucial and fundamental in embracing the multiple dimensions of risks and challenges.

In 2016, BTPN Syariah has taken measures to implement good corporate governance practices with the highest standard of quality.

BTPN Syariah has consistently reviewed and updated the documentation infrastructure, including GCG Policy, Information Security Management Policy, Charter of the Board of Commissioners, the Board of Directors, the Sharia Supervisory Board, and the Board of Commissioners' Committee, the Decree concerning the Structure of Hierarchy, Induction Program on GCG for Executive Officers and new employees, and routine refreshment of Code of Conduct to all employees.

Reviews to internal documents were also performed to all Policies and Procedures in the Bank to ensure their compliance to prevailing regulations, internal rules, and the surrounding circumstances.

BTPN Syariah has continuously made every effort to reduce the occurrence of fraud by routine dissemination of anti-fraud awareness and communicating to employees to channel complaints related to the incidents of fraud through various medias, including "JAGA" portal to which the complaints can be sent to email address jaga@mail.btpnsyariah.com, telephone channel (021) 300 26 400 (ext. 83553 and 86470) and 0878-8999 7494 (SMS only). In 2016, the system registered 233 complaints that have been followed through respectively.

Internal Audit BTPN Syariah as an independent directorate reporting directly to the President Director and functionally to the Audit Committee, has successfully completed all the 2016 audit plan and program; the audit result is used as one of the references in the evaluation for improvements in the area of management, business and operational process, infrastructure and procedure adequacy, and human capital management. Internal Audit recommended actions for improvement to all the units using control and consultation method, with reference to the Standard of Bank Internal Audit Function, Audit Charter and Audit Plan 2016. The

audit result was reviewed on regular basis by the Board of Directors and Audit Committee and the audit report was submitted to the President Director and the Board of Commissioners through Audit Committee.

Control implementation with prudent principles in Risk Management has been performed by BTPN Syariah on a continuous basis by improving the implementation of internal Risk Management and coordinate the implementation of external Integrated Risk Management with the parent Bank as the Bank's implementation of integrated Risk Management in Financial Conglomeration.

The organs of the Bank have applied the principles of Good Corporate Governance through active supervisions by the Board of Commissioners and the Sharia Supervisory Board supported by the Board of Commissioners' Committee. The Board of Directors has performed the management function supported by the Board of Directors' Committee. The Board of Commissioners, Sharia Supervisory Board and the Board of Directors hold corporate meetings on regular basis, in adherence to the prevailing governance regulations, all meetings' decisions' were well documented and the follow up actions were well monitored.

From the perspective of adequacy in risk identification process, risk measurement, risk monitoring and risk control as well as risk management information system, BTPN Syariah has fulfilled the adequacy requirement, as indicated, amongst others, the good level of Capital Adequacy Ratio.

The Bank has also implemented Operational Risk Management System (ORMS) to monitor and control operational risks wherein all risk events are registered, governed, and analyzed in order to anticipate the potential of similar occurrence of risk in the future.

The Bank has implemented internal control system through Quality Assurance (QA) Unit.

good corporate governance policy

Good Corporate Governance Policy (GCG Policy) is the main policy in BTPN Syariah. The Bank pledged itself to implement the Principles of Good Corporate Governance at all levels of the organization. In 2016, BTPN Syariah has reviewed, updated and amended the Good Corporate Governance Policy according to the prevailing rules and regulations. The latest amendments were approved by the Board of Commissioners, Sharia Supervisory Board and the Board of Directors on October 2016.

From the GCG perspective, the Board of Commissioners, Sharia Supervisory Board, the Board of Directors, Executive Officers and all employees have implemented the principles of Good Corporate Governance and there was no occurrence of material violation of regulation.

The GCG Policy includes :

Principles of Good Corporate Governance

1. General Principles;
2. Values and Code of Conduct;
3. GCG Implementation Report;
4. Management Report;
5. Report to Parent Company.

Strategy

1. Business Plan;
2. Key Strategic Initiatives;
3. Risk Appetite.

Company Organs

1. Shareholders;
2. Board of Commissioners;
3. Board of Directors;
4. Sharia Supervisory Board (DPS).

Internal Control

1. Risk Management;
2. Compliance;
3. Internal and External Audit;
4. Customer Protection in Financial Services Sector;
5. Legal Financing Limit;
6. Corporate Governance Officers (CGO);
7. Corporate Responsibilities to the Environment and Healthy and Safe Work Practices.

Compensation

1. Principles and Structure.

Transparency and Disclosure of Information

1. Primary Principles;
2. Spokesperson;
3. Policy and Procedure on Transparency and Disclosure of Information;
4. Reporting for Transparency and Disclosure of Information;
5. Intellectual Property Rights.

Corporate Secretary

implementation of good corporate governance

Implementation of Good Corporate Governance has always been the primary focus in the undertaking of the business of BTPN Syariah, as stated in the Bank Business Plan 2016 which included:

1. Fulfillment of the Duties and Responsibilities of the Board of Commissioners, Sharia Supervisory Board, and the Board of Directors;
2. Fulfillment of the Duties and Responsibilities of the Board of Commissioners' Committee and the Board of Directors' Committee;
3. Fulfillment of the Duties and Responsibilities of Internal Audit Unit and Risk Management Unit;
4. Enactment of Compliance Function;
5. Selection of External Audit, implementation of Internal Audit;
6. Development of Business Plan and Key Strategic Initiatives BTPN Syariah;
7. Transparency in BTPN Syariah Financial and Non-Financial Reports.

General Meeting of Shareholders (GMS)

BTPN Syariah held 1 (one) Annual General Meeting of Shareholders in 2016 and 1 (one) Extraordinary General Meeting of Shareholders in 2016.

BTPN Syariah General Meeting of Shareholders is attended by Public Notary as an independent party to perform quorum computation and to prepare the minutes of meeting.

The Annual General Meeting of Shareholders and Extraordinary General Meeting of Shareholders in 2016 are conducted according to the protocols of decision making as governed by GMS rules which were also informed to the shareholders. That every shareholder or authorized representative has the right to ask questions or forward opinion to the Chairman of the Meeting before the decision is made for each item of the agenda of the meeting.

Annual General Meeting of Shareholders (AGMS)

BTPN Syariah held AGMS on May 2, 2016, attended by all members of the Board of Commissioners, members of the Sharia Supervisory Board and the Board of Directors.

no	deed	concerning	subject	meeting decision
1.	Notarial Deed No.01 dated May 2, 2016 by Notary Ashoya Ratam, SH,M. Kn, Administrative City of South Jakarta	MINUTES OF ANNUAL GENERAL MEETING OF SHAREHOLDERS "PT BANK TABUNGAN Pensiunan NASIONAL SYARIAH"	First Agenda of the Meeting: Approval on Annual Report and Endorsement of Financial Statement of the Company For the accounting year ended 31-12-2015 (thirty first of December twenty fifteen), including the Annual Supervision Reports of The Board of Commissioners and the Sharia Supervisory Board.	1. Approved the Company Annual Report including the Supervision Reports of the Board of Commissioners and the Sharia Supervisory Board for the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen) that was presented by the Board of Directors and the Board of Commissioners in the meeting. 2. Approved the Company Financial Statements for the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen) that had been examined and audited by the Public Accounting Firm (Kantor Akuntan Publik/KAP) TANUDIREDDJA, WIBISANA, RINTIS dan Rekan (a member firm of PricewaterhouseCoopers Global Network) as stated in report dated 26-2-2016 (twenty sixth of February two thousand sixteen) number A160226019/DC2/ALB/2016, that was listed in the Annual Report 2015 (two thousand fifteen). 3. To grant full release and discharge (acquitt et decharge) to the incumbent members of the Board of Directors of the Company during the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen) for all the deeds of managing the company, and to the incumbent members of the Board of Commissioners and Sharia Supervisory Board for the supervision that had been performed during the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen), to the extent that such deeds are recorded in the Annual Report and the Financial Statement of the Company for the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen), except in the event of fraud, embezzlement or other criminal deeds.

no	deed	concerning	subject	meeting decision
			Second Agenda of the meeting: To determine the appropriation of the Company net profit for the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen)	To approve the appropriation of the Company's net profit after tax generated during the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen) amounting to Rp169,206,407,569 (one hundred and sixty nine billion two hundred and six million four hundred and seven thousand, five hundred and sixty nine rupiah) as follows: a. For the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen), the Company did not distribute dividends to the shareholders; b. An amount of Rp7,794,324,858 (seven billion seven hundred and ninety four million three hundred and twenty four thousand eight hundred and fifty eight rupiah) is kept as additional reserve fund, making the total reserve fund of the Company amounting to Rp15,000,000,000 (fifteen billion Rupiah); c. The remaining net profit of Rp161,412,082,711 (one hundred and sixty one billion four hundred and twelve million eighty two thousand seven hundred and eleven rupiah) will be booked as retained earning to strengthen the Company financial position.
			Third Agenda of the Meeting: To appoint Public Accounting Firm for the fiscal year ended December 31, 2016 (thirty first of December two thousand sixteen) And to determine the amount of honorarium and other terms and conditions for the Public Accountant appointment.	To grant full power and authority to the Board of Directors of the Company to appoint the Public Accounting Firm to examine and audit the Company bookkeeping and financial statements for the accounting year ended December 31, 2016 (thirty first of December two thousand sixteen) and to determine the amount of honorarium and other terms and conditions for such the appointment, taking into account the recommendation of Audit Committee that the Appointment of Public Accounting Firm must be in accordance to the following conditions: a. The appointed Public Accounting Firm must be registered as the Capital Market Supporting Profession in the Financial Services Authority and is experienced in auditing banks; b. The Public Accounting Firm must be affiliated to the International Public Accounting Firm; c. Referring to the Regulations of Financial Services Authority POJK No. 6/POJK.03/2015 concerning Transparency and Publications of Reports of Sharia Commercial Bank and Sharia Business Unit, stipulating that the Bank is obliged to prepare consolidated Financial Statement with the Parent Company.

no	deed	concerning	subject	meeting decision
			Fourth Meeting Agenda: To determine the amount of remuneration and allowance for the members of the Board of Directors and the amount of honorarium and allowance for the member of the Board of Commissioners and Sharia Supervisory Board of the Company.	1. To grant full power and authority to the Board of Commissioners of the Company to determine the amount of total salary and allowance that will be paid by the Company to the members of the Board of Directors; and the honorarium and allowance for the Sharia Supervisory Board for the accounting year ended December 31, 2016 (thirty first of December two thousand sixteen) and the amount of total bonus for the members of the Board of Directors and Sharia Supervisory Board for the services rendered during the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen) that will be paid in the year 2016 (two thousand sixteen) and decide the distribution of bonus to each member of the Board of Directors and the Sharia Supervisory Board, under the condition that in determining the total amount of salary/honorarium, allowance, bonus and its distribution for each member of the Board of Directors and Sharia Supervisory Board, the Board of Commissioners will take into consideration the recommendation of Remuneration and Nomination Committee; 2. Based on the recommendation of Remuneration and Nomination Committee that was written in the Minutes of Remuneration and Nomination Committee Meeting of the Company No. MOM.001/RNC/IV/2016 dated 6-4-2016 (sixth of April two thousand sixteen), approved by the Board of Commissioners in Circular Decision of the Board of Commissioners No. 003/CIR/DEKOM/IV/2016 dated 6-4-2016 (sixth of April two thousand sixteen), decided that the total amount of honorarium and allowance for the Board of Commissioners for the accounting year ended December 31, 2016 (thirty first of December two thousand sixteen) and the amount of bonus for the members of the Board of Commissioners for the services rendered for the accounting year ended December 31, 2015 (thirty first of December two thousand fifteen), that will be paid in the year 2016 (two thousand sixteen), in total is not exceeding Rp4,800,000,000 (four billion eight hundred million rupiah) gross before deducted with Income Tax, and authorize the Board of Commissioners to determine as one decision of the Board of Commissioners, the distribution of the total number of honorarium, allowance and bonus to the members of the Board of Commissioners taking into consideration the recommendation of the Remuneration and Nomination Committee.

no	deed	concerning	subject	meeting decision
			Fifth Agenda of the Meeting: Re-appointment of the Sharia Supervisory Board of the Company	To approve the reappointment of Kyai Haji Doktorandus Amidhan and Kyai Haji Ahmad Cholil Ridwan, License as the members of the Sharia Supervisory Board, being effective upon the close of the Annual General Meeting of Shareholders 2016. That the term of office of the Sharia Supervisory Board will end upon the closure of Annual General Meeting of Shareholders to be held in 2017 (two thousand seventeen) without reducing the possible changes that may occur prior to the end of the term of office. Making the composition of the Sharia Supervisory as follows: Chairman: Kyai Haji Doktorandus Amidhan. Member: Kyai Haji Ahmad Cholil Ridwan.
2.	Deed No. 19 dated May 11, 2016, by Notary & PPAT Ashoya Ratam, SH., Mkn, Administrative City of South Jakarta	STATEMENT OF DECISION OF ANNUAL GENERAL MEETING OF SHAREHOLDERS "PT BANK TABUNGAN PENSUNAN NASIONAL SYARIAH"	To restate a part of decisions that have been made in the Meeting, particularly The fifth Agenda of the Meeting as written in the Minutes of Annual General Meeting of Shareholders PT BANK TABUNGAN PENSUNAN NASIONAL SYARIAH dated 2-5-2016 (second of May two thousand sixteen) number 01.	- To approve the appointment of Kyai Haji Doktorandus AMIDHAN and Kyai Haji Ahmad Cholil Ridwan, License (whose identity is presented below) as members of the Sharia Supervisory Board, being effective upon the closure of the meeting. - That the term of office of the members of the Sharia Supervisory Board will end at the closure of the Annual General Shareholders Meeting to be held in 2017 (two thousand seventeen) without reducing possible changes that may occur prior to that end of the term of office. - Making the composition of the Sharia Supervisory Board as follows: Chairman: Kyai Haji Doktorandus Amidhan. Member: Kyai Haji Ahmad Cholil Ridwan.

Extra Ordinary General Meeting of Shareholders (EGMS)

BTPN Syariah held Extra Ordinary General Meeting of Shareholders on May 2, 2016, attended by all members of the Board of Commissioners, Sharia Supervisory Board and the Board of Directors.

no	deed	concerning	subject	meeting decision
1.	Deed No. 2 dated May 2, 2016 by Notary & PPAT Ashoya Ratam, SH., Mkn, Administrative City of South Jakarta	MINUTES OF EXTRA ORDINARY GENERAL MEETING OF SHAREHOLDERS "PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH"	The only Agenda of the Meeting: Amendment to the Company Articles of Association	To approve the amendment to the Company Articles of Association as stated in the attachment of Amendment of Articles of Association PT Bank Tabungan Pensiunan Nasional Syariah, which had been circulated to the shareholders prior to the meeting, including, Article 2, Article 4 section (2) and (4), Article 6 section (4), Article 8 section (5), Article 11 section (6) and (12), Article 12 section (7) and (17) and Article 13 section (7) of the Company Articles of Association.
2.	Deed No 20 dated May 11, 2016 by Notary & PPAT Ashoya Ratam, SH., Mkn, Administrative City of South Jakarta	STATEMENT OF DECISION OF EXTRA ORDINARY MEETING OF SHAREHOLDERS "PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH"	Restate the decision that was recorded in the Minutes of Extra Ordinary General Meeting of Shareholders PT Bank Tabungan Pensiunan Nasional Syariah dated 2-5-2016 (the second of May two thousand sixteen) number 02, as follows: In the only agenda of the meeting: "The meeting has made a consensus to decide: To approve the amendment to the Company Articles of Association as stated in the attachment Amendment to the Articles of Association of PT Bank Tabungan Pensiunan Nasional Syariah, which had been circulated to the shareholders prior to the meeting, including: - Article 2 - Article 4 section (2) and section (4) - Article 6 section (4) - Article 8 section (5) - Article 11 section (6) and (12) - Article 12 section (7) and (17) - Article 13 section (7) of the Company Article of Association.	The description of the amendment of the articles is, as follows: - The Timeframe of the Establishment of the Company (Article 2); - Capital (Article 4) - Share Certificate and Replacement of Share Certificate (Article 6) - Transfer of Shares (Article 8) - Duties and Responsibilities of the Board of Directors (Article 11) - Meeting of the Board of Directors (Article 12) - Resignation of the Board of Commissioners (Article 13) With the details as stated in the Deed No.20 dated May 11, 2016.

the board of commissioners and the board of directors

All members of the Board of Commissioners and the Board of Directors have met the qualification as assessed in the Fit and Proper Test by the Financial Services Authorities as of December 31, 2016.

the board of commissioners

According to the Good Corporate Governance Policy of BTPN Syariah, the Board of Commissioners is an independent organ of the company to perform the supervisory roles in general and/or particular, in accordance to the Articles of Association and to provide advice the Board of Directors in managing the Bank in adherence to the principles of Good Corporate Governance.

duties and responsibilities of the board of commissioners

The Duties and Responsibilities of the Board of Commissioners according to the latest Charter of the Board of Commissioners are, as follows:

1. The Board of Commissioners is obliged to ensure the implementation of Good Corporate Governance in every business activities of the Bank at all layers of the organization;
2. The Board of Commissioners is obliged to perform supervision the fulfillment of Duties and responsibilities of the Board of Directors and to provide advice to the Board of Directors;
3. In undertaking the supervision, the Board of Commissioners is obliged to direct, monitor and evaluate the implementation of the Bank strategic policy, for which the Board of Commissioners may require data and information from the Board of Directors;
4. In undertaking the supervision, the Board of Commissioners is not allowed to take part in the decision making of the Bank operational activities, with the exceptions in following:
 - a. Provision of funds to certain party, as stipulated in the Regulation of Bank Indonesia concerning Legal Lending Limit for Commercial Bank;
 - b. Other matters according to the Articles of Association or the prevailing laws and regulations.
5. Decision made by the Board of Commissioners do not negate the responsibilities of the Board of Directors in the management of the Bank;
6. The Board of Commissioners is obliged to allocate sufficient time to fulfill the Duties and responsibilities to the best of their capability;
7. The Board of Commissioners is obliged to ensure that the Board of Directors take the necessary actions as warranted by the audit findings and recommendation of the internal audit of the Bank, external auditor, examination of Financial Services Authority and/or examination of other authorities;
8. The Board of Commissioners is obliged to report to the Financial Services Authority no later than 7 (seven) days since the finding of:
 - a. Violation of the Laws concerning financial services and banking; and
 - b. Situation or prediction of situation that may jeopardize the sustainability of the business of the Bank.
9. The Board of Commissioners shall propose the candidates of the Sharia Supervisory Board, taking into account the recommendation of the Remuneration and Nomination Committee, for further endorsement from the Indonesia Ulama Council and obtain approval from Financial Services Authority. The GMS

may grant the authority to the Board of Commissioners to inaugurate the member of Sharia Supervisory Board.

establishment of committees

The Charter of the Board of Commissioners BTPN Syariah stipulates that, to support the fulfillment of its duties and responsibilities, the Board of Commissioners shall establish Committees, which include at least the following:

1. Audit Committee;
2. Risk Monitoring Committee;
3. Remuneration and Nomination Committee.

The Board of Commissioners is obliged to ensure the effectiveness of the work of the committees. Each of the Board of Commissioners' Committees will prepare a Committee Charter.

the board of commissioners charter

The undertaking of duties and responsibilities of the Board of Commissioners will always be governed within the principles stated in the Charter of the Board of Commissioners which is amended as necessary to ensure adherence to the prevailing rules and regulations.

The current Charter of the Board of Commissioners is No.01/PedomanKerja/LG/VII/2016 dated July 14, 2016. The Charter includes:

1. Organization
2. Independency
3. Duties and Responsibilities
4. Establishment of Committees
5. The Function of the President Commissioner
6. Work Ethics
7. Office Hours

8. Meetings
9. Conflict of Interest
10. Transparency/Disclosure
11. Terms of Office
12. Development
13. Others

the composition and the criteria of the board of commissioners

The Composition and the criteria of the members of the Board of Commissioners according to the Charter of the Board of Commissioners BTPN Syariah are, as follows:

1. The minimum number of the members of the Board of Commissioners is 3 (three) and the maximum is the same as the total number of members of the Board of Directors;
2. In the event of permanent absence of member(s) of the Board of Commissioners making the total number of members less than 3 (three), the Board of Commissioners will immediately propose the replacement to the General Meeting of the Shareholders which must be held no later than 30 (thirty) days since the position is declared vacant, taking into consideration the recommendation of the Remuneration and Nomination Committee;
3. At least 1 (one) member of the Board of Commissioners is domiciled in Indonesia;
4. The Board of Commissioners is chaired by the President Commissioner. The appointment of President Commissioners shall prioritize the Independent Commissioner;
5. The Board of Commissioners must at least consist of members with a mastery of knowledge in following: macro economy, banking and Sharia banking, legal, accounting and audit;

6. The Board of Commissioners is obliged to ensure independency in performing its duties and responsibilities. To assure the adherence to the principle of independency, at least 50% (fifty percent) of the members of the Board of Commissioners is Independent Commissioner;
7. Any proposal for replacement and/or appointment of the member of the Board of Commissioners shall take into consideration the recommendation of the Remuneration and Nomination Committee;
8. All members of the Board of Commissioners must meet the qualification and pass the fit and proper test pursuant to Financial Services Authority Regulation concerning fit and proper test;
9. The members of the Board of Commissioners are allowed to hold dual positions, restricted only for the following positions:
 - a. A member of the Board of Commissioners, the Board of Directors or Executive Officer in 1 (one) non-financial institution;
 - b. A member of the Board of Commissioners or the Board of Directors who perform supervisory role in 1 (one) subsidiary, non-sharia-bank financial institution owned by the Bank;
 - c. A member of the Board of Commissioners or Executive Officers in 1 (one) bank which is the shareholder of the Bank;
 - d. A member of the Board of Commissioners, Board of Directors or Executive Officers in 1 (one) non-financial institution which is the shareholder of the Bank; or
 - e. An Officer in the maximum of 3 (three) non-profit institution.

10. The majority of members of the Board of Commissioners are prohibited from having a family relationship up the second grade with the other members of the Board of Commissioners and/or with the members of the Board of Directors.

independency of the board of commissioners

BTPN Syariah has complied with the laws concerning the independency of the Board of Commissioners. Independent Commissioner is the member of the Board of Commissioner who does not have financial relationship, management, shares ownership, and/or family relationship with the other members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner.

The independency of the Board of Commissioners manifests in the following:

1. The Board of Commissioners has fulfilled its Duties and responsibilities in an independent manner;
2. The number, composition and criteria the Board of Commissioners are in compliant to the prevailing regulation, with a total number of 3 (three) members of the Board of Commissioners – two of which are Independent Commissioner;
3. The replacement and appointment of the members of the Board of Commissioners have taken into consideration the recommendation of the Remuneration and Nomination Committee;

4. No member of the Board of Commissioners has any family relationship up the second grade with the other members of the Board of Commissioners and/or with the members of the Board of Directors;

5. No member of the Board of Commissioners holds dual positions other than the position(s) stipulated in the Regulations of the Financial Services Authority.

composition of the board of commissioners

The Composition of the Board of Commissioners as of December 31, 2016 was, as follows:

no	name	position	date of appointment
1.	Kemal Azis Stamboel	President Commissioner/ Independent Commissioner	May 22, 2014
2.	Dewie Pelitawati	Independent Commissioner	May 22, 2014
3.	Mahdi Syahbuddin	Commissioner	January 13, 2015

All the members of the Board of Commissioners BTPN Syariah has fulfilled the requirement as the Board of Commissioners according to the prevailing regulations.

dual positions of the board of commissioners

With regard to disclosure of dual positions held by the members of the Board of Commissioners as of December 31, 2016 is that members of the Board of Commissioners BTPN Syariah do not hold dual positions as the member of the Board of Commissioners, the Board of Directors, and Executive Officers in bank, company or other institutions, other than those specified in the prevailing laws and regulations. The description is, as follows:

no	name	position	company name	date of appointment
1.	Kemal Azis Stamboel	Independent Commissioner	PT Holcim Indonesia Tbk	2013 – present
2.	Dewie Pelitawati	Advisor	PT XL- Axiata Tbk	2013 – present
3.	Mahdi Syahbuddin	N/A	N/A	N/A

report and recommendation of the board of commissioners

The Board of Commissioners has fulfilled its responsibility to oversee the management and operational of BTPN Syariah and provided recommendation to the Board of Directors and ensured the implementation of good corporate governance and compliance to the Sharia Principles. The Board of Commissioners has

performed direct supervision to the bank, supported by the Board of Commissioners' Committee.

In 2016, the Board of Commissioners has performed its supervisory roles, including:

1. The Board of Commissioners reviewed and approved the Bank Business Plan;
2. The Board of Commissioners monitored the financial performance of the Bank on regular basis;

3. The Board of Commissioners reviewed and refined the Bank infrastructure which included amongst others the approval on the amendments on the Good Corporate Governance, Risk Management Policy, and Information Security Management Policy in 2016.
4. The Board of Commissioners reviewed the financial performance of the Bank through the regular meetings of the Board of Commissioners;
5. The Board of Commissioners approved to conduct the Annual General Meetings of Shareholders and Extra Ordinary Meeting of Shareholders in 2016, as proposed by the Board of Directors;
6. The Board of Commissioners approved the Annual Work Plan of the Board of Commissioners' Committee, including amongst others the Annual Audit Plan;
7. The Board of Commissioners approved the appointment of Public Accounting Firm for the accounting year ended on December 31, 2016;
8. The Board of Commissioners ensured that the Board of Directors implemented the necessary corrective action warranted by findings of internal audit and external audit and as recommended by Internal Audit through the Audit Committee.
9. The Board of Commissioners supervised the Bank in the implementation of Good Corporate Governance, management of compliance risks and Risk Based Bank Rating-RBBR and the implementation of AML/CFT through the regular meetings with the Board of Commissioners' Committee;
10. The Board of Commissioners coordinated the reviews to formulate recommendations to the Internal Audit, Risk Management and Internal Control System of the Bank;
11. The Board of Commissioners conducted regular coordination meeting with the Sharia Supervisory Board to ensure the alignment of strategic direction to the Sharia Principles. The coordination was initiated in 2015, continued in 2016 and will continue in 2017;
12. The Board of Commissioners supervised to ensure the implementation of prudence principles in the development of the Bank products and services, the formulation of strategic initiatives, the action to respond to business competition, the development of information technology to support the Bank business development and in the recommendation to the Board of Directors in policy matters, taking into consideration the aspiration of the shareholders and the prevailing regulations;
13. The Board of Commissioners recommended the amendments to the internal policy and procedures of the Bank to support the Bank business activities in delivering service excellence to the customers;
14. The Board of Commissioners supervised to ensure that the Board of Directors took the strategic actions for the sufficiency of Human Capital and reviewed the implementation of training for all the employees of the Bank in line with the requirement of the job roles, through regular meetings of the Board of Commissioners and with the Remuneration and Nomination Committee;
15. The Board of Commissioners monitored the handling of fraud incidents according to the prevailing regulations;

The Board of Commissioners was granted full power and authority from the Shareholders through the General Meeting of Shareholders and has implemented the Shareholders' Resolution in 2016 which included amongst others:

1. The appointment of the Public Accounting Firm Tanudiredja, Wibisana, Rintis & Rekan (*a member firm of PWC global network*) as the External Auditor to examine and audit the book of BTPN Syariah for the accounting year ended on December 31, 2016 and the determination of honorarium and other conditions of the appointment of such Public Accounting Firm, taking into consideration the recommendation of the Audit Committee of BTPN Syariah;
2. The determination of Remuneration and Allowance for the members of the Board of Directors, Honorarium and Allowance for the members of Sharia Supervisory Board, the members of the Board of Commissioners' Committee, and the honorarium and allowance for the members of the Board of Commissioners for the accounting year ended on December 31, 2016, taking into consideration on the recommendation of the Remuneration and Nomination Committee.

the sharia supervisory board

duties and responsibilities of the sharia supervisory board

According to the Good Corporate Governance Policy of BTPN Syariah, the Sharia Supervisory Board is the organ of the company which, in an independent manner, performs supervisory roles to the Board of Directors in general and/or in particular with regard to the Articles of Association with adherent to the Sharia Principles.

The Compliance Division coordinates with the Sharia Supervisory Board on regular basis in matters pertaining to compliance to the Sharia Principles.

In performing its supervisory roles, the Sharia Supervisory Board allocated sufficient time to optimally fulfill the Duties and responsibilities.

The Duties and responsibilities of the Sharia Supervisory Board according to its Charter are, as follows:

1. To fulfil the duties and responsibilities according to the principles of Good Corporate Governance;
2. To provide advices to the Board of Directors and supervise the Bank activities to ensure its adherence to the Sharia Principles;
3. To fulfill the duties and responsibilities of the Sharia Supervisory Board, which include amongst others:
 - a. To assess and ensure adherence to the Sharia Principles in the Bank's operating procedures and products and services;
 - b. To supervise the development of new products of the Bank and ensure its adherence to *fatwa* of the National Sharia Board (DSN) and Indonesian Council of Ulama (MUI);
 - c. To request *fatwa* to DSN – MUI for new products for which MUI had no *fatwa* declared;
 - d. To perform thorough assessment on the Sharia Principles application in the funding and financing services of the Bank;
 - e. To request data and information related to Sharia matters from the Compliance Director or the Compliance Unit in performing its duties and responsibilities;

- f. To submit Supervision Report of the Sharia Supervisory Board to the Financial Services Authority no later than 2 (two) months after the end of the reporting period.

The Sharia Supervisory Board provides Sharia opinion to the products and services of the Bank through the regular meetings of the Sharia Supervisory Board. The Sharia Supervisory Board will require the Bank Officers in the Working Units to provide explanation and review on the adherence to the Sharia Principles, fatwa DSN-MUI and other prevailing regulations. Besides, the Sharia Supervisory Board and the Compliance Unit conduct regular visits to the branches to ensure the adherence of the operational process to the Sharia Principles. The Sharia Supervisory Board also coordinates with the Board of Commissioners to align Sharia supervision on periodic basis.

the charter of the sharia supervisory board

The Sharia Supervisory Board refers to the Charter of the Sharia Supervisory Board in performing its Duties and responsibilities. The amendments to the Charter is made on regular basis according to the prevailing regulations. The latest Charter of Sharia Supervisory Board is Number 12/ PedomanKerja/LG/VI/2016 dated June 15, 2016.

The Charter of the Sharia Supervisory Board include:

1. Organization
2. Duties and Responsibilities
3. Meetings
4. Transparency/Disclosure
5. Work Ethics
6. Others

composition and criteria of the members of the sharia supervisory board

The Sharia Supervisory Board is appointed by the General Meeting of Shareholders and is at equal position with the Board of Commissioners. The Sharia Supervisory Board is obliged to report the fulfillment of its duties and responsibilities to the Financial Services Authority once every 6 (six) months through the Supervision Report of the Sharia Supervisory Board.

The organization of the Sharia Supervisory Board is structured to ensure effective and efficient decision making process. The composition and criteria of the Sharia Supervisory Board according to the Charter of the Sharia Supervisory Board BTPN Syariah are, as follows:

1. The minimum number of the members of the Sharia Supervisory Board is 2 (two) and the maximum is 50% of the total number of members of the Board of Directors;
2. The Sharia Supervisory Board is chaired by a Chairman, appointed amongst the members of the Sharia Supervisory Board;
3. Any proposal for replacement and/or appointment of the member of the Sharia Supervisory Board from the Board of Commissioners to the General Meeting of Shareholders shall take into consideration the recommendation of the Remuneration and Nomination Committee;
4. Every member of the Sharia Supervisory Board must meet the requirement and is recommended by the MUI and pass the fit and proper test by the Financial Services Authority;
5. The maximum term of office of the the Sharia Supervisory Board is the same as the term of office of the members of the Board of Directors or the Board of Commissioners;

6. The members of the Sharia Supervisory Board are only allowed to hold multiple positions in the maximum of 4 (four) other Sharia financial institutions.

Every member of the Sharia Supervisory Board must abide by the Code of Conduct and other prevailing regulations. The Chairman of the Sharia Supervisory Board is responsible to coordinate the fulfilment of duties and responsibilities of the Sharia Supervisory Board and ensure that all members has the information necessary to perform its duties and responsibilities.

independency of the sharia supervisory board

As of December 31, 2016, no members of the Sharia Supervisory Board BTPN Syariah have financial, administrative, share ownership and/or family relationship of whatsoever in nature with other members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders. All members of the Sharia Supervisory Board have applied the principles of transparency and disclosure according to the GCG principles.

With regard to disclosure of multiple positions – for which the members of Sharia Supervisory Board are only allowed to hold multiple positions in the maximum of 4 (four) other Sharia financial institutions, the multiple positions held by the members of the Sharia Supervisory Board is in compliant to the prevailing regulations.

name	position	company name	date of appointment
Drs. KH. Amidhan	Chairman of Sharia Supervisory Board	PT Bank Tabungan Pensiunan Nasional Syariah	2014 - now
	Member of Sharia Supervisory Board	Adira Insurance	2004 - present
	Member of Sharia Supervisory Board	Tokio Marine Insurance (d/h MAA)	2006 - present
	Chairman of Sharia Supervisory Board	PT K.Link Nusantara (PLBS)/ MLM	2013 - present
KH. A. Cholil Ridwan, Lc	Member of Sharia Supervisory Board	PT Bank Tabungan Pensiunan Nasional Syariah	2014 - present

composition of the sharia supervisory board

The Composition of the Sharia Supervisory Board as of December 31, 2016 adalah is, as follows:

no	name	position	date of appointment
1.	Drs. KH. Amidhan	Chairman of Sharia Supervisory Board	May 22, 2014
2.	KH. A. Cholil Ridwan, Lc	Member of Sharia Supervisory Board	May 22, 2014

All members of the Sharia Supervisory Board BTPN Syariah have fulfilled the requirements according to the regulations, including Bank Indonesia Regulation concerning Sharia Bank, Bank Indonesia Regulation concerning Fit and Proper Test and Bank Indonesia Regulations concerning Good Corporate Governance Implementation for Sharia Bank and Sharia Business Unit.

meetings of sharia supervisory board

In 2016, the Sharia Supervisory Board held 12 (twelve) meetings with the frequency of member' attendance as follows:

no	name	total number of meetings held in 2016	frequency of attendance in meetings in 2016
1.	Drs. KH. Amidhan	12	12/12
2.	KH. A. Cholil Ridwan, Lc	12	12/12

According to the Sharia Supervisory Board Charter, the meeting is to be held 1 (once) a month with mandatory attendance of all members of the Sharia Supervisory Board. The meetings held by the Sharia Supervisory Board in 2016 were, therefore, in compliant to the regulations.

training for the members of the sharia supervisory board in 2016

To support the fulfillment of duties and responsibilities, all members of the Sharia Supervisory Board attended a number of training and strategic seminars in 2016, including amongst others:

1. *Workshop Pra-Ijtima' Sanawi* (Annual Meeting) of Sharia Supervisory Board in Sharia Financial Institutions in Banking Sector and Sharia Financing, held on November 9-10, 2016;
2. *Ijtima Sanawi* (Annual Meeting) of Sharia Supervisory Board in Sharia Financial Institutions in Indonesia, held on December 8-9, 2016.

supervision report of sharia supervisory board

The Sharia Supervisory Board has fulfilled its duties and responsibilities in 2016 by providing advices through opinion and approval on, amongst others, the following matters:

no.	sharia supervisory board opinion and approval in 2016	concerning
1.	No.024/DPS/ODP/I/2016	Handphone Ownership Financing Facility (as part of the PMD Financing Program)
2.	No.025/DPS/ODP/I/2016	Account Opening Form for BTPN Wow! iB Customers, Collective Registration Form for BTPN Wow! iB Customers and General Terms and Conditions of BTPN Wow! iB
3.	No.026/DPS/ODP/I/2016	Settlement of Deferred Payment of Retention Fee after the Collection Period – to be recorded as the non-operating revenue.
4.	No.027/DPS/ODP/II/2016	The Use of BTPN account by Laku Pandai Agents BTPN Wow! iB
5.	No.028/DPS/ODP/III/2016	Promotion Program for Tabungan Taseto Premium iB dan Taseto Mapan iB
6.	No.029/DPS/ODP/VII/2016	Policy Framework and Mechanism for Profit Sharing
7.	No.030/DPS/ODP/VII/2016	Affirmation of Sharia Supervisory Board Opinion concerning The Use of Social Fund
8.	No.031/DPS/ODP/VII/2016	The Use of Conventional Insurance and Payroll for BTPN Syariah Employees
9.	No.032/DPS/ODP/X/2016	Product Program of BPTN Wow! iB bundled with T-Cash

no.	sharia supervisory board opinion and approval in 2016	concerning
10.	No.033/DPS/ODP/X/2016	Approval on Repo Products and Reverse Repo of Sharia Securities with Bank Indonesia
11.	No.034/DPS/ODP/X/2016	Approval on the Amendments of Good Corporate Governance Policy
12.	No.035/DPS/ODP/XI/2016	Renewal of Product Program – Paket Masa Depan (PMD)
13.	No.036/DPS/ODP/XI/2016	Product – Placement in Non-Bank Sharia Financial Institution

implementation of sharia principles in funding and financing activities and bank services delivery

The undertaking of funding, financing activities, bank services delivery and the development of new products of BTPN Syariah have been carried out in accordance to the sharia principles as reported in the Sharia Supervisory Board Supervision Report submitted to Financial Services Authority.

To ensure compliance to Sharia Principles in the operational activities of the Bank, the members of Sharia Supervisory Board conducted monitoring and visit to branch offices on regular basis and assessed the implementation of operational activities in the branches against the Sharia Principles.

the board of directors

According to the Good Corporate Governance Policy BTPN Syariah, the Board of Directors is the company organ with full of responsibility to execute the management of the Bank that serves the best interest of the Bank in line with the Bank purpose and to represent the Bank in and outside the courts of justice according to the Articles of Association.

the duties and responsibilities of the board of directors

According to the Charter of the Board of Directors, the duties and responsibilities of the Board are:

1. The Board of Directors is fully responsible for the execution of the management of the Bank;
2. The Board of Directors is obliged to manage the Bank within its scope of responsibilities and authorities according to the Articles of Association and the prevailing laws and regulations;
3. The Board of Directors is obliged to comply with the GCG principles in the Bank business activities at all levels of the organization;
4. The Board of Directors is obliged to make follow up actions to the result of audit finding and recommendation of Internal Audit Unit, Sharia Supervisory Board, External Audit, and supervision report of Financial Services Authority/Bank Indonesia and/or other supervising authorities;
5. In implementing GCG principles, the Board of Directors shall establish, at least the following unit:
 - a. Internal Audit Unit;
 - b. Risk Management Unit;
 - c. Risk Management Committee;
 - d. Compliance Unit;
6. The Board of Directors is obliged to provide accurate, relevant, and timely data and information to the Board of Commissioners;
7. The Board of Directors shall present the accountability report on the fulfillment of duties and responsibilities to the Shareholders through General Meeting of Shareholders;

8. The Board of Directors is obliged to disclose the Bank's strategic policy in human resources to the employees;
9. The Board of Directors is prohibited from hiring an individual advisor and/or professional services as a consultant, unless under the following conditions:
 - a. Projects with Specific Characteristics;
 - b. With clear underlying contracts which cover at least the scope of work, responsibilities, time frame and investment;
 - c. Consultant is an independent party and qualified for the undertaking of the above mentioned project with specific characteristics;
10. To support the effectiveness in the undertaking of its duties and responsibilities, the Board of Directors shall establish Committees;
11. The Board of Directors shall evaluate the performance of the Committees of the end of the accounting year.

Scope of Work and Delegation of Duties amongst the Board of Directors

The Delegation of duties, authorities and responsibilities amongst the Board of Directors is specifically arranged and addressed by virtue of the Decree No.SK.024/DIR/LG/X/2015 dated October 7, 2015 and will be effective until December 31, 2016.

President Director

1. To coordinate the duties amongst the members of the Board and directly responsible for the following functions: Internal Audit, Human Capital, Finance, and Treasury &

Corporate Planning;

2. In collaboration with the Deputy President Director, to coordinate, provide direction to strategic policy and supervise the respective members of the Board to ensure the effectiveness of the undertaking of their duties and responsibilities;
3. To ensure the implementation of GCG Principles at all levels of the organization.

Deputy President Director

1. To coordinate and lead the policy and strategy development in the area of Financing and Funding and to coordinate the initiatives of Business Incubation;
2. To assist the President Director in coordinating and directing the strategic policy to the Directors under supervision;

Compliance and Risk Management Director

1. To coordinate and lead the policy and strategy development in the area of Compliance, Legal and Risk Management;
2. To ensure that all policies, systems and procedures as well as the Bank's business activities are in accordance to the prevailing laws and regulations;
3. To ensure the implementation of GCG Principles at all levels of the organization.

Information Technology Director

1. To coordinate and lead the policy and strategy development in the area of Information Technology;
2. To coordinate the planning and development of information technology in supporting the business development of the Bank.

Operation Director

1. To coordinate and lead the policy and strategy development in the area of Operations;
2. To lead the development and innovation in the area of operation in supporting the business process and business development of the Bank;

the charter of the board of directors

The undertaking of duties and responsibilities of the Board of Directors is governed through the Charter of the Board of Directors. The Charter is periodically reviewed and amended according to the prevailing laws and regulations. The latest amendment on the Charter was No. 05/ PedomanKerja/LG/VII/2016 dated July 14, 2016.

The Charter of the Board of Directors covers:

1. Organization;
2. Independency;
3. Duties and Responsibilities;
4. Function of President Director;
5. Compliance Director;
6. Meetings;
7. Conflict of Interest;
8. Transparency/Disclosure;
9. Term of Office;
10. Relationship with Stakeholders;
11. Work Ethics;
12. Office Hours;
13. Training;
14. Others.

orientation

The President Director shall ensure that the newly appointed member(s) of the Board of Directors are equipped with sufficient information about the Bank in order to fulfill his/her duties and responsibilities – for which the Compliance Director is responsible to provide such information. In 2016, there was not any new member of the Board of Directors.

composition and criteria of the members of the board of directors

Organization

1. The Minimum number of members of the Board of Directors is 3 (three);
2. All members of the Board of Directors must be domiciled in Indonesia;
3. The Board of Directors is chaired by a President Director;
4. Those who can be appointed as the member of the Board of Directors shall be individual who meet the following criteria at the date of appointment and during his/her term of office:
 - a. Demonstrate good character of moral and integrity;
 - b. Is capable to perform legal action;
 - c. During the last 5 (five) years prior to appointment:
 - 1) Had never been declared bankrupt;
 - 2) Had never been the member of the Board of Directors or the member of the Board of Commissioners who have adjudicated to have caused bankruptcy of a Company;
 - 3) Had never been sentenced for a criminal offense;

- 4) Had never been the Member of the Board of Directors or the member of the Board of Commissioners with the following act during his/her term of office:
 - a) Never had held the Annual General Meeting of Shareholders;
 - b) Whose report of accountability as the member of the Board of Directors or the Board of Commissioners had not been accepted by the General Meeting of Shareholders or had not submitted report of accountability as the member of the Board of Directors or the Board of Commissioners to the General Meeting of Shareholders; and
 - c) Had caused the company – with license, approval or registration from the Financial Services Authority – fail to fulfill the obligation to submit the annual report and/or financial report to the Financial Services Authority.
5. All members of the Board of Directors are pledged to comply to the prevailing laws and regulations;
6. All members of the Board of Directors shall have capability in Banking in general and in particular in at least one of the area of Sharia Banking and Finance, Economy, Human Resources, Legal, Technology, Accounting or Audit.
 - a. One member of the Board of Directors shall be appointed as the Compliance Director, to be responsible to ensure compliance to the Sharia Principles, OJK/BI Regulations and other laws and regulations concerning Compliance Director;
 - b. The Compliance Director shall perform compliance function – independent from operating unit;
 - c. In performing the compliance function, the Director must be supported by at least one individual who is capable in Sharia Banking operation.
7. All members of the Board of Directors must have the capability to strategically manage the company in order to develop the respectable Sharia banking;
8. All members of the Board of Directors must have the skills and knowledges in risk management implementation;
9. Any proposal for replacement and/or appointment of the member of the Board of Directors by the Board of Commissioners to the General Meeting of Shareholders shall take into consideration the recommendation of the Remuneration and Nomination Committee;
10. The majority of the members of Board of Directors must have at least 4 (four) years of experience as the Executive Officer in Banking one of which is as the Executive Officer in Sharia Bank or Sharia Business Units;
11. Every member of the Board of Directors must meet the requirement and pass the fit and proper test pursuant to the Financial Services Authority regulation;
12. The members of the Board of Directors are prohibited to hold multiple positions as the member of the Board of Commissioners, the member of the Board of Directors or Executive Officer in other Bank, company and/or other institution, except under the following circumstances:
 - a. Director who is responsible for the Sharia Bank's placement in subsidiary company by performing functional duties as the member of the Board of Commissioners in

the non-bank company controlled by the Sharia Bank; and/or

- b. Director holds position in the maximum of 2 (two) non-profit institutions.
13. The members of the Board of Directors, either individually or jointly, are prohibited from having ownership of more than 25% (twenty five percent) of the paid up capital of the Bank and/or other company;
14. The majority of members of the Board of Directors are prohibited from having a family relationship up the second grade with the other members of the Board of Directors and/or with the members of the Board of Commissioners;
15. The members of the Board of Directors are prohibited from granting power of attorney to other parties that shall escalate transfer of duties of the members of the Board of Directors.

Independency

With regard to transparency of information and disclosure of relationship and management according to the GCG principles, all members of the Board of Directors do not have any financial and/or family relationship with the other members of the Board of Directors, the members of the Board of Commissioners and/or Controlling Shareholders.

With regard to disclosure of dual positions held by members of the Board of Directors as of December 31, 2016, the members of the Board of Directors BTPN Syariah do not hold position as the members of the Board of Commissioners, the members of the Board of Directors and Executive Officer in other banks, companies or other institutions, other than those allowed by the prevailing laws and regulations.

the composition of the board of directors

The Composition of the Board of Directors as of December 31, 2016 is, as follows:

no	name	position	date of appointment
1.	Harry Arief Soepardi Sukadis	President Director	Mei 22, 2014
2.	Ratih Rachmawaty	Deputy President Director	July 14, 2014
3.	Taras Wibawa Siregar	Compliance and Risk Management Director	October 1, 2015
4.	Setiasmo Samami*	Director	July 14, 2014
5.	M. Gatot Adhi Prasetyo	Director	May 22, 2014

* The latest Composition of the Board of Directors according to Deed No.01 dated October 1, 2015

All members of the Board of Directors BTPN Syariah have fulfilled the requirement as the Board of Directors according to the prevailing regulations.

report of the board of directors

The Board of Directors is fully responsible for the management of the Bank. The execution of duties and responsibilities of the Board of Directors BTPN Syariah in 2016 included amongst others:

1. Monitoring the performance of the Bank;
2. The Board of Directors monitored the achievement of business performance and evaluated it against the targeted goals; and monitored the new business initiatives;

3. The Board of Directors reviewed the internal policies and procedures of the Bank;
4. The Board of Directors prepared and approved the Bank Business Plan and formulate Key Strategic Initiative;
5. On regular basis, the Board of Directors monitored the realization of the Bank Business Plan and Key Strategic Initiatives through the Board of Directors Meetings, Coordination Meeting and Strategic Meetings, which were reported to the Board of Commissioners. The Board of Directors reported the realization of the Bank Business Plan regularly to the respective authorities;
6. The Board of Directors conducted the Bank business activities in accordance to the principles of Good Corporate Governance, which included amongst others, proposed to conduct the Annual General Meeting of Shareholders and Extra Ordinary General Meeting of Shareholders for the approval of the Board of Commissioners and reviewed the overall infrastructure of the Bank in form of amendment and refinement of internal policies and procedures of the Bank according to the prevailing regulations;
7. The Board of Directors monitored the implementation of risk management, compliance culture and internal control;
8. The Board of Directors made follow up actions to the audit findings and recommendation of internal audit unit of the Bank, external auditor, supervision report of Financial Services Authority and/or supervision report of other authorities;
9. The Board of Directors performed reviews and evaluations on the implementation of anti-money laundering and combating the financing of terrorism (AML/CFT) on regular basis, anti-fraud through JAGA, as the forms of internal control and monitoring;
10. The Board of Directors performed evaluation on the implementation of training program and DAYA program for customers and community empowerment;
11. The Board of Directors approved performance bonus and salary adjustment for the employees;
12. The Board of Directors approved training and development program for the Employees;
13. The Board of Directors reviewed the overall bank operational activities, which included amongst others monitoring of operating expenses, improvement in customer service delivery, development of new businesses, and strengthening of Bank synergy;
14. The Board of Directors reviewed, monitored and evaluated the overall implementation of branchless banking product BTPN Wow! iB and ensure the compliance of the whole process to the prevailing regulations.

With the Resolutions of Shareholders in the Annual General Meeting of Shareholders in 2016, the Board of Directors had implemented the Resolution of Shareholders which included amongst others the appointment of Public Accounting Firm Tanudiredja, Wibisana, Rintis & Rekan (a member firm of PWC global network) as the External Auditor taking into consideration the recommendation of the Audit Committee and approved by the Board of Commissioners.

performance evaluation of the board of directors

- The Board of Directors shall review its performance of the management function during the accounting year and shall report to the Shareholders at least once a year;
- The Board of Directors shall ensure the fulfillment of the composition and qualification as well as the effectiveness of the Board of

Directions function taking into account the recommendation and advices from the Board of Commissioners;

- The performance evaluation of the Board of Directors is reported to the shareholders in the Annual General Meeting of Shareholders in the form of Annual Report;
- The Remuneration and Nomination Committee conducted performance evaluation to the members of the Board of Directors, taking into consideration the input from the President Director;
- That the remuneration and nomination of the Board of Direction is determined according to the result of performance evaluation of the respective member of the Board of Directors.

training for the board of commissioners and the board of directors in 2016

To support the fulfillment of duties and responsibilities, the members of the Board of Commissioners and the Board of Directors attended training, conferences and strategic seminars in 2016 including amongst others;

1. Brand Audit & Communication Workshop by Ethnomark Consulting, on February 3, 2016, in Jakarta;
2. Temenos Community Forum 2016 by TEMENOS on May 17-19, 2016 in Barcelona;
3. Information Security Cyber Crime and Cyber Law by Rahardja Duta Solusindo Consultant on May 24, 2016 in Jakarta;
4. Hewlett Packard Enterprise Roadmap to the Future of IT Summit 2016 by Hewlett Packard, on 28 Juni – 1 Juli 2016, in Tokyo, Jepang;
5. Risk Management Certification Refresher Program “Essential and Strategic Insights for Managing Resiliency and Technology Risk Effectively Today” by BARA Risk Forum, on August 25-26, 2016 in Jogjakarta;

6. Workshop Compliance and AML Certification for Executives by Communication Forum for Compliance Director in Banking (known in Indonesia term as Forum Komunikasi Direktur Kepatuhan Perbankan (FPDKP)) for preparation of Compliance Certification Level 3, 2nd Batch, on September 1, 2016 in Jakarta;
7. Compliance and AML Certification Level 3 by Professional Banking Certification Institution (known in Indonesia term as Lembaga Sertifikasi Profesi Perbankan (LSPP)) September 17, 2016 in Jakarta;
8. Global Conference IBM Edge 2016 by IBM via Blue Power Technology on September 19-22, 2016 in Nevada, USA;
9. Risk Management Certification Level 4 (Refreshment), by Professional Banking Certification Institution on October 5, 2016 in Jakarta;
10. Refreshment Training Basic Sharia Banking by Karim Consulting Indonesia on December 2016 in Jakarta.

meetings of the board of commissioners and the board of directors

The Board of Commissioners holds meeting with the Board of Directors on periodic basis as part of its supervisory roles to the strategic, financials, operation, compliance and governance aspects.

In 2016, the Board of Commissioners BTPN Syariah conducted 7 (seven) meetings, issued 5 (five) Circular Resolution and each member of the Board of Commissioners made 2 (two) visits to the branch offices in Bandung, Cirebon, Lampung, Lombok, Makassar, and Medan.

The Board of Directors meetings was held 24 (twenty four) times in 2016, issued 4 (four) Circular Resolution and each member of made field visits on regular basis.

The frequency of attendance of each member of the Board of Commissioners and the Board of Directors in the meetings was, as follows:

no	name	the board of commissioners meeting	the board of commissioners meeting attended by the board of directors	the board of directors meeting	the board of directors meeting attended by the board of commissioners
the board of commissioners					
1.	Kemal Azis Stamboel	7/7			1/24
2.	Dewie Pelitawati	6/7			1/24
3.	Mahdi Syahbuddin	7/7			1/24
the board of directors					
1.	Harry A.S. Sukadis		4/7	23/24	
2.	Ratih Rachmawaty		7/7	21/24	
3.	Taras Wibawa Siregar		7/7	24/24	
4.	Setiasmo Samami		6/7	23/24	
5.	M. Gatot Adhi Prasetyo		5/7	24/24	

According to the Charter of the Board of Commissioners BTPN Syariah, the meeting of the Board of Commissioners shall be held minimum 1 (one) time every 2 (two) months of which at least 2 (two) meetings must be physically attended by all members of the Board of Commissioners.

According to the Charter of the Board of Directors BTPN Syariah, the meeting of the Board of Directors shall be held anytime deemed necessary and shall reach quorum and be authorized for binding adoption of the decision if more than ½ (half) of members of the Board of Directors are present and represented.

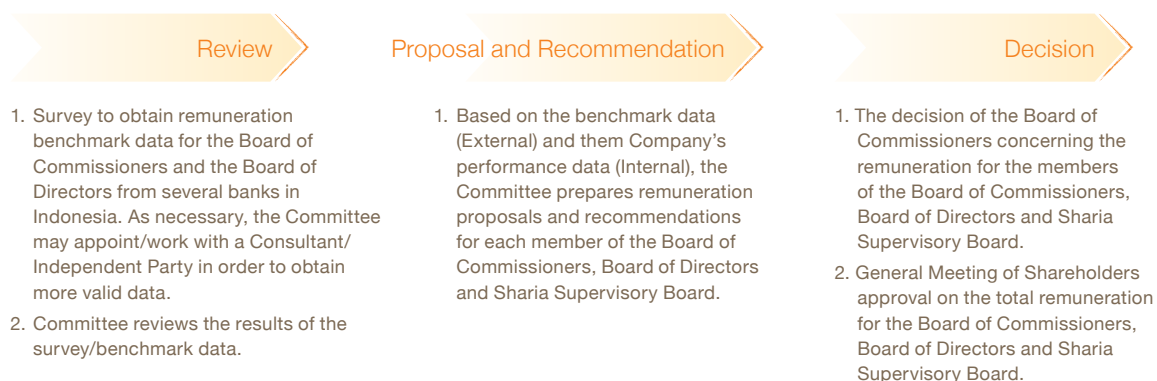
According to the Charter of the Board of Commissioners and the Board Directors BTPN

Syariah as previously mentioned, then the frequency and quorum of the meetings of the Board of Commissioners and the Board Directors BTPN Syariah attended by the Board of Commissioners and the Board Directors in 2016 were in compliant to the prevailing regulations.

remuneration policy

Determination of remuneration and other facilities are pursuant to the Resolution of the Shareholders in the General Meeting of Shareholders taking into consideration the recommendation of the Remuneration and Nomination Committee.

According to the latest Charter of Remuneration and Nomination Committee BTPN Syariah No. 03/PedomanKerja/LG/VI/2016 dated June 16, 2016, the flow process of the remuneration for the member of the Board of Commissioners, the Board of Directors and the Sharia Supervisor Board of BTPN Syariah is, as follows:



remuneration for the members of the board of commissioners, the sharia supervisory board and the board of directors of BTPN Syariah

remuneration type and other facilities	total amount received in 1 (one) year					
	the board of commissioners		the board of directors		the sharia supervisory board	
	number of people	in million rupiah	number of people	in million rupiah	number of people	in million rupiah
1. Remuneration (salary, bonus, routine allowance, tantiem & other facilities in cash form)	3	3,673	5	16,152	2	533
2. Other facilities in received cash form (housing, transportation, health insurance, etc.)						
a. Can be owned	3	365	5	2,074	-	-
b. Cannot be owned	3	28	5	118	-	-
Total	3	4,066	5	18,343	2	533

*) converted into Rupiah equivalent.

The total number of members the Board of Commissioners, the Board of Directors and the Sharia Supervisory Board receiving remuneration package in 1 (one) year is grouped according to the income level.

total remuneration received per person in 1 (one) year ¹⁾	number of commissioners	number of directors	number of sharia supervisory board members
Above Rp2 billion		5	
Above Rp1 billion up to Rp2 billion			
Above Rp500 million up to - Rp1 billion	3		
Rp500 million and below			2

*) in cash.

highest to lowest salary ratio

description	ratio
Highest to lowest employee salary ratio	69.5
Highest to lowest director salary ratio	1.4
Highest to lowest commissioner salary ratio	1.8
Highest Director Salary to Highest Employee Salary Ratio	2.1

disclosure of shares ownership, financial relationship and family relationship of the members of the board of commissioners and the board of directors

As of Desember 31, 2016, no member of the Board of Commissioners and the Board of Directors owns 5% shares in BTPN Syariah and other Banks, financial institutions or companies domiciled in Indonesia or overseas.

All members of the Board of Commissioners and the Board of Directors have no family relationship up to the second degree with the other members of the Board of Commissioners, Board of Directors and/or Controlling Shareholders of the Bank.

All Independent Commissioners and members of the Board of Directors do not have any financial relationship with the Controlling Shareholders of the Bank.

external auditor

In preparing the audited financial statements 2016, BTPN Syariah has appointed Public Accountant and Public Accounting Firm registered in the Financial Services Authority, Tanudiredja, Wibisana, Rintis dan Rekan (a member of PwC global network). The appointment of the Public Accountant and Public Accounting Firm is pursuant to the Resolution of Shareholders in the Annual General Meeting of Shareholders which has granted full power and authorization to the Board of Commissioners for such appointment, taking into consideration the recommendation of the Audit Committee.

Tanudiredja, Wibisana, Rintis & Rekan (a member of PwC global network) has been serving as the external auditor of BTPN Syariah since the accounting year 2015.

The Public Accountant and Public Accounting Firm have completed the duties independently in accordance to the public accountant professional standards and within the terms and condition and specified scope of audit.

Below is the list of the Public Accountant and Public Accounting Firm that have audited BTPN Financial Statements in the accounting year 2016.

accounting year	public accounting firm	period of the public accounting firm	public accountant	period of public accountant
2016	Tanudiredja, Wibisana, Rintis dan Rekan (a member of PwC global network)	3	Drs. M. Jusuf Wibisana, M.Ec., CPA	1

internal fraud

BTPN Syariah pledges itself to prevent any form of fraud and ensures good implementation of anti-fraud strategy in the Bank which includes amongst others ensuring the adequacy and effectiveness of control mechanism such as Prevention, Detection,

Investigation, Reporting and Witness, Monitoring, Evaluation and Follow Up, according to the Anti-Fraud Policy BTPN Syariah which covers:

1. Ensuring the adequacy of internal control system to prevent and control fraud, including implementing risk management, nurturing the anti-fraud culture and imposing deterrent sanction (zero tolerance) for fraudster;

2. Improving the effectiveness of Internal Control by continuously improving the internal control process;
3. Implementing Know Your Employee and identifying fraud potential in every work process in all units;
4. Implementing employee awareness program, for example training on fraud awareness;
5. Creating positive working environment which upholds the values of the Bank and the Code of Conduct and complies to all internal regulations of the Bank as well as the prevailing external laws and regulations;
6. Giving zero tolerance for fraud by imposing deterrent sanction to any employee involved in fraudulent incidents;
7. Conducting "Anti-Fraud Campaign" on a continuous basis through printing and electronic media and echoing moral suasion through email, portal, poster and wallpaper to employees conveying various messages related to anti-fraud education to all employees.

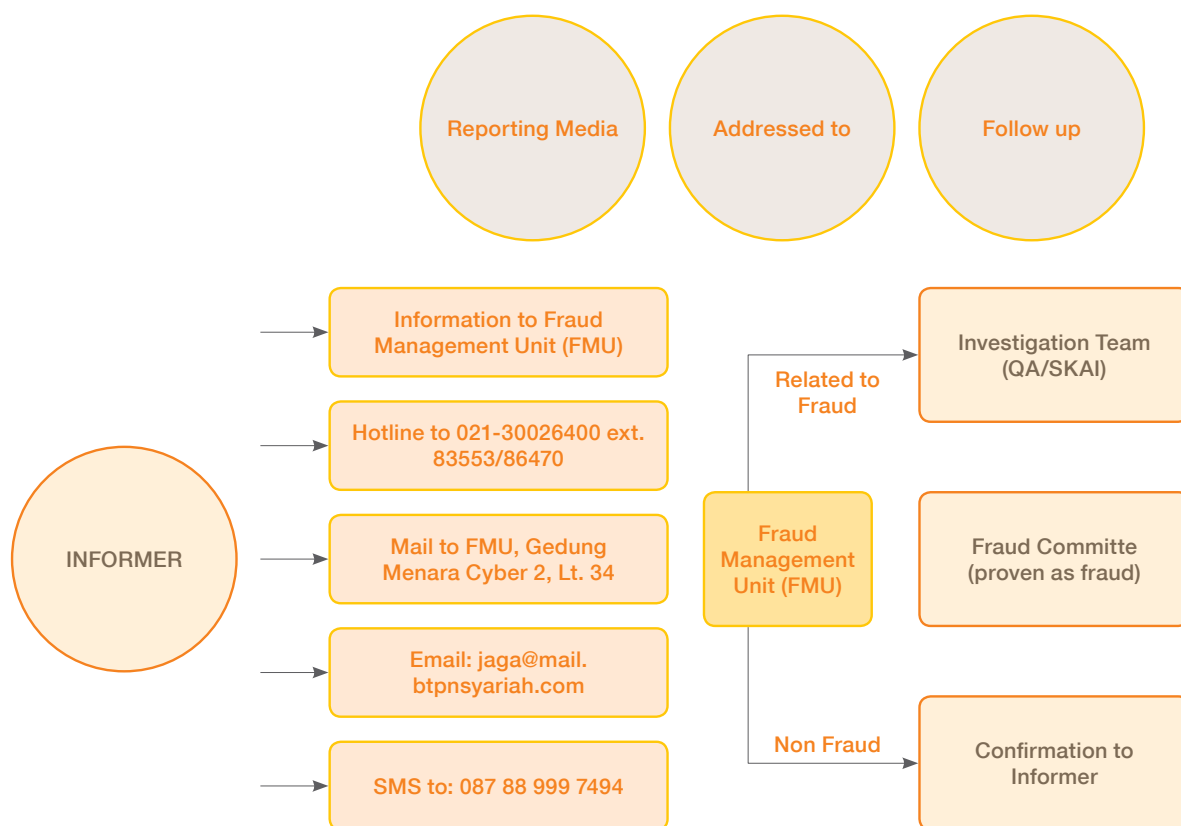
whistle blowing

BTPN Syariah provides facilities to employees to report any indication of fraud incidents through Whistle Blowing System called "JAGA" (Jalankan, Awasi, Gali, Ajukan Laporan – Execute, Control, Probe and Report).

Aimed at encouraging employees participation in preventing, reporting and handling fraud in an effective and efficient manner, BTPN Syariah provides ease of access through several channels and media to report any indication of fraud incidents while maintaining the confidentiality and providing protection guarantee to the information provider. Several media channels to report fraud includes: hotline, email, mail, and SMS which can be easily accessed by employees.

BTPN has developed guidelines and operating procedures on whistle blowing which is updated on regular basis. Those guidelines and procedures are made to provide the rules and principles for the Fraud Management Units and other related unit so that the incoming reports of alleged fraud incidents through Whistle Blowing media "JAGA" shall be administered according to the standards and well documented.

JAGA escalation process



code of conduct

Code of Conduct in BTPN Syariah serves as the guidelines of attitude and behavior for the Board of Commissioners, the Sharia Supervisory Board, the Board of Directors, Independent Parties, and all Employees in the undertaking of their duties and responsibilities and in decision making which ensures congruence with the values, Vision and Mission of BTPN Syariah and other prevailing regulations.

The guidelines of attitude and behaviour according to the Code of Conducts include amongst others:

1. Vision, Mission, Corporate Values, the Objectives of the Code of Conduct, and the Scope of the Code of Conduct;
2. Compliance and Risk Management;
3. Conflict of Interest;
4. Creating Conducive Working Environment (including Fair Treatment to all Employees, Anti-Discrimination and Anti-Harrassment, Work Safety, the Use of Company Facility, Outside-Work Activity, the Use of Social Media);
5. Information Security and Management;
6. Relationship with Customers and Stakeholders (including Relationship with Customers, Relationship with Vendors, Relationship with Regulators, Bribery and Corruption, Giving and Receiving Gift, Anti Money Laundering);
7. Enforcement of Code of Conduct (including Roles and Responsibilities, Violations of the Code of Conduct).

enforcement of code of conduct

BTPN Syariah pledged to implement the good corporate governance by enforcing code of conduct as the internal guidelines governing the values system, business ethics, and work ethics in order to build employee behavior according to the ethical standards and the prevailing laws and regulations in the undertaking of the business activities and the interaction with stakeholders.

BTPN Syariah has consistently disseminated the Code of Conduct to ensure its comprehension by all leaders and employees of the Bank which eventually will manifest in good practices and behaviors.

As the principles are deeply rooted in the corporate culture, all the leaders and employees of BTPN Syariah will voluntarily accept and follow the rules and regulations. BTPN Syariah imposes deterrent sanctions for every fraud and violations of the code of conduct.

self assessment report on good corporate governance implementation pt bank tabungan pensiunan nasional syariah ("BTPN Syariah")

governance structure

BTPN Syariah has developed the required structure and infrastructure in accordance with the prevailing regulations in order to support the implementation of good corporate governance.

The governance structure involves amongst others:

- Fulfillment of the Composition of the Board of Commissioners, consisting of expert and experienced professional with integrity, competency and good reputation to perform control and supervision to the implementation of GCG and compliance function;

- Fulfillment of the Composition of the Board of Directors who demonstrates the competency, integrity and in-depth knowledge and experience in banking industry. The Board of Directors has also made the efforts to improve the compliance culture and GCG implementation;
- The Board of Commissioners' Committee and the Board of Directors' Committee are established according to regulations and each Committee has its own Charter which is amended regularly;
- The Composition of the Sharia Supervisory Board has complied with the regulations and the Board has performed its duties and responsibilities according to the Charter;
- The formation of Units to execute the business development of the Bank, manage operations, implement risk management and perform internal control has been done, including Internal Audit Unit, Risk Management Unit, Compliance Unit, Business Teams, Operations Teams, Information Technology Teams, Human Capital and Legal.

Respectively, each unit shall submit report concerning its implementation of duties and responsibilities to the Board of Commissioners through the Board of Commissioners meetings or through the Board of Commissioners' Committee, i.e. Audit Committee, Remuneration and Nomination Committee, Risk Monitoring Committee and to the Board of Directors through the Board of Directors Meetings and the Board of Directors' Committee – Business Committee, Human Capital Committee, Information Technology Steering Committee, Risk Management Committee and Assets and Liabilities Committee (ALCO).

The Bank governance infrastructure includes amongst others:

- The Bank pledged to provide the governance infrastructure for the Bank;
- The governance instruments include amongst others the policies and procedures according to the prevailing laws and regulations. The Bank amends and refines the main policy, that is the GCG Policy, and amend and refine the Risk Management Policy, Financing Policy, Operational Policy, Compliance Policy, and other related internal procedures;
- To ensure the optimum function of the Committees, regular amendments and refinement are made to the Charters, including Charter of the Board of Commissioners, Charter of Audit Committee, Charter of Risk Monitoring Committee, Charter of Remuneration and Nomination Committee, Charter of the Board of Directors, and Charters of the Board of Directors' Committee, that includes Charter of Business Committee, Charter of Human Capital Committee, Charter of Information Technology Steering Committee, and Charter of Risk Management Committee; and also also Charter for the Sharia Supervisory Board and Internal Audit Charter;
- The review and amendment are made on regular basis covering reviews on the core duties and function of each element in the organization structure.

The appointment of Public Accounting Firm that audited the Bank's book in 2016 has been conducted in an objective manner taking into consideration the recommendation of the Audit Committee and has fulfilled the legal requirement and professional standards of public accountant for auditing purposes.

Improving the implementation of GCG remains the ultimate commitment of the management. The

implementation is always reviewed on periodic basis according to the development of the business of the Bank.

governance process

Good corporate governance practices have been implemented well in BTPN Syariah, the supervision of the Board of Commissioners worked effectively through the meetings of the Board of Commissioners and the Board of Commissioners' Committee that were held on regular basis and well documented. The Board of Commissioners received the report of the implementation of recommendations that were discussed and decided in the meetings in the respective units. In the event that decisions were made outside the meeting, it was assured that the decision made outside the meeting of the Board of Commissioners and its Committee were always in accordance to the prevailing regulations and the Articles of Association.

The Board of Commissioners has performed its supervisory roles and provided advices to the Board of Directors, and also provided direction, monitoring and evaluation to the implementation of strategic policy. The Board of Commissioners also monitored the follow up action by the Board of Directors to the audit findings both internal and external audit. Supervisory roles were also performed through the Board of Commissioners visits to a number of branches, Mobile Marketing Sharia and *Sentra* to ensure that good governance was well implemented throughout the organization.

The implementation of good corporate governance by the Board of Commissioners Committee in the undertaking of its duties and responsibilities in 2016 included amongst others:

1. The Audit Committee monitored and evaluated the Bank Financial Performance on periodic basis, prepared external audit plan for 2016,

provided recommendation for the appointment of Public Accounting Firm, monitored the internal fraud handling, reviewed the Charter on regular basis, and monitored the Bank strategic actions;

2. The Risk Monitoring Committee has prepared the Committee Work Plan, reviewed the Policy to ensure Human Capital sufficiency in the field, monitored the implementation of Internal Capital Adequacy Assessment Process (ICAAP) thoroughly and consistently; controlled and monitored Bank Risk Based Bank Rating (RBBR) and reviewed the Charter on regular basis;
3. The Remuneration and Nomination Committee has prepared the Committee Work Plan, provided recommendation the Board of Commissioners concerning annual remuneration for the Board of Commissioners, the Board of Directors, and Sharia Supervisory Board in 2016, conducted self-assessment to the Board of Directors candidates and the Board of Commissioners candidates, and provided recommendation to the Board of Commissioners concerning the nomination of candidates of the Board of Directors, the Board of Commissioners, and Sharia Supervisory Board; and reviewed to the Charter on periodic basis.

Good corporate governance practices have been implemented well by the Board of Directors through the meetings of the Board of Directors and its Committee that were held once a week. In the event that decisions were made outside the meeting of the Board of Directors and its Committee, it was assured that the decision made outside the meeting were always in accordance to the prevailing regulations and the Articles of Association.

The Board of Directors performed supervision to the overall operational activities of the Bank by visiting branches, Mobile Marketing Sharia and *Sentra* to ensure that good governance was well implemented and to capture the aspirations of the employees which serve as an important consideration in formulating the strategic policies of the Bank.

Good corporate governance was implemented by the Sharia Supervisory Board in delivering its duties and responsibilities in 2016. The Sharia Supervisory Board ensured the availability of Meeting Agenda, implementation of Routine Monthly Meetings which produced opinions and approval of Sharia Supervisory Board on certain matters pertaining amongst others Financing Facility for Handphone Ownership for Customers, Account Opening Forms for Customers of BTPN Wow! iB, Deferment of Retention Fee Payment after the Collection Period to be acknowledged as non-operating income, the use of BTPN Account by the Laku Pandai Agents BTPN Wow!, Promotion Program for Tabungan Taseto Premium iB and Taseto Mapan iB, Policy Framework and Mechanism for Profit Sharing, DPS Affirmation on the Use of Social Fund, the Use of Conventional Insurance and Payroll for the employees of BTPN Syariah, Product Program BTPN Wow! iB bundled with T-Cash, Approval on Repo Products and Reverse Repo of Sharia Securities with Bank Indonesia and Approval on the Amendments to the Good Corporate Governance Policy.

The implementation of good corporate governance by the Sharia Supervisory Board was also related to matters pertaining to double positions. The supervisory roles were also performed by the Sharia Supervisory Board through a number of visits to branches, Mobile Marketing Sharia and *Sentra* to ensure that good governance is well implemented throughout the organization and is in accordance with the Sharia Principles.

The good corporate governance practices in the Internal Audit Unit is implemented by way of ensuring the independency of the Internal Audit to the operating units. In the auditing process, Internal Audit has implemented the risk based audit process covering the area of governance process, risk management and internal control. The Internal Audit Unit has consistently improved the Compliance Culture and Risk Management Unit conducted continuous dissemination of risk awareness to the employees. All the units in the Bank have worked in collaboration to support the Board of Directors to ensure good corporate governance practices at all levels of the organization.

governance outcome

The Board of Commissioners, the Sharia Supervisory Board and the Board of Directors work in collaboration in all area of the Bank to ensure the implementation of the good corporate governance.

The Board of Directors has implemented the Good Corporate Governance Principles and the Sharia Principles in all business activities of the Bank, by reinforcing the compliance culture, applying risk management and strong internal control; and by ensuring transparency by way of preparing routine reports and incidental report as disclosure of information. Every year the Board of Directors submit the report of accountability through the Bank Annual Report.

Financial report which reflects the financial performance of the Bank was submitted to the respective financial authorities and financial publication reports were well presented. To maintain customers satisfaction the Bank administered complaint handling in a structured manner in all offices network throughout Indonesia.

Along with the development of the business of the Bank, human capital development is one focal point in ensuring the good governance in every business activity. The Bank continuously conducts training and certification program for the employees. The Board of Commissioners, the Sharia Supervisory Board and the Board of Directors have attended the development program through a series of training and refreshment in 2016.

To nurture the culture of compliance, the Bank facilitated coordination amongst units within the organization structure and ensure the transparency of financial and non-financial matters that need to be disclosed to the stakeholders and related authorities. The Bank always refines the website and improves the information management system to provide transparent information about the Bank products and services.

The achievement of the Bank Business Plan reflected the sustainable growth of the Business which has delivered economic as well as non-economic benefits to the stakeholders, particularly the targeted market segment with the Daya program as the leading platform for capacity building through a series of training programs and other services. Significant efforts to fulfil the social responsibility have been made – throughout 2016 and will continue in the years ahead – by integrating social mission and business mission in products, services and business activities in serving the productive poor families in Indonesia.

The Bank pledged to continuously refine the quality of good corporate governance implementation at all levels in the organization – making every business process and outcome always in compliance to the regulations in a achieving the Bank Vision and Mission.

implementation of financial literacy education for customers and society

The Bank – as a Sharia Bank operating since July 14, 2014 – provides general education in financial literacy to the customers and society since August 2014.

In line with the Bank Business Plan and its vision and mission to empower and make a difference in the lives of millions, the Bank is committed to consistently provide education program in financial literacy with the priorities to the mass market customers and communities. The education is delivered through dissemination of information regarding access to financial services especially financing and saving; and through the projection meeting by which the officers communicated the bank products and services to the mass market communities, Basic Membership training by which the mass market communities obtain deeper understanding on products features and benefits (Paket Masa Depan), terms and conditions; as well as the basic financial / cash management knowledge and other practical matters through Daya training programs provided free of charge for the customers and family.

Basic Membership Training which included the training on basic financial and cash flow management was received by 299,535 participants by December 2016. The Entrepreneurial training which covered subjects related to financial and business development was received by 187,952 participants by December 2016. The other Daya program on health was received by 247,710 participants by December 2016.

The Board of Commissioners, the Sharia Supervisory Board and the Board of Directors pledged to ensure the implementation of good corporate governance implementation at all levels in the organization.

internal audit report

As the third line of defense in the Internal Control System, Internal Audit plays an important role in securing the business activities of the Bank and, therefore, in achieving its vision and mission. In its roles, the Internal Audit is accountable to provide assurance to the Bank by performing auditing process in an objective manner – conducting independent assessment to the Bank's governance process, risk management and control in its activities to achieve the goals. The Internal Audit function is performed by Internal Audit Division.

In undertaking the function, Internal Audit referred to Bank Indonesia Regulation No. 1/6/PBI/1999 dated September 20, 1999 concerning Assignment of Compliance Director and Implementation of the Standards of Internal Audit Function by Commercial Bank; and BAPEPAM Regulation LK No.Kep-496/BL/2008 dated November 28, 2008 concerning Guidelines for the Establishment of Internal Audit.

internal audit charter

Implementation of Internal Audit Process is governed in an Internal Audit Charter, signed by the President Director and approved by the Board of Commissioners with latest amendments on October 12, 2016.

internal audit of vision and mission

Vision: To be the Bank's Strategic Partner in monitoring the Governance Process, Risk Management and Control (GRC) performed by competent and professional auditors applying best practices of audit standards.

Mission: To provide assurance to the Bank in achieving the Bank's objectives through independent and objective consultation which delivers added value to the Bank.

independency and position of internal audit organization

As an independent unit, Internal Audit BTPN Syariah reports directly to the President Director and may communicate directly to the Board of Commissioners to inform matters pertaining to audit. The information to the Board of Commissioners must be reported to the President Director copy furnished to the Compliance Directors. Internal Audit BPTN Syariah, therefore, does not have any responsibilities nor reporting relationship to the other operating units of the Bank which may influence its independency in performing the audit function. The independency also manifests in the appointment and termination of Internal Audit Head by the President Director with approval from the Board of Commissioners.

the scope of work of internal audit

The scope of work of Internal Audit covers the analysis and evaluation of the adequacy and effectiveness of the governance process, risk management and internal control in all aspects of the Bank activities.

the authority of internal audit

In fulfilling its duties and responsibilities, Internal Audit is empowered with the following authorities:

1. Is granted unlimited access to all functions of the organization – record, employee data, resources, funds and other Bank Assets as required in the implementation of audit process;
2. To allocate resources, determine the frequency, subject and scope of the audit process to achieve the audit objectives;
3. To apply the audit method according to professional standard and generally accepted auditing standards with necessary adjustment to the situation in the work place;
4. To obtain assistance from personnels in the audited units and experts both from internal and external of the organizational;
5. To communicate directly with the Board of Directors, the Board of Commissioners, and Audit Committee.

duties and responsibilities of internal audit

In line with the mission of Internal Audit, the duties and responsibilities of Internal Audit are, as follows:

1. To prepare annual audit plan;
2. To implement the approved audit plan and analyze and evaluate the effectiveness of GRC in order to support the optimum achievement of Bank's goals and objectives;
3. To identify opportunities to improve the effectiveness of resources utilization;
4. To submit report on periodic basis to the President Director and to the Board of Commissioners through the Audit Committee, which summarizes the result of audit activities, with a copy furnished to the Compliance Director;
5. To monitor and report the progress of the follow up actions of audit results including the follow up actions of the audit results of Bank Indonesia;
6. To perform special audit whenever deemed necessary;
7. To work in collaboration with the external auditor to ensure a comprehensive audit result;
8. To develop program to evaluate the quality of Internal Audit activities.

internal audit organization

There are 3 (three) functions within in the Internal Audit Organization of BTPN Syariah:

1. Business Audit Function

Responsible to perform regular audit on the business area, audit investigation and monitor the follow up actions of the audit results.

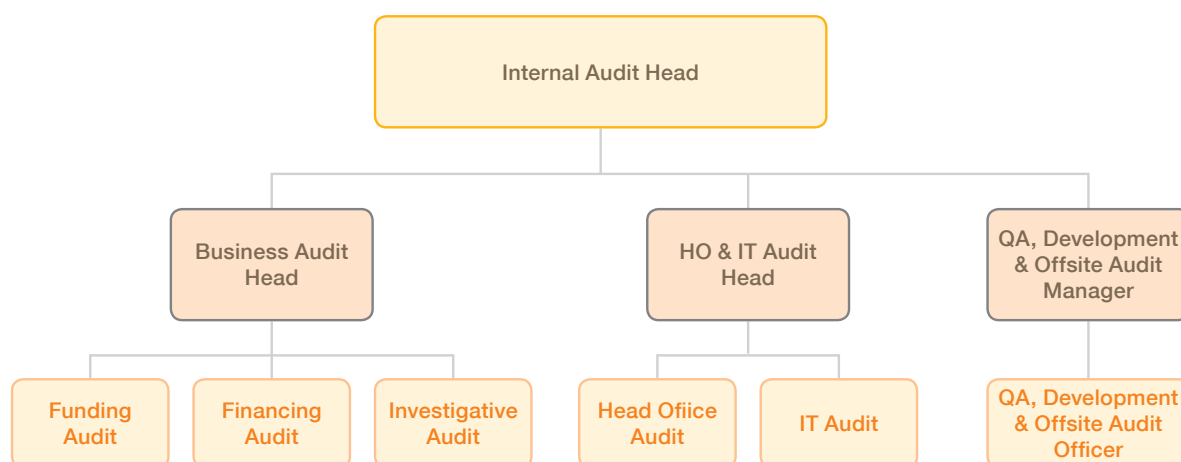
2. Head Office & IT Audit Function

Responsible to perform regular audit on the Head Office and IT area and monitor the follow up actions of the audit results.

3. QA, Development & Offsite Audit Function

Responsible to perform Annual Audit Planning facilitation, Methodology & Tools Development, Auditor Development facilitation, Audit Quality Assurance, Off-site Audit, Data Support & MIS, Internal & External Regular Reporting, and Administration Support.

internal audit organization structure



implementation of audit in 2016

In 2016, Internal Audit has implemented the audit plan and program, including:

1. Conducted thematic audit focusing on the implementation of strategic initiatives of the Bank and high-risk area;
2. Conducted audit to the distribution channels (Area and Branches);
3. Conducted mandatory audit (SKN & RTGS).

The audit results was used as the basis for evaluation from a number of perspectives, such as policies, business processes, operational processes, infrastructures or human capital management perspectives. Internal Audit monitored the follow up actions to ensure that every problem was solved and that every risk was properly mitigated. To assure this follow up actions, the audit result and its progress are reported to the Board of Directors and the Board of Commissioners through the Audit Committee. At the end of 2016, the follow up actions for improvement have been timely executed as scheduled.

implementation standards and quality development

Implementation of audit refers to the Implementation Standards for the Bank Internal Audit Function (SPFAIB) and the Internal Audit Policy BTPN Syariah. To improve the audit quality, Internal Audit continues to develop the audit methodology and refine the audit program according the development of business processes and best practices such as The Institute of Internal Auditors (IIA) and Information System Audit and Control Association (ISACA).

Internal Audit also has Code of Conduct as the guiding principles for all auditors in the undertaking of duties, including the obligation to uphold integrity and objectivity, maintain confidentiality and continuously improve competency.

organization and human capital

To improve the functions and roles of Internal Audit, a number of initiatives have been made in 2016 to improve the organization capacity and develop the human capital of Internal Audit. Improvement of organizational capacity is done by recruiting a several key positions including Funding Audit Team Leader and IT Audit Team Leader.

Human Capital Development of Internal Audit is done by way of improving skills and competencies of auditor through a series of training program both internal and external. Several in-house training programs that have been conducted for auditors in 2016 were, amongst others: Root Cause Analysis, Speed Reading & Mind Mapping, and Report Writing. Auditors also attended a number of training program from external parties, such as: COSO 2013, Implementing the Framework, Tools & Techniques (Manager & Auditor), Fraud Investigator, an Introduction to IT Auditing, and several others.

To certify competency, several auditors have attend training as preparation for certification examination, including Certified Internal Audit (CIA), Certified Information System Auditor (CISA) and Certified Fraud Examiner (CFE).

compliance

report

Improvement of compliance culture is an on-going initiative in the Bank. Awareness to manage compliance risk and consistency of compliance implementation at all levels of the organization will significantly improve the performance of the Bank.

Compliance Culture is the values, behaviors, and actions that promote compliance to the regulations of Bank Indonesia or Financial Services Authority and other prevailing laws and regulations and the Sharia Principles. Nurturing the compliance culture requires communication media to disseminate the expected values and behaviors in such a way that is easy to understand, and thus, implemented.

To ensure the implementation of Good Corporate Governance in the management of the Bank, it is important to ascertain the effectiveness of check and balances process and the control system in the Bank. A number of initiatives have been done to implement Compliance Culture in 2016, including amongst others:

1. Active Supervision by the Board of Commissioners, the Board of Directors, and Sharia Supervisory Board

A number of activities have been consistently performed, including the Board of Commissioners evaluation on the compliance implementation in the Board of Commissioners meeting – which must be held at least twice a year, the Board of Directors evaluation to the compliance implementation in the Board of

Directors quarterly meetings and the evaluation of Sharia Supervisory Board to the new products or to-be-launch products through the Sharia Supervisory Board monthly Meetings or through direct supervision to the field every semester.

2. Establishment of Compliance Organization

The Bank has established an organization to ensure good implementation of Compliance in the Bank by appointing one member of the Board of Directors to supervise the Compliance Function. In performing the duties, the Compliance Director is supported by the Compliance Unit. The formation of the organization is in accordance to the prevailing regulations – with a clear roles and responsibilities being independent from the other operating units of the Bank.

3. Implementation of Compliance Framework

In promoting a Compliance Culture, the Bank has adequately implemented Compliance Risk Management by applying the compliance framework as the main reference in executing the compliance function.

The activities include identification of compliance risk by reviewing draft of policy, operating procedures and other Bank documents; determination of the prudent parameters – that is the financial ratios that must be monitored, and identification of reports that must be fulfilled by the Bank to avoid sanctions.

Measuring compliance risk is done by using quantitative or qualitative methodology that is determined according to the availability of data and information in the Bank.

Monitoring Compliance Risk is performed by ensuring the fulfillment of identified matters, conformity between internal and external regulations and monitoring the Bank's obligation to the external parties, which includes but not limited to the follow up actions to the audit findings of Bank Indonesia or Financial Services Authority.

In addition to the above, the Bank has also developed an adequate management information system which provides information as required by internal and external regulation accessible through corporate portal for all employees, an effective reminder mechanism to help improve compliance to the regulations and the Bank's commitment to the regulators and structured documentation of every compliance risk events.

Controlling Risk Compliance is done by reviewing compliance policies and procedures, implementing compliance checks on periodic basis and implementing assurance processes to all functional activities of the Bank.

4. Integrated Governance Implementation

As part of a financial conglomeration, the Bank has implemented Integrated Governance in a comprehensive and effective manner according to the regulations of Financial Services Authority concerning the Implementation of Integrated Governance for Financial Conglomeration.

5. Submission of Compliance Reports and the Sharia Supervisory Board Supervision Reports

The implementation of compliance is reported in the Internal and External Reports that have been submitted to the Financial Services Authority according to the prevailing regulations. The Supervision Report of the Sharia Supervisory Board were as well submitted to the Financial Services Authority on periodic basis according to regulations. In 2016, the Sharia Supervisory Board has made visits to a number of branches in Makassar, Kupang, Medan, Aceh, Palembang and Pontianak.

6. Dissemination of External Regulation and Training

A number of activities have been initiated by the Bank to nurture the Compliance Culture, including amongst others the dissemination external regulations through Compliance Bulletin, communication media to employees, or through direct dissemination to the related units, and conducting regular mandatory compliance training programs for employees to instill the values of compliance.

The achievement of financial ratios is a manifestation of good management of compliance risk, such as:

- No violation of legal lending limit;
- KPPM is well maintained – above the requirement;
- CKPN is well preserved – more than 100% requirement;
- NPF is maintained below the tolerated number;
- GWM is maintained according to regulations;
- Risk based bank rating (RBBR) by December 2016 – with self assessment method – is rated 2 (healthy).

The above achievements were made possible by the support of the following activities:

- Establishment of Compliance Portal containing internal and external regulations as the underlying guidelines in doing work processes – accessible for all employees;
- Establishment of Compliance Division with a clear organization structure and competent people;
- Improvement of communication both internal and inter-division – making compliance culture as a shared responsibility of the whole organization;
- Improvement of information dissemination particularly related to newly issued external regulations – making it easy to understand and implement by the respective units.

compliance work plan

In addition to continuing the initiatives that have been done thus far, to further improve the effectiveness of Compliance Function a number of activities will be implemented to strengthen the Compliance Culture, including:

1. Improvement of Compliance Culture
Dissemination through a number of communication programs;
2. Strengthening the Control Mechanism, both through the internal control and through coordination of independent controllers.

Clear segregation of duties is also one way of implementing strong control mechanism that will be further reinforced. Good inter-unit coordination will improve the effectiveness of Governance Process, Risk Management dan Compliance (GRC).

The implementation of the above action plan is expected to result in improved governance and compliance in BTPN Syariah.

committee report

the board of commissioners' committee

According to the good corporate governance principles, the Board of Commissioners shall establish Committees to support the Board in fulfilling its duties and responsibilities. The Board of

Commissioners' Committees in BTPN Syariah are, as follows:

risk monitoring committee

composition of risk monitoring committee

The latest Composition of Risk Monitoring Committee BTPN Syariah is referring to the Board of Directors Decree No. SK.023/DIR/LG/X/2015 dated October 1, 2015 being effective to December 31, 2016.

The Composition of Risk Monitoring Committee BTPN Syariah as of December 31, 2016 is:

no	name	position	date of appointment
1.	Dewie Pelitawati (Member of the Board of Commissioners / Independent Commissioner)	Chairman of Committee and Member	June 13, 2014
2.	Kemal Azis Stamboel (President Commissioner / Independent Commissioner)	Member	April 17, 2015
3.	Mahdi Syahbuddin (Member of the Board of Commissioner)	Member	October 1, 2015
4.	Azis Budi Setiawan (Independent Party)	Member	September 15, 2014
5.	Muhammad Faisal Muchtar (Independent Party)	Member	September 15, 2014

The establishment of Risk Monitoring Committee has met all the requirements and in accordance to the good corporate governance principles.

duties and responsibilities of risk monitoring committee

According to the latest Charter of the Committee, No.04/PedomanKerja/LG/VII/2016 dated July 14, 2016, the main duties and responsibilities of the Risk Monitoring Committee is to provide independent professional opinion to the Board of Commissioners concerning the reports and other matters presented by the Board of Directors to the Board of Commissioners and to identify matters requiring attention of the Board of Commissioners, including amongst others:

1. To Annual Work Plan of the Committee and obtain approval of the Board of Commissioners;
2. To providing independent professional opinion to the Board of Commissioners concerning the reports and other matters pertaining to risk management presented by the Board of Directors to the Board of Commissioners and to identify matters requiring attention of the Board of Commissioners;
3. To evaluate risk appetite and risk limit to be approved by the Board of Commissioners;
4. To analyze the effectiveness of Risk Management Unit and Risk Management Committee;
5. To evaluate the conformity between the risk management policy and its implementation;
6. To monitor and evaluate the work of the Risk Management Committee and the Risk Management Unit in order to provide recommendation to the Board of Commissioners;

7. To evaluate the Bank Risk Management Policy at least once a year;
8. To evaluate the Risk Management Policy Implementation Report of the Board of Directors at least on quarterly basis;
9. To keep the confidentiality of all the data and information document of the Bank;
10. To conduct investigation or granting the authority to conduct investigation in certain matters;
11. To work in collaboration with the external consultant, accountant or other external party who provide advices to the committee with regard to the investigation, and searching for information from employees of the collaborating partners upon the request of the Committee;
12. Duties other than the above mentioned, as tasked by the Board of Commissioners to the Committee according to its function and duties whenever deemed necessary.

authority of the risk monitoring committee

1. The Committee is authorized to obtain full, free and unlimited access to information on employees, funds, assets and other Bank resources in fulfilling its duties and responsibilities;
2. In exercising the authority, the Committee shall be working with the Risk Management Unit and/or other unit as deemed necessary.

independency of the risk monitoring committee

1. Independent Commissioner is the member of the Board of Commissioner who does not have financial relationship, management, shares ownership, and/or family relationship with the other members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner;
2. Independent Party is the party outside the Bank who does not have financial relationship, management, shares ownership, and/or family relationship with the members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner.

risk monitoring committee report

The Risk Monitoring Committee has been actively providing recommendation to the Board of Commissioners. As of December 31, 2016; the Risk Monitoring Committee has held 6 (six) meetings and made 2 (two) visits to the Branches in Cirebon, Makassar, Bandung, Lombok, Lampung and Medan.

During 2016, the Committee has discussed and provided recommendation which included amongst others:

1. The Committee prepared and approved the work plan and program for 2016;
2. The Committee conducted review and evaluation to the policy and implementation of risk management contained in the Standard Deck Risk;
3. The Committee conducted supervision to the work of Risk Management Committee and Risk Management Unit and risk monitoring in each business unit;
4. The Committee conducted evaluation and analysis of the Bank risk profile;
5. The Committee conducted supervision to the implementation of Internal Capital Adequacy Assessment Process (ICAAP) in a thorough and consistent manner;
6. The Committee conducted supervision and monitoring to the handling of internal fraud incidents;
7. The Committee conducted supervision and monitoring to Risk Based Bank Rating (RBBR);
8. The Committee conducted reviews on the Charters on periodic basis;
9. The Committee performed control to the implementation of the Bank's strategic actions and implementation of the Bank's product from the risk perspective.

audit committee

composition of audit committee

The latest composition of Audit Committee BTPN Syariah is according to the Board of Directors Decree No. SK. No.022/DIR/LG/X/2015 dated October 1, 2015 being effective until December 31, 2016.

The latest composition of Audit Committee BTPN Syariah as of December 31, 2016 is, as follows:

no	name	position	date of appointment
1.	Kemal Azis Stamboel (President Commissioner/Independent Commissioner)	Chairman of the Committee and Member	June 13, 2014
2.	Dewie Pelitawati (Independent Commissioner)	Member of the Committee	April 17, 2015
3.	Mahdi Syahbuddin (Commissioner)	Member of the Committee	October 1, 2015
4.	Azis Budi Setiawan (Independent Party)	Member of the Committee	September 15, 2014
5.	Muhammad Faisal Muchtar (Independent Party)	Member of the Committee	September 15, 2014

The establishment of Audit Committee has met all the requirement and in accordance to the good corporate governance principles.

duties and responsibilities of audit committee

The Audit Committee, according to latest Charter No.02/PedomanKerja/LG/VII/2016 dated July 14, 2016, is responsible to perform monitoring and evaluation of the external audit implementation and monitoring of the follow actions of audit result in order to assess the adequacy of internal control including the adequacy of financial reporting process.

The Committee is tasked to provide independent professional opinion to the Board of Commissioners concerning the reports and other matters presented by the Board of Directors to the

Board of Commissioners and to identify matters requiring attention of the Board of Commissioners, including amongst others:

1. To monitor and evaluate the implementation of internal and external audit and the respective follow up actions to ensure the adequacy of internal control including the financial reporting process;
2. To review the financial information issued by the Bank, including financial statements, financial projection and other financial information; and ensure that the financial statements is in accordance to the prevailing accounting standards;
3. To analyze the Bank compliance to the laws and regulations in capital market and the other prevailing regulations;

4. To provide recommendation on the appointment of Public Accounting Firm to the Board of Commissioners, taking into account the following factors – independency, scope of work, and fee – and ensure that the implementation of audit by the public accountant is in accordance to the audit standards;
5. To analyze the Public Accounting Firm and the compliance of the audit process to the audit standards;
6. To analyze the adequacy of examination by the Public Accounting Firm to ensure that all risks have been properly considered;
7. To monitor and evaluate the follow up actions of the Board of Directors to the findings of Internal Audit Unit and the supervision results from the Financial Services Authority and Bank Indonesia in order to provide recommendation to the Board of Commissioners;
8. To analyze claim against the Bank and report it to the Board of Commissioners;
9. To keep the confidentiality of all document, data and information of the Bank;
10. To conduct investigation or grant the authority to do investigation in certain matters;
11. To work in collaboration with the external consultant, accountant or other external party who provide advices to the committee with regards to the investigation, and searching for information from employees of the collaborating partners upon the request of the Committee;
12. The Audit Committee provides independent opinion in the event of dispute between the management and public accounting for the services rendered.

authority of audit committee

1. The Committee is authorized to obtain full, free and unlimited access to information on employees, funds, assets and other Bank resources in fulfilling its duties and responsibilities;
2. In exercising the authority, the Committee shall be working with the Internal Audit Unit and/or other unit as deemed necessary;
3. To involve independent party outside the Audit Committee to assist the undertaking of its duties whenever deemed necessary.

independency of the audit committee

1. Independent Commissioner is the member of the Board of Commissioner who does not have financial relationship, management, shares ownership, and/or family relationship with the other members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner;
2. Independent Party is the party outside the Bank who does not have financial relationship, management, shares ownership, and/or family relationship with the members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner.

audit committee report

The Audit Committee has been actively providing recommendation to the Board of Commissioners. As of December 31, 2016; the Audit Committee has held 7 (seven) meetings and issued 1 (one) Circular Decision of the Committee and made visits to the Branches in Bandung, Cirebon, Lampung, Lombok, Makassar, and Medan.

In 2016, the Audit Committee has discussed and provided recommendations, amongst others in the following matters:

1. The Committee prepared and approved the work plan and program for 2016;
2. The Committee monitored and evaluated the Bank financial performance on periodical basis;
3. The Committee reviewed the proposed Financial Statements of the Bank for accounting year 2014, 2015 and 2016;
4. The Committee discussed the external audit plan 2016 and provided recommendation regarding external auditor appointment;
5. The Committee monitored and evaluated the implementation of Internal Audit in 2016 and monitored the follow actions of the audit findings and provided recommendation to ensure:
 - a. The implementation of BTPN Wow! Products is in line with the Business Plan;
 - b. Fulfillment and development of human capital which focused on matters pertaining to employee turn over, cost of recruitment, effectiveness of employees retention programs;
 - c. Information Technology Development.
6. The Committee reviewed Audit Plan 2016;
7. The Committee monitored the Bank's compliance to the prevailing regulations;
8. The Committee conducted supervision and monitoring to the handling of internal fraud incidents;
9. The Committee conducted reviews on the Charters on periodic basis;
10. The Committee monitored the implementation of the Bank's strategic actions.

remuneration and nomination committee

composition of remuneration and nomination committee

The latest composition of Remuneration and Nomination Committee BTPN Syariah is according to the Directors Decree No. SK.026/DIR/LG/X/2015 dated Oktober 8, 2015 concerning the Composition of Remuneration and Nomination Committee being effective until December 31, 2016.

The latest composition of Remuneration and Nomination Committee as of December 31, 2016 is, as follows:

no	name	position	date of appointment
1.	Kemal Azis Stamboel (President Commissioner/Independent Commissioner)	Chairman of the Committee and Member	June 13, 2014
2.	Dewie Pelitawati (Member of the Board of Commissioner/Independent Commissioner)	Member of the Committee	June 13, 2014
3.	Mahdi Syahbuddin (Member of the Board of Commissioners)	Member of the Committee	April 7, 2015
4.	Ratna Maya Sari Soeharto (Human Capital Executive Officer)	Member and Committee Secretary	October 8, 2015

The establishment of Remuneration and Nomination Committee has met all the requirement and in accordance to the good corporate governance principles.

duties and responsibilities of remuneration and nomination committee

The Remuneration and Nomination Committee, according to latest Charter of the Committee No. 03/PedomanKerja/LG/VI/2016 dated Juni 16, 2016 is responsible to provide independent professional opinion to the Board of Commissioners concerning the reports and other matters presented by the Board of Directors to the Board of Commissioners and to identify matters requiring attention of the Board of Commissioners, including amongst others:

1. Regarding Remuneration Policy:
 - a. To evaluate the remuneration policy;
 - b. To evaluate the conformity between the remuneration policy and its implementation;
 - b. To provide recommendation to the Board of Commissioners regarding Remuneration Policy for the Board of Commissioners, the Board of Directors, the Sharia Supervisory Board, Executive Officers and the employees.
2. Regarding Nomination Policy:
 - a. To provide recommendation to the Board of Commissioners regarding the composition of the Board of Directors and the Board of Commissioners;
 - b. To provide recommendation regarding the system and procedure for selection and/or replacement of the Board of Commissioners and the Board of Directors to the Board of Commissioners to be proposed to the General Meeting of Shareholders;
 - c. To provide recommendation regarding the candidate(s) of the member(s) of the Board of Commissioners, the Board of Directors,

and the Sharia Supervisory Board to be proposed to the General Meeting of Shareholders;

- d. To provide recommendation regarding the Independent Party to be the member of the Audit Committee and Risk Monitoring Committee to the Board of Commissioners;
 - e. To support the Board of Commissioners in conducting performance evaluation of the Board of Directors and/or the Board of Commissioners;
 - f. To prepare development program for the members of the Board of Directors and/or the Board of Commissioners.
3. The Committee shall ensure that the remuneration policy will consider and reflect at least the following:
 - a. financial performance;
 - b. fulfillment of the statutory reserves as set forth in the prevailing laws and regulations;
 - c. fairness with peer group; and
 - d. the Bank long term strategies and objectives.
 4. To keep the confidentiality of all document, data and information of the Bank;
 5. Duties other than the above mentioned, as tasked by the Board of Commissioners to the Committee according to its function and duties whenever deemed necessary.

authority of the remuneration and nomination committee

1. The Committee is authorized to obtain full, free and unlimited access to information on employees, funds, assets and other Bank resources in fulfilling its duties and responsibilities;
2. In exercising the authority, the Committee shall be working with the Directorate in charge of Human Capital and the other units. The Committee is also authorized to appoint consultant whenever deemed necessary.

independency of the remuneration and nomination committee

1. Independent Commissioner is the member of the Board of Commissioners who does not have financial relationship, management, shares ownership, and/or family relationship with the other members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner;
2. Independent Party is the party outside the Bank who does not have financial relationship, management, shares ownership, and/or family relationship with the members of the Board of Commissioners, the Board of Directors and/or Controlling Shareholders or other relationship of whatsoever in nature, which may influence his/her ability to act in an independent manner.

remuneration and nomination committee report

In 2016, the Remuneration and Nomination Committee has held 3 (three) Remuneration and Nomination Committee Meetings and issued 1 (one) Circular Decision and discussed and provided the following recommendations:

1. Committee Recommendation to the Board of Commissioners to determine the Annual Remuneration 2015 for the Board of Commissioners, the Board of Directors and the Sharia Supervisory Board BTPN Syariah;
2. Committee Recommendation to the Board of Commissioners regarding the nominations of the candidates of the Board of Commissioners, the Board of Directors and the Sharia Supervisory Board including the assessment to the candidates of the Board of Commissioners and the Board of Directors.

the board of commissioners' committee meetings

In 2016, the frequency of and members attendance in meetings of the Board of Commissioners' Committee are, as follows:

no.	name	audit committee	risk monitoring committee	remuneration and nomination committee
1.	Kemal Azis Stamboel	6/6	6/6	3/3
2.	Dewie Pelitawati	5/6	5/6	2/3
3.	Mahdi Syahbuddin	5/6	5/6	3/3
4.	Azis Budi Setiawan (Independent Party)	5/6	5/6	-
5.	Muhammad Faisal Muchtar (Independent Party)	6/6	6/6	-
6.	Ratna Maya Sari Soeharto (Human Capital Executive Officer)	-	-	3/3
7.	Sri Wulan P. Lestari*	6/6	-	-
8.	Hari Pudjo Santoso*	-	6/6	-

* Invitee



Applying prudent principles in daily conducts as a manifestation of the values of Integrity.

integrated governance committee

the composition of integrated governance committee

According to the Financial Services Authority regulation, POJK No.17/POJK.03/2014 and POJK No.18/POJK.03/2014 concerning the Integrated Governance for Financial Conglomerate, BTPN Syariah, jointly with PT Bank Sumitomo Mitsui Indonesia and PT Bank Tabungan Pensiunan Nasional Tbk, pledged to implement integrated governance in Risk Management and Good Corporate Governance since 2015.

The joint commitment is manifested in the establishment of Integrated Governance Committee, the preparation of the Charter of the Integrated Governance Committee, preparation of the Workplan and Schedule of the Integrated Governance Committee and preparation of the Integrated Governance Charter.

duties and responsibilities of the integrated governance committee

According to its Charter, the Integrated

Governance Committee is tasked with the following duties and responsibilities:

1. To evaluate the implementation of Integrated Governance, by at least assessing the adequacy of integrated internal control and integrated compliance function; and
2. To provide recommendation to the Board of Commissioners of the Main Entity to refine the Integrated Governance Charter.

integrated governance committee report

In 2016, the Integrated Governance Committee has prepared the semi-annual report of the implementation of the Integrated Governance including Self Assessment on integrated governance (Check list and Guidelines for integrated Governance Financial Conglomerate of SMBC Group), Compliance (Check List and Guidelines for Integrated Compliance Function Report Financial Conglomerate of SMBC Group), Internal Audit (Check List and Guidelines for the Integrated Internal Audit includes Annual Plan and Resolution of Internal Audit Findings and Internal Audit Organization Policy and Procedures) and

Fraud case analysis (Check List and Guidelines for Fraud Analysis Financial Conglomerate of SMBC Group) for the period of June 30, 2016 to December 31, 2016.

integrated governance committee meetings

According to the Charter, the Integrated Governance Committee shall hold meeting at least twice a year. In 2016, the Integrated Governance Committee has held 2 (two) meetings attended by all members of the Integrated Governance Committee and discussed the following:

1. First Meeting in 2016 discussed the following:
 - a. Reinstate the meeting agenda on November 24, 2015 including: the Establishment of

the Integrated Governance Committee, the Integrated Governance Committee Charter, Work Plan and Schedule of the Integrated Governance Committee for 2016 and Integrated Governance Charter;

- b. First report of Integrated Governance of SMBC Group Financial Conglomeration to the Financial Services Authority as of December 31, 2015.
2. Second Meeting in 2016 discussed the following:
 - a. Report of Integrated Governance of SMBC Group Financial Conglomeration to the Financial Services Authority as of June 30, 2015;
 - b. Other topics.

the board of directors' committee

According to GCG Principles, the Board of Directors establishes the following Committees to support them in its fulfilment of duties and responsibilities:

asset and liabilities committee/alco

According to the latest Decree of the Board of Directors, No.008/DIR/LG/X/2016 dated Oktober 12, 2016 concerning the Composition of ALCO Committee, that the membership of the Committee is ex officio, which shall consist of at least:

no.	position	membership – ex officio
1.	Chairman of the Committee	Director in charge of Finance, Treasury dan Corporate Planning
2.	Member of the Committee	Director in charge of Business
3.	Member of the Committee	Finance, Treasury & Corporate Planning Executive Officer
4.	Member of the Committee	Risk Management Executive Officer
5.	Member of the Committee	Financing Business Executive Officer
6.	Member of the Committee	Funding Business Executive Officer
7.	Member of the Committee	Treasury Officer appointed by the Director in charge of Finance, Treasury & Corporate Planning (Secretary)
	Regular Invitee	Officer appointed by Risk Management Executive Officer who is in charge of Liquidity and Market Risk
	Regular Invitee	Officer appointed by Director in charge Business who is responsible for financing.

Note: In 2016, 1 (one) amendment was made to ALCO Charter pertaining to the Composition of the ALCO Member, that is, No.06/PedomanKerja/LG/X/2016 dated October 12, 2016.

The establishment of ALCO has met all the requirement and in accordance to the good corporate governance principles.

duties and authorities of ALCO

Duties and Authorities of ALCO according to the latest ALCO Charter No.06/PedomanKerja/LG/X/2016 dated October 12, 2016 are, as follows:

1. To develop strategies, guidelines and policies of Asset Liability Management (ALMA);
2. To monitor the liquidity position of the Bank on regular basis by way of managing the primary and secondary reserves;
3. To monitor the development and strategy of third party fund and financing;
4. To study the development and projection of the economy as the basis to set the policy direction;
5. To determine the boundaries and guidelines in managing risks related to Liquidity Risk and Market Risk;
6. To evaluate and set the pricing of financing rate and funding rate and Funds Transfer Price (FTP) or incentives for inter office accounts to optimize the deposits growth, minimize cost of fund, and preserve the Bank's balance sheet structure in line with the Bank's ALMA strategy;
7. To evaluate the position of the Bank's rate of return risk and evaluate ALMA Strategy which ensures that the Bank's risk-taking position is consistent with its objectives in managing rate of return risk;
8. To review the performance and the Bank's asset and liabilities position to assess the impact of the previous Committee decision to the Bank's objectives;
9. To evaluate the actual achievement against the budget or the Bank Business Plan;
10. To inform the Board of Directors about changes in regulations which may impact ALMA strategy and policy.

ALCO committee report

In 2016, ALCO has held 12 (twelve) meetings every second week of the month, and issued 1 (one) Circular Decision. Whenever deemed necessary, any member of the ALCO Committee may ask to convene a meeting.

In every meeting the following subjects were discussed – the development of macro economy, funding and financing pricing, liquidity indicators, determination of gross yield, managing secondary reserves and development of money market.

ALCO committee meetings

no.	name	attendance
1.	Harry A.S.Sukadis	11/12
2.	Ratih Rachmawaty	10/12
3.	Shita Satyawati P.	9/12
4.	Hari Pudjo Santoso	7/12
5.	Roy Iskandar	9/12
6.	Johanes Hermawan	8/12
7.	Syaifullah*	12/12

*Committee Secretary

information technology steering committee

According to the latest Decree of the Board of Directors No.012/DIR/LG/X/2016 dated October 12, 2016 concerning the Composition of Information Technology Steering Committee which stated that the membership of the Committee is *ex officio* consisting of at least the following:

no.	committee composition	<i>ex officio</i> member
1.	Chairman	Director in charge of Information Technology
2.	Member	Director in charge of Finance, Treasury & Corporate Planning
3.	Member	Director in charge Operations
4.	Member	Risk Management Executive Officer
5.	Member	Operations Executive Officer
6.	Member	Funding Business Executive Officer
7.	Member	Financing Business Executive Officer
8.	Member	Information Technology Executive Officer (Secretary)
	Regular Invitee	Business Support & Development Executive Officer

Note: In 2016, 1 (one) amendment was made to the Charter of Information Technology Steering Committee concerning the Composition of the Committee, that is No.07/PedomanKerja/LG/X/2016 dated October 12, 2016.

The establishment of Information Technology Steering Committee has met all the requirements and in accordance to the good corporate governance principles.

duties and authorities of information technology steering committee

Duties and Authorities of Information Technology Steering Committee according to the latest Charter No.07/PedomanKerja/LG/X/2016 dated October 12, 2016 are to provide the recommendation to the Board of Directors in matters pertaining to:

1. Information Technology Strategic Plan in line with the Bank Strategic Plan;
2. Conformity of the Information Technology projects in the Information Technology Strategic Plan to the requirement for management information system and the need of the Bank business activities;
3. Conformity the implementation of the Information Technology projects to the project charter;
4. The effectiveness of efforts to minimize risks of the Bank's investment on Information Technology as such that the investment contributes to the achievement of the Bank's business objectives;
5. Monitoring the Information Technology performance and its continuous improvement;
6. Providing effective, efficient and timely solutions to Information Technology problems that remained unresolved by the users.

information technology steering committee reports

In 2016, the Information Technology Steering Committee held 5 (five) meetings and issued 1 (one) Circular Decision by which the Committee discussed and provided recommendations to the Board of Directors regarding:

1. Approval of Information Technology Strategic Plan 2015 – 2018 which serves as the foundation of the Information Technology governance;
2. Development of centralized core business system (Prospera), online real time which proceeded with the development of mobile-technology-based Prospera (m-Prospera);
3. Development of ATM network and mobile banking to fulfill the pre-requisites to launch Laku Pandai services (BTPN Wow! iB);
4. Development of Branchless Banking services/ Laku Pandai (BTPN Wow! iB) in BTPN Syariah by way of leveraging the application development to be built by the parent company (BTPN);

5. Decommission of the core banking system of the legacy firm Bank Sahabat (Temenos R8).

information technology steering committee meetings

no.	name	attendance
1.	Setiasmo Samami	5/5
2.	Harry A.S. Sukadis	5/5
3.	M. Gatot Adhi Prasetyo	3/5
4.	Hari Pudjo Santoso	4/5
5.	Dewo Triatmoko	5/5
6.	Mohamad Rizal	4/5
7.	Shita Satyawati	3/5
8.	Johanes Hermawan	4/5
9.	Jodi Ng	4/5
10.	Ahmad Yani	5/5
11.	Her Purwoko ^{a)}	4/5
12.	Rizal Muska Kamil ^{b)*)}	5/5

Note:

^{a)} The term of office of Her Purwoko as the Secretary of the Committee has ended since February 9, 2016

^{b)} Rizal Muska Kamil was appointed as the Secretary of the Committee, being effective since February 9, 2016

^{*)} Secretary of the Committee

human capital committee

According to the latest Decree of the Board of Directors No. 009/DIR/LG/X/2016 dated October, 12 2016 concerning the Composition of the Human Capital Committee, the membership of the committee is *ex officio* which includes at least the following:

no.	committee composition	ex officio member
1.	Chairman	Director in charge of Human Capital
2.	Member	President Director
3.	Member	Director in charge of Finance
4.	Member	Human Capital Executive Officer appointed by the Director in charge of Human Capital (Secretary)

Note: In 2016, 1 (one) amendment was made to the Charter of Human Capital Committee, that is No.08/PedomanKerja/LG/X/2016 dated October 12, 2016.

The establishment of the Human Capital Committee has met all the requirements and in accordance to the good corporate governance principles.

duties and authorities of human capital committee

Duties and Authorities of Human Capital Committee according to the latest Charter of the Committee No.08/PedomanKerja/LG/X/2016 dated October 12, 2016 include:

1. To establish the policies, strategies and objectives in the area of Human Capital;
2. To approve the implementation of Human Capital remuneration program;
3. To approve the recommendations that were beyond the authority of Division Head and/or Director in charge of Human Capital.

human capital committee reports

In 2016, the Human Capital Committee has held 5 (five) meetings which discussed amongst others the following:

1. Approve Semester I Results of Program Sekolah-Ku;
2. Present the Review of Salary Adjustment 2016 and Deviation of Grade Promotion;
3. Approve the terms and conditions of Employee Loan Transfer;
4. Report of Mid-Year Performance Evaluation 2016.

human capital committee meetings

no.	name	attendance
1.	Harry A.S. Sukadis	5/5
2.	Ratih Rachmawaty	5/5
3.	Ratna Maya Sari Soeharto ^{*)}	5/5

^{*)}Secretary of the Committee

risk management committee

According to the latest Decree of the Board of Directors No.010/DIR/LG/XI/2016 dated October, 12 2016 concerning the Composition of the Risk Management Committee, the membership of the committee is *ex officio* which includes at least the following:

no.	committee composition	<i>ex officio</i> member
1.	Chairman	Director in charge of Risk Management
2.	Member	Director in charge of Business
3.	Member	Director in charge of Operations
4.	Member	Finance, Treasury & Corporate Planning Executive Officer
5.	Member	Human Capital Executive Officer
6.	Member	Operations Executive Officer
7.	Member	Business Risk Executive Officer
8.	Regular Invitee	Risk Management Executive Officer (Secretary)
	Regular Invitee	Internal Audit Head

Note: 1 (one) amendment was made to the Charter of Risk Management Committee concerning the Composition of the Committee, that is No. 09/ PedomanKerja/LG/X/2016, dated October 12, 2016.

The establishment of the Risk Management Committee has met all the requirement and in accordance to the good corporate governance principles.

duties and authorities of risk management committee

According to the latest Charter of the Risk Management Committee No. 09/Pedomankerja/LG/X/2016, dated October 12, 2016, the duties and authorities of the Risk Management Committee are, as follows:

1. To prepare the risk management policy and strategy, including risk limit and its updates, revision and refinement;
2. To evaluate the conformity to risk management policy in its implementation;
3. To evaluate and provide recommendation on transactions or activities which require the Board of Directors approval;
4. To evaluate and provide recommendation on transactions or activities which deviate from normal procedures.

risk management committee report

In 2016, Risk Management Committee has held 10 (ten) meetings and issued (two) Circular Decision providing recommendation to the Board of Directors regarding: update portfolio performance both TUR and Legacy, liquidity monitoring, IT system performance, fulfillment of risk management certification, Sharia banking training, AML/CMT training, monitoring of employee fulfillment, monitoring of employee resignation rate, monitoring of fraud incidents, monitoring of compliance risk, legal risk and strategic risk.

Risk Management Committee discussed and made decision amongst others on the following matters: prepare the plan to consolidate TUR and Legacy portfolio, tracking the fulfillment of bankwide AML/CFT training, set the benchmark resignation rate of 45% YTD, standard IT performance, provide strategic direction to Funding and Treasury teams to maintain the stability of the Bank liquidity.

As part of risk management implementation, as the subsidiary, BTPN Syariah is required to submit to the parent bank the consolidated report on 10 types of risks of the Bank and consolidated report on risk profile, RBBR and ICAAP in accordance to OJK regulations.

risk management committee meetings

no.	name	attendance
1.	Taras Wibawa Siregar	10/10
2.	Ratih Rachmawaty	7/10
3.	M. Gatot Adhi Prasetyo	9/10
4.	Roy Iskandar	10/10
5.	Ratna Maya Sari Soeharto	9/10
6.	Dewo Triatmoko	7/10
7.	Dharma Putera	9/10
8.	Rizal Muska Kamil ^{#)}	7/10
9.	Hari Pudjo Santoso ^{*)}	9/10

Note:

^{#)} Rizal Muska Kamil is a member of the committee, being effective since November 2016.

^{*)} Committee Secretary

business committee

According to the latest Decree of the Board of Directors No.011/DIR/LG/X/2016 dated October 12, 2016 concerning the Composition of the Business Committee, the membership of the committee is *ex officio* which includes at least the following:

no.	composition	<i>ex officio</i> membership
1.	Chairman	Director in charge of Business
2.	Member	Director in charge of Finance, Treasury & Corporate Planning
3.	Member	Funding Business Executive Committee
4.	Member	Operations Executive Committee
5.	Member	Human Capital Executive Committee
6.	Member	Information Technology Executive Committee
7.	Member	Financing Business Executive Committee (Secretary)
8.	Regular Invitee	Finance, Treasury & Corporate Planning Executive Committee
9.	Regular Invitee	Business Risk Executive Committee
10.	Regular Invitee	Product Development Executive Committee
11.	Regular Invitee	Operations Strategy & Process Development Executive Committee

Note: 1 (one) amendment was made to the Charter of Business Committee concerning the Composition of the Committee, that is No. 010/PedomanKerja/LG/X/2016, dated October 12, 2016.

The establishment of the Business Committee has met all the requirements and in accordance to the good corporate governance principles.

duties and authorities of business committee

According to the latest Charter of the Risk Management Committee No. 010/PedomanKerja/LG/X/2016, dated October 12, 2016, the duties and authorities of the Business Committee are, as follows:

1. To monitor the development and strategy of Third Party Fund and Financing on regular basis;
2. To monitor Business Financial Performance, Business Process, Business Risk and Human Capital on regular basis;
3. To review new product proposal or new initiative proposal prior to its presentation to the Board of Directors to secure approval;
4. To develop business strategy, guidelines and policy – and ensure its regular updates and review;
5. To study the development and projection of the overall economy as one consideration in setting policy direction.



Ibu Fauziah, Financing Customer, Batik Maker, Dusun Rangmanten Subur *Sentra*, Madura, continues to produce Madura batik to cope with the competition.

business committee report

In 2016, Business Committee has held 9 (nine) meetings with pre-determined agenda. Whenever deemed necessary, meeting was convened upon request of any member of the Committee or considering the internal condition of the Bank.

In the meeting, the following topics were discussed: financing performance, funding performance, financing risk, mobile banking BTPN Syariah, and BTPN Wow! iB.

business committee meetings

no.	name	attendance
1.	Ratih Rachmawaty	9/9
2.	Harry A.S. Sukadis	5/9
3.	Ratna Maya Sari Soeharto	6/9
4.	Shita Satyawati P.	7/9
5.	Mohamad Rizal	7/9
6.	Jodi Ng	8/9
7.	Johanes Hermawan ¹⁾	9/9

¹⁾Committee Secretary

social system, environment and management

As the social mission which represents the Unique Value Proposition of BTPN Syariah, Daya is a sustainable and measurable program for mass market empowerment. Daya focuses on health, business development and community which manifest in three pillars of Daya, that is – Daya Program for Health and Wellness (Daya Sehat Sejahtera), Daya Program to Grow Business (Daya Tumbuh Usaha) and Daya Program for Community Building (Daya Tumbuh Komunitas).

Daya training program have reached 636.051 customers of BTPN Syariah in 2016 through 71.163 training activities in Daya Program for Health and Wellness and Daya Program to Grow Business.

Program on Health Cadre continued to progress in the pillar Daya Program for Health and Wellness, in collaboration with the Community of Medical Science, Faculty of Medicine aimed at providing specific and unique health services to the customers of BTPN Syariah and the community. In 2016, the program has reached 3.194 beneficiaries through 278 counselling activities and 3.218 beneficiaries through 293 health consultation activities in this Health Cadre Program.

The Daya Program for Community Building pillar has delivered 95 activities targeted to the customers who join the community empowerment program.

the role of daya in financial literacy

According to Regulation of Financial Authority Services POJK No. 01/POJK.07/2013 concerning Customer Protection in Financial Services Sector and SEOJK No. 1/SEOJK.07/2014 concerning Education to Improve Financial Literacy to the Customers and/or Community, BTPN Syariah has prepared a plan to educate the customers to have better knowledge on banking products and services as suitable to their needs.

The education program is aimed at:

- a. Improving customers' knowledge on banking;
- b. Increasing the use of financial products and services as suitable to the customers needs and increasing its outreach to achieve financial inclusion;
- c. Educating the customers and community to have a better understanding of the Islamic banking products and services and to use their rights and obligations as banking customers in order to improve their welfare;

BTPN Syariah applies a different approach in delivering financial literacy education program for customers and non-customers group.

For non-customers, the education is tailored to explore and optimize the economic potential of the society through effective financial planning to achieve the long-term objectives of the family.

For the customers/prospect customers of BTPN Syariah, the Basic Membership Training is provided as part of the early education on basic financial planning and financing management. The training is conducted in 5 (five) consecutive days, for which upon the completion of the program the prospect customers will be able to apply the simple ways to manage family financials. Applied consistently, the practices will help the family to gradually accumulate wealth and eventually, to prosper.

transparency on financials and non financials

list of consultant and advisors in 2016

name of consultant	objective	contract period	scope of work
human capital			
1. PURBADI & ASSOCIATES	To provide legal advice and/or legal opinion on legal aspects in employment	May 1, 2015 - April 30, 2016	1. To provide legal advice and/or legal opinion on legal aspects in employment. Other legal advices rendered include criminal and civil related to banking or employment. 2. To study, review and provide input to the employment document used and/or made and/or signed for and on behalf of BTPN Syariah, which include amongst others agreement, forms, terms and condition used in BTPN Syariah. 3. To provide explanation and legal opinion on laws and regulations in employment.
2. Daya Dimensi Indonesia	To assist theank prepare development aimed at: a. Filling the GAP b. Looking for the next leader through Assessment Center	January 2016 – present	1. To provide technical assistance in preparing development program which includes amongst others: a. Technical assistance in developing competency model; b. Commnication of Assessment Center; c. Administer Assessment Center Process; d. Assist in decision making; e. Conduct one on one coaching; f. Recommend, present materials and assist in pulse check
3. Red & White	To study the character, competency, productivity and relationship between performance and remuneration in <i>Sentra</i> Facilitator) positions	1 April - 1 July 2016	1. To study the work and productivity of <i>Sentra</i> Facilitator; 2. The consulting services include data analysis and assessing the competency of <i>Sentra</i> Facilitator.

name of consultant	objective	contract period	scope of work
information technology			
1. PT Pricewaterhouse Coopers Consulting Indonesia	1. To study the HRIS Solution suitable to the needs of HR Team in providing services to MMS 2. To analyze the function and utilization of Oracle HRIS in BTPN Syariah.	18 August - 30 September 2016	1. To assess user requirement and capability of current system in providing HR solutions to MMS. 2. To assess Oracle HRIS and identify gap between system capability and user requirement BTPN Syariah; 3. To provide recommendation and prepare roadmap for HRIS implementation.
2. PT Pricewaterhouse Coopers Consulting Indonesia	To provide recommendation on the current Information Technology Organization Structure in order to better prepare the IT function in executing the future initiatives of the Bank.	November 14, 2016 – February 13, 2017	1. To provide recommendation on the Information Technology Target Operating Model referring to the long-term strategic plan of the Bank; 2. To provide recommendation on the Information Technology Target Operating including the major functions according to international standards; 3. To provide recommendation on the Talent Process to fulfil future needs of Information Technology Organization; 4. To provide recommendation on the competency catalogue including managerial, technical and behavioral competency for Information Technology Team and conduct assessment to the Information Technology Technical Team; 5. To prepare a Roadmap on priorities to achieve the target for the next 5 years.
3. PT Difini Teknologi	To redesign the architecture of the application system and infrastructure of Prospera including procedure, deployment, migration strategy, and system security in order to support the business plan to the year 2020.	June 29, 2016 – June 28, 2017	1. To provide experts in the area of Information Technology Architecture who are experienced in designing software solution and the supporting infrastructure to fulfill the need of Prospera system in architecture design as required by BTPN Syariah; 2. To provide end-to-end solution design for Prospera application documented in a format with a clear general framework of standard information technology architecture, like TOGAF; 3. To conduct assessment to the current architecture and determine the target state of the existing Prospera System in order to support the business strategy.

name of consultant	objective	contract period	scope of work
financing risk			
MicroFinanza Rating Srl	To certify the implementation of Progress Out of Poverty Index (PPI) in BTPN Syariah	October 1, 2015 – July 31, 2016	1. To conduct assessment to the document and worksheet related to PPR Implementation, including but not limited to PPI Policy, PPI Interview worksheet, PPI Implementation in the system, PPI examination in the Audit/QA processes, and evidence of PPI discussion in high level management; 2. Conduct assessment to the implementation of PPI survey in the field by making field visit to the sample <i>Wisma</i>; 3. Visit customers to observe the alignment of PPI aggregate score with the overall condition of the customers; 4. Conduct assessment to those who perform PPI supporting activities such as QA, MIS, Policy, TUR Business, and the Board of Directors; 5. Conduct assessment to PPI reports and data analysis; 6. Conduct assessment to the fulfillment of the other PPI Standards of Use in general; 7. To provide consultation regarding PPI best practice for BTPN Syariah; 8. To provide input, assessment, certification, and publication related to the assessment results.
professional consultant			
PT McKinsey Indonesia	Professional Consultancy Services for Transforming BTPN Syariah's Operating Model	24 months (starting from June 27, 2016)	1. To assist the Bank to refine the operational architecture aimed at improving the effectiveness and efficiency in serving the customers with specific focus on mass market customers; 2. To provide consultancy to optimize the role of information technology in the internal digitalization process and to reduce cost without disrupting customer experience; 3. To provide consultancy in the transformation process which include organization transformation using change management approach.

number of internal fraud incidents and the solutions

In 2016, there were no internal fraud incidents that significantly impact the financial condition of BTPN Syariah.

civil and criminal legal cases and the solutions

In 2016, there were no civil nor criminal legal cases that significantly impact the financial condition of BTPN Syariah.

litigation cases

Litigation cases covers the civil and criminal legal cases that are brought to the legal proceedings in the court.

In 2016, there were no litigation cases that significantly impact the financial condition of BTPN Syariah.

conflict of interest

Conflict of interest is the situation in which the economic interest of the Bank is in conflict with the personal economic interest of the members of the Board of Commissioners, the Board of Directors, Major Shareholders or the affiliates of the Board of Commissioners, the Board of Directors or Major Shareholders.

In 2016, there were no transactions with conflict of interest that significantly impact the financial condition of BTPN Syariah.

non-halal income, zakat and infaq for the periode ending december 31, 2016

[in million rupiah]

source of benevolent fund	2016	2015
at the beginning of the period	141	162
source of benevolent fund	125	146
non-halal income	81	132
infaq and shadaqah	-	-
penalty	44	14
use of benevolent fund	97	167
increase in benevolent fund	28	-21
source of benevolent fund at the end of the period	169	141



Belinda Selviana Dewi, Funding Customer, is explaining how funding customers bring benefits to the financial inclusion customers.

corporate data



BTPNS five uniqueness

5

90% women employment.

We value gender equality as it guides us to serve the needs of productive poor customers



Every Sentra Facilitator is aspired to be a role model for financial inclusion customers.

Bapak Taras Wibawa Siregar is wearing batik made by Financing Customer from Trusmi Batik Community, Cirebon.

executive officers

no.	name	position	description
internal audit			
1.	Sri Wulan Purnomo Lestari	Internal Audit Head	Joined since 2011. Her previous employment was in Bank Permata.
finance, treasury & corporate planning			
1.	Roy Iskandar	Finance, Treasury & Corporate Planning Head	Joined since 2008. His previous employment was in HSBC dan Bank Danamon.
human capital			
1.	Ratna Maya Sari Soeharto	Chief Human Capital	Joined since 2015. Her previous employment was in PT PricewaterhouseCoopers, UNICEF, Excelcomindo Pratama, PT Ericson Indonesia, PT Makassar Tene & Group and PT Begawan Inovasi Global.
compliance and risk management			
1.	Rena Mutia Indriani	Compliance Head	Joined since 2014. Her previous employment was in Bank BRI Syariah and Bank Permata.
2.	Hari Pudjo Santoso	Risk Management Head	Joined since 2009. His previous employment was in Bank ABN Amro and Citibank.
3.	Yunita Cahaya Haerani	Legal Head	Joined since 2013. Her previous employment was in Citibank and AIA Financial.
information technology			
1.	Jodi Ng	IT Business Alliance Head	Joined since 2008. His previous employment was in GE Money.
2.	Her Purwoko	IT Operation, Infrastructure & Service Delivery Head	Joined since 2011. His previous employment was in Asuransi Astra Buana and Bank Permata.
3.	Ahmad Yani	IT Application Development Head	Joined since 2014. His previous employment was in Bank Permata.
4.	Rizal Muska Kamil	IT Planning, Strategy & Governance Head	Joined since 2016. His previous employment was in PT Accenture Indonesia and Commonwealth Bank.

no.	name	position	description
operational			
1.	Dewo Triatmoko	Operations Strategy & Development Head	Joined since 2011. His previous employment was in Bank BCA Syariah, Bank UOB and Bank NISP.
2.	Mohamad Rizal	Operation Services Head	Joined 2008. His previous employment was in Bank Mega and Bank Danamon.
3.	Budi Yunawan Saleh	Corporate Services Head	Joined since 2008. His previous employment was in Bank Danamon and AIG Life.
business			
1.	Johanes Hermawan Sugianto	TUR Sales & Distribution Head	Joined 2008. His previous employment was in Bank Danamon.
2.	Shita Satyawati Priandani	Retail Funding Sales & Distribution Head	Joined since 2009. Her previous employment was in Bank Mega Syariah and Bank Mandiri.
3.	Abianti Riana	BTPN Wow! iB Sales & Distribution Head	Joined since 2012. Her previous employment was in CIMB Auto Finance and CIMB Niaga.
4.	Ade Fauzan	Product Development Head	Joined since 2013. His previous employment was in Bank Permata and Bank Maybank Syariah.
5.	Dharma Putera	Business Risk Head	Joined since 2014. His previous employment was in Adira Kredit and Citibank.
6.	Dwiyono Bayu Winantio	Business Development & Support Head	Joined 2014. His previous employment was in Bank UOB dan Bank CIMB Niaga.
7.	Dewi Nuzulianti	Alignment & Customer Experience Head	Joined since 2009. Her previous employment was in Bank Permata.
8.	Larasati Moerdijat	Daya & Communication Head	Joined since 2015. Her previous employment was in Saatchi & Saatchi Indonesia.

products and services

funding

1. Tabungan Citra iB

A saving account which requires minimal deposit and is administered under a profit sharing agreement (*mudharabah mutlaqah*). Customers can enjoy the facility to do banking transactions in all branches of BTPN Syariah with free monthly administration fee.

2. Taseto Premium iB

On top of the optimum return, this profit sharing agreement (*mudharabah mutlaqah*) saving account provides benefits of unlimited cash withdrawals and free monthly administration fee.*)

3. Deposito Berjangka iB

Time deposit with profit sharing agreement (*akad mudharabah mutlaqah*) between the Bank (*mudharib*) and customer as the owner of the fund (*shahibul maal*) in a specified maturity which varies from 1,2,3,4,5,6,7,8,9,10,11,12, 18 and 24 months.

4. Taseto Mapan iB

A saving product under profit sharing agreement (*akad mudharabah mutlaqah*), packaged as a scheme to fulfill long-term plan, generating competitive return in a number of options in terms of monthly installment and maturity time.

5. Giro iB

A deposit of fund under akad wadiah allowing flexibility for the customers to do transactions using cheques/giro.

6. Tabungan BTPN Wow! iB

A saving product with electronic banking facility accessible through Global System for Mobile Communication (GSM) handphone which is targeting financial inclusion customers. This products provide ease for customers in doing banking transactions – such as bills payment, air time purchase, fund transfer, cash deposit and cash withdrawals – through the Agents or BTPN Syariah branches.

*) Terms and Conditions Applied

financing

1. Paket Masa Depan (PMD) iB

Financing product targeting productive poor women administered under purchasing agreement (*akad wakalah wal murabahah*). This product focuses on character development by nurturing customers' habits, that is Courage, Discipline, Hard Work and Solidarity.

office

Networks & Branches

Non-Operational Head Office (known in Indonesia acronym as KPNO)

Gd. Cyber 2, Jl. Rasuna Said Kav.X-5 No. 13
Ph. 02130026400

Branch Offices

Semarang

Jl. Pamularsih No. 17, Semarang
Ph. 0247622280
Jl. Majapahit No. 330 A, Kelurahan
Palebon, Kecamatan Pedurungan,
Semarang – Jawa Tengah
Ph. 02476584656

Tegal

Jl. Flores Baru RT.02 RW.04, Kel. Kudaile,
Kec. Slawi, Kab. Tegal. Jawa Tengah
Ph. 02834562195

Jakarta

Rukan Plaza 5 Pondok Indah Kav. A.12, Jl.
Marga Guna, RT 004/RW 015, Kelurahan
Gandaria Utara, Kecamatan Kebayoran
Baru, Jakarta Selatan
Ph. 02129428280
Menara Kadin Indonesia, Jl, HR. Rasuna
Said Blok X-5 Kav 2 & 3, Jakarta 12950
Ph. 0215274601

Bandung

Jl. Sunda No 27 D, Kelurahan Kebon
Pisang, Kecamatan Sumur Bandung, Kota
Bandung
Telp. 0224234241

Surabaya

Jl. Dharmahusada No. 136, Kota Surabaya
Ph. 0315956259

Palembang

Jl. Kapten A. Rivai No 403 D, Kelurahan 26
Ilir, Kecamatan Ilir Barat I, Palembang
Ph. 0711373595

Lampung

Jl. Jendral Sudirman No 55, Kelurahan
Rawa Laut, Kecamatan Tanjung Karang
Timur, Kota Bandar Lampung
Ph. 0721242941

Padang

Jl. Pemuda No. 24, Kelurahan Olo,
Kecamatan Padang Barat, Padang –
Sumatera Barat
Ph. 075121001

DI Yogyakarta

Komplek Seturan Plaza Hall Utara Jl.
Seturan Raya, Desa Catur Tunggal,
Kecamatan Depok, Sleman – Yogyakarta
Ph. 02744332615

Banda Aceh

Jl. Sri Ratu Safiatuddin, Gampong
Peunayong, Kecamatan Kuta Alam, Banda
Aceh
Ph. 065121276

Medan

Jl. Setiabudi, Komplek Setiabudi Blok B.1
A, Kelurahan Tanjung Rejo, Kecamatan
Medan Sunggal, Medan – Sumatera Utara
Ph. 0618225528

Kupang

Jl. Irian Jaya, RT 11 RW 03, Kelurahan
Fatubesi, Kecamatan Kelapa Lima, Kota
Kupang
Ph. 0380821487

Mataram

Jl. Panca Usaha No. 31, Kelurahan
Cakranegara Barat, Mataram – Nusa
Tenggara Barat
Ph. 0370639409

Pekanbaru

Jl. Tuanku Tambusai No 320, Pekanbaru,
Riau
Ph. 076131422

Banjarmasin

Jl. Ahmad Yani Km. 3,5 No 69, RT.03,
Banjarmasin
Ph. 0511327662

Kendari

Jl. Sao-Sao No. 207, Kota Kendari
Ph. 04013193746

Makassar

Jl. Hertasning 88 C, Kelurahan Tidung,
Kecamatan Rappocini, Makassar
Ph. 0411885572

Palangkaraya

Jl. Ahmad Yani No. 2, Kecamatan
Pahandut, Palangkaraya
Ph. 05364200409

Pontianak

Jl. Ahmad Yani No. 38 B, Pontianak
Ph. 0561571444

Samarinda

Jl. Dr. Sutomo No. 8A, Kota Samarinda
Ph. 0541739193

Denpasar

Jl. Diponegoro No. 129, Kelurahan
Dauhpuhi Kelod, Kota Denpasar
Ph. 03614723055

Jambi

Jl. Orang Kayo Pingai No 43 A RT 09,
Kelurahan Talang Banjar, Kecamatan Jambi
Timur, Jambi
Ph. 074135888

Supporting Branch Offices

Pekalongan

Jl. Mandurejo RT.001 RW. 001,
Desa Tanjung Kulon, Kec. Kajen, Kab.
Pekalongan, Jawa Tengah
Ph. 02853830041

Sleman

Jl. Magelang-Yogya KM 5.5 (Ruko No. 72
A), Ds. Sinduadi, Kec. Mlati, Kab. Sleman,
Daerah Istimewa Yogyakarta
Ph. 0274623685

Bantul

Jl. Wahid Hasim, Gose, Ringinharjo, Kec.
Bantul
Ph. 0274367626

Operations Functional Office (known in Indonesia acronym as KFO)

KFO Ungaran Barat

Jl. Gatot Subroto No. 94 Kel. Bandarjo, Kec.
Ungaran Barat, Kab. Semarang, Jateng
Ph. 02476510190

KFO Temanggung

Jl. Pahlawan No. 95, Kel. Temanggung II,
Kec. Temanggung, Temanggung
Ph. 0293491779

KFO Pekalongan

Jl. Kurinci No.9 Kel. Bendan Kec.
Pekalongan Barat, Kab. Pekalongan
Ph. 02854460034

KFO Brebes

Jl. Raya Klampok Wanasari Wanasari
Brebes
Ph. 02836172328/02836172326

KFO Dukuh Turi

Jl. Gajah Mada (Komp. Ruko Gajahmada
Town Square) No. 9, RT.004, RW.002, Kel.
Mintaragen, Kec. Tegal Timur, Kota Tegal,
Jawa Tengah
Ph. 02834532685

KFO Limpung

Jl. Raya Limpung Banyu Putih No. 201
(Ruko B,C,D), Kec. Limpung, Kel. Sempu,
Kab. Batang, Jawa Tengah
Ph. 02856681009

KFO Cilacap

Jl. Gatot Subroto (Ruko Gatsula) No. 2 &
3, RT. 004 RW. 008, Kel. Gunungsimping,
Kec. Cilacap Tengah, Kab. Cilacap, Jawa
Tengah
Ph. 02825561194

KFO Purwokerto

Jl. Jend. Sudirman Barat No. 89B, RT.01
RW.07, Kel. Bantarsoka, Kec. Purwokerto
Barat, Kab. Banyumas, Jawa Tengah
Ph. 02816512117

KFO Banjarnegara

Jl. Kolektor Primer, RT 004, RW 005,
Kelurahan Bawang, Kecamatan Bawang,
Kabupaten Banjarnegara, Propinsi Jawa
Tengah
Ph. 02865988503

KFO Jatibarang

Jl. Raya Mayor Dasuki Ruko BI B6 (Blok
Pasar Jatibarang) Rt 24 Rw 03 Desa
Jatibarang Kec. Jatibarang 45273
Ph. 0234355899

KFO Astana Anyar

Jl. Mochamad Toha No 152, RT 002, RW
10, Kel. Pelindung Hewan, Kec. Astana
Anyar, Bandung 40542
Ph. 0225222389

KFO Jatiwangi

Kawasan Komersial Ruko Jatiwangi Square
A - No 18 & 19. Jl. Ahmad Yani, Rt 002, Rw
008, Desa Sutawangi, Kec. Jatiwangi, Kab.
Majalengka, Jawa Barat 45454
Ph. 0233888291

KFO Gunung Jati

Jl. Raya Pasindangan Komplek Ruko
depan Rumah Sakit Tangkil No. 5, Desa
Pasindangan, Kec. Gunungjati, Kab.
Cirebon, Jawa Barat
Ph. 02318308454

KFO Soreang

Jl. Raya Soreang Banjaran No. 356
D/E Desa Soreang, Kec. Soreang, Kab
Bandung, Jawa Barat
Ph. 02285876002

KFO Rengasdengklok

Dusun Jati RT 002, rw 005, Desa
Rengasdengklok Utara, Kec
Rengasdengklok, Kab Karawang, Jawa
Barat
Ph. 0267484620

KFO Purwakarta

Jl. Ibrahim Singadilaga No.16, RT 009 RW
002, Kel. Nagrikaler, Kec. Purwakarta, Kab.
Purwakarta, Jawa Barat
Ph. 02648301510

KFO Majalaya

Jl. Raya Laswi Km. 16 (Perumahan Puri
Mega Citra) No. 10-11, Kel. Ciheulang, Kec.
Ciparay, Bandung, Jawa Barat
Ph. 02285966036

KFO Padalarang

Jl. Nasional Blok Tamiang Resik, RT. 002
RW. 001, Desa Gadobangkong, Kec.
Ngamprah, Kabupaten Bandung Barat,
Jawa Barat
Ph. 0226635100

KFO Subang

Jl. Otto Iskandardinata (Otista) No.92, Kel.
Karanganyar, Kec. Subang, Kab. Subang,
Jawa Barat
Ph. 02607605221

KFO Cibadak

Jl. Siliwangi No. 132, RT 01/17, Kel.
Cibadak, Kec. Cibadak, Kab. Sukabumi
Ph. 02667160007

KFO Tanjungsari

Jl. Raya Bandung-Sumedang, RT.01 RW.07
Ph. 0227797115

KFO Cimalaka

Jl. Prabu Geusan Ulun No. 98 A RT/RW :
004/02, Kel. Regolwetan, Kec. Sumedang
Selatan, Kab. Sumedang, Jawa Barat
Ph. 02612401243

KFO Kandanghaur

Jl. Blok Tjodong No. 196, Desa Eretan
Wetan, Kec. Kandanghaur, Kab. Indramayu,
Jawa Barat
Ph. 02347145008

KFO Indramayu

Perumahan "Jangkar Mas Regency"
Blok A1 No. 5 -6, Kel. Karanganyar, Kec.
Indramayu, Kab. Indramayu, Jawa Barat
Ph. 02347120053

KFO Singaparna

Jl. Blok Borolong, Desa Cilampunghilir, Kec.
Padakembang, Kabupaten Tasikmalaya,
Propinsi Jawa Barat
Ph. 02657540061

KFO Banjar

Jl. Sudiro W, RT 03 RW 001, Kelurahan
Banjar, Kec. Banjar, Kota Banjar, Provinsi
Jawa Barat
Ph. 0265743236

KFO Tamansari

Jl. Perintis Kemerdekaan, Kelurahan
Tugujaya, Kec. Cihedeung, Kota
Tasikmalaya, Provinsi Jawa Barat
Ph. 0265332335

KFO Ciamis

Jl. Pasirmanis No 44, Kel. Ciamis, Kec.
Ciamis, Kab. Ciamis, Provinsi Jawa Barat
Ph. 0265775237

KFO Bayongbong

Jl. Ciledug No 92 A, Kel. Regol, Kec. Garut
Kota, Kab. Garut, Propinsi Jawa Barat
Ph. 0262231921

KFO Jampang Kulon

Jl. Raya Surade RT 016/RW 006, Kel.
Surade
Ph. 0266490048

KFO Pamanukan

Jl. Raya Ion Martasasmita RT.016 RW. 006,
Desa Rancasari, Kec. Pamanukan, Kab
Subang, Propinsi Jawa Barat
Ph. 02607544055

KFO Sagaranten

Jl. Raya Baros RT. 01 RW.06, Desa Baros,
Kec. Baros, Kota Sukabumi, Provinsi Jawa
Barat
Ph. 02666243910

KFO Gunung Puyuh

Jl. Jendral Sudirman RT.03 RW.03,
Kelurahan Gunung Parang, Kecamatan
Cikole, Kota Sukabumi, Propinsi Jawa Barat
Ph. 02666244126

KFO Cianjur

Jl. Hos Cokroaminoto No 102, RT.01
RW.01, Kel. Muka, Kec. Cianjur, Kab.
Cianjur, Jawa Barat
Ph. 02632284040

KFO Palimanan

Jl. Otto Iskandar Dinata No 3, Desa
Klangenan, Kec. Klangenan, Kab Cirebon,
Propinsi Jawa Barat
Ph. 02318825046

KFO Pangenan

Jl. Pangeran Sutajaya No 22, RT.001,
RW.003, Desa Pabuaran Wetan, Kec.
Pabuaran, Kab. Cirebon, Propinsi Jawa
Barat
Ph. 02318840161

KFO Ciawigebang

Jl. Raya Sindangagung, Blok Ciseureuh,
Desa Sindangagung, Kec. Sindangagung,
Kabupaten Kuningan, Provinsi Jawa Barat
Ph. 02328900188

KFO Kuningan

Jl. Veteran RT. 07 RW.03, Blok Lempuyang,
Kel. Kuningan, Kec. Kuningan, Kab.
Kuningan, Propinsi Jawa Barat
Ph. 023289000228

KFO Majalengka

Jl. Babakan Jawa Blok Giri Asih, Kel.
Majalengka Wetan, Kec. Majalengka, Jawa
Barat
Ph. 02338291244

KFO Jawa Barat 3-Kadungora

Jl. Raya Kadungora No 97/Sukamaju
RT. 02/02 Ds. Kadungora, Kecamatan
Kadungora, Kabupaten Garut, Jawa Barat
Ph. 0262454500

KFO Jawa Barat 2-Plered

Blok Warungkandang, RT 017 RW 004, Ds
Sindangsari, Kecamatan Plered, Kabupaten
Purwakarta, Propinsi Jawa Barat
Ph. 0264272717

KFO Jawa Barat 1-Ciawi Tasik

Jl. Pelita I/ Cidemang, Ds. Pakemitan,
Kecamatan Ciawi, Kabupaten Tasikmalaya,
Propinsi Jawa Barat 46156
Ph. 026575450421

KFO Wiyung

Jl. Menganti Kramat No. 25, Kel.
Jajartunggal, Kec. Wiyung, Surabaya
Ph. 0317672886

KFO Pare

Jl. Panglima Sudirman No 4 Pare Kediri
Ph. 0354390900

KFO Blitar

Jl. Tanjung Blok A Kav. 02, Kel. Sukorejo,
Kec. Sukorejo, blitar
Ph. 03426817697

KFO Rambipuji

Jl. Brawijaya, Kabupaten Jember
Ph. 0331425472

KFO Banyuwangi

Jl. A. Yani No. 96, Kel. Penganjuran, Kec.
Banyuwangi, Kab. Banyuwangi, Jawa Timur
Ph. 0333421654

KFO Genteng

Jl. Raya Genteng ,Ds.Genteng Wetan, Kec.
Genteng, Kab. Banyuwangi, Jawa Timur
68465
Ph. 0333843962

KFO Bondowoso

Ruko Crown Plaza, No 1, Jl. Kyai Haji Wahid
Hasyim No 168, Kelurahan Blindungan,
Kecamatan Bondowoso, Kabupaten
Bondowoso, Jawa Timur
Ph. 0622697879

KFO Tapen

Jl. Raya No. 51, RT.024 RW.006, Ds.
Lumutan
Ph. 0332561052

KFO Situbondo

Jl. Ahmad Yani No. 110 A-B, Kel. Dawuhan
Ph. 03383893529

KFO Sidoarjo

Jl. Lingkar Barat No. 1, Kel. Pagerwojo,
Kec. Sidoarjo, Kab. Sidoarjo, Jawa Timur
Ph. 03199701018

KFO Bojonegoro

Jl. Veteran (Ruko CCB), Desa Sukorejo,
Kec. Bojonegoro, Kab. Bojonegoro, Jawa
Timur
Ph. 03535254322

KFO Kediri Kota

Jl. Joyoboyo No 16, Desa Kemas, Kec.
Kota Kediri, Kotamadya Kediri, Propinsi
Jawa Timur
Ph. 0354697220

KFO Balung

Jl. Panglima Besar Sudirman No 26, RT.002
RW. 005, Desa Tanggulwetan, Kecamatan
Tanggul, Kabupaten Jember, Propinsi Jawa
Timur
Ph. 0336445466

KFO Kalisat

Jl. Raya raung, RT.001, RW. 001, Desa
Tegalrejo, Kecamatan Mayang, Kabupaten
Jember, Jawa Timur
Ph. 0331592257

KFO Madiun

Jl. Diponegoro No. 110, Kel. Madiun Lor,
Kec. Manguharjo, Madiun, Jawa Timur
Ph. 03514770444

KFO Bangkalan

Jl. Soekarno Hatta (seberang Gor
Bangkalan), RT 002, RW 02, Kel. Mlajah,
Kec. Bangkalan, Kab. Bangkalan, Jawa
Timur
Ph. 0313062255

KFO Duduk Sampeyan

Jl. R.A Kartini No. 108, RT 001, RW 005,
Kel. Sidomoro, Kec. Kebomas, Kab. Gresik,
Jawa Timur
Ph. 03199006533

KFO Sumenep

Jl. Trunojoyo No. 214 Blok 1, Komplek Ruko
Arya Wiraraja, Sumenep
Ph. 03286771037

KFO Mojokerto

Jl. Bhayangkara No 101 A, Kelurahan
Jagalan, Kecamatan Magersari, Kota
Mojokerto, Propinsi Jawa Timur
Ph. 03215885573

KFO Singosari

Jl. Letjen Sutoyo No. 116B, Kel. Purwantoro
Ph. 03414352322

KFO Kepanjen

Jl. Achmad Yani RT 003, RW 001, Kel.
Ardirejo, Kec. Kepanjen, Kab. Malang
Ph. 0341393370

KFO Probolinggo

Jl. Sukarno Hatta, Kelurahan Tisnonegaran,
Kecamatan Kanigaran, Kota Probolinggo,
Propinsi Jawa Timur
Ph. 0335426224

KFO Ponorogo

Jl. Batoro Katong No. 73 RT. 001 RW. 001,
Kelurahan Cokromenggalan, Kecamatan
Ponorogo, Kabupaten Ponorogo, Provinsi
Jawa Timur
Ph. 03523592002

KFO Palembang Kota

Jl. MP. Mangkunegara RT. 01 RW.01,
Kelurahan 8 Ilir, Kecamatan Ilir Timur II, Kota
Palembang, Propinsi Sumatera Selatan
Ph. 0711814827

KFO Muara Enim

Jl. Sultan Mahmud Badarudin II, RT. 02 RW.04, Kelurahan Pasar II Muara Enim, Kecamatan Muara Enim, Propinsi Sumatera Selatan
Ph. 0734422041

KFO Sekayu

Jl. Kolonel Wahid Udin RT.01 RW.01, Kelurahan Balai Agung, Kecamatan Sekayu, Kabupaten Musi Banyuasin, Propinsi Sumatera Selatan
Ph. 0714323016

KFO Kayu Agung

Jl. Yusuf Singedekane, RT. 007 RW. 000, Kelurahan Jua-jua, Kecamatan Kota Kayu Agung, Kabupaten Ogan Komering Ilir, Provinsi Sumatera Selatan
Ph. 0712321377

KFO Lampung

Jl. Hayam Wuruk No 103, Kelurahan Sawah Lama, Kecamatan Tanjung Karang Timur, Kota Bandar Lampung, Propinsi Lampung
Ph. 07215602806

KFO Bandar Jaya

Jl. Proklamator Raya No.8, Kel. Bandar Jaya Timur, Kec. Terbanggi Besar, Kab. Lampung Tengah, Provinsi Lampung
Ph. 072525187

KFO Metro

Jl. AH. Nasution No 67 B-C, Kelurahan Yosorejo, Kecamatan Metro Timur, Kota Metro, Provinsi Lampung
Ph. 07257851268

KFO Kotabumi

Jl. Alamsyah Ratu Perwira Negara No.1-2 RT. 06 RW. 01, Kelurahan Kelapa Tujuh, Kecamatan Kotabumi Selatan, Kabupaten Lampung Utara, Provinsi Lampung
Ph. 072423602

KFO Pringsewu

Jl. Jend. Ahmad Yani 67 D/E, Kelurahan Pringsewu Utara, Kecamatan Pringsewu, Kabupaten Pringsewu, Provinsi Lampung
Ph. 072924599

KFO Payakumbuh

Jl. Soekarno Hatta No 183 B, RT 001, RW 002, Kelurahan Bulakan Balai Kandi, Kecamatan Payakumbuh Barat, Kota Payakumbuh, Propinsi Sumatera Barat, 26225

KFO Padang Kota-Pesisir Selatan

Ds. Kanigarian Surantih, Kec. Sutura, Kabupaten Pesisir Selatan, Propinsi Sumatera Barat
Ph. 0756453030

KFO Magelang Selatan

Jl. Soekarno Hatta No. 18, Magelang Selatan
Ph. 02933218582

KFO Purbalingga

Jl. MT. Haryono Purbalingga No. 5B, Kel. Kandanggang, Kec. Purbalingga, Purbalingga
Ph. 0281894458

KFO Surakarta

Jl. Honggowongso ,Ruko B 8 - Surakarta
Ph. 0271633557/0271636009

KFO Sidorejo

Ruko Salatiga Regency, Jl. Fatmawati No 188, Blotongan, Sidorejo, Salatiga
Ph. 02986031903/02986031952

KFO Klaten Utara

Jl. Dr. Wahidin Sudiro Husodo, RT 03 RW 005, Kel Sekarsuli, Kec. Klaten Utara, Kab Klaten, Jawa Tengah
Ph. 02723359809

KFO Sragen Kota

Jl. Sukowati 31 (Ruko Harlin Sragen Blok A-3 dan Blok A-4), Kel. Sine. Kec. Sragen, Kab. Sragen, Jawa Tengah
Ph. 02718825069

KFO Boyolali

Jl. Perintis Kemerdekaan Gp 13, Kampung Kebonso, Kelurahan Pulisen, Kel. Boyolali, Kec. Boyolali, Jawa Tengah
Ph. 0276320134

KFO Wonogiri

Jl. Raden Mas Said No 19, Kel. Singodutan, Kec. Selogiri, Kab. Wonogiri, Jawa Tengah
Ph. 02733201070

KFO Purwodadi

Jl. Ahmad Yani 269, Kel. Kuripan, Kec. Purwodadi, Kab Grobogan, Jateng
Ph. 0292425135

KFO Blora

Jl. Gatot Subroto No.120, Kel. Sonoredjo, Kec. Blora, Kab Blora, Jawa Tengah
Ph. 02964319107

KFO Kendal

Jl. Soekarno Hatta 99 B, Desa Cipiring, Kec. Cipiring, Kab. Kendal, Jawa Tengah
Ph. 02943690027

KFO Pati

Jl. Master Iskandar No. 65 (Ruko D & Ruko E), Desa Blaru, Kec. Pati, Kab. Pati, Jawa Tengah
Ph. 0295382794

KFO Jepara

Jl. Pemuda No. 15, Kel. Panggang, Kec. Jepara, Kab. Jepara, Jawa Tengah
Ph. 02914260079

KFO Demak

Jl. Raya Demak-Kudus, Kel. Bintoro, Kec. Demak, Kab. Demak, Propinsi Jawa Tengah
Ph. 02916910172

KFO Kudus Kota

Jl. Ahmad Yani No. 128, Getas Pejaten, Jati, Kudus
Ph. 02914101904

KFO Rembang

Jl. Sudirman No. 81, RT.02 RW.01, Desa Kabongan Kidul, Kec. Rembang, Kab. Rembang, Jawa Tengah
Ph. 0295693501

KFO Karanganyar

Jl. Raya Solo Karanganyar KM 7, Kel. Triagan, Kec Mojolaban, Kab. Sukoharjo, Jawa Tengah
Ph. 02717881232

KFO Karang Gede

Jl. Tegal Rayung, RT .014, RW 04, Desa Pelem, Kecamatan Simo, Jawa Tengah, 57377
Ph. 0276327965

KFO Wonosobo

Jl. Mayor Jendral Bambang Sugeng Sidojoyo Blok A7 & Blok A8, RT 01 RW 04, Kelurahan Pagerkukuh, Kecamatan Wonosobo, Kabupaten Wonosobo, Propinsi Jawa Tengah
Ph. 02863301612

KFO Pidie-Mutiara Timur

Jl. Banda Aceh- Medan Gampong Blang Liliue, Kecamatan Mutiara, Kabupaten Pidie, Propinsi Aceh
Ph. 0653821631

KFO Medan

Jl. Amir Hamzah 9/34 B, Kec. Medan Barat, Kota Medan
Ph. 06180033611

KFO Lima Puluh

Jl. Kartini Kel. Perdagangan I, Kec. Bandar, Kab. Simalungun, Sumatera
Ph. 0332429557

KFO Simpang Empat

Jl. Teuku Umar no 55 D Lk-III, Kel. Tanjung Balai Kota I, Kec. Tanjung Balai Selatan, Kota Tanjung Balai, Propinsi Sumatera Utara
Ph. 06234562779

KFO Selong

Jl. Prof. Moh. Yamin, SH , Lingkungan
Kampung Baru, Kel.Majidi, Kec. Selong,
Kab. Lombok Timur, NTB
Ph. 03762991123

KFO Bima

Jl. Sultan Hasanudin, RT.06 RW.02, Kel.
Paruga, Kec. Rasane Barat, Kota Bima,
Nusa Tenggara Barat
Ph. 03746648687

KFO Cakranegara

Jl. Selaparang, Lingkungan Sweta Timur,
Kel. Mayura, Kec. Cakranegara, Kota
Mataram
Ph. 03706173949

KFO Pekanbaru

Jl. Arifin Ahmad Blok D/05, Kel. Sidomulya
Timur, Kec Marpoyan Damai, Kota
Pekanbaru, Propinsi Riau
Ph. 07618418778

KFO Kota Bangkinang

Jl. Sisingamangaraja, Kel. Bangkinang,
Kec. Bangkinang Kota, Kab. Kampar, Riau
Ph. 076221231

KFO Kota Duri

Jl.Hang Tuah No. 33, RT 005, RW 005,
Desa Tambusai Batang Dui, Kecamatan
Mandau, Kabupaten Bengkalis, Riau
Ph. 07655630020

KFO Parung

Jl. Raya Parung, Kel. Curug, Kec.
Bojongsari, Depok
Ph. 02518618058

KFO Cimone

Jl. Otista No. 82 D, Kel Gerendeng, Kec.
Karawaci, Tangerang, Banten
Ph. 02155798057

KFO Cilegon

Jl. Letjend Suprpto No 26 G, Kel.
Ramanuju Kec. Purwakarta, Cilegon,
Banten
Ph. 0254385678

KFO Kaduhejo

Jl. Raya Cikuya RT 002, RW 007, Kel.
Sukaratu, Kec. Majasari, Kab. Pandeglang,
Banten
Ph. 02535213642

KFO Cikupa

Perum Citra Raya, Citra Raya Blok C1 No.3
R,Kel. Cikupa, Kec. Cikupa, Kabupaten
Tangerang, Provinsi Banten
Ph. 02159404045

KFO Talagasari

Jl. Syech Quro RT.004 RW.02, Desa
Telagamulya, Kec. Telagasari, Kab.
Karawang, Jawa Barat
Ph. 0267484621

KFO Dramaga

Jl. H. Encep Nawawi, Rt. 02 RW.11, Kel.
Bubulak, Kec. Bogor Barat,Kab.Bogor,
Jawa Barat
Ph. 02518422656

KFO Cipocok

Jl. Abdul Hadi Lingkungan Kebon Jahe
(Depan Ratu Hotel BIDAARA) No. 96,
RT.03, RW.14, Kel. Cipare, Kec. Serang,
Serang, Banten
Ph. 02547911546

KFO Cikarang Barat

Jl. Industri A 01, Rt.05 Rw.06, Ds.
Pasirgombang, Kec.Cikarang Utara Kab.
Bekasi, Jawa Barat
Ph. 02189836623

KFO Malingping

Jl. Raya Simpang/Pasir Geleng, Desa
Sukamanah, Kec. Malingping, Kab.Lebak,
Provinsi Banten
Ph. 02525604005

KFO Rangkasbitung

Jl. By Pass Soekarno Hatta, Desa
Kaduagung Timur, Kec. Cibadak, Kab.
Lebak, Provinsi Banten
Ph. 02525550642

KFO Panimbang

Jl. Jendral Sudirman Kampung Muncang
(sebelah solite), RT 02, RW 09, Desa
Labuan, Kec. Labuan, Kab. Pandeglang,
Banten
Ph. 02535808152

KFO Ciawi

Jl. Raya Tajur No.118, RT.01/06, Kel.
Pakuan, Kec. Bogor Selatan, Kota Bogor,
Propinsi Jawa Barat

KFO Tambun Selatan

Tambun City, Jl. Sultan Hasanuddin, No.
263 - 265, Desa Tambun, Kec. Tambun
Selatan, Bekasi, Jawa Barat
Ph. 02188338391

KFO Kendari-Unaaha

Jl. Sapati, Kelurahan Ambekairi, Kecamatan
Unaaha, Kabupaten Konawe, Propinsi
Sulawesi Tenggara, Kode Pos 93411
Ph. 04082422514

KFO Makassar-Limbung

Jl. Poros Gowa - Takalar, Lingkungan Mata
Allo, Desa Mataallo, Kecamatan Bajeng,
Kabupaten Gowa, Propinsi Sulawesi
selatan
Ph. 0411842023

KFO Denpasar-Mengwi

Ruko Sekar Jiwa (Ruko F & G), Jl.
Cokroaminoto No 963, Desa Ubung
Kaja, Kecamatan Denpasar Utara, Kota
Denpasar, Propinsi Bali, Kode Pos 80116
Ph. 03619374184

Functional Non Operations Office (known in Indonesia acronym as KFNO)**KFNO Ciliwung**

Jl. Raya Ciliwung No 8 Surabaya
Ph. 0224260719/0224260718

KFNO Cikawao

Jl. Cikawao No.46 Kel. Cikawao, Kec.
Lengkong, Kota Bandung, Prov. Jawa Barat
Ph. 02220526901

KFNO Wisma BCA

BSD City Cyber Green Office CBD I-3, Kel.
Lengkong Gudang, Kec. Serpong, Kab.
Tangerang, Propinsi Banten
Ph. 02129661101

KFNO Wisma Staco

Gedung Wisma Staco, Jl. Casablanca
Kavling 18, Jakarta Selatan
Ph. 0218355599

Note:
Excluding Sharia Services Bank

statement

of the board of commissioners and the board of directors regarding the responsibility for the annual report 2016 PT Bank Tabungan Pensiunan Nasional Syariah

We, the undersigned hereby declare that all of the information in the 2016 Annual Report PT Bank Tabungan Pensiunan Nasional Syariah Annual is fully and correctly disclosed, and that we are fully responsible for the accuracy in every aspect of the content of this Annual Report.

Thus this statement is made truthfully.

the board of commissioners



Dewie Pelitawati
independent commissioner



Kemal Azis Stamboel
president commissioner /
independent commissioners

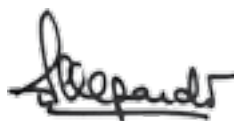


Mahdi Syahbuddin
commissioner

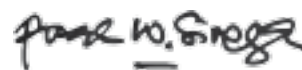
the board of directors



Ratih Rachmawaty
deputy president director



Harry A.S. Sukadis
president director



Taras Wibawa Siregar
compliance and risk management
director



Setiasmo Samami
information technology director



M. Gatot Adhi Prasetyo
operations director

financial statements

PT Bank Tabungan Pensiunan Nasional Syariah

Laporan Keuangan/
Financial Statements

31 Desember/*December* 2016

**SURAT PERNYATAAN DIREKSI TENTANG
TANGGUNG JAWAB ATAS
LAPORAN KEUANGAN PADA TANGGAL
31 DESEMBER 2016
SERTA UNTUK TAHUN YANG BERAKHIR
PADA TANGGAL 31 DESEMBER 2016
PT BANK TABUNGAN Pensiunan NASIONAL
SYARIAH**

Kami, yang bertanda tangan dibawah ini:

1. Nama : Harry A. S. Sukadis
Alamat Kantor : Menara Cyber 2, Lt. 34,
Jl. HR. Rasuna Said Kav. X-5 No. 13
Jakarta Selatan

Jabatan : Presiden Direktur

2. Nama : Ratih Rachmawaty
Alamat Kantor : Menara Cyber 2, Lt. 34,
Jl. HR. Rasuna Said Kav. X-5 No. 13
Jakarta Selatan

Jabatan : Wakil Direktur Utama

Menyatakan bahwa:

- Kami bertanggung jawab atas penyusunan dan penyajian laporan keuangan PT Bank Tabungan Pensiunan Nasional Syariah;
- Laporan keuangan PT Bank Tabungan Pensiunan Nasional Syariah telah disusun dan disajikan sesuai dengan Standar Akuntansi Keuangan di Indonesia;
- Semua informasi dalam laporan keuangan PT Bank Tabungan Pensiunan Nasional Syariah telah dimuat secara lengkap dan benar;
 - Laporan keuangan PT Bank Tabungan Pensiunan Nasional Syariah tidak mengandung informasi atau fakta material yang tidak benar, dan tidak menghilangkan informasi atau fakta material;
- Kami bertanggung jawab atas sistem pengendalian internal dalam PT Bank Tabungan Pensiunan Nasional Syariah.

Demikian pernyataan ini dibuat dengan sebenarnya.

**BOARD OF DIRECTORS' STATEMENTS REGARDING
THE RESPONSIBILITY FOR
THE FINANCIAL STATEMENT AS AT
31 DECEMBER 2016
AND FOR THE YEAR ENDED
31 DECEMBER 2016
PT BANK TABUNGAN Pensiunan NASIONAL
SYARIAH**

We, the undersigned:

1. Name : Harry A. S. Sukadis
Office Address : Menara Cyber 2, Lt. 34,
Jl. HR. Rasuna Said Kav. X-5 No.13
Jakarta Selatan

Title : President Director

2. Name : Ratih Rachmawaty
Office Address : Menara Cyber 2, Lt. 34,
Jl. HR. Rasuna Said Kav. X-5 No.13
Jakarta Selatan

Title : Deputy President Director

Declare that:

- We are responsible for the preparation and presentation of the financial statements of PT Bank Tabungan Pensiunan Nasional Syariah;
- The financial statements of PT Bank Tabungan Pensiunan Nasional Syariah have been prepared and presented in accordance with Indonesian Financial Accounting Standards;
- All information in PT Bank Tabungan Pensiunan Nasional Syariah's financial statements have been disclosed in a complete and truthful manner;
 - The financial statements of PT Bank Tabungan Pensiunan Nasional Syariah do not contain any incorrect information or material fact, nor do they omit information or material fact;
- We are responsible for PT Bank Tabungan Pensiunan Nasional Syariah's internal control system.

Thus this statement is made truthfully.

JAKARTA,
8 Februari/February 2017

Atas nama dan mewakili Dewan Direksi/For and on behalf of the Board of Directors

Harry A.S. Sukadis
Presiden Direktur/President Director

Ratih Rachmawaty
Wakil Direktur Utama/Deputy President Director



**LAPORAN AUDITOR INDEPENDEN
KEPADA PARA PEMEGANG SAHAM**

**INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF**

PT Bank Tabungan Pensiunan Nasional Syariah

Kami telah mengaudit laporan keuangan PT Bank Tabungan Pensiunan Nasional Syariah ("Bank") terlampir, yang terdiri dari laporan posisi keuangan tanggal 31 Desember 2016, serta laporan laba rugi dan penghasilan komprehensif lain, laporan perubahan ekuitas, laporan arus kas, laporan rekonsiliasi pendapatan dan bagi hasil, laporan sumber dan penyaluran dana zakat dan laporan sumber dan penggunaan dana kebajikan untuk tahun yang berakhir pada tanggal tersebut, dan suatu ikhtisar kebijakan akuntansi signifikan dan informasi penjelasan lainnya.

Tanggung jawab manajemen atas laporan keuangan

Manajemen bertanggung jawab atas penyusunan dan penyajian wajar laporan keuangan ini sesuai dengan Standar Akuntansi Keuangan di Indonesia, dan atas pengendalian internal yang dianggap perlu oleh manajemen untuk memungkinkan penyusunan laporan keuangan yang bebas dari kesalahan penyajian material, baik yang disebabkan oleh kecurangan maupun kesalahan.

Tanggung jawab Auditor

Tanggung jawab kami adalah untuk menyatakan suatu opini atas laporan keuangan ini berdasarkan audit kami. Kami melaksanakan audit kami berdasarkan Standar Audit yang ditetapkan oleh Institut Akuntan Publik Indonesia. Standar tersebut mengharuskan kami untuk mematuhi ketentuan etika serta merencanakan dan melaksanakan audit untuk memperoleh keyakinan memadai tentang apakah laporan keuangan bebas dari kesalahan penyajian material.

We have audited the accompanying financial statements of PT Bank Tabungan Pensiunan Nasional Syariah (the "Bank"), which comprise the statement of financial position as of 31 December 2016, and the statements of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows, statement of reconciliation of income and revenue sharing, statement of sources and distribution of zakat funds and statement of sources and uses of qardhul hasan funds for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Indonesian Financial Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants. Those standards required that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

Kantor Akuntan Publik Tanudiredja, Wibisana, Rintis & Rekan

Plaza 89, Jl. H.R. Rasuna Said Kav. X-7 No.6 Jakarta 12940 - INDONESIA, P.O. Box 2473 JKP 10001
T: +62 21 5212901, F: + 62 21 52905555 / 52905050, www.pwc.com/id

Nomor Instr. Usaha: KEP-241/KE/LI/2015
A170208001/DC2/MJW/2017



Suatu audit melibatkan pelaksanaan prosedur untuk memperoleh bukti audit tentang angka-angka dan pengungkapan dalam laporan keuangan. Prosedur yang dipilih bergantung pada pertimbangan auditor, termasuk penilaian atas risiko kesalahan penyajian material dalam laporan keuangan, baik yang disebabkan oleh kecurangan maupun kesalahan. Dalam melakukan penilaian risiko tersebut, auditor mempertimbangkan pengendalian internal yang relevan dengan penyusunan dan penyajian wajar laporan keuangan entitas untuk merancang prosedur audit yang tepat sesuai dengan kondisinya, tetapi bukan untuk tujuan menyatakan opini atas keefektifitasan pengendalian internal entitas. Suatu audit juga mencakup pengevaluasian atas ketepatan kebijakan akuntansi yang digunakan dan kewajaran estimasi akuntansi yang dibuat oleh manajemen, serta pengevaluasian atas penyajian laporan keuangan secara keseluruhan.

Kami yakin bahwa bukti audit yang telah kami peroleh adalah cukup dan tepat untuk menyediakan suatu basis bagi opini audit kami.

Opini

Menurut opini kami, laporan keuangan terlampir menyajikan secara wajar, dalam semua hal yang material, posisi keuangan PT Bank Tabungan Pensiunan Nasional Syariah tanggal 31 Desember 2016, serta kinerja keuangan, arus kas, rekonsiliasi pendapatan dan bagi hasil, sumber dan penyaluran dana zakat dan sumber dan penggunaan dana kebajikan untuk tahun yang berakhir pada tanggal tersebut, sesuai dengan Standar Akuntansi Keuangan di Indonesia.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of PT Bank Tabungan Pensiunan Nasional Syariah as of 31 December 2016, and its financial performance, cash flows, reconciliation of income and revenue sharing, sources and distribution of zakat funds and sources and uses of qardhul hasan funds for the year ended, in accordance with Indonesian Financial Accounting Standards.

JAKARTA
8 Februari/February 2017

Drs. M. Jusuf Wibisono, M.Ec., CPA

Surat Ijin Praktik Akuntan Publik/License of Public Accountant No. AP.0222

PT BANK TABUNGAN Pensiunan Nasional Syariah

LAPORAN POSISI KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)STATEMENT OF FINANCIAL POSITION
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015 ^{*)}	
ASET				ASSETS
Kas	4	191,662	108,438	Cash
Giro dan penempatan pada Bank Indonesia	2f,5	1,548,277	649,266	Current account and placements with Bank Indonesia
Pendapatan yang akan diterima dari penempatan pada Bank Indonesia		590	2,072	Accrued income of placement with Bank Indonesia
		<u>1,548,867</u>	<u>651,338</u>	
Giro pada bank lain	2g,6	34,490	14,883	Current account with other banks
Penempatan pada bank lain	2h,7	-	410,000	Placements with other banks
Piutang <i>murabahah</i> setelah dikurangi pendapatan yang ditangguhkan sebesar Rp1.239.596 (2015: Rp 945.656)	2i,8	4,996,722	3,677,967	Murabahah receivables net deferred margin income of Rp 1,239,596 (2015: Rp 945,656)
Pendapatan yang akan diterima dari piutang <i>murabahah</i>		57,917	41,749	Accrued income of murabahah receivables
Dikurangi: Cadangan kerugian penurunan nilai	2e	<u>(113,856)</u>	<u>(61,999)</u>	Less: Allowance for impairment losses
		<u>4,940,783</u>	<u>3,657,717</u>	
Pinjaman <i>qardh</i>	2j	90	60	Funds of qardh
Biaya dibayar dimuka	2k,9	70,805	79,755	Prepayments
Aset tetap	2l,10	349,964	269,010	Fixed assets
Dikurangi: Akumulasi penyusutan		<u>(163,626)</u>	<u>(93,691)</u>	Less: Accumulated depreciation
		<u>186,338</u>	<u>175,319</u>	
Aset tak berwujud	2l,11	55,130	32,588	Intangible assets
Dikurangi: Akumulasi amortisasi		<u>(18,714)</u>	<u>(10,177)</u>	Less: Accumulated amortisation
		<u>36,416</u>	<u>22,411</u>	
Aset pajak tangguhan	2u,16c	37,975	17,271	Deferred tax assets
Aset lain-lain	2m,12	<u>275,921</u>	<u>59,007</u>	Other assets
JUMLAH ASET		<u><u>7,323,347</u></u>	<u><u>5,196,199</u></u>	TOTAL ASSETS

*) Direklasifikasi, lihat Catatan 42

Reclassified, refer to Note 42 *)

Catatan atas laporan keuangan merupakan bagian yang tidak terpisahkan dari laporan keuangan secara keseluruhan.

The accompanying notes form an integral part of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

LAPORAN POSISI KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)STATEMENT OF FINANCIAL POSITION
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015 ^{*)}	
LIABILITAS, DANA SYIRKAH TEMPORER DAN EKUITAS				LIABILITIES, TEMPORARY SYIRKAH FUNDS AND SHAREHOLDERS' EQUITY
LIABILITAS				LIABILITIES
Liabilitas segera	2n,13	79,655	7,920	Liabilities due immediately
Bagi hasil yang belum dibagikan	14	12,320	11,152	Undistributed revenue sharing
Simpanan nasabah	2o,15			Deposits from customers
Giro wadiah				Wadiah demand deposits
- Pihak ketiga		13,400	28,755	Third parties -
Tabungan wadiah				Wadiah saving deposits
- Pihak ketiga		979,450	729,794	Third parties -
		992,850	758,549	
Utang pajak	16a	74,196	40,262	Tax payable
Liabilitas lain-lain	17	83,934	119,743	Other liabilities
Imbalan kerja karyawan	2t,34	92,962	43,684	Employee benefits
JUMLAH LIABILITAS		1,335,917	981,310	TOTAL LIABILITIES
DANA SYIRKAH TEMPORER				TEMPORARY SYIRKAH FUNDS
Bukan bank				Non-bank
- Tabungan mudharabah	2p,18	64,002	26,962	Mudharabah saving deposits -
- Deposito mudharabah	2p,19	4,330,712	3,024,456	Mudharabah time deposits -
JUMLAH DANA SYIRKAH TEMPORER		4,394,714	3,051,418	TOTAL TEMPORARY SYIRKAH FUNDS

*) Direklasifikasi, lihat Catatan 42

Reclassified, refer to Note 42 *)

Catatan atas laporan keuangan merupakan bagian yang tidak
terpisahkan dari laporan keuangan secara keseluruhan.The accompanying notes form an integral part
of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

LAPORAN POSISI KEUANGAN

31 DESEMBER 2016

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

STATEMENT OF FINANCIAL POSITION

31 DECEMBER 2016

(Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015 ^{*)}	
EKUITAS				SHAREHOLDERS' EQUITY
Modal saham	20			Share capital
Nilai nominal Rp 1.000.000 (nilai penuh) per saham, Modal dasar – 1.500.000 saham (2015: 1.500.000 saham), Modal ditempatkan dan disetor penuh – 693.333 saham (2015: 693.333 saham),		693,333	693,333	Nominal value Rp 1,000,000 (full amount) per share, Authorized – 1,500,000 shares, (2015: 1,500,000 shares), Issued and fully paid - capital – 693,333 shares (2015: 693,333 shares)
Tambahan modal disetor		188,456	188,456	Additional paid-in capital
Cadangan pembayaran berbasis saham	2v,22	11,586	4,814	Share-based payment reserve
Cadangan revaluasi aset	2l	5,239	-	Asset revaluation reserve
Saldo laba				Retained Earnings
- Dicadangkan		15,000	7,206	Appropriated -
- Belum dicadangkan		679,102	269,662	Non-appropriated -
JUMLAH EKUITAS		<u>1,592,716</u>	<u>1,163,471</u>	TOTAL EQUITY
JUMLAH LIABILITAS, DANA SYIRKAH TEMPORER, DAN EKUITAS		<u><u>7,323,347</u></u>	<u><u>5,196,199</u></u>	TOTAL LIABILITIES, TEMPORARY SYIRKAH FUNDS, AND EQUITY

*) Direklasifikasi, lihat Catatan 42

Reclassified, refer to Note 42 *)

Catatan atas laporan keuangan merupakan bagian yang tidak
terpisahkan dari laporan keuangan secara keseluruhan.The accompanying notes form an integral part
of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN LABA RUGI DAN PENGHASILAN
KOMPREHENSIF LAIN
UNTUK TAHUN YANG BERAKHIR
31 DESEMBER 2016**

 (Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME
FOR THE YEAR ENDED
31 DECEMBER 2016**

 (Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
OPERASI YANG DILANJUTKAN				CONTINUING OPERATIONS
KEGIATAN SYARIAH				SHARIA BUSINESS
Pendapatan pengelolaan dana oleh Bank sebagai <i>Mudharib</i>	2q			Income from fund management by the Bank as <i>Mudharib</i>
Pendapatan dari jual beli	23	2,177,556	1,512,596	Income from sales and purchases
Pendapatan usaha utama lainnya	24	48,926	50,051	Other main operating income
		<u>2,226,482</u>	<u>1,562,647</u>	
Hak pihak ketiga atas bagi hasil dana <i>syirkah</i> temporer	2r, 25	(290,310)	(247,178)	Third parties' shares on return of temporary <i>syirkah</i> funds
Hak bagi hasil milik bank		<u>1,936,172</u>	<u>1,315,469</u>	Bank shares' in profit sharing
PENDAPATAN OPERASIONAL LAINNYA	2s,26	4,895	4,834	OTHER OPERATING INCOME
BEBAN OPERASIONAL LAINNYA	2s			OTHER OPERATING EXPENSE
Gaji dan tunjangan	27	(771,058)	(621,813)	Salaries and benefits
Umum dan administrasi	28	(452,830)	(345,493)	General and administrative
Pembentukan cadangan kerugian penurunan nilai aset produktif dan non-produktif	2e, 29	(118,559)	(61,396)	Provision for allowance for impairment losses on earning and non-earning assets
Beban operasional lainnya	30	(43,791)	(41,517)	Other operating expenses
PENDAPATAN OPERASIONAL-BERSIH		<u>554,829</u>	<u>250,084</u>	NET OPERATING INCOME
Pendapatan/(beban) non-operasional - bersih	31	914	360	Non-operating income/(expense) - net
LABA SEBELUM PAJAK PENGHASILAN		<u>555,743</u>	<u>250,444</u>	INCOME BEFORE TAX
BEBAN PAJAK				TAX EXPENSE
- Kini	16b	(165,531)	(69,926)	Current -
- Tangguhan	16b	22,283	7,837	Deferred -
		<u>(143,248)</u>	<u>(62,089)</u>	
LABA TAHUN BERJALAN DARI OPERASI YANG DILANJUTKAN		<u>412,495</u>	<u>188,355</u>	INCOME FOR THE YEAR FROM CONTINUING OPERATIONS
OPERASI YANG DIHENTIKAN				DISCONTINUED OPERATIONS
Rugi tahun berjalan dari operasi yang dihentikan	2x,32	-	(19,149)	Loss for the year from discontinued operation
LABA BERSIH TAHUN BERJALAN		<u>412,495</u>	<u>169,206</u>	NET INCOME FOR THE YEAR
PENGHASILAN KOMPREHENSIF LAIN:				OTHER COMPREHENSIVE INCOME:
Pos yang tidak akan direklasifikasi ke laba rugi				Items that will not be reclassified to profit or loss
Keuntungan revaluasi aset tetap		5,480	-	Surplus of asset revaluation
Pengukuran kembali imbalan pasca kerja		6,318	7,083	Remeasurement from post-employment benefit obligation
Beban pajak terkait		(1,820)	(1,771)	Related income tax
Penghasilan komprehensif lain tahun berjalan, setelah pajak		<u>9,978</u>	<u>5,312</u>	Other comprehensive income for the year, net of tax
JUMLAH LABA KOMPREHENSIF TAHUN BERJALAN, SETELAH PAJAK		<u>422,473</u>	<u>174,518</u>	TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX

Catatan atas laporan keuangan merupakan bagian yang tidak terpisahkan dari laporan keuangan secara keseluruhan.

The accompanying notes form an integral part of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN PERUBAHAN EKUITAS
UNTUK TAHUN YANG BERAKHIR
31 DESEMBER 2016**

 (Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED
31 DECEMBER 2016**

 (Expressed in millions of Rupiah,
unless otherwise stated)

		Modal saham ditempatkan dan disetor penuh/ Issued and fully- paid capital	Tambahan modal disetor/ Additional paid-in capital	Cadangan pembayaran berbasis saham/ Share-based payment reserve	Cadangan revaluasi aset/ Asset revaluation reserve	Saldo laba yang dicadangkan/ Appropriated retained earnings	Saldo laba yang belum dicadangkan/ Unappropriated retained earnings	Jumlah ekuitas/ Total equity	
Catatan/ Notes									
Saldo per 1 Januari 2015		533,333	188,456	-	-	2,206	100,144	824,139	Balance as at 1 January 2015
Penambahan modal saham	20	160,000	-	-	-	-	-	160,000	Additional share capital
Pembentukan cadangan wajib	21	-	-	-	-	5,000	(5,000)	-	Appropriation for legal reserve
Cadangan pembayaran berbasis saham	2v, 22	-	-	4,814	-	-	-	4,814	Share-based payment reserve
Laba bersih tahun berjalan		-	-	-	-	-	169,206	169,206	Net profit for the year
Penghasilan komprehensif lain:									Other comprehensive income:
Revaluasi tanah		-	-	-	-	-	-	-	Revaluation on land
Penilaian kembali imbalan kerja		-	-	-	-	-	7,083	7,083	Remeasurement of employee benefit
Efek pajak terkait		-	-	-	-	-	(1,771)	(1,771)	Related tax effect
Saldo per 31 Desember 2015		693,333	188,456	4,814	-	7,206	269,662	1,163,471	Balance as at 31 December 2015
Penambahan modal saham	20	-	-	-	-	-	-	-	Additional share capital
Pembentukan cadangan wajib	21	-	-	-	-	7,794	(7,794)	-	Appropriation for legal reserve
Cadangan pembayaran berbasis saham	2v, 22	-	-	6,772	-	-	-	6,772	Share-based payment reserve
Laba bersih tahun berjalan		-	-	-	-	-	412,495	412,495	Net profit for the year
Penghasilan komprehensif lain:									Other comprehensive income:
Keuntungan revaluasi aset tetap		-	-	-	5,480	-	-	5,480	Surplus of asset revaluation
Penilaian kembali imbalan kerja		-	-	-	-	-	6,318	6,318	Remeasurement of employee benefit
Efek pajak terkait		-	-	-	(241)	-	(1,579)	(1,820)	Related tax effect
Saldo per 31 Desember 2016		693,333	188,456	11,586	5,239	15,000	679,102	1,592,716	Balance as at 31 December 2016

 Catatan atas laporan keuangan merupakan bagian yang tidak
terpisahkan dari laporan keuangan secara keseluruhan.

 The accompanying notes form an integral part
of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN ARUS KAS
UNTUK TAHUN YANG BERAKHIR
31 DESEMBER 2016**

 (Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED
31 DECEMBER 2016**

 (Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
ARUS KAS DARI AKTIVITAS OPERASI				CASH FLOWS FROM OPERATING ACTIVITIES
Penerimaan pendapatan dari pengelolaan dana		2,211,796	1,553,724	Receipt of income from fund management
Pembayaran bagi hasil dana <i>syirkah</i> temporer		(289,142)	(246,093)	Payment of profit sharing for temporary <i>syirkah</i> funds
Penerimaan pendapatan administrasi		1,423	5,667	Receipt of administrative income
Penerimaan dari piutang yang dihapusbukukan		7,601	2,711	Receipts from recovery of receivable written off
Pembayaran beban gaji dan tunjangan		(726,246)	(615,349)	Payment of salaries and benefits
Pembayaran beban usaha lainnya		(428,792)	(373,254)	Payment of other operating expense
Penerimaan/(pembayaran) non-operasional - bersih		742	(424)	Receipt/(payment) of non-operational - net
		777,382	326,982	
Pembayaran pajak penghasilan badan		(132,674)	(53,579)	Payment of corporate income tax
Arus kas sebelum perubahan dalam aset dan liabilitas operasi		644,708	273,403	Cash flows before changes in operating assets and liabilities
Perubahan dalam aset dan liabilitas operasi:				Changes in operating assets and liabilities:
Penurunan/(kenaikan) aset operasi:				Decrease/(increase) in operating assets:
Piutang <i>murabahah</i>	8	(1,318,755)	(1,178,880)	Murabahah receivables
Pinjaman <i>qardh</i>		(30)	(60)	Funds of <i>qardh</i>
Aset lain-lain		(207,923)	1,180	Other assets
Aset atas operasi yang dihentikan		-	51,353	Assets on discontinued operations
Kenaikan/(penurunan) liabilitas operasi:				Increase/(decrease) in operating liabilities:
Liabilitas segera		71,519	2,557	Liabilities due immediately
Simpanan nasabah	15	234,301	245,305	Deposits from customer
Liabilitas lain-lain		(62,767)	21,959	Other liabilities
Liabilitas atas operasi yang dihentikan		-	(6,641)	Liabilities on discontinued operations
Kenaikan dana <i>syirkah</i> temporer		1,343,296	857,158	Increase in temporary <i>syirkah</i> funds
Arus kas bersih diperoleh dari aktivitas operasi		704,349	267,334	Net cash flow provided from operating activities
ARUS KAS DARI AKTIVITAS INVESTASI				CASH FLOWS FROM INVESTING ACTIVITIES
Hasil penjualan aset tetap		439	1,906	Proceeds from sale of fixed assets
Pembelian aset tetap		(90,404)	(137,426)	Purchase of fixed assets
Pembelian aset tak berwujud		(22,542)	(12,901)	Purchase of intangible assets
Arus kas bersih digunakan untuk aktivitas investasi		(112,507)	(148,421)	Net cash flow used in investing activities
ARUS KAS DARI AKTIVITAS PENDANAAN				CASH FLOWS FROM FINANCING ACTIVITIES
Penerimaan dana setoran modal		-	160,000	Proceeds from increase of share capital
Arus kas bersih diperoleh dari aktivitas pendanaan		-	160,000	Net cash flow provided from investing activities

Catatan atas laporan keuangan merupakan bagian yang tidak terpisahkan dari laporan keuangan secara keseluruhan.

The accompanying notes form an integral part of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN ARUS KAS
UNTUK TAHUN YANG BERAKHIR
31 DESEMBER 2016**

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED
31 DECEMBER 2016**

(Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
KENAIKAN BERSIH KAS DAN SETARA KAS		591,842	278,913	NET INCREASE IN CASH AND CASH EQUIVALENTS
KAS DAN SETARA KAS AWAL TAHUN		<u>1,132,587</u>	<u>853,674</u>	CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR
KAS DAN SETARA KAS AKHIR TAHUN		<u>1,724,429</u>	<u>1,132,587</u>	CASH AND CASH EQUIVALENTS AT END OF THE YEAR
Kas dan setara kas akhir tahun terdiri dari:				Cash and cash equivalents at end of the year consist of:
Kas	4	191,662	108,438	Cash
Giro pada Bank Indonesia	5	275,777	203,766	Current accounts with Bank Indonesia
Giro pada bank lain	6	34,490	14,883	Current accounts with other banks
Penempatan pada Bank Indonesia	5	1,222,500	395,500	Placement with Bank Indonesia
Penempatan pada bank lain	7	-	410,000	Placement with other bank
		<u>1,724,429</u>	<u>1,132,587</u>	

Catatan atas laporan keuangan merupakan bagian yang tidak terpisahkan dari laporan keuangan secara keseluruhan.

The accompanying notes form an integral part of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN REKONSILIASI PENDAPATAN
DAN BAGI HASIL UNTUK
TAHUN YANG BERAKHIR
31 DESEMBER 2016**

 (Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF RECONCILIATION OF INCOME
AND REVENUE SHARING
FOR THE YEAR ENDED
31 DECEMBER 2016**

 (Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
Pendapatan pengelolaan dana oleh bank sebagai <i>mudharib</i>				Income from fund management by the bank as <i>mudharib</i>
Pendapatan dari jual beli	23	2,177,556	1,512,596	Income from sales and purchases
Pendapatan usaha utama lainnya	24	48,926	50,051	Other main operating income
		<u>2,226,482</u>	<u>1,562,647</u>	
Pengurang				Deductions
Pendapatan tahun berjalan yang kas dan setara kasnya belum diterima:				Current period income in which the cash and cash equivalents were not received:
Pendapatan dari jual beli		(57,917)	(9,302)	Income from sales and purchases
Pendapatan usaha utama lainnya		(590)	(2,072)	Other main operating income
		<u>(58,507)</u>	<u>(11,374)</u>	
Penambah				Additions
Pendapatan tahun sebelumnya yang kasnya diterima pada tahun berjalan:				Prior period income in which the cash were received during the current period:
Penerimaan pelunasan pendapatan keuntungan <i>murabahah</i>		41,749	32,392	Receipt of settlement from murabahah margin income
Pendapatan usaha utama lainnya		2,072	1,346	Other main operating income
		<u>43,821</u>	<u>33,738</u>	
Pendapatan yang tersedia untuk bagi hasil		<u>2,211,796</u>	<u>1,585,011</u>	Available income for revenue sharing
Bagi hasil yang menjadi hak Bank Syariah		1,921,486	1,337,833	Sharia Bank's share from revenue sharing
Bagi hasil yang menjadi hak pemilik dana	2r, 25	290,310	247,178	Fund owners' share from revenue sharing
Dirinci atas:				Details of:
Hak pemilik dana atas bagi hasil yang sudah dibagikan		277,990	236,026	Fund owners' share on distributed revenue sharing
Hak pemilik dana atas bagi hasil yang belum dibagikan	14	12,320	11,152	Fund owners' share on undistributed revenue sharing
		<u>290,310</u>	<u>247,178</u>	

 Catatan atas laporan keuangan merupakan bagian yang tidak
terpisahkan dari laporan keuangan secara keseluruhan.

 The accompanying notes form an integral part
of these financial statements.

PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH

**LAPORAN SUMBER DAN
PENYALURAN DANA ZAKAT
UNTUK TAHUN YANG BERAKHIR
31 DESEMBER 2016**

 (Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF SOURCES AND
DISTRIBUTION OF ZAKAT FUNDS
FOR THE YEAR ENDED
31 DECEMBER 2016**

 (Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
Saldo awal dana zakat		-	-	Beginning balance of zakat funds
Sumber dana zakat				Sources of zakat funds
Zakat dari Bank		-	-	Zakat from Banks
Zakat dari pihak luar bank		-	-	Zakat from non-bank parties
		-	-	
Penyaluran dana zakat	2w	-	-	Distribution of zakat funds
Kenaikan dana zakat		-	-	Increase in zakat funds
Saldo akhir dana zakat		-	-	Ending balance of zakat funds

 Catatan atas laporan keuangan merupakan bagian yang tidak
terpisahkan dari laporan keuangan secara keseluruhan.

 The accompanying notes form an integral part
of these financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**LAPORAN SUMBER DAN PENGGUNAAN
DANA KEBAJIKAN UNTUK
TAHUN YANG BERAKHIR
31 DESEMBER 2016**

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

**STATEMENT OF SOURCES AND USES
OF QARDHUL HASAN FUNDS
FOR THE YEAR ENDED
31 DECEMBER 2016**

(Expressed in millions of Rupiah,
unless otherwise stated)

	Catatan/ Notes	2016	2015	
Saldo awal dana kebajikan	2w	141	162	Beginning balance of qardhul hasan funds
Sumber dana kebajikan				Source of qardhul hasan funds
Pendapatan non-halal		81	132	Non-halal income
Denda		44	14	Penalty
Jumlah		<u>125</u>	<u>146</u>	Total
Penggunaan dana kebajikan	2w	<u>97</u>	<u>167</u>	Use of qardhul hasan funds
Kenaikan/(penurunan) sumber dana kebajikan		<u>28</u>	<u>(21)</u>	Increase/(decrease) in qardhul hasan funds
Saldo akhir dana kebajikan		<u><u>169</u></u>	<u><u>141</u></u>	Ending balance of qardhul hasan funds

Catatan atas laporan keuangan merupakan bagian yang tidak terpisahkan dari laporan keuangan secara keseluruhan.

The accompanying notes form an integral part of these financial statements.

PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

1. INFORMASI UMUM

a. Pendirian bank dan informasi umum

PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah" atau "Bank") awalnya didirikan dengan nama PT Bank Sahabat Purba Danarta ("BSPD"). Perubahan nama tersebut didasarkan pada perubahan terhadap seluruh Anggaran Dasar sebagaimana termuat dalam Akta Notaris No. 25 tanggal 27 Agustus 2013 *juncto* Akta Notaris No. 30 tanggal 25 September 2013 keduanya dibuat oleh Notaris Hadijah, S.H., M.Kn. dan telah mendapat persetujuan dari Menteri Hukum dan Hak Asasi Manusia ("Menkumham") Republik Indonesia ("RI") dalam Surat Keputusan ("SK") No. AHU-50529.AH.01.02. tahun 2013 tanggal 1 Oktober 2013 tentang Persetujuan Perubahan Anggaran Dasar Perseroan dan sudah diumumkan dalam Berita Negara Republik Indonesia Nomor 94 tahun 2013, tambahan Berita Negara Republik Indonesia No. 124084 tanggal 22 November 2013.

Pada tanggal 20 Januari 2014, Rapat Umum Pemegang Saham Luar Biasa BTPN telah menyetujui pemisahan Unit Usaha Syariah PT Bank Tabungan Pensiunan Nasional Tbk ("UUS BTPN") dari PT Bank Tabungan Pensiunan Nasional Tbk ("BTPN") yang diaktakan dengan Akta Notaris No. 8 dari Notaris Hadijah, S.H., M.Kn. Pemisahan dilakukan dengan mengacu kepada Peraturan Bank Indonesia No. 11/10/PBI/2009 yang telah diubah dengan PBI No. 15/14/PBI/2013 tentang Unit Usaha Syariah. Pendirian tersebut dilakukan dengan izin Bank Indonesia melalui dua tahap, yaitu persetujuan izin konversi dan izin pemisahan.

Pada tanggal 22 Mei 2014, Bank telah mendapatkan izin dari Bank Indonesia untuk melaksanakan konversi PT Bank Sahabat Purba Danarta berdasarkan surat Keputusan Dewan Komisiner Otoritas Jasa Keuangan (OJK) No.Kep-49/D-03/2014.

Pada tanggal 23 Juni 2014, Bank memperoleh izin pemisahan dari Otoritas Jasa Keuangan (OJK) berdasarkan Surat OJK No: S-17/PB.1/2014. Pemisahan UUS BTPN dilakukan dengan Akta Pemisahan No. 8 tanggal 4 Juli 2014 yang dibuat di hadapan Hadijah, S.H., M.Kn. Notaris di Jakarta. Selanjutnya, pemisahan terjadi secara efektif pada tanggal 14 Juli 2014 dan pertama kalinya Bank memulai kegiatan usaha berdasarkan prinsip syariah, sebagaimana yang dilaporkan kepada Bank Indonesia ("BI") dengan surat No. S.031/DIR/LG/VII/2014 tanggal 17 Juli 2014 perihal Laporan Pelaksanaan Pembukaan Bank Umum Syariah Hasil Pemisahan.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

1. GENERAL INFORMATION

a. Bank establishment and general information

PT Bank Tabungan Pensiunan Nasional Syariah ("BTPN Syariah" or the "Bank") was initially established under the name of PT Bank Sahabat Purba Danarta ("BSPD"). The change in name was based on the changes to the entire Articles of Association as set forth in Notarial Deed No. 25 dated 27 August 2013 *juncto* Notarial Deed No. 30 dated 25 September 2013 of Notary Hadijah, S.H., M.Kn. and was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its decision letter No. AHU-50529.AH.01.02 year 2013 dated 1 October 2013 regarding Approval of Amendment to the Articles of Association and has been published in the State Gazette No.94 year 2013, in supplement of the State Gazette No. 124084 dated 22 November 2013.

On 20 January 2014, the Shareholders' Extraordinary General Meeting of BTPN approved the spin-off of the sharia business unit of PT Bank Tabungan Pensiunan Nasional Tbk ("UUS BTPN") from PT Bank Tabungan Pensiunan Nasional Tbk ("BTPN") which was notarised by Notarial Deed No. 8 of Notary Hadijah, S.H., M.Kn. The spin-off was made with reference to Bank Indonesia Regulation No.11/10/PBI/2009 which has been amended by PBI No. 15/14/PBI/2013 regarding Sharia Business Unit. The establishment has been approved by Bank Indonesia in two stages, the approval of the conversion permit and spin-off permit.

On 22 May 2014, the Bank has received its permit from Bank Indonesia regarding conversion of PT Bank Sahabat Purba Danarta based on the Decision Letter of Board of Commissioner of Otoritas Jasa Keuangan (OJK) No.Kep-49/D-03/2014.

On 23 June 2014, the Bank has received its spin-off permit from Otoritas Jasa Keuangan (OJK) based on the Letter of OJK No: S-17/PB.1/2014. The spin-off of UUS BTPN was made under Spin-off Deed No. 8 dated 4 July 2014 and was notarised by Hadijah, S.H., M.Kn. Notary in Jakarta. Furthermore, the spin-off became effective on 14 July 2014 and started its operational activity based on sharia principles, as reported to Bank Indonesia ("BI") through its letter No. S.031/DIR/LG/VII/2014 dated 17 July 2014 regarding the Report on the Implementation of the Opening of Commercial Sharia Bank Resulting from the Spin-Off.

PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

1. INFORMASI UMUM (lanjutan)

a. Pendirian bank dan informasi umum
(lanjutan)

Kantor pusat Bank berlokasi di Menara Cyber 2 Lantai 34, Jalan H.R. Rasuna Said Blok X-5 No.13, Kuningan, Jakarta Selatan 12950.

b. Akuisisi Bank

Pada tanggal 19 Juli 2013, Bank Indonesia ("BI") menyetujui rencana BTPN untuk melakukan akuisisi sebesar 70% saham PT Bank Sahabat Purba Danarta ("BSPD") melalui suratnya No. 15/10/DPB1/PB1-5/Rahasia dengan syarat dilakukan perubahan atas kegiatan usaha dari BSPD yang semula merupakan bank konvensional menjadi bank umum berdasarkan prinsip syariah.

Berdasarkan Akta Notaris No. 25 tanggal 27 Agustus 2013 *juncto* Akta Notaris No. 30 tanggal 25 September 2013 yang keduanya dibuat oleh Notaris Hadijah, S.H., M.Kn., dimana BSPD mengubah namanya menjadi PT Bank Tabungan Pensiunan Nasional Syariah ("BTPNS"). Perubahan di atas telah mendapat persetujuan dari Menteri Hukum dan Hak Asasi Manusia ("Menhumkan") Republik Indonesia melalui Surat Keputusan No. AHU-50529.AH.01.02 Tahun 2013 tertanggal 1 Oktober 2013 tentang Persetujuan Perubahan Anggaran Dasar Bank dan sudah diumumkan dalam Berita Negara Republik Indonesia Nomor 94 Tahun 2013, tambahan Berita Negara Republik Indonesia No. 124084 tanggal 22 November 2013.

Berdasarkan akta notaris dari Notaris Hadijah, S.H., M.Kn., No. 26 dan No. 27 tanggal 30 Januari 2014, BTPN telah melakukan akuisisi atas BTPNS dan menjadi pemegang saham mayoritas dari BTPNS. Hal ini telah diketahui oleh Kementerian Hukum dan Hak Asasi Manusia Republik Indonesia melalui surat No. AHU-AH.01.10-04338 tertanggal 12 Februari 2014.

Pada tanggal 4 Februari 2014, BTPN telah melakukan pembayaran terkait akuisisi sebesar Rp 640.000 yang terdiri dari modal dasar dan agio saham masing-masing sebesar Rp 373.333 dan Rp 266.667.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

1. GENERAL INFORMATION (continued)

a. Bank establishment and general
information (continued)

The Bank's head office is located at Menara Cyber 2 34th floor, Jalan H.R. Rasuna Said Block X-5 No.13, Kuningan, Jakarta Selatan 12950.

b. Bank Acquisition

On 19 July 2013, Bank Indonesia ("BI") approved the plan of BTPN to acquire 70% shares of PT Bank Sahabat Purba Danarta ("BSPD") through its letter No. 15/10/DPB1/PB1-5/Rahasia which subject to the changes of BSPD business activities from a conventional bank into a commercial bank under sharia principle.

Based on Notarial Deed No. 25 dated 27 August 2013 *juncto* Notarial Deed No. 30 dated 25 September 2013, both were made by Hadijah, S.H., M.Kn., where BSPD changed its name to PT Bank Tabungan Pensiunan Nasional Syariah ("BTPNS"). The change above was subsequently approved by the Minister of Law and Human rights of the Republic of Indonesia through its letter No. AHU-50529.AH.01.02 Year 2013 dated 1 October 2013 regarding Approval of Amendment to the Bank's Articles of Association and has been published in the the State Gazette No. 94 Year 2013, Supplement No. 124084 dated 22 November 2013.

Based on notarial deed of Notary Hadijah S.H., M.Kn., No. 26 and No. 27 dated 30 January 2014, BTPN has acquired BTPNS and has become majority Shareholders of BTPNS. It was acknowledged by the Ministry of Law and Human Rights of Republic Indonesia through its letter No. AHU-AH.01.10-04338 dated 12 February 2014.

On 4 February 2014, BTPN has paid the total consideration of the acquisition amounting to Rp 640,000 in the form of authorised capital and paid in capital amounting to Rp 373,333 and Rp 266,667, respectively.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

1. INFORMASI UMUM (lanjutan)

b. Akuisisi Bank (lanjutan)

Selisih nilai transaksi restrukturisasi entitas
sepengendali

Proses kombinasi bisnis diakui pada tanggal efektif pemisahan unit usaha syariah terjadi dari induk perusahaan (BTPN) kepada Bank pada tanggal 4 Februari 2014, dimana Bank telah dianggap berada di bawah kontrol pengendalian yang sama, karena BTPN mengakuisisi Bank pada tanggal tersebut.

Terkait dengan kombinasi bisnis entitas sepengendali ini, Bank telah mencatat selisih nilai transaksi restrukturisasi entitas sepengendali sebesar Rp 38.211 pada akun tambahan modal disetor di sisi ekuitas sesuai dengan PSAK 38 (Revisi 2012).

c. Perubahan Kegiatan Usaha

Berdasarkan Surat Keputusan Dewan Komisiner Otoritas Jasa Keuangan No. Kep-49/D-03/2014 tanggal 22 Mei 2014, Bank memperoleh izin perubahan kegiatan usaha bank umum konvensional menjadi bank umum yang melaksanakan kegiatan usaha berdasarkan prinsip syariah. Selama 60 (enam puluh) hari setelah keputusan tersebut, Bank wajib melaksanakan kegiatan usaha berdasarkan prinsip syariah dan selambat-lambatnya 1 (satu) tahun setelah keputusan, Bank wajib menyelesaikan seluruh pinjaman yang diberikan dan kewajiban debitur atau nasabah dari kegiatan konvensional. Bank mulai beroperasi sebagai bank umum syariah pada tanggal 14 Juli 2014.

d. Dewan Komisaris, Direksi, Dewan
Pengawas Syariah dan Karyawan dan
Komite Audit

Susunan Dewan Komisaris dan Direksi Bank pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	2016
Dewan Komisaris	
Komisaris Utama	Kemal Azis Stamboel
Komisaris Independen	Dewie Pelitawati
Komisaris	Mahdi Syahbuddin
Dewan Direksi	
Direktur Utama	Harry A.S. Sukadis
Wakil Direktur Utama	Ratih Rachmawaty
Direktur Kepatuhan dan Manajemen Risiko	Taras Wibawa Siregar
Direktur	M. Gatot Adhi Prasetyo ^{*)}
Direktur	Setiasmo

*) Efektif berlaku pada tanggal 13 Januari 2015

**) Efektif berlaku pada tanggal 1 Oktober 2015

***) Dahulu bernama Gatot Adhi Prasetyo

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

1. GENERAL INFORMATION (continued)

b. Bank Acquisition (continued)

Difference in restructuring value
transaction of entities under common
control

The business combination process is recognised on the effective date of the sharia business unit spin-off from the parent entity (BTPN) to the Bank on 4 February 2014, as the Bank is considered to be under common control because BTPN acquired the Bank on that date.

Regarding business combination entities under common control, the Bank recorded difference in restructuring value transaction of entities under common control amounting Rp 38,211 in additional paid-in capital in equity in accordance with SFAS 38 (Revised 2012).

c. Changes in Business Activities

Based on Decision Letter of Board of Commissioner Otoritas Jasa Keuangan No. Kep-49/D-03/2014 dated 22 May 2014, the Bank obtained approval to change its business activities from conventional commercial bank to commercial bank which conduct business activities based on sharia principle. During 60 (sixty) days after the decision, the Bank must conduct its business activity based on sharia principle and at the latest 1 (one) year after the decision, the Bank must settle all of its loans and obligations to customers from conventional activities. The Bank started to operate as sharia commercial bank on 14 July 2014.

d. Boards of Commissioners, Board of
Directors, Board of Sharia Supervisory
Committees and Audit Committee

The compositions of the Boards of Commissioners and Directors as at 31 December 2016 and 2015 is as follows:

	2015	
		Board of Commissioners
Kemal Azis Stamboel	Kemal Azis Stamboel	President Commissioner
Dewie Pelitawati	Dewie Pelitawati	Independent Commissioner
Mahdi Syahbuddin ^{*)}	Mahdi Syahbuddin ^{*)}	Commissioner
		Board of Directors
Harry A.S. Sukadis	Harry A.S. Sukadis	President Director
Ratih Rachmawaty	Ratih Rachmawaty	Deputy President Director
Taras Wibawa Siregar ^{**)}	Taras Wibawa Siregar ^{**)}	Compliance and Risk
Gatot Adhi Prasetyo	Gatot Adhi Prasetyo	Management Director
Setiasmo	Setiasmo	Director

Become effective as at 13 January 2015 *)

Become effective as at 1 October 2015 **)

Previously named Gatot Adhi Prasetyo ***)

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

1. INFORMASI UMUM (lanjutan)

d. Dewan Komisaris, Direksi, Dewan
Pengawas Syariah dan Karyawan dan
Komite Audit (lanjutan)Perubahan susunan Dewan Komisaris dan
Dewan Direksi telah disetujui oleh OJK.Susunan Dewan Pengawas Syariah Bank
pada tanggal 31 Desember 2016 dan 2015
adalah sebagai berikut:

2016 dan/and 2015

Dewan Pengawas Syariah

Ketua
AnggotaDrs. H. Amidhan
KH. Ahmad Cholil Ridwan, LcSusunan Komite Audit yang ditetapkan oleh
Dewan Komisaris adalah sebagai berikut:

2016

Komite Audit

Ketua
Anggota
Anggota
Anggota
AnggotaKemal Azis Stamboel
Dewie Pelitawati
Mahdi Syahbuddin
Aziz Budi Setiawan
Muhammad Faisal Muchtar

2015

Kemal Azis Stamboel
Dewie Pelitawati^{*)}
Mahdi Syahbuddin^{**)}
Aziz Budi Setiawan
Muhammad Faisal MuchtarBoard of Sharia Supervisory
CommitteesChairman
MemberThe composition of Audit Committee
established by the Board of Commissioners
are as follows:

Audit Committee

Chairman
Member
Member
Member
Member^{*)} Efektif berlaku pada tanggal 17 April 2015
^{**)} Efektif berlaku pada tanggal 1 Oktober 2015Become effective as at 17 April 2015 ^{*)}
Become effective as at 1 October 2015 ^{**)}Jumlah karyawan tetap Bank pada tanggal
31 Desember 2016 dan 2015 masing-masing
adalah 11.804 dan 12.712 orang (tidak
diaudit).As at 31 December 2016 and 2015, the Bank
has 11,804 and 12,712 permanent employees,
respectively (unaudited).

2. KEBIJAKAN AKUNTANSI

Laporan keuangan BTPN Syariah ini disusun oleh
Direksi dan diotorisasi untuk terbit oleh Direksi
pada tanggal 8 Februari 2017.Kebijakan akuntansi utama yang diterapkan dalam
penyusunan laporan keuangan Bank adalah seperti
dijabarkan di bawah ini:

a. Dasar penyusunan laporan keuangan

Laporan keuangan disusun berdasarkan
Standar Akuntansi Keuangan di Indonesia,
termasuk Pernyataan Standar Akuntansi
Keuangan ("PSAK") No. 101 (Revisi 2014) –
"Penyajian Laporan Keuangan Syariah", PSAK
No. 102 (Revisi 2013) – "Akuntansi
Murabahah", PSAK No. 105 – "Akuntansi
Mudharabah" dan PSAK lain selama sesuai
dengan prinsip syariah serta Pedoman
Akuntansi Perbankan Syariah Indonesia
("PAPSI") (Revisi 2013).

2. ACCOUNTING POLICIES

The financial statements of BTPN Syariah were
prepared by Board of Directors and authorised for
issuance by the Board of Directors on 8 February
2017.The principal accounting policies adopted in
preparing the Bank's financial statements are set
out below:

a. Basis of financial statements preparation

The financial statements have been prepared
in accordance with Indonesian Financial
Accounting Standards including the Statement
of Financial Accounting Standards ("SFAS")
No. 101 (Revised 2014) – "Presentation of
Sharia Financial Statements", SFAS No. 102
(Revised 2013) – "Accounting for Murabahah",
SFAS No. 105 – "Accounting for Mudharabah"
and other SFAS as long as in compliance with
sharia principle also Accounting Guidelines for
Indonesian Sharia Banking ("PAPSI")
(Revised 2013).

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

a. Dasar penyusunan laporan keuangan
(lanjutan)

Berdasarkan PSAK No. 101 (Revisi 2014), laporan keuangan bank syariah yang lengkap terdiri dari komponen-komponen sebagai berikut:

- (i) Laporan posisi keuangan;
- (ii) Laporan laba rugi dan penghasilan komprehensif lain;
- (iii) Laporan perubahan ekuitas;
- (iv) Laporan arus kas;
- (v) Laporan rekonsiliasi pendapatan dan bagi hasil;
- (vi) Laporan sumber dan penyaluran dana zakat;
- (vii) Laporan sumber dan penggunaan dana kebajikan; dan
- (viii) Catatan atas laporan keuangan.

Laporan posisi keuangan, laporan laba rugi dan penghasilan komprehensif lain, laporan perubahan ekuitas, dan laporan arus kas, merupakan laporan keuangan yang mencerminkan kegiatan komersial Bank sesuai prinsip syariah.

Laporan keuangan disusun berdasarkan konsep harga perolehan, kecuali untuk beberapa akun yang dinilai menggunakan dasar pengukuran lain sebagaimana dijelaskan dalam kebijakan akuntansi masing-masing akun tersebut, dan disusun dengan dasar akrual, kecuali laporan arus kas dan laporan rekonsiliasi pendapatan dan bagi hasil.

Laporan arus kas disusun dengan menggunakan metode langsung dengan mengelompokkan arus kas dalam aktivitas operasi, investasi dan pendanaan. Untuk penyajian laporan arus kas, kas dan setara kas terdiri dari kas, giro pada Bank Indonesia, giro pada bank lain, penempatan pada Bank Indonesia dan bank lain yang jatuh tempo dalam 3 (tiga) bulan dari tanggal penempatan.

Laporan rekonsiliasi pendapatan dan bagi hasil merupakan rekonsiliasi antara pendapatan bank syariah yang menggunakan dasar akrual (*accrual basis*) dengan pendapatan yang dibagikan kepada pemilik dana yang menggunakan dasar kas (*cash basis*).

Laporan sumber dan penyaluran dana zakat dan laporan sumber dan penggunaan dana kebajikan merupakan laporan keuangan yang mencerminkan peran Bank sebagai pemegang amanah dana kegiatan sosial yang dikelola secara terpisah.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

a. Basis of financial statements preparation
(continued)

Based on SFAS No. 101 (Revised 2014), a complete sharia bank financial statements consist of the following components:

- (i) Statement of financial position;
- (ii) Statement of profit or loss and other comprehensive income;
- (iii) Statement of changes in equity;
- (iv) Statement of cash flows;
- (v) Statement of reconciliation of income and revenue sharing;
- (vi) Statement of sources and distribution of zakat funds;
- (vii) Statement of sources and uses of qardhul hasan funds; and
- (viii) Notes to the financial statements.

Statements of financial positions, statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows, are the financial statements reflecting the Bank's commercial activities in accordance with sharia principle.

The financial statements have been prepared under the historical cost convention, except for certain accounts which have been valued on another measurement basis as explained in the accounting policy of such accounts, and prepared under the accrual basis, except for the statement of cash flows and statement of reconciliation of income and revenue sharing.

The statements of cash flows are prepared using the direct method by classifying cash flows into operating, investing and financing activities. For the presentation of cash flows statement, cash and cash equivalents consist of cash, current accounts with Bank Indonesia, current accounts with other banks and placements with Bank Indonesia and other banks with maturities of 3 (three) months from the date of placement.

Statements of reconciliation of income and revenue sharing represents the reconciliation between income of sharia bank under accrual basis with income distributed to depositors under cash basis.

Statements of sources and distribution of zakat funds and statements of sources and uses of qardhul hasan funds represent the financial statements reflecting the Bank's role as the mandate holder of social activity funds which are separately managed.

PT BANK TABUNGAN Pensiunan Nasional Syariah

**CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016**

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)**a. Dasar penyusunan laporan keuangan
(lanjutan)**

Laporan sumber dan penyaluran dana zakat merupakan laporan yang menunjukkan sumber dan penyaluran dana zakat dalam jangka waktu tertentu, serta dana zakat yang belum disalurkan pada tanggal tertentu.

Laporan sumber dan penggunaan dana kebajikan menunjukkan sumber dan penggunaan dana kebajikan dalam jangka waktu tertentu serta saldo dana kebajikan pada tanggal tertentu.

Dana kebajikan atas usaha telah didistribusikan ketika usaha syariah masih tergabung dalam unit usaha syariah di tahun 2014. Sejak tanggal terjadinya pemisahan unit secara legal dan pertama kalinya Bank memulai kegiatan usaha berdasar prinsip syariah, Bank belum menunjuk pengelola dana kebajikan.

Mata uang pelaporan yang digunakan dalam laporan keuangan adalah mata uang Rupiah (Rp), yang juga merupakan mata uang fungsional Bank. Angka-angka yang disajikan dalam laporan keuangan kecuali dinyatakan lain, adalah dibulatkan dalam jutaan Rupiah.

b. Perubahan pada pernyataan standar akuntansi keuangan dan interpretasi pernyataan standar akuntansi keuangan

Pada tanggal 1 Januari 2016, Bank menerapkan penyesuaian terhadap Pernyataan Standar Akuntansi Keuangan ("PSAK") di 2016. Penerapan dari standar, interpretasi baru/revisi standar berikut, tidak menimbulkan perubahan substansial terhadap kebijakan akuntansi Bank dan efek atas jumlah yang dilaporkan atas tahun berjalan atau tahun sebelumnya:

- ISAK 30 "Pungutan"
- Amandemen PSAK 4 "Laporan keuangan tersendiri"
- Amandemen PSAK 15 "Investasi pada entitas asosiasi dan ventura bersama"
- Amandemen PSAK 16 "Aset tetap"
- Amandemen PSAK 19 "Aset tak berwujud"
- Amandemen PSAK 24 "Imbalan kerja"
- Amandemen PSAK 65 "Laporan keuangan konsolidasian"
- Amandemen PSAK 66 "Pengaturan bersama"
- Amandemen PSAK 67 "Pengungkapan kepentingan dalam entitas lain"

**NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016**

(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)**a. Basis of financial statements preparation
(continued)**

Statements of sources and distribution of zakat funds show the sources and distribution of zakat funds for a certain period, and the undistributed zakat funds in a particular date.

Statements of sources and uses of qardhul hasan funds shows the sources and uses of qardhul hasan funds for a certain period, and qardhul hasan funds balance in a particular date.

Qardhul hasan funds has been distributed when the sharia business was under the sharia business unit in 2014. Since the legal spin-off date and stated its operational activity based on sharia principal, the Bank has not appointed an organisation to manage its qardhul hasan funds.

The reporting currency used in the financial statements is Rupiah (Rp), which also the Bank's functional currency. The figures presented in the financial statements, unless otherwise stated, are rounded in millions of Rupiah.

b. Changes to the statement of financial accounting standards and interpretations of statement of financial accounting standards

On 1 January 2016, the Bank has applied annual improvements to Statement of Financial Accounting Standards ("SFAS") in 2016. The adoption of these new and amended standards and interpretations did not result in substantial changes to the Bank's accounting policies and had no material effect in the amounts reported for the current or prior financial years:

- *ISFAS 30 "Levies"*
- *Amendment to SFAS 4 "Separate financial statements"*
- *Amendment to SFAS 15 "Investments in associates and joint ventures"*
- *Amendment to SFAS 16 "Fixed asset"*
- *Amendment to SFAS 19 "Intangible asset"*
- *Amendment to SFAS 24 "Employee benefit"*
- *Amendment to SFAS 65 "Consolidated financial statements"*
- *Amendment to SFAS 66 "Joint arrangements"*
- *Amendment to SFAS 67 "Disclosure of interests in other entities"*

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

b. Perubahan pada pernyataan standar akuntansi keuangan dan interpretasi pernyataan standar akuntansi keuangan (lanjutan)

Implementasi dari standar-standar tersebut tidak menghasilkan perubahan kebijakan akuntansi perusahaan dan tidak memiliki dampak terhadap jumlah yang dilaporkan periode berjalan atau tahun sebelumnya.

c. Instrumen keuangan

Aset keuangan

Bank mengklasifikasikan aset keuangannya hanya dalam satu kategori yaitu pinjaman yang diberikan dan piutang. Bank tidak memiliki aset keuangan yang diukur pada nilai wajar melalui laporan laba rugi, aset keuangan yang dimiliki hingga jatuh tempo dan aset keuangan tersedia untuk dijual. Klasifikasi ini tergantung dari tujuan perolehan aset keuangan tersebut. Manajemen Bank menentukan klasifikasi aset keuangan tersebut pada saat awal pengakuannya.

(a) Pinjaman yang diberikan dan piutang

Pinjaman yang diberikan dan piutang adalah aset keuangan non-derivatif dengan pembayaran tetap atau telah ditentukan dan tidak mempunyai kuotasi di pasar aktif, kecuali:

- yang dimaksudkan oleh Bank untuk dijual dalam waktu dekat, yang diklasifikasikan dalam kelompok diperdagangkan, serta yang pada saat pengakuan awal ditetapkan sebagai diukur pada nilai wajar melalui laporan laba rugi;
- yang pada saat pengakuan awal ditetapkan dalam kelompok tersedia untuk dijual; atau
- dalam hal pemilik mungkin tidak akan memperoleh kembali investasi awal secara substansial kecuali yang disebabkan oleh penurunan kualitas pinjaman yang diberikan dan piutang.

Pada saat pengakuan awal, pinjaman yang diberikan dan piutang diakui pada nilai wajarnya ditambah biaya transaksi dan selanjutnya diukur pada biaya perolehan diamortisasi dengan menggunakan metode imbal hasil efektif. Pendapatan margin dari aset keuangan dalam kelompok pinjaman yang diberikan dan piutang dicatat di dalam laporan laba rugi dan dilaporkan sebagai "Pendapatan dari jual beli".

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

b. Changes to the statement of financial accounting standards and interpretations of statement of financial accounting standards (continued)

The implementation of the above standards did not result in changes to the Bank's accounting policies and had no effect on the amounts reported for current or prior financial years.

c. Financial instruments

Financial assets

The Bank classifies its financial assets only into one category of loans and receivables. The Bank does not have financial asset classified as fair value through profit or loss, held-to-maturity financial assets and available-for-sale financial assets. The classification depends on the purpose for which the financial assets were acquired. Bank management determines the classification of its financial assets at initial recognition.

(a) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, except:

- those that the Bank intends to sell immediately or in the short term, which are classified as held for trading, and those that the Bank upon initial recognition designates as at fair value through profit or loss;
- those that the Bank upon initial recognition designates as available-for-sale; or
- those for which the holder may not recover substantially all of its initial investment, other than because of non-performing loans and receivables.

Loans and receivables are initially recognised at fair value plus transaction costs and subsequently measured at amortised cost using the effective rate of return method. Margin income on financial assets classified as loans and receivables is included in the profit or loss and is reported as "Income from sales and purchase".

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

c. Instrumen keuangan (lanjutan)

Aset keuangan (lanjutan)

(a) Pinjaman yang diberikan dan piutang
(lanjutan)

Dalam hal terjadi penurunan nilai, kerugian penurunan nilai dilaporkan sebagai pengurang dari nilai tercatat aset keuangan dalam kelompok pinjaman yang diberikan dan piutang, dan diakui di dalam laporan laba rugi sebagai "Cadangan kerugian penurunan nilai".

(b) Pengakuan

Bank menggunakan akuntansi tanggal perdagangan untuk mencatat seluruh transaksi aset keuangan yang lazim (normal).

Liabilitas keuangan

Bank mengklasifikasikan liabilitas keuangan dalam kategori liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi.

Liabilitas keuangan yang tidak diklasifikasikan sebagai liabilitas keuangan yang diukur pada nilai wajar melalui laporan laba rugi dikategorikan ke dalam liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi. Pada saat pengakuan awal, liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi diukur pada nilai wajar dikurangi biaya transaksi.

Selama tahun berjalan dan pada tanggal laporan posisi keuangan, Bank tidak memiliki liabilitas keuangan yang diklasifikasikan sebagai liabilitas keuangan yang diukur pada nilai wajar melalui laporan laba rugi. Oleh karena itu, kebijakan akuntansi yang berkaitan dengan liabilitas keuangan ini tidak diungkapkan.

Penentuan nilai wajar

Nilai wajar adalah harga yang akan diterima untuk menjual suatu aset atau harga yang akan dibayar untuk mengalihkan suatu liabilitas dalam transaksi teratur (*orderly transaction*) antara pelaku pasar (*market participants*) pada tanggal pengukuran di pasar utama atau, jika tidak terdapat pasar utama, di pasar yang paling menguntungkan dimana Bank memiliki akses pada tanggal tersebut. Nilai wajar liabilitas mencerminkan risiko wanprestasinya.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

c. *Financial instruments* (continued)*Financial assets* (continued)(a) *Loans and receivables* (continued)

In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the financial assets classified as loan and receivables recognised in the profit or loss as "Allowance for impairment losses".

(b) *Recognition*

The Bank uses trade date accounting to record all transactions of financial assets.

Financial liabilities

The Bank classifies its financial liabilities in the category of financial liabilities measured at amortised cost.

Financial liabilities that are not classified as at fair value through profit and loss is categorised into financial liabilities measured at amortised cost. Financial liabilities measured at amortised cost are initially recognised at fair value less transaction costs.

During the year and at the statement of financial position date, there are no financial liabilities classified as financial liabilities at fair value through profit or loss. Therefore, the accounting policies related to such financial liabilities are not disclosed.

Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

c. Instrumen keuangan (lanjutan)

Penghentian pengakuan

Penghentian pengakuan aset keuangan dilakukan ketika hak kontraktual atas arus kas yang berasal dari aset keuangan tersebut berakhir, atau ketika aset keuangan tersebut telah ditransfer dan secara substansial seluruh risiko dan manfaat atas kepemilikan aset telah ditransfer (jika, secara substansial seluruh risiko dan manfaat tidak ditransfer, maka Bank melakukan evaluasi untuk memastikan keterlibatan berkelanjutan atas pengendalian yang masih dimiliki tidak mencegah penghentian pengakuan). Liabilitas keuangan dihentikan pengakuannya ketika liabilitas telah dilepaskan atau dibatalkan atau kadaluwarsa.

Reklasifikasi aset keuangan

Aset keuangan yang diukur pada nilai wajar melalui laporan laba rugi (jika aset keuangan tidak disyaratkan untuk diklasifikasikan sebagai diperdagangkan pada saat pengakuan awal) dapat direklasifikasikan ke pinjaman yang diberikan dan piutang jika memenuhi definisi pinjaman yang diberikan dan piutang dan entitas memiliki intensi dan kemampuan memiliki aset keuangan untuk masa mendatang yang dapat diperkirakan atau hingga jatuh tempo.

Bank tidak diperkenankan mengklasifikasikan aset keuangan sebagai investasi dimiliki hingga jatuh tempo, jika dalam tahun berjalan atau dalam kurun waktu dua tahun sebelumnya, telah menjual atau mereklasifikasi investasi dimiliki hingga jatuh tempo dalam jumlah yang lebih dari jumlah yang tidak signifikan sebelum jatuh tempo (lebih dari jumlah yang tidak signifikan dibandingkan dengan total nilai investasi dimiliki hingga jatuh tempo), kecuali penjualan atau reklasifikasi tersebut:

- (a) dilakukan ketika aset keuangan sudah mendekati jatuh tempo atau tanggal pembelian kembali dimana perubahan suku bunga tidak akan berpengaruh secara signifikan terhadap nilai wajar aset keuangan tersebut;
- (b) terjadi setelah Bank telah memperoleh secara substansial seluruh jumlah pokok aset keuangan tersebut sesuai jadwal pembayaran atau Bank telah memperoleh pelunasan dipercepat; atau
- (c) terkait dengan kejadian tertentu yang berada di luar kendali Bank, tidak berulang, dan tidak dapat diantisipasi secara wajar oleh Bank.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

c. Financial instruments (continued)

Derecognition

Financial assets are derecognised when the contractual rights to receive the cash flows from these assets have ceased to exist or the assets have been transferred and substantially all the risks and rewards of ownership of the assets are also transferred (that is, if substantially all the risks and rewards have not been transferred, the Bank evaluates to ensure that continuing involvement on the basis of any retained powers of control does not prevent derecognition). Financial liabilities are derecognised when they have been redeemed or otherwise extinguished.

Reclassification of financial assets

Financial assets at fair value through profit or loss (if had not been required to be classified as held for trading at initial recognition) could be reclassified as loans and receivables if it met the definition of loans and receivables and entity has the intention and ability to hold the financial assets for foreseeable future or until maturity date.

The Bank shall not classify any financial assets as held-to-maturity if during the current financial year or during the two preceding financial years, sold or reclassified more than an insignificant amount of held-to-maturity investments before maturity (more than insignificant in relation to the total amount of held-to-maturity investments) other than sales or reclassifications that:

- (a) are so close to maturity or the financial asset's call date that changes in the market rate of interest would not have a significant effect on the financial asset's fair value;
- (b) occur after the Bank has collected substantially all of the financial asset's original principal through scheduled payments or prepayments; or
- (c) are attributable to an isolated event that is beyond the Bank control, is non-recurring and could not have been reasonably anticipated by the Bank.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

c. Instrumen keuangan (lanjutan)

Reklasifikasi aset keuangan (lanjutan)

Reklasifikasi aset keuangan dari kelompok dimiliki hingga jatuh tempo ke kelompok tersedia untuk dijual dicatat sebesar nilai wajarnya. Keuntungan atau kerugian yang belum direalisasi tetap dilaporkan dalam komponen ekuitas sampai aset keuangan tersebut dihentikan pengakuannya, dan pada saat keuntungan atau kerugian kumulatif yang sebelumnya diakui dalam ekuitas harus diakui pada laporan laba rugi.

Reklasifikasi aset keuangan dari kelompok tersedia untuk dijual ke kelompok dimiliki hingga jatuh tempo dicatat pada nilai tercatat. Keuntungan atau kerugian yang belum direalisasi harus diamortisasi menggunakan metode imbal hasil efektif sampai dengan tanggal jatuh tempo instrumen tersebut.

Klasifikasi atas instrumen keuangan

Bank mengklasifikasikan instrumen keuangan ke dalam klasifikasi tertentu yang mencerminkan sifat dari informasi dan mempertimbangkan karakteristik dari instrumen keuangan tersebut.

Saling hapus instrumen keuangan

Aset keuangan dan liabilitas keuangan saling hapus dan nilai bersihnya disajikan dalam laporan posisi keuangan jika memiliki hak yang berkekuatan hukum untuk melakukan saling hapus atas jumlah yang telah diakui tersebut dan terdapat intensi untuk menyelesaikan secara neto atau untuk merealisasikan aset dan menyelesaikan liabilitasnya secara bersamaan.

Hak berkekuatan hukum tersebut haruslah tidak bergantung pada kondisi masa depan dan hak tersebut harus dapat tetap didapatkan dalam kondisi bisnis normal dan dalam hal terjadinya kegagalan, ketidakmampuan membayar maupun kebangkrutan dari Bank ataupun pihak rekanan.

d. Transaksi dengan pihak-pihak berelasi

Bank melakukan transaksi dengan pihak berelasi. Sesuai dengan PSAK No. 7 (revisi 2015) tentang "Pengungkapan Pihak-pihak yang Berelasi", yang dimaksud dengan pihak yang berelasi adalah orang atau entitas yang berelasi dengan entitas pelapor sebagai berikut:

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

c. Financial instruments (continued)

Reclassification of financial assets
(continued)

Reclassification of financial assets from held-to-maturity classification to available-for-sale is recorded at fair value. Unrealised gains or losses are recorded as part of equity component until the financial assets is derecognised, at which time the cumulative gain or loss previously recognised in equity shall be recognised in profit or loss.

Reclassification of financial assets from available-for-sale to held-to-maturity classification is recorded at carrying amount. The unrealised gains or losses are amortised by using effective rate of return method up to the maturity date of that instrument.

Classification of financial instrument

The Bank classifies the financial instruments into classes that reflects the nature of information and take into account the characteristic of those financial instruments.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Bank or the counterparty.

d. Transactions with related parties

The Bank has transactions with related parties. In accordance with SFAS No. 7 (revised 2015) regarding "Related Party Disclosure", the meaning of a related party is a person or entity that is related to a reporting entity as follow:

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. KEBIJAKAN AKUNTANSI (lanjutan)

d. Transaksi dengan pihak-pihak berelasi
(lanjutan)

- a. Orang atau anggota keluarga terdekatnya berelasi dengan entitas pelapor jika orang tersebut:
 - i. memiliki pengendalian atau pengendalian bersama terhadap entitas pelapor;
 - ii. memiliki pengaruh signifikan terhadap entitas pelapor; atau
 - iii. personal manajemen kunci entitas pelapor atau entitas induk pelapor;
- b. Suatu entitas berelasi dengan entitas pelapor jika memenuhi hal-hal sebagai berikut:
 - i. entitas dan entitas pelapor adalah anggota dari kelompok usaha yang sama (artinya entitas induk, entitas anak dan entitas anak berikutnya terkait dengan entitas lain);
 - ii. suatu entitas adalah entitas asosiasi atau ventura bersama bagi entitas lain (atau entitas asosiasi atau ventura bersama yang merupakan anggota suatu kelompok usaha, dimana entitas lain tersebut adalah anggotanya);
 - iii. kedua entitas tersebut adalah ventura bersama dari pihak ketiga yang sama;
 - iv. suatu entitas adalah ventura bersama dari entitas ketiga dan entitas yang lain adalah entitas asosiasi dari entitas ketiga;
 - v. entitas tersebut adalah suatu program imbalan pasca kerja untuk imbalan kerja karyawan dari suatu entitas pelapor atau entitas yang terkait dengan entitas pelapor;
 - vi. entitas yang dikendalikan atau dikendalikan bersama oleh orang yang diidentifikasi dalam butir (a);
 - vii. orang yang diidentifikasi, dalam butir (a) (i) memiliki pengaruh signifikan terhadap entitas atau anggota manajemen kunci entitas (atau entitas induk dari entitas).
 - viii. entitas, atau bagian dari grup dimana entitas merupakan anggotanya, menyediakan personal manajemen kunci kepada entitas pelapor atau kepada pemegang saham dari entitas pelaporan.

Jenis transaksi dan saldo dengan pihak-pihak berelasi diungkapkan dalam catatan atas laporan keuangan (Catatan 35).

2. ACCOUNTING POLICIES (continued)

d. Transactions with related parties
(continued)

- a. A person or a close member of that person's family is related to a reporting entity if that person:
 - i. has control or joint control over the reporting entity;
 - ii. has significant influence over the reporting entity; or
 - iii. is member of the key management personnel of the reporting entity or a parent of the reporting entity;
- b. An entity is related to a reporting entity if any of the following conditions applies:
 - i. the entity and the reporting entity are members of the same company (which means each parent, subsidiary and fellow subsidiary is related to the others);
 - ii. one entity is an associate or joint venture of the other entity (or an associate or joint venture of member of a company of which the other entity is a member);
 - iii. both entities are joint ventures of the same third party;
 - iv. one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
 - v. the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity;
 - vi. the entity controlled or jointly controlled by a person identified in (a);
 - vii. a person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
 - viii. the entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

The nature of transactions and balances of accounts with related parties are disclosed in the notes to the financial statements (Note 35).

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

e. Cadangan kerugian penurunan nilai aset keuangan

Sesuai dengan PSAK No. 102 (revisi 2013), Surat Edaran Bank Indonesia No. 15/26/DPbS tanggal 10 Juli 2013 dan Surat Otoritas Jasa Keuangan (OJK) No. S-129/PB.13/2014 tertanggal 6 November 2014, perihal tanggapan atas usulan ASBISINDO, untuk penerapan pertama kali PSAK No. 102 (revisi 2013) dan PAPS 2013, Bank menerapkan ketentuan transisi penurunan nilai secara kolektif dimana Bank dapat terus menghitung cadangan kerugian dengan menggunakan ketentuan Bank Indonesia yang berlaku "Penilaian Kualitas Aktiva Bank Umum yang Melaksanakan Kegiatan Usaha Berdasarkan Prinsip Syariah" paling lambat sampai dengan 31 Desember 2014.

Cadangan kerugian penurunan nilai atas piutang *murabahah* dihitung berdasarkan PSAK 55, Instrumen Keuangan: Pengakuan dan Pengukuran.

Bank melakukan evaluasi penurunan nilai secara kolektif karena manajemen beranggapan bahwa seluruh piutang *murabahah* memiliki karakteristik risiko kredit yang serupa dan secara individual memiliki nilai tidak signifikan.

Cadangan kerugian penurunan nilai atas piutang *murabahah* yang dinilai secara kolektif dihitung berdasarkan pengalaman kerugian historis. Pengalaman kerugian historis disesuaikan menggunakan dasar data yang dapat diobservasi untuk mencerminkan efek dari kondisi saat ini terhadap Bank dan menghilangkan efek dari masa lalu yang sudah tidak berlaku saat ini.

Bank menggunakan metode analisis model statistik yaitu *flow rate analysis method* untuk menilai cadangan kerugian penurunan nilai.

Kerugian penurunan nilai atas aset keuangan yang dicatat pada biaya perolehan diamortisasi diukur sebesar selisih antara nilai tercatat aset keuangan dengan nilai kini estimasi arus kas masa datang yang didiskonto menggunakan tingkat imbal hasil efektif awal dari aset keuangan tersebut.

Penerimaan kembali atas pembiayaan yang telah dihapusbukukan pada tahun berjalan dikreditkan pada akun pembentukan cadangan kerugian penurunan nilai. Penerimaan kembali atas pembiayaan yang telah dihapusbukukan pada tahun sebelumnya dicatat sebagai pendapatan operasi lainnya.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016

(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses of financial assets

In accordance with SFAS No. 102 (revised 2013), Bank Indonesia Circular Letter No. 15/26/DPbS dated 10 July 2013 and Otoritas Jasa Keuangan (OJK) letter No. S-129/PB.13/2014 dated 6 November 2014, regarding to feedback on ASBISINDO's suggestion on the initial application of SFAS No. 102 (revised 2013) and PAPS 2013, the Bank applies transitional provision for collective impairment, where Banks may calculate allowance for possible losses based on Bank Indonesia Regulation "Assessment of Asset Quality of Commercial Banks Under Sharia Principle", at the latest by 31 December 2014.

The allowance for impairment losses on *murabahah* receivables is calculated in accordance with SFAS 55, Financial Instruments: Recognition and Measurement.

The Bank performs impairment evaluation collectively as the management believes that the *murabahah* receivables have similar credit risk characteristics and are individually insignificant in amount.

Calculation of allowance for impairment losses on *murabahah* receivables are collectively evaluated on the basis of historical loss experience. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions affecting the Bank and to remove the effects of conditions in the historical period that do not currently exist.

The Bank applies statistical model analysis method, which is flow rate analysis method, to assess the allowance for impairment losses.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and present value of estimated future cash flows discounted at the financial assets' original effective rate of return.

Subsequent recoveries of financing written off in the current year are credited to the allowance for impairment losses. Subsequent recoveries of financing written off in previous year are recognised as other operating income.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

f. Giro dan penempatan pada Bank Indonesia

Giro dan penempatan pada Bank Indonesia dinyatakan sebesar saldonya.

g. Giro pada bank lain

Giro pada bank lain dinyatakan sebesar saldo giro dikurangi dengan cadangan kerugian penurunan nilai. Bonus yang diterima Bank dari bank umum syariah diakui sebagai pendapatan usaha utama lainnya. Penerimaan jasa giro dari bank umum konvensional (jika ada) tidak diakui sebagai pendapatan Bank dan digunakan untuk dana kebajikan (*qardhul hasan*).

h. Penempatan pada bank lain

Penempatan pada bank lain adalah penanaman dana pada Bank Umum Syariah, Unit Usaha Syariah dan/atau BPR Syariah antara lain dalam bentuk giro, tabungan, deposito, pembiayaan dan/atau bentuk penempatan lainnya berdasarkan prinsip Syariah. Penempatan pada bank lain disajikan sebesar saldo penempatan dikurangi cadangan kerugian penurunan nilai.

i. Piutang murabahah

Murabahah adalah transaksi penjualan barang dengan menyatakan harga perolehan dan keuntungan (margin) yang disepakati oleh penjual dan pembeli. Piutang *murabahah* disajikan sebesar nilai bersih yang dapat direalisasi, yakni saldo piutang dikurangi cadangan kerugian. Keuntungan *murabahah* yang ditangguhkan disajikan sebagai pos lawan piutang *murabahah*.

j. Pinjaman qardh

Pinjaman *qardh* adalah penyediaan dana atau tagihan yang dapat dipersamakan dengan itu berdasarkan persetujuan atau kesepakatan antara peminjam dan Bank yang mewajibkan peminjam melunasi hutangnya setelah jangka waktu tertentu.

Pinjaman *qardh* diakui sebesar total dana yang dipinjamkan pada saat terjadinya. Bank dapat menerima imbalan namun tidak diperkenankan untuk dipersyaratkan didalam perjanjian. Imbalan tersebut diakui pada saat diterima.

Pinjaman *qardh* disajikan sebesar saldonya dikurangi penyisihan kerugian.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

f. Current accounts and placements with Bank Indonesia

Current accounts and placements with Bank Indonesia are stated at their outstanding balances.

g. Current accounts with other banks

Current accounts with other banks are stated at their outstanding balances, net of allowance for impairment losses. Bonuses received from sharia commercial banks are recognised as other main operating income. Interest income from conventional commercial banks (if any) are not recognised as the Bank's income but are used as part of the *qardhul hasan* funds.

h. Placements with other banks

Placements with other banks represent placement in other Sharia Bank, Sharia Business Unit and/or rural Sharia Bank in the form of current account, saving account, deposits, financing and/or other placements based on Sharia principles. Placement with other banks are stated at their outstanding balances, net of allowance for impairment losses.

i. Murabahah receivables

Murabahah is sales transaction for goods that states the purchase price and margin agreed by both buyer and seller. *Murabahah* receivables are stated at net realizable value, that is, balance of the receivables less allowance for impairment losses. Deferred *murabahah* margin is presented as a contra account of *murabahah* receivables.

j. Funds of qardh

Funds of qardh represents funds provided or similar claims based on an agreement or contract between the borrower and the Bank, wherein the borrower should repay the loan after a specified period of time.

A funds of *qardh* is recognised in the amount lent at the transaction date. The Bank may receive a fee, however, this should not be stated in the agreement. The fee is recognized upon receipt.

Funds of qardh is stated at its outstanding balance less allowance for possible losses.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

k. Biaya dibayar di muka

Biaya dibayar di muka adalah beban yang telah dikeluarkan tetapi belum diakui sebagai beban pada periode terjadinya. Biaya dibayar di muka akan diakui sebagai beban pada laporan laba rugi pada saat diamortisasi sesuai dengan masa manfaatnya dengan menggunakan metode garis lurus.

l. Aset tetap dan aset tak berwujud

Aset tetap dinyatakan sebesar biaya perolehan dikurangi akumulasi penyusutan dan rugi penurunan nilai (jika ada). Biaya perolehan termasuk biaya penggantian bagian aset tetap saat biaya tersebut terjadi, jika memenuhi kriteria pengakuan. Selanjutnya, pada saat inspeksi yang signifikan dilakukan, biaya inspeksi itu diakui ke dalam jumlah tercatat (*carrying amount*) aset tetap sebagai suatu penggantian jika memenuhi kriteria pengakuan, (jika ada). Semua biaya pemeliharaan dan perbaikan yang tidak memenuhi kriteria pengakuan diakui dalam laporan laba rugi pada saat terjadinya. Pada setiap akhir tahun buku, nilai residu, umur manfaat, dan metode penyusutan ditelaah kembali dan jika sesuai dengan keadaan, disesuaikan secara prospektif.

Aset tetap

Tanah tidak disusutkan. Sejak 28 Februari 2016, tanah dinilai dengan metode revaluasi. Tanah disajikan sebesar nilai wajar berdasarkan penilaian yang dilakukan oleh penilai independen eksternal yang telah terdaftar di Otoritas Jasa Keuangan (OJK). Penilaian atas aset tersebut dilakukan secara berkala untuk memastikan bahwa nilai wajar aset yang direvaluasi tidak berbeda secara material dengan jumlah tercatatnya.

Jika aset yang direvaluasi dijual, jumlah yang dicatat di dalam ekuitas dipindahkan ke saldo laba.

Aset tetap, selain tanah, disusutkan selama taksiran masa manfaat ekonomis aset tetap dengan metode garis lurus dan diakui sebesar harga perolehan setelah dikurangi dengan akumulasi penyusutan.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

k. Prepayments

Prepayments are expenses which have been incurred but have not been recognised as an expense in the related period. Prepayments are recognised as expenses in the profit or loss when it is amortised in accordance with the expected period of benefit by using straight-line method.

l. Fixed assets and intangible assets

Fixed Assets are stated at cost less accumulated depreciation and impairment losses (if any). Acquisition cost includes the cost of replacing parts of fixed assets when the cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the fixed assets as a replacement, if the recognition criteria are fulfilled (if any). All other repairs and maintenance cost that do not meet the recognition criteria are recognised in the profit or loss as incurred. At end of the period, the residual value, useful lives, and depreciation method are reviewed and if appropriate with the condition, adjusted prospectively.

Fixed assets

Land is not depreciated. Since 28 February 2016, land is measured using revaluation method. Land is shown at fair value, based on valuation performed by external independent valuers which are registered with Otoritas Jasa Keuangan (OJK). Valuations are performed with sufficient regularity to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

When revalued assets are sold, the amounts included in equity are transferred to retained earnings.

Fixed assets, except land, are depreciated over their expected useful lives using straight-line method and are stated at cost less accumulated depreciation.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. KEBIJAKAN AKUNTANSI (lanjutan)

I. Aset tetap dan aset tak berwujud (lanjutan)

Aset tetap (lanjutan)

	<u>Tahun/Years</u>
Gedung	20
Golongan I:	
Kendaraan bermotor	4
Perlengkapan kantor	4
Golongan II:	
Kendaraan bermotor	5 - 8
Perlengkapan kantor	5 - 8
Kendaraan bermotor - program kepemilikan kendaraan bermotor karyawan	5
Leasehold improvement	sesuai masa sewa/ according to lease period

Perlengkapan kantor terdiri dari perabotan dan perlengkapan, instalasi, perangkat keras komputer, peralatan komunikasi dan peralatan kantor lainnya.

Jumlah tercatat aset tetap dihentikan pengakuannya pada saat dilepaskan atau saat tidak ada manfaat ekonomis masa depan yang diharapkan dari penggunaan atau pelepasannya. Laba atau rugi yang timbul dari penghentian pengakuan aset (dihitung sebagai perbedaan antara jumlah neto hasil pelepasan dan jumlah tercatat dari aset) dimasukkan ke dalam laporan laba rugi pada periode aset tersebut dihentikan pengakuannya.

Bank menelaah apakah terdapat indikasi penurunan nilai aset pada tanggal laporan posisi keuangan. Apabila terdapat indikasi penurunan nilai aset, Bank mengestimasi jumlah yang dapat diperoleh kembali dari aset tersebut. Kerugian penurunan nilai diakui sebagai beban pada laporan laba rugi.

Aset tak berwujud

Piranti lunak diakui sebesar harga perolehan dan selanjutnya dicatat sebesar harga perolehan dikurangi akumulasi amortisasi.

Biaya yang terkait dengan pemeliharaan program piranti lunak diakui sebagai beban pada saat terjadinya. Biaya pengembangan yang dapat secara langsung diatribusikan dalam pembuatan dan pengujian produk piranti lunak yang dapat diidentifikasi oleh Bank diakui sebagai aset tak berwujud.

2. ACCOUNTING POLICIES (continued)

I. Fixed assets and intangible assets (continued)

Fixed assets (continued)

	<u>Tarif/Rates</u>	
	5%	Buildings
		Class I:
	25%	Vehicles
	25%	Office equipment
		Class II:
	20% - 12.5%	Vehicles
	20% - 12.5%	Office equipment
	20%	Vehicles - employees car ownership program
	sesuai masa sewa/ according to lease period	Leasehold improvement

Office equipments consist of furniture and fixtures, installation, computer hardware, communication and other office equipment.

The carrying amount of fixed assets is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the fixed assets (calculated as the difference between the net disposal proceeds and the carrying amount of the assets) is included in the profit or loss in the period when the assets are derecognised.

The Bank reviews whether there are indications of impairment on the statements of financial position date. If there are any indications of impairment, the Bank estimates the recoverable amount of the asset. Impairment losses are charged to profit or loss.

Intangible assets

Software is recognised at acquisition cost and subsequently carried at cost less accumulated amortisation.

Costs associated with maintaining software programs are recognised as expense when incurred. Development costs that are directly attributable to the design and testing of identifiable by the Bank is recognised as intangible assets.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

I. Aset tetap dan aset tak berwujud (lanjutan)

Aset tak berwujud (lanjutan)

Biaya yang dapat diatribusikan secara langsung dikapitalisasi sebagai bagian produk piranti lunak mencakup beban pekerja pengembang piranti lunak dan bagian *overhead* yang relevan.

Pengeluaran pengembangan yang lain yang tidak memenuhi kriteria ini diakui sebagai beban pada saat terjadinya. Biaya pengembangan yang sebelumnya diakui sebagai beban tidak dapat diakui sebagai aset pada periode berikutnya.

Biaya pengembangan piranti lunak diakui sebagai aset yang diamortisasi selama estimasi masa manfaat, yang tidak lebih dari empat tahun atau tidak lebih dari tarif amortisasi 25% dan dihitung dengan menggunakan metode garis lurus.

Aset tak berwujud dihentikan pengakuannya saat aset tersebut dilepas atau ketika tidak lagi terdapat manfaat masa depan yang diharapkan dari penggunaan atau pelepasannya.

m. Aset lain-lain

Aset lain-lain antara lain terdiri dari uang muka, biaya pendirian, setoran jaminan, aset yang diambil alih dan lain-lain.

Bank mengakui kerugian penurunan nilai untuk aset lain-lain apabila taksiran jumlah yang dapat diperoleh kembali (*recoverable amount*) dari suatu aset lebih rendah dari nilai tercatatnya. Pada setiap tanggal laporan posisi keuangan, Bank melakukan penelaahan untuk menentukan apakah terdapat indikasi penurunan nilai. Pemulihan penurunan nilai diakui sebagai keuntungan di laporan laba rugi pada saat terjadinya.

n. Liabilitas segera

Liabilitas segera merupakan kewajiban Bank kepada pihak lain yang sifatnya wajib segera dibayarkan sesuai perintah pemberi amanat perjanjian yang ditetapkan sebelumnya. Liabilitas segera dinyatakan sebesar nilai kewajiban Bank kepada pemberi amanat.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

I. Fixed assets and intangible assets
(continued)Intangible assets (continued)

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Software development costs recognised as assets are amortised over their estimated useful lives, which does not exceed four years or does not exceed 25% amortisation rate and calculated using the straight-line method.

Intangible assets shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal.

m. Other assets

Other assets consist of advances, establishment cost, deposits, foreclosed asset and others.

The Bank recognises impairment of other assets if the recoverable amount of the assets is lower than the carrying value. At the statements of financial position date, the Bank evaluates the recoverable amount of the assets to determine whether there is an indication of impairment. Reversal of the recoverable amount of assets is recognised as gain in the profit or loss when incurred.

n. Liabilities due immediately

Liabilities due immediately represent the Bank's liabilities to other parties which should be settled immediately based on predetermined instructions by those having the authority. Liabilities due immediately are stated at the amounts of Bank liabilities to the trustor.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

o. Simpanan nasabah

Simpanan nasabah adalah dana yang dipercayakan oleh masyarakat kepada Bank berdasarkan perjanjian penyimpanan dana. Termasuk di dalamnya adalah giro *wadiah*, dan tabungan *wadiah*.

Simpanan nasabah diklasifikasikan sebagai liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi. Biaya tambahan yang dapat diatribusikan secara langsung dengan perolehan simpanan nasabah dan simpanan dari bank lain dikurangkan dari jumlah simpanan nasabah dan simpanan dari bank lain. Lihat Catatan 2c untuk kebijakan akuntansi atas liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi.

Giro *wadiah* merupakan giro *wadiah yadh dhamanah* yakni titipan dana pihak lain dimana pemilik dana mendapatkan bonus berdasarkan kebijakan bank. Giro *wadiah* dicatat sebesar saldo titipan pemegang giro *wadiah*.

Tabungan *wadiah* merupakan simpanan pihak lain yang bisa diambil kapan saja (*on call*) atau berdasarkan kesepakatan dimana tidak ada imbalan yang disyaratkan kecuali dalam bentuk pemberian (*'Athaya*) sukarela dari pihak bank.

p. Dana *syirkah* temporer

Dana *syirkah* temporer merupakan investasi dengan akad *mudharabah mutlaqah*, yaitu pemilik dana (*shahibul maal*) memberikan kebebasan kepada pengelola dana (*mudharib/Bank*) dalam pengelolaan investasinya sesuai prinsip syariah dengan keuntungan dibagikan sesuai kesepakatan. Dana *syirkah* temporer terdiri dari tabungan *mudharabah* dan deposito *mudharabah*.

Tabungan *mudharabah* merupakan investasi yang bisa ditarik kapan saja (*on call*) atau sesuai dengan persyaratan tertentu yang disepakati. Tabungan *mudharabah* dinyatakan sebesar saldo tabungan nasabah di Bank.

Deposito *mudharabah* merupakan investasi yang hanya bisa ditarik pada waktu tertentu sesuai dengan perjanjian antara pemegang deposito *mudharabah* dengan Bank. Deposito *mudharabah* dinyatakan sebesar nilai nominal sesuai dengan perjanjian antara pemegang deposito dengan Bank.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

o. Deposits from customers

Deposits from customers are the funds placed by customers to the Bank based on fund deposits agreements. Included in these accounts are *wadiah* demand deposits and *wadiah* saving deposits.

Deposits from customers are classified as financial liabilities measured at amortised cost. Incremental costs directly attributable to the acquisition of deposits from customers and deposits from other banks are deducted from the amount of deposits from customers and deposits from other banks. Refer to Note 2c for the accounting policy of financial liabilities measured at amortised cost.

Wadiah demand deposit is a *yadh dhamanah* demand deposit in which the funds owner will get a bonus based on the Bank's policy. *Wadiah* deposits are stated at the amount of *wadiah* demand deposit balance.

Wadiah saving deposits represent third party funds that can be taken at any time (*on call*) or by an agreement which required no reward except in the form of bonus (*'Athaya*) voluntary on the part of banks.

p. Temporary *syirkah* funds

Temporary *syirkah* funds represent investments from other parties conducted on the basis *mudharabah mutlaqah* contract in which the owners of the funds (*shahibul maal*) grant freedom to the fund manager (*mudharib/Bank*) in the management of their investments according to sharia principle with profit distributed based on the contract. Temporary *syirkah* funds consist of *mudharabah* saving accounts and *mudharabah* time deposits.

Mudharabah saving accounts represent investment which could be withdrawn anytime (*on call*) or can be withdrawn based on certain agreed terms. *Mudharabah* saving deposits are stated based on the customer's savings deposit balance.

Mudharabah time deposits represent investment that can only be withdrawn at a certain time based on the agreement between the customer and the Bank. *Mudharabah* time deposits are stated at nominal amount as agreed between the deposit holder and the Bank.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

o. Simpanan nasabah

Simpanan nasabah adalah dana yang dipercayakan oleh masyarakat kepada Bank berdasarkan perjanjian penyimpanan dana. Termasuk di dalamnya adalah giro *wadiah*, dan tabungan *wadiah*.

Simpanan nasabah diklasifikasikan sebagai liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi. Biaya tambahan yang dapat diatribusikan secara langsung dengan perolehan simpanan nasabah dan simpanan dari bank lain dikurangkan dari jumlah simpanan nasabah dan simpanan dari bank lain. Lihat Catatan 2c untuk kebijakan akuntansi atas liabilitas keuangan yang diukur dengan biaya perolehan diamortisasi.

Giro *wadiah* merupakan giro *wadiah yadh dhamanah* yakni titipan dana pihak lain dimana pemilik dana mendapatkan bonus berdasarkan kebijakan bank. Giro *wadiah* dicatat sebesar saldo titipan pemegang giro *wadiah*.

Tabungan *wadiah* merupakan simpanan pihak lain yang bisa diambil kapan saja (*on call*) atau berdasarkan kesepakatan dimana tidak ada imbalan yang disyaratkan kecuali dalam bentuk pemberian (*Athaya*) sukarela dari pihak bank.

p. Dana *syirkah* temporer

Dana *syirkah* temporer merupakan investasi dengan akad *mudharabah mutlaqah*, yaitu pemilik dana (*shahibul maal*) memberikan kebebasan kepada pengelola dana (*mudharib/Bank*) dalam pengelolaan investasinya sesuai prinsip syariah dengan keuntungan dibagikan sesuai kesepakatan. Dana *syirkah* temporer terdiri dari tabungan *mudharabah* dan deposito *mudharabah*.

Tabungan *mudharabah* merupakan investasi yang bisa ditarik kapan saja (*on call*) atau sesuai dengan persyaratan tertentu yang disepakati. Tabungan *mudharabah* dinyatakan sebesar saldo tabungan nasabah di Bank.

Deposito *mudharabah* merupakan investasi yang hanya bisa ditarik pada waktu tertentu sesuai dengan perjanjian antara pemegang deposito *mudharabah* dengan Bank. Deposito *mudharabah* dinyatakan sebesar nilai nominal sesuai dengan perjanjian antara pemegang deposito dengan Bank.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

o. Deposits from customers

Deposits from customers are the funds placed by customers to the Bank based on fund deposits agreements. Included in these accounts are *wadiah* demand deposits and *wadiah* saving deposits.

Deposits from customers are classified as financial liabilities measured at amortised cost. Incremental costs directly attributable to the acquisition of deposits from customers and deposits from other banks are deducted from the amount of deposits from customers and deposits from other banks. Refer to Note 2c for the accounting policy of financial liabilities measured at amortised cost.

Wadiah demand deposit is a *yadh dhamanah* demand deposit in which the funds owner will get a bonus based on the Bank's policy. *Wadiah* deposits are stated at the amount of *wadiah* demand deposit balance.

Wadiah saving deposits represent third party funds that can be taken at any time (*on call*) or by an agreement which required no reward except in the form of bonus (*Athaya*) voluntary on the part of banks.

p. Temporary *syirkah* funds

Temporary *syirkah* funds represent investments from other parties conducted on the basis *mudharabah mutlaqah* contract in which the owners of the funds (*shahibul maal*) grant freedom to the fund manager (*mudharib/Bank*) in the management of their investments according to sharia principle with profit distributed based on the contract. Temporary *syirkah* funds consist of *mudharabah* saving accounts and *mudharabah* time deposits.

Mudharabah saving accounts represent investment which could be withdrawn anytime (*on call*) or can be withdrawn based on certain agreed terms. *Mudharabah* saving deposits are stated based on the customer's savings deposit balance.

Mudharabah time deposits represent investment that can only be withdrawn at a certain time based on the agreement between the customer and the Bank. *Mudharabah* time deposits are stated at nominal amount as agreed between the deposit holder and the Bank.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

p. Dana *syirkah* temporer (lanjutan)

Dana *syirkah* temporer tidak dapat digolongkan sebagai liabilitas. Hal ini karena Bank tidak berkewajiban untuk menjamin pengembalian jumlah dana awal dari pemilik dana bila Bank merugi kecuali akibat kelalaian atau wanprestasi ketika mengalami kerugian. Di sisi lain dana *syirkah* temporer tidak dapat digolongkan sebagai ekuitas karena mempunyai waktu jatuh tempo dan pemilik dana tidak mempunyai hak kepemilikan yang sama dengan pemegang saham seperti hak *voting* dan hak atas realisasi keuntungan yang berasal dari aset lancar dan aset non-investasi.

Pemilik dana *syirkah* temporer mendapatkan imbalan bagi hasil sesuai dengan *nisbah* yang ditetapkan.

q. Pendapatan pengelolaan dana oleh Bank sebagai *mudharib*

Pendapatan pengelolaan dana oleh Bank sebagai *mudharib* terdiri atas pendapatan dari jual dan beli transaksi *murabahah* dan pendapatan usaha utama lainnya.

Bank menetapkan kebijakan tingkat risiko berdasarkan ketentuan internal. Bank melakukan penghentian amortisasi pendapatan ditangguhkan pada saat pembiayaan diklasifikasikan sebagai *non-performing*. Pendapatan Bank dari transaksi usaha yang diklasifikasikan sebagai *non-performing* dicatat sebagai pendapatan yang akan diterima non-lancar pada laporan komitmen dan kontinjensi.

Pengakuan pendapatan atas piutang *murabahah* yang tidak memiliki risiko yang signifikan terkait dengan kepemilikan persediaan diakui pada laporan laba rugi dengan menggunakan metode tingkat imbal hasil efektif.

Tingkat imbal hasil efektif merupakan metode alokasi pengakuan pendapatan dan merupakan tingkat imbal hasil yang secara tepat mendiskontokan estimasi penerimaan kas di masa depan selama perkiraan umur dari piutang *murabahah* untuk memperoleh biaya perolehan diamortisasi dari piutang *murabahah*. Pada saat menghitung tingkat imbal hasil efektif, Bank mengestimasi arus kas di masa datang dengan mempertimbangkan seluruh persyaratan kontraktual dalam piutang *murabahah* tersebut, tetapi tidak mempertimbangkan kerugian piutang di masa mendatang. Perhitungan ini mencakup seluruh komisi, provisi, dan bentuk lain yang diterima oleh para pihak dalam akad yang merupakan bagian tidak terpisahkan dari tingkat imbal hasil efektif, biaya transaksi, dan seluruh premi atau diskon lainnya.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

p. Temporary *syirkah* funds (continued)

Temporary *syirkah* fund cannot be classified as liability. This was due to the Bank does not have any liability to return the initial fund to the owners if the Bank experience a loss, except for losses due to the Bank's management negligence or default of loss is incurred. On the other hand, temporary *syirkah* fund cannot be classified as equity, because of the maturity period and the depositors do not have the same rights as the shareholders' such as voting rights and the rights of realised gain from current assets and other non-investment accounts.

The owner of temporary *syirkah* funds receives a return from the profit sharing based on a predetermined ratio.

q. Income from fund management by the Bank as *mudharib*

Income from fund management by Bank as *mudharib* consist of income from sales and purchases of *murabahah* transactions and income from other main operating activities.

The Bank prescribes the risk rate policies based on the internal regulation. The Bank terminates the amortisation of deferred income at the time its financing is classified as non-performing. The Bank's income from business transactions that are classified as non-performing is recorded as revenue to be received in the statement of commitments and contingencies.

The revenue recognition of *murabahah* receivables that do not have significant risk in relation with the ownership of inventory are recognized in profit or loss using the effective rate of return method.

Effective rate of return is an allocation method of revenue recognition and the rate that exactly discounts the estimated future cash receipts through the expected life of the *murabahah* receivable to obtain the carrying amount of a *murabahah* receivable. When calculating the effective rate of return, the Bank estimates cash flows in the future by considering all contractual terms of the *murabahah* receivable, but does not consider the loss of receivables in the future. This calculation includes all commissions, fees, and other forms received by the parties in a contract that are an integral part of the effective rate of return, transaction costs and all other premiums or discounts.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

r. Hak pihak ketiga atas bagi hasil dana *syirkah* temporer

Hak nasabah atas bagi hasil dana *syirkah* temporer merupakan bagian bagi hasil milik nasabah yang didasarkan pada prinsip *mudharabah* atas hasil pengelolaan dana mereka oleh Bank. Pendapatan yang dibagikan adalah yang telah diterima (*cash basis*).

Pembagian hasil usaha dilakukan berdasarkan prinsip bagi hasil usaha yaitu dari pendapatan Bank yang diterima berupa laba kotor.

Pendapatan margin dan bagi hasil atas pembiayaan yang diberikan dan atas aset produktif lainnya akan dibagikan kepada nasabah penyimpan dana dan Bank sesuai dengan proporsi dana yang dipakai dalam pembiayaan yang diberikan dan aset produktif lainnya. Selanjutnya, pendapatan margin dan bagi hasil yang tersedia tersebut kemudian dibagikan ke nasabah penabung dan deposan sebagai *shahibul maal* dan Bank sebagai *mudharib* sesuai porsi *nisbah* bagi hasil yang telah disepakati bersama sebelumnya. Pendapatan margin dan bagi hasil dari pembiayaan dan aset produktif lainnya yang memakai dana Bank, seluruhnya menjadi milik Bank, termasuk pendapatan dari investasi bank berbasis imbalan.

s. Pendapatan dan beban operasional lainnya

Beban operasional lainnya terutama beban umum dan administrasi serta beban tenaga kerja karyawan merupakan beban yang timbul sehubungan dengan aktivitas kantor dan operasional Bank, serta beban yang berupa gaji karyawan, bonus, lembur, tunjangan, dan pelatihan.

Seluruh pendapatan dan beban yang terjadi dibebankan pada laporan laba rugi pada saat terjadinya.

t. Imbalan kerja karyawan

Imbalan pensiun

Bank harus menyediakan program pensiun dengan imbalan minimal tertentu sesuai dengan UU Ketenagakerjaan No. 13/2003. Karena UU Ketenagakerjaan menentukan rumus tertentu untuk menghitung jumlah minimal imbalan pensiun, pada dasarnya, program pensiun berdasarkan UU Ketenagakerjaan adalah program imbalan pasti.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

r. *Third parties' share on returns of temporary syirkah funds*

Third parties' share on returns of temporary syirkah funds represent customer's share on the Bank's income derived from the management of their funds by the Bank under mudharabah principles. Income that will be distributed is the cash received (cash basis).

The distribution of revenue is based on profit sharing scheme on the Bank's gross profit.

Margin income and profit sharing on financing facilities and other earning assets are distributed to fund owners and the Bank based on proportion of fund used in the financing and other earning assets. Likewise, margin income and profit sharing income are available then distributed to fund owners as shahibul maal and the Bank as mudharib based on a predetermined ratio (nisbah). Margin income and profit sharing from financing facilities and other earning assets using the Bank's funds, are entirely shared for the Bank, including income from the Bank's fee-based transactions.

s. *Other operating income and expenses*

Other operating expenses mostly consist of general and administrative expenses and salaries and benefits expense represent expenses related to Bank's office and operational activities, including personnel expense includes salaries for employees, bonuses, overtime, allowances, and training.

All of these income and expenses are recorded in the profit or loss when incurred.

t. *Employee benefits**Pension benefits*

The Bank is required to provide a minimum amount of pension benefits in accordance with Labor Law No. 13/2003. Since the Labor Law sets the formula for determining the minimum amount of benefits, in substance, pension plans under Labor Law represent defined benefit plans.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

t. Imbalan kerja karyawan (lanjutan)

Imbalan pensiun (lanjutan)

Program pensiun imbalan pasti adalah program pensiun yang menetapkan jumlah imbalan pensiun yang akan diterima oleh karyawan pada saat pensiun, biasanya berdasarkan beberapa faktor seperti usia, masa kerja atau kompensasi.

Liabilitas program imbalan pasti yang diakui di laporan posisi keuangan dihitung sebesar nilai kini dari kewajiban imbalan pasti pada akhir periode pelaporan, dikurangi dengan nilai wajar aset program. Kewajiban imbalan pasti dihitung setiap tahun oleh aktuaris independen dengan metode *projected-unit credit*.

Nilai kini liabilitas imbalan pasti ditentukan dengan mendiskontokan arus kas keluar yang diestimasi dengan menggunakan tingkat bunga obligasi pemerintah (dikarenakan saat ini tidak ada pasar aktif untuk obligasi perusahaan yang berkualitas tinggi) yang didenominasikan dalam mata uang dimana imbalan akan dibayarkan dan memiliki waktu jatuh tempo mendekati jatuh waktu kewajiban pensiun.

Keuntungan dan kerugian aktuarial yang timbul dari penyesuaian dan perubahan dalam asumsi-asumsi aktuarial langsung diakui seluruhnya melalui pendapatan komprehensif lainnya pada saat terjadinya.

Biaya jasa lalu diakui segera dalam laporan laba rugi.

Pesangon pemutusan kontrak kerja

Pesangon pemutusan kontrak kerja terutang ketika Bank memberhentikan hubungan kerja sebelum usia pensiun normal, atau ketika seorang pekerja menerima penawaran mengundurkan diri secara sukarela dengan kompensasi imbalan pesangon. Bank mengakui pesangon pemutusan kontrak kerja pada tanggal yang lebih awal antara (i) ketika Bank tidak dapat lagi menarik tawaran atas imbalan tersebut dan (ii) ketika Bank mengakui biaya untuk restrukturisasi yang berada dalam ruang lingkup PSAK 57 dan melibatkan pembayaran pesangon. Dalam hal menyediakan pesangon sebagai penawaran untuk mengundurkan diri secara sukarela, pesangon pemutusan kontrak kerja diukur berdasarkan jumlah karyawan yang diharapkan menerima penawaran tersebut. Imbalan yang jatuh tempo lebih dari 12 bulan setelah periode pelaporan didiskontokan menjadi nilai kini.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

t. Employee benefits (continued)

Pension benefits (continued)

A defined benefit plan is a pension plan program where the pension amount to be received by employees at the time of retirement will depend on some factors such as age, years of service or compensation.

Defined benefit obligation recognised in the statements of financial position in respect of defined benefit obligation at the end of reporting period less the fair value of plan asset. The defined benefit obligation is calculated annually by an independent actuary using the projected-unit-credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of Government Bonds (considering currently there is no deep market for high-quality corporate bonds) that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions charged or credited to equity in other comprehensive income in the period in which they arise.

Past-service costs are recognised immediately in profit or loss.

Termination Benefits

Termination benefits are payable when employment is terminated by the Bank before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Bank recognises termination benefits at the earlier of the following dates: (i) when the Bank cannot longer withdraw the offer of those benefits; and (ii) when the entity recognises costs for a restructuring that is within the scope of PSAK 57 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

u. Pajak penghasilan kini dan tangguhan

Pajak penghasilan terdiri dari pajak kini dan pajak tangguhan. Beban pajak penghasilan diakui dalam laporan laba rugi, kecuali jika pajak tersebut terkait dengan transaksi atau kejadian yang langsung diakui ke ekuitas. Dalam hal ini, pajak tersebut masing-masing diakui dalam penghasilan komprehensif lain atau ekuitas.

Manajemen Bank mengevaluasi secara periodik implementasi terhadap peraturan perpajakan yang berlaku terutama yang memerlukan interpretasi lebih lanjut mengenai pelaksanaannya termasuk juga evaluasi terhadap surat ketetapan pajak yang diterima dari kantor pajak. Lebih lanjut, manajemen membentuk cadangan, jika dianggap perlu berdasarkan jumlah yang diestimasikan akan dibayarkan ke kantor pajak.

Bank menerapkan metode *balance sheet liability* untuk menentukan beban pajak penghasilan. Menurut metode *balance sheet liability*, aset dan utang pajak tangguhan diakui untuk semua perbedaan temporer antara nilai aset dan liabilitas yang tercatat di laporan posisi keuangan dengan dasar pengenaan pajak atas aset dan liabilitas tersebut pada setiap tanggal pelaporan. Metode ini juga mensyaratkan adanya pengakuan manfaat pajak di masa datang yang belum digunakan apabila besar kemungkinan bahwa manfaat tersebut dapat direalisasikan di masa yang akan datang.

Pajak tangguhan dihitung dengan menggunakan tarif pajak yang berlaku atau secara substansial diberlakukan pada periode dimana aset tersebut direalisasi atau liabilitas tersebut diselesaikan. Perubahan nilai tercatat aset dan liabilitas pajak tangguhan yang disebabkan oleh perubahan tarif pajak dibebankan pada tahun berjalan, kecuali untuk transaksi-transaksi yang sebelumnya telah langsung dibebankan atau dikreditkan ke ekuitas.

Koreksi atas liabilitas pajak diakui pada saat surat ketetapan pajak diterima, atau apabila diajukan keberatan dan/atau banding, maka koreksi diakui pada saat keputusan atas keberatan dan/atau banding tersebut diterima. Manajemen juga dapat membentuk pencadangan terhadap liabilitas pajak di masa depan sebesar jumlah yang diestimasikan akan dibayarkan ke kantor pajak jika berdasarkan evaluasi pada tanggal laporan posisi keuangan terdapat risiko pajak yang *probable*. Asumsi dan estimasi yang digunakan dalam perhitungan pembentukan cadangan tersebut memiliki unsur ketidakpastian.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

u. Current and deferred income tax

Income tax expense comprises of current and deferred tax. Tax is recognised in the profit or loss, except to the extent that it relates to items recognised directly in equity. In this case, the tax is also recognised in other comprehensive income or equity, respectively.

Bank's management periodically evaluates the implementation of prevailing tax regulations especially those that are subject to further interpretation on its implementation, including evaluation on tax assessment letters received from tax authorities. Furthermore, where appropriate management establishes provisions based on the amounts expected to be paid to the tax authorities.

The balance sheet liability method is applied to determine Bank's income tax expense. Under the balance sheet liability method, deferred tax assets and liabilities are recognised for all temporary differences arising between the tax base of assets and liabilities and their carrying amount in the statement of financial position at each reporting date. This method also requires the recognition of future tax benefits, to the extent that realisation of such benefits is probable.

Deferred income tax is determined using tax rates pursuant to laws or regulations that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred income tax asset is realized or the deferred income tax liability is settled. The changes to the carrying value of deferred tax assets and liabilities due to the changes of tax rates are charged in the current year, except for transactions which previously have been directly charged or credited to shareholders' equity.

Corrections to taxation obligations are recorded when an assessment is received or, if appealed against, when the result of the appeal is determined. Management provides provision for future tax liability at the amount that will be payable to the tax office on probable tax exposure, based on assessment as at the date of statement of financial position. Assumptions and estimation used in the provisioning calculation may involve element of uncertainty.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

u. Pajak penghasilan kini dan tangguhan
(lanjutan)

Utang pajak penghasilan badan dan utang pajak lainnya Bank disajikan sebagai "Utang pajak" di laporan posisi keuangan. Aset pajak tangguhan disajikan bersih setelah dikurangi dengan liabilitas pajak tangguhan di laporan posisi keuangan.

v. Pembayaran berbasis saham

Bank mengoperasikan program imbalan berbasis saham, dimana Bank memberikan instrumen ekuitas induk perusahaan Bank (opsi) kepada karyawan sebagai imbalan atas jasa mereka. Nilai wajar opsi yang diberikan diakui sebagai beban dan dengan peningkatan pada ekuitas. Jumlah nilai yang harus dibebankan ditentukan dengan mengacu kepada nilai wajar opsi yang diberikan:

- termasuk kinerja pasar (misalnya, harga saham entitas);
- tidak termasuk dampak dari jasa dan kondisi *vesting* yang tidak dipengaruhi kinerja pasar (misalnya, profitabilitas, target pertumbuhan penjualan dan tetap menjadi karyawan perusahaan selama periode waktu tertentu); dan
- termasuk dampak dari kondisi *non-vesting*.

Syarat jasa dan syarat yang tidak dipengaruhi kinerja pasar dimasukkan di dalam asumsi mengenai jumlah opsi yang diharapkan akan *vest*. Jumlah beban diakui selama periode *vesting*, yaitu periode dimana seluruh kondisi *vesting* tertentu telah terpenuhi.

Setiap akhir periode pelaporan, Bank merevisi estimasi jumlah opsi yang diharapkan akan *vest* berdasarkan syarat jasa. Selisih antara estimasi revisian dengan jumlah estimasi sebelumnya, jika ada, diakui dalam laporan laba rugi Bank, dengan penyesuaian pada sisi ekuitas.

Ketika opsi dieksekusi, induk perusahaan Bank akan menerbitkan sejumlah saham baru atau menerbitkan kembali saham treasurinya (jika ada). Nilai kas yang diterima dikurangi dengan biaya transaksi yang dapat diatribusikan dikreditkan ke modal saham (nilai nominal) dan agio saham induk perusahaan.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

u. Current and deferred income tax
(continued)

Corporate tax payables and other tax payables of Bank are presented as "Taxes payable" in the statement of financial position. Deferred tax assets are presented net of deferred tax liabilities in the statements of financial position.

v. Share-based payments

The Bank operates equity settled, share-based compensation plans, under which the Bank receives services from employees as consideration for equity instruments (options) of the Bank's parent entity. The fair value of the options is recognised as an expense with a corresponding increase in equity. The total amount to be expensed is determined by reference to the fair value of the options granted:

- including any market performance conditions (for example, an entity's share price);
- excluding the impact of any service and non-market performance vesting conditions (for example, profitability, sale growth targets and remaining an employee of the entity over a specified time period); and
- including the impact of any non-vesting conditions.

Non-market performance and service conditions are included in assumptions about the number of options that are expected to vest. The total expense is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

At the end of each reporting period, the Bank revises its estimates of the number of options that are expected to vest based on the nonmarket vesting conditions. It recognises the impact of the revision to original estimates, if any, in the Bank's profit or loss, with a corresponding adjustment to equity.

When the options are exercised, the Bank's parent entity will issue new shares or reissues its treasury shares (if any). The proceeds received, net of any directly attributable transaction costs, are credited to share the parent entity's capital (nominal value) and share premium.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

2. KEBIJAKAN AKUNTANSI (lanjutan)

w. Sumber dan penyaluran dana zakat dan sumber dan penggunaan dana kebajikan

Selama tahun 2016, Bank telah menyalurkan dana kebajikan sebesar Rp 97 (2015: Rp 167).

Sejak tanggal Bank beroperasi sebagai bank umum berdasarkan prinsip syariah, Bank belum menunjuk suatu lembaga untuk mengelola sumber dan penggunaan dana zakat dan kebajikan.

Sampai dengan 31 Desember 2016, Bank belum mengelola penerimaan dana zakat, baik yang bersumber dari Bank maupun dari pihak luar Bank.

Denda/sanksi diberikan kepada nasabah yang mampu membayar, tetapi menunda-nunda pembayaran dengan disengaja, sejumlah uang yang besarnya tidak ditentukan atas dasar kesepakatan dan tidak dibuat saat akad ditandatangani. Dana yang berasal dari denda/sanksi diperuntukkan untuk dana kebajikan.

x. Aset dan liabilitas atas operasi yang dihentikan

Aset dan liabilitas diklasifikasikan sebagai aset dan liabilitas atas operasi yang dihentikan ketika nilai tercatatnya tidak akan dipulihkan melalui pemakaian berlanjut. Aset dan liabilitas ini dicatat pada nilai yang lebih rendah antara jumlah tercatat dan nilai wajar setelah dikurangi biaya untuk menjual, kecuali untuk aset pajak tangguhan, aset yang terkait dengan imbalan kerja, aset keuangan dan properti investasi yang dicatat pada nilai wajar yang secara khusus dikecualikan dari persyaratan ini.

Kerugian penurunan nilai awal atau selanjutnya diakui atas penurunan nilai aset ke nilai wajar dikurangi dengan biaya untuk menjual aset. Keuntungan diakui atas peningkatan nilai wajar dikurangi biaya untuk menjual, tetapi tidak boleh melebihi akumulasi rugi penurunan nilai yang telah diakui sebelumnya.

Aset dan liabilitas atas operasi yang dihentikan tidak boleh disusutkan atau diamortisasi selama diklasifikasikan sebagai operasi yang dihentikan.

Aset dan liabilitas atas operasi yang dihentikan disajikan secara terpisah dalam laporan posisi keuangan.

Hasil dari operasi yang dihentikan disajikan secara terpisah dalam laporan laba rugi dan penghasilan komprehensif lain.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

2. ACCOUNTING POLICIES (continued)

w. Sources and distribution of zakat funds and sources and uses of qardhul hasan funds

During 2016, The Bank has distributed the qardhul hasan funds amounting to Rp 97 (2015: Rp 167).

Since the date of the Bank operates as commercial bank under Sharia principal, the Bank has not appointed an institution to manage sources and uses of zakat and qardhul hasan funds

As of 31 December 2016, Bank has not managed the receipt of zakat funds yet, both from Bank and from external parties.

Penalties/sanctions were charged to debtors who are able to pay, but deliberately delay payments, in the amount that are not agreed and not determined in the contract. The funds from penalties/sanctions will be used for qardhul hasan funds.

x. Assets and liabilities on discontinued operations

Assets and liabilities are classified as assets and liabilities on discontinued operations when their carrying amount is not to be recovered principally through continuing use. These assets and liabilities are stated at the lower of carrying amount and fair value less costs to sell, except for deferred tax assets, assets arising from employee benefits, financial assets and investment property that are carried at fair value, which are specifically exempts from this requirement.

An impairment loss is recognised for any initial or subsequent write down of the asset to fair value less costs to sell. A gain is recognised for any subsequent increases in fair value less costs to sell, but not in excess of any cumulative impairment loss previously recognised.

Assets and liabilities are not depreciated or amortised while they are classified as discontinued operations.

Assets and liabilities on discontinued operations are presented separately in the statements of financial position.

The results of discontinued operations are presented separately in the statement of profit or loss and other comprehensive income.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)3. ESTIMASI DAN PERTIMBANGAN AKUNTANSI
YANG PENTING

Beberapa estimasi dan asumsi dibuat dalam rangka penyusunan laporan keuangan. Hal ini membutuhkan pertimbangan manajemen dalam menentukan metodologi yang tepat untuk penilaian aset dan liabilitas.

Manajemen membuat estimasi dan asumsi yang berimplikasi pada pelaporan nilai aset dan liabilitas atas tahun keuangan satu tahun kedepan. Semua estimasi dan asumsi yang diharuskan oleh PSAK adalah estimasi terbaik yang didasarkan standar yang berlaku. Estimasi dan pertimbangan dievaluasi secara terus menerus dan berdasarkan pengalaman masa lalu dan faktor-faktor lain termasuk harapan atas kejadian yang akan datang.

Walaupun estimasi ini dibuat berdasarkan pengetahuan terbaik manajemen atas kejadian dan tindakan saat ini, hasil yang timbul mungkin berbeda dengan jumlah yang diestimasi semula.

Sumber utama ketidakpastian estimasi:

a. Cadangan kerugian penurunan nilai aset keuangan

Bank melakukan *review* atas aset keuangan pada setiap tanggal laporan untuk melakukan penilaian atas cadangan kerugian penurunan nilai yang telah dicatat. Pertimbangan Manajemen diperlukan dalam menentukan estimasi yang digunakan untuk menentukan tingkat cadangan yang dibutuhkan.

Bank juga membentuk cadangan penurunan nilai kolektif atas eksposur piutang *murabahah*, dimana evaluasi dilakukan berdasarkan data kerugian historis (lihat Catatan 2e).

Perhitungan cadangan penurunan nilai kolektif meliputi kerugian kredit yang melekat dalam portofolio aset keuangan dengan karakteristik ekonomi yang sama. Dalam menilai kebutuhan untuk cadangan penurunan nilai kolektif, Manajemen mempertimbangkan faktor-faktor seperti antara lain kualitas kredit dan jenis produk. Guna membuat estimasi cadangan yang diperlukan, Manajemen membuat asumsi untuk menentukan kerugian yang melekat, dan untuk menentukan parameter input yang diperlukan, berdasarkan pengalaman masa lalu.

b. Liabilitas imbalan pasca kerja

Nilai kini liabilitas imbalan pasca kerja karyawan tergantung pada beberapa faktor yang ditentukan dengan dasar aktuarial berdasarkan beberapa asumsi. Perubahan atas asumsi-asumsi ini akan mempengaruhi jumlah tercatat atas liabilitas imbalan pasca kerja.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)3. CRITICAL ACCOUNTING ESTIMATES AND
JUDGEMENTS

Certain estimations and assumptions are made in the preparation of the financial statements. These often require management judgement in determining the appropriate methodology for valuation of assets and liabilities.

Management makes estimations and assumptions that affect the reported amounts of assets and liabilities within the next financial year. All estimations and assumptions required in conformity with SFAS are best estimates undertaken in accordance with the applicable standard. Estimations and judgements are evaluated on a continuous basis, and are based on past experience and other factors, including expectations with regard to future events.

Although these estimations are based on management's best knowledge of current events and activities, actual results may differ from those estimates.

Key sources of estimation uncertainty:

a. Allowance for impairment losses of financial assets

The Bank reviews its financial assets at reporting date to evaluate the allowance for impairment losses. Management's judgement is applied in the estimation when determining the level of allowance required.

The Bank also estimates the collective impairment allowance for its *murabahah* receivables portfolio, where evaluation is performed based on historical data (refer to Note 2e).

Collectively assessed impairment allowances cover credit losses inherent in portfolios of financial assets with similar economic characteristics. In assessing the need for collective impairment allowances, management considers factors such as credit quality and type of product, among others. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical experience.

b. Post-employment benefit liabilities

The present value of the post-employment benefit liabilities depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of post employment benefit liabilities.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)3. ESTIMASI DAN PERTIMBANGAN AKUNTANSI
YANG PENTING (lanjutan)

Sumber utama ketidakpastian estimasi: (lanjutan)

b. Liabilitas imbalan pasca kerja (lanjutan)

Asumsi yang digunakan dalam menentukan biaya/(pendapatan) untuk liabilitas imbalan pasca kerja karyawan antara lain tingkat diskonto, tingkat kenaikan gaji di masa datang, usia pensiun normal, tingkat mortalita dan lain-lain. Bank menentukan tingkat diskonto yang tepat pada setiap akhir periode pelaporan. Ini merupakan tingkat suku bunga yang harus digunakan untuk menentukan nilai kini atas arus kas keluar masa depan yang diestimasi dan akan digunakan untuk membayar liabilitas imbalan pasca kerja. Dalam menentukan tingkat diskonto yang tepat, Bank mempertimbangkan tingkat suku bunga obligasi pemerintah yang mempunyai jangka waktu yang menyerupai jangka waktu liabilitas imbalan pasca kerja.

Tingkat kenaikan gaji per tahun didasarkan pada informasi historis atas tingkat kenaikan gaji sebelumnya, tingkat inflasi dan masa kerja.

Asumsi tingkat mortalita telah didasarkan pada tabel mortalita terbaru yang dihitung dengan menggunakan metode aktuarial yang diterima secara umum.

Perubahan pada asumsi-asumsi tersebut di atas pada tahun-tahun buku berikutnya mungkin dapat menyebabkan penyesuaian terhadap jumlah tercatat liabilitas imbalan pasca kerja dan beban imbalan pasca kerja.

Liabilitas imbalan kerja ditentukan berdasarkan perhitungan dari aktuarial. Perhitungan aktuarial menggunakan asumsi-asumsi seperti tingkat diskonto, tingkat pengembalian investasi, tingkat kenaikan gaji, tingkat kematian, tingkat pengunduran diri, dan lain-lain (lihat Catatan 34).

4. KAS

Kas yang dimiliki seluruhnya dalam mata uang Rupiah. Pada tanggal 31 Desember 2016 dan 2015, Bank memiliki kas masing-masing sebesar Rp 191.662 dan Rp 108.438.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)3. CRITICAL ACCOUNTING ESTIMATES AND
JUDGEMENTS (continued)Key sources of estimation uncertainty:
(continued)

b. Post-employment benefit liabilities (continued)

The assumptions used in determining the net cost/(income) for post-employment benefit liabilities includes the discount rate, salary increment rate, normal pension age, mortality rate and others. The Bank determines the appropriate discount rate at the end of each reporting period. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the post employment benefit liabilities. In determining the appropriate discount rate, the Bank considers the interest rates of government bonds that have terms to maturity approximating the terms of the related post-employment benefit liabilities.

Annual salary increment rate determined based on historical information of previous salary increment rate, inflation rate and length of service.

Mortality rate assumption is based on the latest mortality table which is calculated using actuarial method which is generally accepted.

Change on the assumptions above on the following years may require adjustments to the carrying amount of the post employment benefit liabilities and the post employment benefit expenses.

Employee benefits are determined based on actuarial valuation. The actuary valuation involves making assumptions about discount rate, expected rate of return on investments, future salary increases, mortality rate, resignation rate and others (refer to Note 34).

4. CASH

Cash on hand were all denominated in Rupiah. As at 31 December 2016 and 2015, the Bank has cash amounting to Rp 191,662 and Rp 108,438, respectively.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

5. GIRO DAN PENEMPATAN PADA BANK INDONESIA

	2016
Fasilitas Simpanan Bank Indonesia Syariah (FASBIS)	1,222,500
Giro pada Bank Indonesia	275,777
Sertifikat Bank Indonesia Syariah (SBIS)	50,000
	1,548,277
Pendapatan yang akan diterima dari penempatan pada Bank Indonesia	590
	1,548,867

Rasio Giro Wajib Minimum (GWM) untuk rekening Rupiah pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	2016
Rupiah	5.5%

Sesuai dengan Peraturan Bank Indonesia No. 6/21/PBI/2004 tanggal 3 Agustus 2004 tentang "Giro Wajib Minimum Dalam Rupiah dan Valuta Asing Bagi Bank Umum yang Melaksanakan Kegiatan Usaha Berdasarkan Prinsip Syariah" sebagaimana telah diubah terakhir dengan Peraturan Bank Indonesia No. 15/16/PBI/2013 tanggal 24 Desember 2013, setiap Bank diwajibkan memelihara GWM dalam Rupiah dan valuta asing yang besarnya ditetapkan masing-masing sebesar 5% dan 1% dari dana pihak ketiga dalam Rupiah dan valuta asing.

Saldo giro pada Bank Indonesia disediakan untuk memenuhi persyaratan GWM dari Bank Indonesia.

Bank menempatkan dana pada fasilitas Bank Indonesia Syariah (FASBIS) dengan rata-rata tingkat bonus tahunan sebesar 4,52% untuk tahun 2016 (2015: 5,25%).

6. GIRO PADA BANK LAIN

Seluruh giro pada bank lain adalah dalam mata uang Rupiah dan ditempatkan pada pihak ketiga dan pihak berelasi, yang terdiri atas:

	2016	2015
Pihak ketiga		
PT Bank Mandiri (Persero) Tbk	325	335
PT Bank Negara Indonesia (Persero) Tbk	158	222
PT Bank Central Asia Tbk	50	51
PT Bank BNI Syariah	5	5
	538	613
Pihak berelasi		
PT Bank Tabungan Pensiunan Nasional Tbk	33,952	14,270
	34,490	14,883

5. CURRENT ACCOUNTS AND PLACEMENTS WITH BANK INDONESIA

	2015
	395,500
	203,766
	50,000
	649,266
	2,072
	651,338

The ratio of the Minimum Statutory Reserve Requirement (GWM) for its Rupiah as at 31 December 2016 and 2015 are as follows:

	2015
Rupiah	5.5%

Based on Bank Indonesia Regulation No.6/21/PBI/2004 dated 3 August 2004 regarding "Minimum Statutory Reserve Requirements in Rupiah and Foreign Currencies of Commercial Banks under Sharia Principle" as amended No. 15/16/PBI/2013 dated 24 December 2013, each bank is required to maintain Minimum Statutory Reserve Requirements (GWM) in Rupiah and foreign currencies equivalent to 5% and 1% of its third party funds denominated in Rupiah and foreign currencies, respectively.

The balance of current accounts with Bank Indonesia is provided to meet GWM's requirement from Bank Indonesia.

The Bank placed its fund in Bank Indonesia Sharia's Deposit Facility (FASBIS) with average annual bonus rate at 4.52% for the year 2016 (2015: 5.25%).

6. CURRENT ACCOUNTS WITH OTHER BANKS

All current accounts with other banks were in Rupiah and were placed at third parties and related parties, consist of:

Third parties
PT Bank Mandiri (Persero) Tbk
PT Bank Negara Indonesia (Persero) Tbk
PT Bank Central Asia Tbk
PT Bank BNI Syariah
Related parties
PT Bank Tabungan Pensiunan Nasional Tbk

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

6. GIRO PADA BANK LAIN (lanjutan)

Pada tanggal 31 Desember 2016 dan 2015 tidak terdapat giro pada bank lain yang mengalami penurunan nilai.

Manajemen berpendapat bahwa tidak diperlukan adanya cadangan kerugian penurunan nilai.

7. PENEMPATAN PADA BANK LAIN

Seluruh penempatan pada bank lain adalah dalam mata uang Rupiah dan ditempatkan pada pihak ketiga, yang terdiri atas:

a. Berdasarkan jenis

	2016	2015
Pihak ketiga		
Deposito <i>mudharabah</i>		
PT Bank Muamalat Indonesia	-	130,000
PT Bank Bukopin Syariah Indonesia	-	90,000
PT Bank Mega Syariah	-	70,000
PT Bank Jabar Banten Syariah	-	70,000
PT Bank Pembangunan Daerah Jateng Unit Usaha Syariah	-	50,000
	<u>-</u>	<u>410,000</u>

b. Berdasarkan jangka waktu

Seluruh penempatan pada bank lain pada tanggal 31 Desember 2015 memiliki jangka waktu berkisar antara 1 - 3 bulan.

c. Berdasarkan sisa umur jatuh tempo

	2016	2015
≤ 1 bulan	<u>-</u>	<u>410,000</u>
	<u>-</u>	<u>410,000</u>

d. Tingkat imbal hasil

Tingkat imbal hasil per tahun untuk deposito *mudharabah* yang diterima Bank berkisar antara 6,75% sampai dengan 8,65% pada tahun 2015.

e. Cadangan kerugian penurunan nilai

Perubahan cadangan kerugian penurunan nilai penempatan pada bank lain adalah sebagai berikut:

	2016	2015
Saldo awal	-	3,740
(Pemulihan) selama tahun berjalan (Catatan 29)	-	(3,740)
Saldo akhir	<u>-</u>	<u>-</u>

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)6. CURRENT ACCOUNTS WITH OTHER BANKS
(continued)

As at 31 December 2016 and 2015, there was no impaired current accounts with other banks.

Management believes that no allowance for impairment losses is necessary.

7. PLACEMENTS WITH OTHER BANKS

All placements with other banks were in Rupiah and were placed at third parties, consist of:

a. By type

Third parties
Mudharabah time deposits
PT Bank Muamalat Indonesia
PT Bank Bukopin Syariah Indonesia
PT Bank Mega Syariah
PT Bank Jabar Banten Syariah
PT Bank Pembangunan Daerah Jateng Sharia Business Unit

b. By time period

As at 31 December 2015, all placements with other banks have a period ranging from 1 to 3 months.

c. By remaining period to maturity

	≤ 1 month
	<u>410,000</u>
	<u>410,000</u>

d. Rate of profit sharing

The annual rate of profit sharing for mudharabah time deposits and financing ranged from 6.75% to 8.65% in 2015.

e. Allowance for impairment losses

The movements of the allowance for impairment losses on placements with other banks are as follows:

Beginning balance
(Reversal) during the year (Note 29)
Ending balance

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

7. PENEMPATAN PADA BANK LAIN (lanjutan)

e. Cadangan kerugian penurunan nilai
(lanjutan)

Pada tahun 2015, Bank melakukan pemulihan terhadap nilai cadangan kerugian penurunan nilai penempatan pada bank lain tahun 2014. Hal ini disebabkan oleh perubahan metode perhitungan penyisihan kerugian aset produktif seperti dijelaskan pada kebijakan akuntansi Catatan 2e.

Pada tanggal 31 Desember 2015 tidak terdapat penempatan pada bank lain yang mengalami penurunan nilai.

Manajemen berpendapat bahwa tidak diperlukan adanya cadangan kerugian penurunan nilai.

7. PLACEMENTS WITH OTHER BANKS (continued)

e. Allowance for impairment losses
(continued)

In 2015, Bank has reversed the 2014 allowance for impairment losses of placement with other banks. This is due to a change in the allowance for impairment losses calculation method as detailed in accounting policy Note 2e.

As at 31 December 2015, there was no impaired placements with other banks.

Management believes that no allowance for impairment losses is necessary.

8. PIUTANG MURABAHAH

Semua piutang *murabahah* yang diberikan oleh Bank adalah dalam mata uang Rupiah dengan rincian sebagai berikut:

8. MURABAHAH RECEIVABLES

All *murabahah* receivables were denominated in Rupiah, with details as follows:

	2016	2015	
Piutang <i>murabahah</i>	4,996,722	3,677,967	Murabahah receivables
Pendapatan yang akan diterima dari piutang <i>murabahah</i>	57,917	41,749	Accrued income of <i>murabahah</i> receivables
Dikurangi: Cadangan kerugian penurunan nilai	(113,856)	(61,999)	Less : Allowance for impairment losses
	<u>4,940,783</u>	<u>3,657,717</u>	

a. Berdasarkan kolektibilitas Indonesia
sektor sesuai ekonomi dan Peraturan Bank

a. By economic sector and Bank Indonesia Regulation collectibility

	2016						
	Lancar/ Current	Dalam perhatian khusus/ Special mention	Kurang lancar/ Substandard	Diragukan/ Doubtful	Macet/ Loss	Jumlah/ Total	
Perdagangan, restoran dan hotel	4,283,954	66,570	35,238	25,489	6,767	4,418,018	Trading, restaurant and hotel
Pertanian	224,101	1,909	1,135	777	242	228,164	Agriculture
Perindustrian	157,675	2,687	1,732	1,420	373	163,887	Manufacturing
Sosial/masyarakat	163,679	2,643	1,516	1,140	291	169,269	Social/public
Pengangkutan, pergudangan dan telekomunikasi	11,129	182	75	63	11	11,460	Transportation, warehousing and telecommunication
Jasa usaha	3,897	61	87	39	3	4,087	Business services
Pertambangan	1,826	6	-	3	2	1,837	Mining
Lainnya	-	-	-	-	-	-	Others
	<u>4,846,261</u>	<u>74,058</u>	<u>39,783</u>	<u>28,931</u>	<u>7,689</u>	<u>4,996,722</u>	
Pendapatan yang akan diterima dari piutang <i>murabahah</i>	52,985	4,932	-	-	-	57,917	Accrued income of <i>murabahah</i> receivables
Dikurangi: Cadangan kerugian penurunan nilai	(11,656)	(35,965)	(31,926)	(26,623)	(7,686)	(113,856)	Less: Allowance for impairment losses
	<u>4,887,590</u>	<u>43,025</u>	<u>7,857</u>	<u>2,308</u>	<u>3</u>	<u>4,940,783</u>	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

8. PIUTANG MURABAHAH (lanjutan)

8. MURABAHAH RECEIVABLES (continued)

a. Berdasarkan sektor ekonomi dan kolektibilitas sesuai Peraturan Bank Indonesia (lanjutan)

b. By economic sector and Bank Indonesia Regulation collectibility (continued)

2015							
	Lancar/ Current	Dalam perhatian khusus/ Special mention	Kurang lancar/ Substandard	Diragukan/ Doubtful	Macet/ Loss	Jumlah/ Total	
Perdagangan, restoran dan hotel	3,132,991	32,715	18,713	15,196	5,472	3,205,087	Trading, restaurant and hotel
Pertanian	182,001	1,271	859	623	323	185,077	Agriculture
Perindustrian	157,624	2,103	1,362	1,095	440	162,624	Manufacturing
Sosial/masyarakat	106,185	1,334	718	625	162	109,024	Social/public
Pengangkutan, pergudangan dan telekomunikasi	9,347	116	68	66	31	9,628	Transportation, warehousing and telecommunication
Jasa usaha	4,540	34	36	26	13	4,649	Business services
Pertambangan	1,844	11	13	6	3	1,877	Mining
Lainnya	-	-	-	-	1	1	Others
	<u>3,594,532</u>	<u>37,584</u>	<u>21,769</u>	<u>17,637</u>	<u>6,445</u>	<u>3,677,967</u>	
Pendapatan yang akan diterima dari piutang murabahah	39,755	1,994	-	-	-	41,749	Accrued income of murabahah receivables
Dikurangi: Cadangan kerugian penurunan nilai	(7,921)	(14,465)	(16,375)	(17,034)	(6,204)	(61,999)	Less: Allowance for impairment losses
	<u>3,626,366</u>	<u>25,113</u>	<u>5,394</u>	<u>603</u>	<u>241</u>	<u>3,657,717</u>	

b. Berdasarkan jangka waktu

b. By time period

	2016	2015	
≤ 1 tahun	2,819,600	2,858,844	≤ 1 year
> 1 - 2 tahun	<u>2,177,122</u>	<u>819,123</u>	> 1 - 2 years
	<u>4,996,722</u>	<u>3,677,967</u>	
Pendapatan yang akan diterima dari piutang murabahah	57,917	41,749	Accrued income of murabahah receivables
Dikurangi: Cadangan kerugian penurunan nilai	(113,856)	(61,999)	Less: Allowance for impairment losses
	<u>4,940,783</u>	<u>3,657,717</u>	

c. Berdasarkan sisa umur jatuh tempo

c. By remaining period to maturity

	2016	2015	
≤ 1 bulan	80,514	63,024	≤ 1 month
> 1 - 3 bulan	266,118	201,286	> 1 - 3 months
> 3 - 12 bulan	3,498,493	2,829,065	> 3 - 12 months
> 1 - 2 tahun	<u>1,151,597</u>	<u>584,592</u>	> 1 - 2 years
	<u>4,996,722</u>	<u>3,677,967</u>	
Pendapatan yang akan diterima dari piutang murabahah	57,917	41,749	Accrued income of murabahah receivables
Dikurangi: Cadangan kerugian penurunan nilai	(113,856)	(61,999)	Less: Allowance for impairment losses
	<u>4,940,783</u>	<u>3,657,717</u>	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

8. PIUTANG MURABAHAH (lanjutan)

d. Berdasarkan pihak berelasi dan pihak ketiga

Sampai dengan 31 Desember 2016 dan 2015, seluruh piutang *murabahah* diberikan kepada pihak ketiga. Tidak ada piutang *murabahah* yang diberikan kepada pihak berelasi.

e. Berdasarkan tingkat margin rata-rata

	2016
Tingkat margin rata-rata per tahun	30%

f. Informasi lainnya

- 1) Perubahan cadangan kerugian piutang *murabahah* adalah sebagai berikut:

	2016
Saldo awal	61,999
Penyisihan selama tahun berjalan (Catatan 29)	118,559
Penghapusbukuan selama tahun berjalan	(70,831)
Penerimaan kembali hapus buku	4,129
	<u>113,856</u>

Piutang *murabahah* yang telah dihapusbukukan oleh Bank dicatat secara ekstra-komtabel di dalam rekening administratif.

- 2) Jumlah minimum cadangan kerugian penurunan nilai piutang yang wajib dibentuk pada tanggal 31 Desember 2016 dan 2015 telah sesuai berdasarkan PSAK 55, Instrumen Keuangan: Pengakuan dan Pengukuran.

Manajemen berpendapat bahwa cadangan kerugian penurunan nilai piutang yang dibentuk telah memadai.

- 3) Rasio *Non-Performing Financing* (NPF) piutang *murabahah* pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	2016
NPF - Bruto Persentase	1.53%
NPF - Neto Persentase	0.20%

- 4) Jumlah piutang *murabahah* yang direstrukturisasi sampai dengan tanggal 31 Desember 2016 dan 2015 masing-masing adalah sebesar nihil dan Rp 191.

8. MURABAHAH RECEIVABLES (continued)

d. By related and third party

As at 31 December 2016 and 2015, all *murabahah* receivables are given to the third party. There is no *murabahah* receivables given to related party.

e. By average margin rate

	2015	Margin rate per annum
Tingkat margin rata-rata per tahun	30%	

f. Other information

- 1) The movements of allowance for impairment losses on *murabahah* receivables are as follows:

	2015	
Saldo awal	33,092	Beginning balance
Penyisihan selama tahun berjalan (Catatan 29)	65,136	Allowance made during the year (Note 29)
Penghapusbukuan selama tahun berjalan	(38,071)	Written off during the year
Penerimaan kembali hapus buku	1,842	Recovery of write-offs
	<u>61,999</u>	

Murabahah receivables which were written off by the Bank are recorded as extra-comptable in the administrative account.

- 2) The minimum amount of allowance for impairment losses on receivables that should be provided as at 31 December 2016 and 2015 is in accordance with SFAS 55, Financial Instruments: Recognition and Measurement.

Management believes that the allowance for impairment losses is adequate.

- 3) The ratio of Non-Performing Financing (NPF) of *murabahah* receivables as at 31 December 2016 and 2015 are as follows:

	2015	
NPF - Bruto Persentase	1.25%	NPF - Gross Percentage
NPF - Neto Persentase	0.17%	NPF - Net Percentage

- 4) Total restructured *murabahah* receivables as at 31 December 2016 and 2015 amounted to nil and Rp 191, respectively.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

8. PIUTANG MURABAHAH (lanjutan)

f. Informasi lainnya (lanjutan)

- 5) Berdasarkan laporan Batas Maksimum Penyaluran Dana ("BMPD") Bank yang disampaikan kepada Bank Indonesia, pada tanggal 31 Desember 2016 dan 2015 tidak terdapat pelanggaran atau pun pelanggaran BMPK kepada pihak ketiga dan pihak berelasi sesuai dengan peraturan yang telah ditetapkan Bank Indonesia.

8. MURABAHAH RECEIVABLES (continued)

f. Other information (continued)

- 5) Based on the Legal Lending Limit ("LLL") report submitted to Bank Indonesia as at 31 December 2016 and 2015, there are no murabahah receivables which violated or exceeded the Legal Lending Limit Regulation.

9. BIAYA DIBAYAR DI MUKA

	2016	2015
Sewa gedung	59,170	70,080
Pemeliharaan & perbaikan IT	9,348	8,065
Lainnya	2,287	1,610
	<u>70,805</u>	<u>79,755</u>

Building rental
IT maintenance and renewal
Others

9. PREPAYMENTS

10. ASET TETAP

10. FIXED ASSETS

2016					
Saldo awal/ Beginning balance	Penambahan/ Addition	Pengurangan/ Deduction	Reklasifikasi/ Reclassification	Jumlah/ Total	
Biaya Perolehan					Cost
Tanah	3,987	5,480	-	9,467	Land
Bangunan	6,726	2,098	(145)	9,235	Buildings
Kendaraan bermotor	79,443	5,797	(1,124)	84,116	Motor vehicles
Perlengkapan kantor	93,244	33,060	(1,698)	132,716	Office equipment
Leasehold improvement	85,610	35,315	(11,963)	108,406	Leasehold improvement
Aset dalam penyelesaian	-	14,134	-	6,024	Construction in progress
	<u>269,010</u>	<u>95,884</u>	<u>(14,930)</u>	<u>349,964</u>	
Akumulasi penyusutan					Accumulated depreciation
Bangunan	(2,256)	(411)	48	(2,637)	Buildings
Kendaraan bermotor	(33,554)	(21,031)	1,026	(53,559)	Motor vehicles
Perlengkapan kantor	(32,000)	(29,131)	1,385	(59,746)	Office equipment
Leasehold improvement	(25,881)	(33,784)	11,963	(47,684)	Leasehold improvement
	<u>(93,691)</u>	<u>(84,357)</u>	<u>14,422</u>	<u>(163,626)</u>	
Nilai buku bersih	<u>175,319</u>			<u>186,338</u>	Net book value
2015					
Saldo awal/ Beginning balance	Penambahan/ Addition	Pengurangan/ Deduction	Reklasifikasi/ Reclassification	Jumlah/ Total	
Biaya Perolehan					Cost
Tanah	3,987	-	-	3,987	Land
Bangunan	6,726	-	-	6,726	Buildings
Kendaraan bermotor	58,134	22,498	(1,189)	79,443	Motor vehicles
Perlengkapan kantor	64,556	30,496	(1,808)	93,244	Office equipment
Leasehold improvement	24,071	61,539	-	85,610	Leasehold improvement
	<u>157,474</u>	<u>114,533</u>	<u>(2,997)</u>	<u>269,010</u>	
Akumulasi penyusutan					Accumulated depreciation
Bangunan	(1,910)	(346)	-	(2,256)	Buildings
Kendaraan bermotor	(8,847)	(25,147)	440	(33,554)	Motor vehicles
Perlengkapan kantor	(12,038)	(22,866)	2,904	(32,000)	Office equipment
Leasehold improvement	(5,546)	(20,335)	-	(25,881)	Leasehold improvement
	<u>(28,341)</u>	<u>(68,694)</u>	<u>3,344</u>	<u>(93,691)</u>	
Nilai buku bersih	<u>129,133</u>			<u>175,319</u>	Net book value

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

10. ASET TETAP (lanjutan)

Pada tanggal 31 Desember 2016 dan 2015, aset tetap, kecuali tanah, telah diasuransikan kepada perusahaan asuransi pihak ketiga (PT Asuransi Adira Dinamika dan PT Asuransi Tugu Pratama) dengan nilai pertanggungan masing-masing sebesar Rp 278.960 dan Rp 190.642. Bank berpendapat bahwa nilai pertanggungan asuransi cukup untuk menutup kemungkinan kerugian dari aset tetap tersebut.

Berdasarkan penelaahan manajemen, tidak terdapat indikasi penurunan nilai atas aset tetap tersebut di atas.

Pada tanggal 31 Desember 2016 dan 2015, tidak terdapat aset tetap yang digunakan sebagai jaminan dan tidak terdapat pembatasan kepemilikan atas semua aset tetap.

Pada bulan Februari 2016, Bank merubah kebijakan akuntansi terkait pengukuran aset tetap dalam kelompok tanah dari metode pengukuran harga perolehan (*cost model*) menjadi metode revaluasi (Catatan 2I).

Penilaian pada nilai wajar tanah yang dimiliki oleh Bank pada 31 Desember 2016 telah dilakukan oleh Kantor Jasa Penilai Publik (KJPP) Susan Widjojo and Partners, penilai independen yang telah terdaftar pada OJK, berdasarkan laporannya tertanggal 14 April 2016. Penilaian, yang sesuai dengan Standar Penilaian Indonesia, ditentukan berdasarkan transaksi pasar terkini dan dilakukan dengan ketentuan-ketentuan yang lazim. Metode penilaian yang digunakan adalah Metode Pendekatan Data Pasar.

Surplus revaluasi, yang merupakan selisih antara nilai pasar dengan nilai tercatat dari aset tetap tanah sebesar Rp 5.480 (sebelum pajak) atau Rp 5.239 (setelah pajak), telah dikreditkan pada pendapatan komprehensif lainnya dan disajikan sebagai "cadangan revaluasi aset" di ekuitas.

Bank telah mengajukan permohonan persetujuan revaluasi aset tetap tanah ke kantor pajak di bulan April 2016 dan telah melakukan pembayaran atas pajak final sebesar Rp 241 di bulan April 2016. Bank telah menerima persetujuan atas revaluasi aset tetap tanah dari kantor pajak pada tanggal 9 Mei 2016.

Jika tanah dicatat sebesar harga perolehan, jumlahnya pada 31 Desember 2016 adalah Rp 3.987.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

10. FIXED ASSETS (continued)

As at 31 December 2016 and 2015, fixed assets, except for land, have been insured by the third party insurance companies (PT Asuransi Adira Dinamika and PT Asuransi Tugu Pratama) with total coverage of Rp 278,960 and Rp 190,642, respectively. The Bank believes that the coverage is adequate to cover possible losses arising from such risks.

Based on management review, there is no indication of impairment in the value of fixed assets.

As at 31 December 2016 and 2015, there are no fixed assets pledged as collateral and no limitation of ownership of the fixed assets.

In February 2016, the Bank changed its accounting policy related to asset measurement for land from cost model to revaluation model (Notes 2I).

Valuation to determine the fair value of the Bank's land as at 31 December 2016 was performed by Kantor Jasa Penilai Publik (KJPP) Susan Widjojo and Partners, an independent valuers registered in OJK, based on its reports dated 14 April 2016. The valuation, which conforms to Indonesia Valuation Standards, was determined by reference to recent market transaction on arm's length terms. Appraisal method used is Market Data Approach Method.

The revaluation surplus which are the difference of the fair value and the carrying value of land amounting to Rp 5,480 (before tax) or Rp 5,239 (after tax), was credited to other comprehensive income and is shown in "asset revaluation reserve" in equity.

The bank has filed application of approval for asset revaluation for land to the tax office in April 2016 and has paid the final tax amounting to Rp 241 in April 2016. The bank has obtained approval of asset revaluation for land from the tax office on 9 May 2016.

If land were stated on the historical cost, the amount as of 31 December 2016 would be Rp 3,987.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

11. ASET TAK BERWUJUD

11. INTANGIBLE ASSETS

2016					
	Saldo awal/ Beginning balance	Penambahan/ Addition	Pengurangan/ Deduction	Reklasifikasi/ Reclassification	Jumlah/ Total
Biaya Perolehan					
Piranti lunak	24,924	-	-	22,083	47,007
Pengembangan piranti lunak	7,664	22,542	-	(22,083)	8,123
	32,588	22,542	-	-	55,130
Akumulasi amortisasi					
Piranti lunak	(10,177)	(8,537)	-	-	(18,714)
	(10,177)	(8,537)	-	-	(18,714)
Nilai buku bersih	22,411				36,416
2015					
	Saldo awal/ Beginning balance	Penambahan/ Addition	Pengurangan/ Deduction	Reklasifikasi/ Reclassification	Jumlah/ Total
Biaya Perolehan					
Piranti lunak	15,382	12	(249)	9,779	24,924
Pengembangan piranti lunak	4,571	12,872	-	(9,779)	7,664
	19,953	12,884	(249)	-	32,588
Akumulasi amortisasi					
Piranti lunak	(4,969)	(5,208)	-	-	(10,177)
	(4,969)	(5,208)	-	-	(10,177)
Nilai buku bersih	14,984				22,411

Manajemen berpendapat bahwa tidak terdapat indikasi adanya penurunan nilai aset tidak berwujud.

Pada tanggal 31 Desember 2016 dan 2015, tidak terdapat aset tak berwujud yang digunakan sebagai jaminan dan tidak terdapat pembatasan kepemilikan atas semua aset tak berwujud.

Management believes that there is no impairment in the value of intangible assets.

As at 31 December 2016 and 2015, there are no intangible assets pledged as collateral and no limitation of ownership of the intangible assets.

12. ASET LAIN-LAIN

12. OTHER ASSETS

	2016	2015	
Pihak ketiga			Third parties
Persediaan	206,844	-	Inventories
Aset imbalan kerja bersih (Catatan 34)	26,430	9,017	Net employee benefit assets (Note 34)
Uang muka	22,550	16,713	Advances
Setoran jaminan	9,636	9,449	Deposits
Biaya pendirian wisma dan jaringan kantor	4,031	18,197	Wisma and office networking establishment fees
Agunan yang diambil alih	3,476	3,476	Foreclosed collateral
Lain-lain	2,954	2,155	Others
	275,921	59,007	

Persediaan terdiri dari telepon genggam yang dibeli untuk dijual kembali ke nasabah dalam bentuk pembiayaan sebagai bagian program laku pandai.

Inventories consist of handphone purchased for resale to customers in the form of financing as part of branchless banking program.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

12. ASET LAIN-LAIN (lanjutan)

Lain-lain terdiri dari berbagai macam tagihan dari transaksi kepada pihak ketiga dan lain-lain.

Berdasarkan penelaahan manajemen, tidak terdapat indikasi penurunan nilai atas aset lain-lain tersebut di atas.

12. OTHER ASSETS (continued)

Others mainly consist of various receivables from transaction with third parties and others.

Based on management review, there is no indication of impairment in the value of other assets.

13. LIABILITAS SEGERA

	2016
Kewajiban kepada pemasok	67,878
Titipan bagi hasil deposito	9,665
Kiriman uang	527
Lainnya	1,585
	<u>79,655</u>

Kewajiban kepada pemasok merupakan pembayaran atas pembelian telepon genggam yang belum jatuh tempo untuk persediaan pembiayaan sebagai bagian program laku pandai.

Lainnya terdiri dari utang pembayaran iuran OJK dan utang lainnya kepada pihak ketiga.

13. LIABILITIES DUE IMMEDIATELY

	2015	
	-	Obligation to vendor
	6,529	Unsettled profit sharing
	1,341	of time deposits
	50	Remittances
	<u>7,920</u>	Others

Obligation to vendor is payment for the purchase of handphone that has not matured for financing's inventory as part of branchless banking program.

Others mainly consist of payable of OJK contribution payment and other payables to third parties.

14. BAGI HASIL YANG BELUM DIBAGIKAN

Akun ini merupakan bagi hasil yang belum dibagikan oleh Bank kepada *shahibul maal* atas bagian keuntungan hasil usaha Bank yang telah disisihkan dari pengelolaan dana *mudharabah*.Bagi hasil yang belum dibagikan Bank pada tanggal 31 Desember 2016 adalah bagi hasil untuk deposito *mudharabah* sebesar Rp 12.320 (2015: Rp 11.152).

14. UNDISTRIBUTED REVENUE SHARING

This account represents the undistributed share of the customer (*shahibul maal*) on the distribution of income generated by Bank from managing *mudharabah* funds.Undistributed revenue sharing which has not been distributed by the Bank as at 31 December 2016 for *mudharabah* time deposits amounted to Rp 12,320 (2015: Rp 11,152).

15. SIMPANAN NASABAH

	2016
Tabungan wadiah	979,450
Giro wadiah	13,400
	<u>992,850</u>

a. Giro Wadiah

Giro wadiah merupakan giro wadiah *yad-dhamanah* yaitu titipan dana pihak lain yang dapat diberikan bonus berdasarkan kebijakan Bank. Sampai dengan 31 Desember 2016, Bank membagikan bonus untuk produk giro wadiah sebesar Rp 6.985 (2015: 274) (Catatan 28).

Sampai dengan 31 Desember 2016 dan 2015, tidak terdapat transaksi dengan pihak berelasi untuk giro wadiah.

15. DEPOSITS FROM CUSTOMERS

	2015	
	729,794	Wadiah saving deposits
	28,755	Wadiah demand deposits
	<u>758,549</u>	

a. Wadiah demand deposits

Wadiah demand deposits represent wadiah *yad-dhamanah* in which depositors are entitled to receive bonuses in accordance with the Bank's policy. Up to 31 December 2016, Bank distributed bonuses for wadiah demand deposits amounted to Rp 6,985 (2015: 274) (Notes 28).

As at 31 December 2016 and 2015, there is no related party transaction for wadiah demand deposits.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

15. SIMPANAN NASABAH (lanjutan)

b. Tabungan Wadiah

Tabungan wadiah merupakan simpanan dana dalam mata uang Rupiah yang dapat diberikan bonus berdasarkan kebijakan Bank.

Pada tanggal 31 Desember 2016 dan 2015, tidak terdapat transaksi dengan pihak berelasi untuk tabungan wadiah.

15. DEPOSITS FROM CUSTOMERS (continued)

b. Wadiah saving deposits

Wadiah saving deposits represent deposits in Rupiah which can be distributed with bonus with the Bank's policy.

As at 31 December 2016 and 2015, there is no related party transaction for wadiah saving deposits.

16. PERPAJAKAN

a. Utang pajak

	2016	2015
Pajak penghasilan badan		
- Pasal 25	14,452	3,945
- Pasal 29	51,951	29,602
	<u>66,403</u>	<u>33,547</u>
Pajak lainnya		
- Pasal 21	2,509	2,286
- Pasal 23 dan 4(2)	5,284	4,429
	<u>74,196</u>	<u>40,262</u>

Corporate income tax
Article 25 -
Article 29 -

Other taxes
Article 21 -
Article 23 and 4(2) -

b. Beban pajak penghasilan

	2016	2015
Pajak penghasilan badan		
- Kini	(165,531)	(69,926)
- Tangguhan	22,283	7,837
	<u>(143,248)</u>	<u>(62,089)</u>

b. Income tax expense

Corporate income tax
Current -
Deferred -

Rekonsiliasi atas beban pajak penghasilan Bank dengan perkalian laba akuntansi Bank sebelum beban pajak penghasilan dan tarif pajak yang berlaku adalah sebagai berikut:

The reconciliation between the Bank's income tax expense with the calculation of the accounting income before income tax expense and the prevailing tax rate is as follows:

	2016	2015	
Laba sebelum pajak penghasilan (termasuk rugi tahun berjalan dari operasi yang dihentikan)	<u>555,743</u>	<u>231,295</u>	Income before tax (including loss for the year from discontinued operation)
Beban pajak penghasilan yang dihitung dari laba sebelum beban pajak penghasilan	138,936	57,824	Income tax expense calculated from income before income tax expense
Pengaruh pajak atas perbedaan tetap	<u>4,312</u>	<u>4,265</u>	Effect of tax on permanent differences
Beban pajak penghasilan	<u>143,248</u>	<u>62,089</u>	Income tax expense

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

16. PERPAJAKAN (lanjutan)

16. TAXATION (continued)

b. Beban pajak penghasilan (lanjutan)

b. Income tax expense (continued)

Rekonsiliasi antara laba sebelum pajak penghasilan (termasuk rugi tahun berjalan dari operasi yang dihentikan) seperti yang tercantum dalam laporan laba rugi dan penghasilan komprehensif lain dengan laba fiskal untuk tahun yang berakhir pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

The reconciliation between income before income tax (including loss for the year from discontinued operation) as stated in the statement of profit or loss and other comprehensive income with taxable income for the year ended 31 December 2016 and 2015 are as follows:

	2016	2015	
Laba sebelum pajak penghasilan (termasuk rugi tahun berjalan dari operasi yang dihentikan)	555,743	231,295	Income before tax (including loss for the year from discontinued operation)
Perbedaan tetap			Permanent differences
Beban yang tidak dapat dapat dikurangkan	17,247	17,061	Non-deductible expense
Perbedaan temporer			Temporary differences
Imbalan kerja	(8,469)	(3,662)	Employee benefits
Akrual bonus dan tantiem	46,653	12,967	Accrued bonus and tantiem
Penyusutan aset tetap	14,446	17,870	Depreciation of fixed assets
Cadangan kerugian penurunan nilai atas piutang <i>murabahah</i>	27,923	4,173	Allowance for impairment losses on <i>murabahah</i>
Lainnya	8,580	-	Others
Penghasilan kena pajak	662,123	279,704	Taxable income
Beban pajak penghasilan badan	165,531	69,926	Corporate income tax expense
Dikurangi: pajak dibayar dimuka	(113,580)	(40,324)	Less: Prepaid tax
Utang pajak penghasilan	51,951	29,602	Income taxes payable

Perhitungan pajak penghasilan untuk tahun yang berakhir pada tanggal 31 Desember 2016 di atas adalah suatu perhitungan sementara yang dibuat untuk tujuan akuntansi dan dapat berubah pada saat Bank menyampaikan Surat Pemberitahuan (SPT) Tahunan pajak tahun 2016.

The calculation of income tax for the year ended 31 Desember 2016 above is a preliminary estimate made for accounting purposes and are subject to change at the time the Bank submits its Annual Corporate Income Tax Return (SPT) for the year 2016.

c. Aset pajak tangguhan – bersih

c. Deferred tax asset – net

	2016				
	1 Januari/ January	Dikreditkan (dibebankan) ke laporan laba /rugi/ Credited/(char- ged) to profit/loss	Dibebankan ke ekuitas/ Charged to equity	31 Desember/ December	
Aset pajak tangguhan					Deferred tax assets
Akrual bonus dan tantiem	9,124	11,663	-	20,787	Accrued bonus and tantiem
Imbalan kerja karyawan	-	(2,117)	(1,579)	(3,696)	Employee benefits
Penyusutan aset tetap	6,737	3,611	-	10,348	Depreciation of fixed assets
Cadangan kerugian penurunan nilai atas piutang <i>murabahah</i>	1,410	6,981	-	8,391	Allowance for impairment losses on <i>murabahah</i> receivables
Lainnya	-	2,145	-	2,145	Others
Aset pajak tangguhan - bersih	17,271	22,283	(1,579)	37,975	Deferred tax asset - net

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

16. PERPAJAKAN (lanjutan)

16. TAXATION (continued)

c. Aset pajak tangguhan – bersih (lanjutan)

c. Deferred tax asset – net (continued)

	2015				
	1 Januari/ January	Dikreditkan (dibebankan) ke laporan laba /rugil/ Credited/(char ged) to profit/loss	Dibebankan ke ekuitas/ Charged to equity	31 Desember/ December	
Aset					Deferred tax
pajak tangguhan					assets
Akrual bonus dan tantiem	5,882	3,242	-	9,124	Accrued bonus and tantiem
Imbalan kerja karyawan	2,687	(916)	(1,771)	-	Employee benefits
Penyusutan aset tetap	2,269	4,468	-	6,737	Depreciation of fixed assets
Cadangan kerugian penurunan nilai atas piutang <i>murabahah</i>	367	1,043	-	1,410	Allowance for impairment losses on <i>murabahah</i> receivables
Lain-lain	-	-	-	-	Others
	<u>11,205</u>	<u>7,837</u>	<u>(1,771)</u>	<u>17,271</u>	

Manajemen berpendapat bahwa aset pajak tangguhan dapat terpulihkan seluruhnya di masa pajak yang akan datang.

Management believes that deferred tax assets can be recovered in future taxable years.

17. LIABILITAS LAIN-LAIN

17. OTHER LIABILITIES

	2016	2015	
Angsuran piutang <i>murabahah</i>	25,888	103,280	<i>Murabahah</i> receivables installment
Beban yang masih harus di bayar	27,103	-	Accrued expenses
Kewajiban kepada pemasok	12,656	13,132	Obligation to vendor
Asuransi	14,976	2,416	Insurance
Lain-lain	<u>3,311</u>	<u>915</u>	Others
	<u>83,934</u>	<u>119,743</u>	

Beban yang masih harus dibayar terdiri dari beban program penghargaan karyawan, pelatihan dan pengembangan karyawan, pengembangan bisnis, biaya manajemen kas, dan operasional kantor.

Accrued expenses consist of expenses for employee rewards program, employee training and development, cash management fee, and office operational expenses.

Lain-lain terdiri dari titipan kewajiban pembayaran kepada karyawan.

Others mostly consist of payment obligation to employee.

18. TABUNGAN MUDHARABAH

18. MUDHARABAH SAVINGS DEPOSITS

a. Berdasarkan jenis produk

a. By product

	2016	2015	
Bukan Bank			Non-Bank
Tabungan Citra IB	20,072	13,720	Citra IB Savings
Tabungan Taseto Premium IB	42,639	12,916	Taseto Premium IB Savings
Tabungan Taseto Mapan IB	<u>1,291</u>	<u>326</u>	Taseto Mapan IB Savings
	<u>64,002</u>	<u>26,962</u>	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

18. TABUNGAN MUDHARABAH (lanjutan)

18. MUDHARABAH SAVINGS DEPOSITS (continued)

b. Berdasarkan pihak berelasi dan pihak ketiga

b. Based on related and third parties

	2016	2015	
Bukan Bank			Non-Bank
Pihak ketiga	63,641	26,493	Third parties
Pihak berelasi	361	469	Related parties
	<u>64.002</u>	<u>26.962</u>	

Tabungan *mudharabah* merupakan simpanan dana pihak lain yang mendapatkan imbalan bagi hasil dari pendapatan Bank atas penggunaan dana tersebut dengan *nisbah* yang ditetapkan dan disetujui sebelumnya.

Mudharabah savings deposits represent deposits from third parties who receive a share in the revenue derived by the Bank from the use of such funds based on a predetermined and pre-agreed ratio.

Nisbah dan tingkat bagi hasil rata-rata untuk tabungan *mudharabah* untuk tahun yang berakhir pada 31 Desember 2016 dan 2015 adalah sebagai berikut:

The average rate of ratio and profit sharing for *mudharabah savings deposits* for the years ended 31 December 2016 and 2015 are as follows:

	2016		
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)	
Tabungan <i>mudharabah</i>	2.25%	3.83%	<i>Mudharabah savings deposits</i>
	2015		
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)	
Tabungan <i>mudharabah</i>	1.76%	3.59%	<i>Mudharabah savings deposits</i>

19. DEPOSITO MUDHARABAH

19. MUDHARABAH TIME DEPOSITS

a. Berdasarkan pihak berelasi dan pihak ketiga

a. By related and third party

	2016	2015	
Bukan Bank			Non-Bank
Pihak ketiga	4,324,203	3,020,801	Third parties
Pihak berelasi	6,509	3,655	Related parties
	<u>4.330.712</u>	<u>3.024.456</u>	

b. Berdasarkan jangka waktu

b. By time period

	2016	2015	
Bukan Bank			Non-Bank
1 - 3 bulan	2,145,432	1,320,757	1 - 3 months
3 - 6 bulan	1,806,047	1,380,671	3 - 6 months
6 - 9 bulan	273,162	230,310	6 - 9 months
9 - 12 bulan	103,691	81,856	9 - 12 months
>12 bulan	2,380	10,862	>12 months
	<u>4.330.712</u>	<u>3.024.456</u>	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

19. DEPOSITO MUDHARABAH (lanjutan)

c. Berdasarkan sisa umur jatuh tempo

	2016
Bukan Bank	
Sampai dengan 1 bulan	2,734,701
1 - 3 bulan	1,448,133
3 - 6 bulan	82,518
6 - 9 bulan	19,889
9 - 12 bulan	43,901
>12 bulan	1,570
	<u>4,330,712</u>

Pada tanggal 31 Desember 2016 dan 2015, tidak ada deposito *mudharabah* yang dijadikan sebagai jaminan atas pembiayaan *murabahah* oleh Bank.

Deposito *mudharabah* merupakan investasi pihak lain yang mendapatkan imbalan bagi hasil dari pendapatan Bank atas penggunaan dana tersebut dengan *nisbah* yang ditetapkan dan disetujui sebelumnya.

Nisbah dan tingkat bagi hasil rata-rata untuk deposito *mudharabah* untuk tahun yang berakhir pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	2016	
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)
1 bulan	14.71%	8.20%
3 bulan	15.29%	8.22%
6 bulan	15.58%	8.52%
12 bulan	16.08%	8.92%

	2015	
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)
1 bulan	16.21%	9.43%
3 bulan	16.29%	9.48%
6 bulan	18.56%	9.73%

20. MODAL SAHAM

Berdasarkan Akta Pendirian No. 25 yang dibuat di hadapan Hadijah, S.H. pengganti Notaris Winarti Lukman Widjaja, S.H., tanggal 27 Agustus 2013, modal dasar Bank adalah sebesar Rp 640.000.000.000 (nilai penuh) yang terdiri atas 640.000 (nilai penuh) lembar saham dengan nilai nominal Rp 1.000.000 (nilai penuh) per lembar saham. Modal ditempatkan dan disetor penuh terdiri atas 533.333 (nilai penuh) lembar saham dengan rincian sebesar Rp 373.333.000.000 (nilai penuh) merupakan setoran tunai PT Bank Tabungan Pensiunan Nasional Tbk dan Rp 160.000.000.000 (nilai penuh) merupakan setoran tunai PT Triputra Persada Rahmat.

19. MUDHARABAH TIME DEPOSITS (continued)

c. By remaining period to maturity

	2015	Non-Bank
		Up to 1 month
		1 - 3 months
		3 - 6 months
		6 - 9 months
		9 - 12 months
		>12 months
	<u>3,024,456</u>	

As at 31 December 2016 and 2015, there are no *mudharabah* deposits that is pledged as collateral for the Bank's *murabahah* financing.

Mudharabah time deposits represent investment from other parties who receive share in the revenue derived by the Bank from the use of such funds based on a predetermined and pre-agreed ratio.

The average rate of ratio and profit sharing for *mudharabah* time deposits for the years ended 31 December 2016 and 2015, are as follows:

	2016		
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)	
1 bulan	14.71%	8.20%	1 month
3 bulan	15.29%	8.22%	3 months
6 bulan	15.58%	8.52%	6 months
12 bulan	16.08%	8.92%	12 months

	2015		
	<i>Nisbah (%) / Ratio (%)</i>	Tingkat bagi hasil (%) / Profit sharing rate (%)	
1 bulan	16.21%	9.43%	1 month
3 bulan	16.29%	9.48%	3 months
6 bulan	18.56%	9.73%	6 months

20. SHARE CAPITAL

Based on the Deed of Establishment No.25, notarised by Hadijah, S.H., substitute of Notary Winarti Lukman Widjaja, S.H. dated 27 August 2013, Bank's authorised capital amounted to Rp 640,000,000,000 (full amount) consisting of 640,000 (full amount) shares with a nominal value of Rp 1,000,000 (full amount) per share. The issued and fully paid capital consists of 533,333 (full amount) shares consisting of Rp 373,333,000,000 (full amount) in the form of transfer of cash of PT Bank Tabungan Pensiunan Nasional Tbk and Rp 160,000,000,000 (full amount) in the form of transfer of cash of PT Triputra Persada Rahmat.

PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

20. MODAL SAHAM (lanjutan)

Berdasarkan Akta Pernyataan Keputusan Diluar Rapat Umum Pemegang Saham No. 98 tanggal 23 Juni 2015 yang dibuat oleh Notaris Ashoya Ratam S.H.,M.Kn., Bank meningkatkan modal dasarnya sebanyak 860.000 lembar saham menjadi 1.500.000 (nilai penuh) lembar saham dengan nilai nominal Rp 1.000.000 (nilai penuh) per lembar saham dan saham ditempatkan dan disetor penuh sebesar 160.000 (nilai penuh) lembar saham menjadi 693.333 lembar saham dengan nilai nominal seluruhnya sebesar Rp 693.333.000.000 (nilai penuh). Perubahan di atas telah mendapat persetujuan dari Menteri Hukum dan Hak Asasi Manusia Republik Indonesia melalui Surat Keputusan No AHU-0938093.AH.01.02. tahun 2015, tanggal 25 Juni 2015.

Susunan pemegang saham Bank pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

31 Desember/31 December 2016 dan/and 2015				
Pemegang saham	Jumlah saham ditempatkan dan disetor penuh/ <i>Issued and fully paid shares</i>	Persentase kepemilikan/ <i>Ownership percentage</i>	Jumlah modal/ <i>Amount of capital</i>	Shareholders
PT Bank Tabungan Pensiunan Nasional (Persero) Tbk	485,333	70.00%	485,333	PT Bank Tabungan Pensiunan Nasional (Persero) Tbk
PT Triputra Persada Rahmat	208,000	30.00%	208,000	PT Triputra Persada Rahmat
	<u>693,333</u>	<u>100.00%</u>	<u>693,333</u>	

21. CADANGAN WAJIB

Cadangan wajib pada awalnya dibentuk dalam rangka memenuhi ketentuan pasal 61 ayat (1) Undang-undang No. 1/1995 mengenai Perseroan Terbatas (kemudian diganti dengan Undang-undang Perseroan Terbatas No. 40/2007), yang mengharuskan perusahaan Indonesia untuk membentuk cadangan wajib sebesar sekurang-kurangnya 20% dari jumlah modal yang ditempatkan dan disetor penuh. Undang-undang tersebut tidak mengatur jangka waktu untuk pembentukan cadangan tersebut.

Berdasarkan keputusan Rapat Umum Pemegang Saham Tahunan tanggal 2 Mei 2016 yang berita acaranya diaktakan dengan akta No. 01 tanggal 2 Mei 2016 dari Notaris Ashoya Ratam, SH., Mkn., para pemegang saham menyetujui penggunaan laba bersih untuk tahun yang berakhir pada tanggal 31 Desember 2015 digunakan sebesar Rp 7.794 disisihkan sebagai cadangan wajib. Pada tanggal 31 Desember 2016, jumlah cadangan yang telah dibukukan bank adalah sebesar Rp 15.000 (2015: Rp 7.206).

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

20. SHARE CAPITAL (continued)

Based on extraordinary general meeting of shareholder No. 98 dated 23 June 2015 made by Notary Ashoya Ratam S.H.,M.Kn., Bank increased its authorised capital amounting 860,000 shares to become 1,500,000 (full amount) shares with par value Rp 1,000,000 (full amount) per share and issued and fully paid-capital amounting 160,000 (full amount) shares to become 693,333 shares with total nominal Rp 693,333,000,000 (full amount). The above change was subsequently approved by the Minister of Law and Human rights of the Republic of Indonesia through its letter No. AHU-0938093.AH.01.02. year 2015, dated 25 June 2015.

The composition of the Bank's shareholders as of 31 December 2016 and 2015 are as follows:

21. LEGAL RESERVES

The legal reserves are originally provided in accordance with Indonesian Limited Liability Company Law No. 1/1995 article 61 paragraph (1) (later superseded by Limited Liability Company Law No. 40/2007), which requires Indonesian companies to set up a legal reserve amounting to at least 20% of the issued and fully paid capital. This particular law does not regulate the period of time in relation to the provision of such reserves.

Based on the result of the Annual General Meeting of Shareholders on 2 May 2016 which was notarised by Ashoya Ratam, SH., Mkn., in notarial deed No. 01 dated 2 May 2016, the shareholders approved the appropriation of net income for the year ended 31 December 2015 amounting Rp 7,794 as legal reserve. As at 31 December 2016, total reserves provided by the Bank amounting to Rp 15,000 (2015: Rp 7,206).

PT BANK TABUNGAN Pensiunan Nasional Syariah

**CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016**

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

22. CADANGAN PEMBAYARAN BERBASIS SAHAM

Seperti dibahas pada kebijakan akuntansi Catatan 2v, PT Bank Tabungan Pensiunan Nasional Tbk. (BTPN), sebagai induk perusahaan, memberikan hak opsi saham BTPN kepada karyawan tertentu di Bank.

Beban kompensasi untuk semua program pemberian opsi saham untuk tahun yang berakhir 31 Desember 2016 adalah sebesar Rp 6.772 (2015: Rp 4.814). Beban kompensasi ini diklasifikasikan sebagai bagian dari beban tenaga kerja yang diakui pada laporan laba rugi.

Skema pembentukan cadangan pembayaran berbasis saham sesuai dengan program dari induk perusahaan disajikan di bawah ini :

Program 2015 - 2020

Berdasarkan Rapat Umum Pemegang Saham Luar Biasa (RUPSLB) BTPN tanggal 26 Maret 2015 sebagaimana dituangkan kedalam Akta Risalah Rapat Umum Pemegang Saham Luar Biasa No. 50 tanggal 26 Maret 2015 yang dibuat di hadapan Hadijah S.H., M.Kn, para pemegang saham BTPN menyetujui rencana untuk meningkatkan modal ditempatkan dan modal disetor BTPN dengan jumlah tidak melebihi Rp 4.672, sehingga modal ditempatkan dan modal disetor BTPN menjadi tidak melebihi Rp 121.478.

Hal ini dilakukan dengan cara mengeluarkan hak opsi atas saham-saham baru masing-masing berharga nominal Rp 20 (nilai penuh) dengan jumlah tidak melebihi 233.611.491 saham.

Berdasarkan Keputusan Sirkuler Resolusi Direksi BTPN No. PS/BOD/004/IV/2015, pada tanggal 15 April 2015, BTPN memberikan hak opsi sebesar 141.575.000 saham. Hak opsi tersebut diberikan kepada para anggota Direksi Bank dan para karyawan Bank jenjang tertentu yang ditentukan oleh Dewan Komisaris atau Direksi BTPN, berdasarkan kuasa yang diberikan, dan selama jangka waktu yang di tentukan oleh Dewan Komisaris BTPN.

Pelaksanaan atas hak opsi atas saham-saham baru tersebut harus sesuai dengan harga pelaksanaan, syarat dan ketentuan yang telah diumumkan dalam "Keterbukaan Informasi" yang diumumkan melalui website BTPN dan website Bursa Efek Indonesia tanggal 17 Februari 2015.

**NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016**

(Expressed in millions of Rupiah,
unless otherwise stated)

22. SHARE-BASED PAYMENTS RESERVE

As discussed in the accounting policy Note 2v, PT Bank Tabungan Nasional Tbk. (BTPN), as parent entity, has granted BTPN's stock option program for selected employees in bank.

Compensation expense for all stock option program for the year ended 31 December 2016 amounted to Rp 6,772 (2015: Rp 4,814). Compensation expense is classified as part of personnel expense recognised in the statement of profit or loss.

The scheme of share-based payments reserve is in accordance to the program from parent entity as presented below.

2015 – 2020 Program

Based on BTPN's Extraordinary General Meeting of Shareholders (RUPSLB) dated 26 March 2015 which was notarised by Hadijah S.H., M.Kn, in notarial Deed of Minutes of Extraordinary General Meeting of Shareholders No. 50 dated 26 March 2015, the shareholders of BTPN approved BTPN's plan to increase the issued and paid-in capital of BTPN by a number not exceeding Rp 4,672 which resulting the issued and paid-up capital of BTPN not exceeding Rp 121,478.

This is done by issuing option rights on new shares with a par value of Rp 20 (full amount) by a number not exceeding 233,611,491 shares.

Based on Circular Resolution of BTPN's Directors No. PS/BOD/004/IV/2015, dated 15 April 2015, BTPN has granted 141,575,000 share options. Share options granted to the members of the Bank's Board of Directors and the Bank's employees on a certain level are determined by the Board of Commissioners or Board of Directors of the BTPN, under authority granted by and during certain period determined by BTPN's Board of Commissioners.

The exercise of the right options on new shares shall be in accordance with the exercise price, the terms and conditions that have been published in the "Disclosure of Information" published in BTPN's website and Indonesian Stock Exchange's website on 17 February 2015.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)22. CADANGAN PEMBAYARAN BERBASIS SAHAM
(lanjutan)Program 2015 – 2020 (lanjutan)

Periode pelaksanaan eksekusi opsi saham atas program 2015 - 2020 terdiri dari: (1) Maksimum 30% pada bulan Mei 2017, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 1 Mei 2017; (2) Maksimum 30% pada bulan November 2017, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 6 November 2017; (3) Maksimum 60% pada bulan Mei 2018, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 7 Mei 2018; (4) Maksimum 60% pada bulan November 2018, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 5 November 2018; (5) Maksimum 100% pada bulan Mei 2019, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 6 Mei 2019; (6) Maksimum 100% pada bulan Desember 2019, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 2 Desember 2019. Sisa hak opsi yang belum dieksekusi secara penuh sampai dengan 100% selama periode eksekusi sebelumnya dapat dilaksanakan pada periode pelaksanaan eksekusi terakhir.

Nilai wajar rata-rata tertimbang opsi program 2015 - 2020 yang diberikan selama tahun berjalan yang ditentukan dengan menggunakan *Binomial Model Parameter* adalah sebesar Rp 1.144,16; Rp 1.388,54; dan Rp 1.622,72 per opsi untuk masing-masing periode *vesting* (nilai penuh). Input model yang signifikan adalah harga saham rata-rata tertimbang BTPN sebesar Rp 4.030 pada tanggal pemberian, harga eksekusi seperti ditunjukkan di bawah, volatilitas sebesar 29,37%, hasil dividen 0%, usia opsi yang diharapkan selama dua tahun dan tingkat bunga bebas risiko tahunan sebesar 7,5%.

Volatilitas diukur dengan standar deviasi atas imbal hasil saham yang terus dimajemukkan yang berdasarkan pada analisis statistik atas harga saham harian selama dua tahun terakhir. Tingkat suku bunga bebas risiko tahunan sesuai dengan pengembalian keuntungan atas obligasi pemerintah dengan jangka waktu 5 tahun sejak tanggal pemberian.

Program 2016 – 2020

Berdasarkan Rapat Umum Pemegang Saham Luar Biasa (RUPSLB) BTPN tanggal 29 April 2016 sebagaimana dituangkan kedalam Akta Risalah Rapat Umum Pemegang Saham Luar Biasa No. 60 tanggal 29 April 2016 yang dibuat di hadapan Hadijah S.H., M.Kn, para pemegang saham BTPN menyetujui rencana BTPN untuk meningkatkan modal ditempatkan dan modal disetor BTPN dengan jumlah tidak melebihi Rp 2.336.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)22. SHARE-BASED PAYMENTS RESERVE
(continued)2015 – 2020 Program (continued)

The exercise period of 2015 - 2020 program will be conducted on (1) Maximum 30% on May 2017, with the implementation period of 30 trading days starting on 1 May 2017; (2) Maximum 30% on November 2017, with the implementation period of 30 trading days starting on 6 November 2017; (3) Maximum 60% on May 2018, with the implementation period of 30 trading days starting on 7 May 2018; (4) Maximum 60% on November 2018, with the implementation period of 30 trading days starting on 5 November 2018; (5) Maximum 100% on May 2019, with the implementation period of 30 trading days starting on 6 May 2019; (6) Maximum 100% on December 2019, with the implementation period of 30 trading days starting on 2 December 2019. The remaining option rights which has not yet fully exercised up to prior exercise period can be implemented in the last exercise period of implementation.

The weighted average fair value of options granted during the year for 2015 - 2020 program determined using the *Binomial Model Parameter* was Rp 1,144.16; Rp 1,388.54; and Rp1,622.72 (full amount) per option for each vesting period. The significant inputs into the model were BTPN's weighted average share price of Rp 4,030 on the grant date, exercise price shown below, volatility of 29.37%, dividend yield of 0%, an expected option life of two years, and an annual risk-free interest rate of 7.5%.

The volatility measured at the standard deviation of continuously compounded share returns is based on statistical analysis of daily share prices over the last two years. The risk-free interest rate correspond to market yields on government bonds of 5 years from grant date.

2016 – 2021 Program

Based on BTPN's Extraordinary General Meeting of Shareholders (RUPSLB) dated 29 April 2016 which was notarised on Deed of Minutes of Extraordinary General Meeting of Shareholders No. 60 dated 29 April 2016, which notarised by Hadijah S.H., M.Kn, the shareholders of BTPN approved BTPN's plan to increase the issued and paid-in capital of BTPN by a number not exceeding Rp 2,336.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)22. CADANGAN PEMBAYARAN BERBASIS SAHAM
(lanjutan)

Program 2016 – 2020 (lanjutan)

Hal ini dilakukan dengan cara mengeluarkan hak opsi atas saham-saham baru masing-masing berharga nominal Rp 20 (nilai penuh) dengan jumlah tidak melebihi 116.805.746 saham.

Pelaksanaan atas hak opsi atas saham-saham baru tersebut harus sesuai dengan harga pelaksanaan, syarat dan ketentuan yang telah diumumkan dalam "Keterbukaan Informasi" yang umumkan melalui website BTPN dan website Bursa Efek Indonesia tanggal 8 Maret 2016 dan 27 April 2016.

Periode pelaksanaan eksekusi opsi saham atas program 2016-2021 terdiri dari: (1) Maksimum 30% pada bulan Mei 2018, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 28 Mei 2018; (2) Maksimum 30% pada bulan Desember 2018, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 17 Desember 2018; (3) Maksimum 60% pada bulan Mei 2019, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 28 Mei 2019; (4) Maksimum 60% pada bulan Desember 2019, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 19 Desember 2019; (5) Maksimum 100% pada bulan Juni 2020, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 1 Juni 2020; (6) Maksimum 100% pada bulan Desember 2020, dengan periode pelaksanaan selama 30 hari bursa dimulai pada 17 Desember 2020. Sisa hak opsi yang belum dieksekusi secara penuh sampai dengan 100% selama periode eksekusi sebelumnya dapat dilaksanakan pada periode pelaksanaan eksekusi terakhir.

Nilai wajar rata-rata tertimbang opsi program 2016-2021 yang diberikan selama tahun berjalan yang ditentukan dengan menggunakan *Binomial Model Parameter* adalah sebesar Rp 546,50; Rp 709,55; dan Rp 839,99 per opsi untuk masing-masing periode *vesting* (nilai penuh).

Input model yang signifikan adalah harga saham rata-rata tertimbang BTPN sebesar Rp 2.480 pada tanggal pemberian, harga eksekusi seperti ditunjukkan di bawah, volatilitas per masing - masing periode *vesting* sebesar 28,92%, 29,60% dan 29,10%, hasil dividen 0%, usia opsi yang diharapkan selama lima tahun dari tanggal pemberian, dan tingkat bunga bebas risiko tahunan masing - masing periode *vesting* sebesar 6,52%, 6,60%, dan 6,71%.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)22. SHARE-BASED PAYMENTS RESERVE
(continued)

2016 – 2021 Program (continued)

This is done by issuing option rights on new shares with a par value of Rp 20 (full amount) by a number not exceeding 116,805,746 shares.

Implementation of the right options on new shares shall be in accordance with the exercise price, the terms and conditions that have been published in the "Disclosure of Information" published in BTPN's and Indonesia Stock Exchange's website on 8 March 2016 and 27 April 2016.

The exercise period of 2016-2021 program consist of: (1) Maximum 30% on May 2018, with the implementation period of 30 trading days starting on 28 May 2018; (2) Maximum 30% on December 2018, with the implementation period of 30 trading days starting on 17 December 2018; (3) Maximum 60% on May 2019, with the implementation period of 30 trading days starting on 28 May 2019; (4) Maximum 60% on December 2019, with the implementation period of 30 trading days starting on 19 December 2019; (5) Maximum 100% on June 2020, with the implementation period of 30 trading days starting on 1 June 2020; (6) Maximum 100% on December 2020, with the implementation period of 30 trading days starting on 17 December 2020. The remaining option rights which has not yet fully exercised up to prior exercise period can be implemented in the last exercise period of implementation.

The weighted average fair value of options granted during the year for 2016-2021 program determined using the Binomial Model Parameter were Rp 546.50; Rp 709.55; and Rp 839.99 (full amount) per option for each vesting period.

The significant inputs into the model were BTPN's weighted average share price of Rp 2,480 on the grant date, exercise price shown below, volatility of 28.92%, 29.60%, and 29.10% respectively for each vesting period, dividend yield of 0%, expected option life of five years, and an annual risk-free interest rate of 6.52%, 6.60% and 6.71% respectively for each vesting period.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)22. CADANGAN PEMBAYARAN BERBASIS SAHAM
(lanjutan)

Volatilitas diukur dengan standar deviasi atas imbal hasil saham yang terus dimajemukkan berdasarkan analisis statistik atas harga saham harian sejak 15 Mei 2014 sampai tanggal pemberian untuk periode vesting pertama, sejak tanggal 13 Mei 2013 sampai tanggal pemberian untuk periode vesting kedua dan sejak 14 Mei 2012 sampai tanggal pemberian untuk periode vesting ketiga. Tingkat suku bunga bebas risiko sesuai dengan pengembalian keuntungan atas obligasi pemerintah pada saat tanggal pemberian dengan jangka waktu 1 sampai dengan 5 tahun.

Pergerakan jumlah opsi saham untuk porsi Bank adalah sebagai berikut:

22. SHARE-BASED PAYMENTS RESERVE
(continued)

The volatility measured at the standard deviation of continuously compounded share returns is based on statistical analysis of daily share prices starting from 15 May 2014 until the grant date for first vesting period, starting from 13 May 2013 until the grant date for second vesting period and starting from 14 May 2012 for third vesting period. The risk-free interest rate correspond to market yields on government bonds of 5 years from grant date.

The movements in the number of bank's portion on share options are as follows:

2016			
	Harga eksekusi per lembar dalam Rupiah (nilai penuh)/ Exercise price per share in Rupiah (full amount)	Opsi Saham (dalam ribuan lembar saham)/ Options (in thousands of shares)	
<u>Pada awal tahun</u>			<u>At beginning of the year</u>
- Program 2015-2020	4,000	16,600	2015-2020 program -
- Program 2016-2021	-	-	2016-2021 program -
		16,600	
<u>Diberikan</u>			<u>Granted</u>
- Program 2015-2020	4,000	1,500	2015-2020 program -
- Program 2016-2021	2,617	3,780	2016-2021 program -
		5,280	
<u>Kadaluwarsa</u>			<u>Forfeited</u>
- Program 2015-2020	4,000	-	2015-2020 program -
- Program 2016-2021	-	-	2016-2021 program -
		-	
<u>Pada akhir periode</u>			<u>At end of the period</u>
- Program 2015-2020	4,000	18,100	2015-2020 program -
- Program 2016-2021	2,617	3,780	2016-2021 program -
		21,880	
2015			
	Harga eksekusi per lembar dalam Rupiah (nilai penuh)/ Exercise price per share in Rupiah (full amount)	Opsi Saham (dalam ribuan lembar saham)/ Options (in thousands of shares)	
<u>Pada awal tahun</u>	-	-	<u>At beginning of the year</u>
Diberikan	4,000	17,660	Granted
Kadaluwarsa	4,000	(1,060)	Forfeited
<u>Pada akhir periode</u>	4,000	16,600	<u>At end of the period</u>

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)22. CADANGAN PEMBAYARAN BERBASIS SAHAM
(lanjutan)

Opsi saham atas program 2015-2020 yang masih ada pada akhir periode berjalan memiliki tanggal kadaluwarsa dan harga eksekusi berikut ini:

Tanggal Pemberian/ Grant date	Tanggal kadaluwarsa/ Expiry date	Harga eksekusi per lembar (angka penuh)/ Exercise price per share (full amount)	Opsi Saham/Shares Options (dalam ribuan lembar saham/in thousands of shares)	
			2016	2015
15 April/April 2015	Januari/January 2020	4,000	16,600	16,600
10 Juli/July 2015	Januari/January 2020	4,000	-	-
9 Oktober/October 2015	Januari/January 2020	4,000	-	-
8 Januari/January 2016	Januari/January 2020	4,000	-	-
11 April/April 2016	Januari/January 2020	4,000	-	-
11 Juli/July 2016	Januari/January 2020	4,000	1,500	-
			<u>18,100</u>	<u>16,600</u>

Opsi saham atas program 2016-2021 yang masih ada pada akhir periode berjalan memiliki tanggal kadaluwarsa dan harga eksekusi berikut ini:

Tanggal Pemberian/ Grant date	Tanggal kadaluwarsa/ Expiry date	Harga eksekusi per lembar (angka penuh)/ Exercise price per share (full amount)	Opsi Saham/Shares Options (dalam ribuan lembar saham/in thousands of shares)	
			2016	2015
21 September/September 2016	Januari/January 2021	2,617	3,870	-
9 Desember/December 2016	Januari/January 2021	2,617	-	-
			<u>3,870</u>	<u>-</u>

Share options of 2015-2020 program outstanding at the end of the period have the following expiry dates and exercise prices:

Share options of 2016-2021 program outstanding at the end of the period have the following expiry dates and exercise prices:

23. PENDAPATAN DARI JUAL BELI

23. INCOME FROM SALES AND PURCHASES

	2016	2015	
Pendapatan <i>murabahah</i>	<u>2,177,556</u>	<u>1,512,596</u>	Income from <i>murabahah</i>

24. PENDAPATAN USAHA UTAMA LAINNYA

24. OTHER MAIN OPERATING INCOME

	2016	2015	
Pendapatan bagi hasil penempatan pada FASBIS	32,860	21,726	Profit sharing income from placements in FASBIS
Pendapatan bonus penempatan pada bank lain	12,424	24,955	Bonus income from placements with other bank
Pendapatan bagi hasil penempatan pada SBIS	3,527	3,370	Profit sharing income from placements in SBIS
Pendapatan bagi hasil penempatan pada SIMA	115	-	Profit sharing income from placements in SIMA
	<u>48,926</u>	<u>50,051</u>	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)25. HAK PIHAK KETIGA ATAS BAGI HASIL DANA
SYIRKAH TEMPORER25. THIRD PARTIES' SHARE ON RETURN OF
TEMPORARY SYIRKAH FUNDS

	2016	2015	
Deposito <i>mudharabah</i>	288,713	246,279	<i>Mudharabah time deposits</i>
Tabungan <i>mudharabah</i>	1,597	899	<i>Mudharabah savings deposits</i>
	<u>290,310</u>	<u>247,178</u>	

26. PENDAPATAN OPERASIONAL LAINNYA

26. OTHER OPERATING INCOME

	2016	2015	
Penerimaan kembali piutang yang telah dihapusbukukan	3,472	2,599	<i>Recovery from written-off receivables</i>
Jasa administrasi layanan bank	203	369	<i>Bank service administration fees</i>
Lain-lain	1,220	1,866	<i>Others</i>
	<u>4,895</u>	<u>4,834</u>	

Lain-lain terdiri dari penerimaan kembali kerugian operasional.

Others consist of operational loss recovery.

27. GAJI DAN TUNJANGAN

27. SALARIES AND BENEFITS

	2016	2015	
Gaji dan upah	374,237	339,133	<i>Salaries and wages</i>
Tunjangan karyawan	357,237	262,363	<i>Employee allowances</i>
Pendidikan dan pelatihan	39,584	20,317	<i>Education and training</i>
	<u>771,058</u>	<u>621,813</u>	

28. BEBAN UMUM DAN ADMINISTRASI

28. GENERAL AND ADMINISTRATIVE EXPENSES

	2016	2015	
Sewa	94,489	80,321	<i>Rent</i>
Penyusutan & amortisasi	92,894	73,903	<i>Depreciation and amortisation</i>
Asuransi	43,639	30,870	<i>Insurance</i>
<i>Outsourcing</i>	39,965	22,700	<i>Outsourcing</i>
Perjalanan dinas	27,715	31,966	<i>Business travel</i>
Transportasi	26,483	23,587	<i>Transportation</i>
Keperluan kantor	23,898	23,147	<i>Office supplies</i>
Listrik, air, dan gas	21,974	14,586	<i>Electricity, water and gas</i>
Pemeliharaan dan perbaikan	19,525	14,064	<i>Service and maintenance</i>
Honorarium tenaga ahli	16,197	5,164	<i>Professional fees</i>
Komunikasi	11,598	4,135	<i>Communication</i>
Bonus giro <i>wadiah</i>	6,985	274	<i>Wadiah current account bonus</i>
Promosi	6,548	3,621	<i>Promotion</i>
Hak guna pakai	6,102	1,427	<i>Right to use</i>
Pengembangan usaha	5,335	-	<i>Business Development</i>
Peralatan dan keperluan wisma	4,311	8,148	<i>Wisma supplies and equipment</i>
Pajak	2,102	3,561	<i>Tax</i>
Administrasi	1,048	3,642	<i>Administration</i>
Lain-lain	2,022	377	<i>Others</i>
	<u>452,830</u>	<u>345,493</u>	

Hak guna pajak merupakan biaya lisensi yang berhubungan dengan sistem yang digunakan oleh Bank.

Right to use is the license fee which associated with the system used by the Bank.

Lain-lain terdiri dari biaya pekerjaan dan pelayanan kantor dan beban operasional lainnya.

Others consists of office services and and working expense, and other operational expenses.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)29. PEMBENTUKAN/(PEMBALIKAN) CADANGAN
KERUGIAN PENURUNAN NILAI ASET
PRODUKTIF DAN NON PRODUKTIF

	2016	2015
Penempatan pada bank lain (Catatan 7)	-	(3,740)
Piutang <i>murabahah</i> (Catatan 8)	118,559	65,136
	<u>118,559</u>	<u>61,396</u>

Placements with other banks
(Note 7)
Murabahah receivables (Note 8)

30. BEBAN OPERASIONAL LAINNYA

	2016	2015
Operasional wisma	23,427	28,127
Beban pengembangan komunitas	7,508	4,523
Rekrutmen	3,320	2,138
Beban regulator	2,994	2,624
Kerugian terkait risiko operasional	2,790	2,001
Beban retribusi	1,293	764
Lain-lain	2,459	1,340
	<u>43,791</u>	<u>41,517</u>

Operational of wisma
Community development expenses
Recruitment
Regulatory fees
Loss of operational risk
Retribution expense
Others

Lain-lain terdiri dari biaya rapat, biaya dana duka, biaya jamuan dan biaya operasional lainnya.

Others consist of meeting expenses, condolence expenses, entertainment expenses and other operating expenses.

31. PENDAPATAN/(BEBAN) NON-OPERASIONAL –
BERSIH

	2016	2015
Pendapatan non-operasional	2,456	1,842
Beban non-operasional	(1,542)	(1,482)
	<u>914</u>	<u>360</u>

Non-operating income
Non-operating expenses

Pendapatan non-operasional sebagian besar terdiri dari keuntungan penjualan aset tetap.

Non-operational income mostly consists of gain on sale of fixed assets.

Beban non-operasional terdiri dari sumbangan, iuran keanggotaan, dan lain-lain.

Non-operational expenses consists of contribution, membership fees, and others.

32. INFORMASI ATAS OPERASI YANG
DIHENTIKAN

Tabel berikut memberikan informasi yang terkait dengan arus kas atas operasi yang dihentikan:

	2016	2015
Arus kas operasi	-	32,204
Arus kas investasi	-	-
Arus kas pendanaan	-	(6,641)
	<u>-</u>	<u>25,563</u>

Operating cash flow
Investing cash flow
Financing cash flow

The following table gives cash flow information relating to discontinued operations:

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)32. INFORMASI ATAS OPERASI YANG
DIHENTIKAN (lanjutan)Tabel berikut memberikan informasi yang terkait
dengan hasil operasi yang dihentikan (lanjutan) :

	2016	2015
Pendapatan bunga	-	1,160
Beban bunga	-	(28)
	-	1,132
PENDAPATAN OPERASIONAL LAINNYA	-	832
BEBAN OPERASIONAL LAINNYA	-	(3,651)
Gaji dan tunjangan	-	(127)
Umum dan administrasi	-	(127)
Pembentukan cadangan	-	(17,058)
kerugian penurunan nilai	-	(277)
aset produktif dan non produktif	-	(277)
Beban operasional lainnya	-	(277)
PENDAPATAN OPERASIONAL-BERSIH	-	(19,149)
Beban non-operasional - bersih	-	-
(RUGI)/LABA SEBELUM PAJAK PENGHASILAN	-	(19,149)
BEBAN PAJAK	-	-
- Kini	-	-
- Tangguhan	-	-
	-	-
(RUGI)/LABA TAHUN BERJALAN DARI DARI OPERASI YANG DIHENTIKAN	-	(19,149)
Beban komprehensif lain	-	-
JUMLAH (RUGI)/LABA KOMPREHENSIF TAHUN BERJALAN, SETELAH PAJAK DARI OPERASI YANG DIHENTIKAN	-	(19,149)

32. INFORMATION ON DISCONTINUED
OPERATIONS (continued)The following table gives information about result
of discontinued operations (continued) :

Interest income	
Interest expense	
OTHER OPERATING INCOME	
OTHER OPERATING EXPENSE	
Salaries and benefits	
General and administrative	
Allowance for impairment	
losses on earning and	
non earning asset	
Other operating expenses	
NET OPERATING INCOME	
Non-operating expense – net	
(LOSS)/INCOME BEFORE TAX	
TAX EXPENSE	
Current -	
Deferred -	
(LOSS)/INCOME FOR THE YEAR FROM DISCOUNTED OPERATIONS	
Other comprehensive expense	
TOTAL COMPREHENSIVE (LOSS)/ INCOME FOR THE YEAR, NET OFF TAX FROM DISCOUNTED OPERATIONS	

33. INFORMASI MENGENAI KOMITMEN DAN
KONTINJENSI

a. Bank memiliki tagihan kontinjensi berupa pendapatan dari pembiayaan/pinjaman yang diberikan dalam kategori *non-performing* sebesar Rp 11.933 di tahun 2016 (2015: Rp 2.368).

b. Kasus hukum

Terdapat satu perkara hukum antara Bank dengan nasabah yang belum selesai sampai dengan laporan keuangan ini. Berdasarkan surat putusan Pengadilan Tinggi Yogyakarta Nomor : 102/PDT/2015/PT YYK Tanggal 18 Desember 2015, Pengadilan memutuskan menguatkan putusan Pengadilan Negeri Sleman Nomor : 221/Pdt.G/2014/PN.Smn tanggal 17 Juni 2015 di mana Pengadilan memutuskan untuk menolak tuntutan penggugat. Pada tanggal berakhirnya periode laporan keuangan, pembanding yaitu nasabah Bank melakukan upaya hukum kasasi dan kasus ini sedang berada dalam proses di Mahkamah Agung Republik Indonesia. Bank berkeyakinan bahwa tidak terdapat kerugian signifikan yang mungkin timbul dari perkara hukum tersebut.

33. COMMITMENTS AND CONTINGENCIES
INFORMATION

a. The Bank has contingencies receivable in the form of income from non-performing financing/ loan amounting to Rp 11,933 in 2016 (2015: Rp 2,368).

b. Litigation case

There is one unresolved legal case with customer until the date of these financial statements. Based on decision letter of Yogyakarta High Court No. 102/PDT/2015/PT YYK dated 18 December 2015, the court decides to corroborate Sleman District Court decision No. 221/Pdt.G/2014/PN.Smn dated 17 June 2015 where the court decided to reject the demand of plaintiff. As of financial statement ended period, the plaintiff, who are Bank's customer has appealed and now this legal case is still in the process in the Supreme Court of the Republic of Indonesia. Bank believes that there are no significant losses that might arise from this legal case.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

34. LIABILITAS IMBALAN KERJA

34. EMPLOYEE BENEFITS

	2016	2015	
Imbalan kerja jangka pendek			Short-term employee benefits
Bonus, tantien, dan insentif yang masih harus dibayar	83,150	36,498	Accrued bonus, tantien and incentives
Imbalan kerja jangka panjang			Long-term employee benefits
Imbalan kerja jangka panjang lainnya	9,812	7,186	Other long term employee benefit
Liabilitas yang diakui pada laporan keuangan	92,962	43,684	Liability recognised in statement of financial position

Program pensiun manfaat pasti**Defined benefit pension plan**

Bank menerapkan kebijakan imbalan pasca-kerja sebagai berikut:

Bank implemented a policy on post-employment benefit as follows:

Bank menerapkan kebijakan program manfaat imbalan pasca-kerja sesuai dengan Undang-Undang Tenaga Kerja (UUTK) No. 13 Tahun 2003 dan Perjanjian Kerja Bersama yang berlaku di Bank. Dasar perhitungan manfaat UUTK No. 13 ini menggunakan gaji pokok terkini.

The Bank implemented a policy on post-employment benefit based on Labor Law (UUTK) No. 13 Year 2003 and Collective Labor Agreement applied in Bank. The calculation basis of this UUTK No. 13 benefit is the current basic salary.

Program tersebut memberikan manfaat pensiun yang akan dibayarkan kepada karyawan yang berhak pada saat karyawan pensiun atau pada saat karyawan tersebut berhenti sesuai dengan peraturan UU Ketenagakerjaan. Pendanaan program paska kerja ini ditanggung sepenuhnya oleh Bank dengan membayar iuran yang setidaknya memenuhi jumlah minimum seperti yang diharuskan oleh peraturan perundang-undangan yang berlaku. Pengelolaan dana program pensiun manfaat pasti dilakukan oleh PT Asuransi Allianz Life Indonesia.

The program calls for benefits to be paid to eligible employees at retirement or when the employees resign according to the Labor Law regulation. Post-employment benefit plan is fully funded by The Bank, by paying sufficient contributions to meet the minimum requirements set forth in applicable laws. The Bank's defined benefit pension plan is managed by PT Asuransi Allianz Life Indonesia.

Pada tanggal 31 Desember 2016 dan 2015, jumlah karyawan yang memiliki hak atas manfaat ini adalah sebanyak 6.050 dan 5.654 karyawan. (tidak diaudit)

As at 31 December 2016 and 2015, the total number of employees eligible for this benefit are 6,050 and 5,654 employees, respectively (unaudited).

Selain manfaat yang disebutkan diatas, Bank juga memberikan imbalan kerja jangka panjang lainnya berupa manfaat cuti panjang.

Beside the benefit mentions above, the bank also provides other long-term employee benefits in form of long leave benefit.

Penilaian aktuarial atas imbalan kerja jangka panjang lainnya pada tahun yang berakhir pada tanggal-tanggal 31 Desember 2016 dan 2015 masing-masing, dilakukan oleh konsultan aktuarial terdaftar, PT Biro Pusat Aktuarial, aktuaris independen, dengan menggunakan metode "Projected Unit Credit" sebagaimana yang tercantum dalam laporan pada tanggal 27 Januari 2017 dan 1 Februari 2016.

The actuarial valuation of other long-term employee benefits for the year ended 31 December 2016 and 2015 was performed by registered actuarial consulting firm, PT Biro Pusat Aktuarial, respectively, independent actuarial using the "Projected Unit Credit" method as stated in its reports dated 27 January 2017 and 1 February 2016 respectively.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

34. LIABILITAS IMBALAN KERJA (lanjutan)

Perhitungan aktuaris tersebut menggunakan metode
"Projected Unit Credit" dengan asumsi-asumsi
sebagai berikut:

	2016	2015	
Tingkat diskonto per tahun	8.07%	8.5%	Annual discount rate
Tingkat kenaikan gaji per tahun	10 %	11%	Annual salary increase rate
Tabel mortalita	TMI (Tabel Mortalita Indonesia) III 2011/ TMI (Indonesia Mortality Table) III 2011	TMI (Tabel Mortalita Indonesia) III 2011/ TMI (Indonesia Mortality Table) III 2011	Mortality table
Usia pensiun	55 tahun/years	55 tahun/years	Retirement age

Imbalan Pasca KerjaMutasi kewajiban imbalan pasti selama tahun
berjalan adalah sebagai berikut:

	2016	2015	
Saldo awal tahun	95,400	74,529	Balance at beginning of year
Biaya jasa kini	28,339	25,840	Current service cost
Beban bunga	8,109	5,814	Interest expense
Pembayaran manfaat	(2,529)	(4,168)	Benefit payment
Pengukuran kembali :			Remeasurement :
- Penyesuaian asumsi keuangan	(6,520)	(6,263)	Changes in financial assumption -
- Penyesuaian pengalaman	(741)	(352)	Experience adjustment -
Saldo akhir tahun	122,058	95,400	Balance at end of year

Beban imbalan pasca-kerja yang dibebankan pada
laporan laba rugi adalah sebagai berikut:

	2016	2015	
Biaya jasa kini	28,339	25,840	Current Service cost
Bunga bersih	(766)	288	Net interest
	27,573	26,128	

Rekonsiliasi perubahan selama tahun berjalan atas
perubahan liabilitas bersih yang diakui di laporan
posisi keuangan adalah sebagai berikut:

	2016	2015	
Saldo awal tahun	(9,017)	3,687	Balance at beginning of year
Beban tahun berjalan	27,573	26,128	Current year expense
Jumlah yang diakui pada penghasilan komprehensif lain	(6,318)	(7,083)	Total amount recognised in other comprehensive income
Pembayaran manfaat			Benefit payment
Pembayaran kontribusi	(38,668)	(31,749)	Contribution paid
Saldo akhir tahun	(26,430)	(9,017)	Balance at end of year

Estimasi (aset)/liabilitas atas imbalan pasca-kerja:

Estimated post-employment benefit (asset)/
liabilities:

	2016	2015	
Nilai kini liabilitas imbalan manfaat pasti	122,058	95,400	Present value of defined benefit obligation
Nilai wajar aset program	(148,488)	(104,417)	Fair value of plan assets
	(26,430)	(9,017)	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

34. LIABILITAS IMBALAN KERJA (lanjutan)

Pergerakan nilai wajar aset program selama tahun berjalan adalah sebagai berikut:

	2016
Saldo awal	104,417
Hasil yang diharapkan dari aset program	8,875
Kontribusi pemberi kerja	38,668
Imbalan yang dibayar	(2,529)
Keuntungan/(kerugian) aktuarial	(943)
Saldo akhir tahun	148,488

Seluruh aset program pensiun ditempatkan pada deposito berjangka yang diterbitkan oleh Bank dengan nilai wajar Rp 148.488 pada tahun 2016 (2015: Rp 104.417).

Bank terekspos dengan risiko volatilitas aset melalui program imbalan pasti. Liabilitas program dihitung menggunakan tingkat diskonto yang merujuk kepada tingkat imbal hasil obligasi pemerintah, jika imbal hasil aset program lebih rendah, maka akan menghasilkan defisit program. Program pensiun imbalan pasti Bank memiliki porsi ekuitas yang signifikan, yang diharapkan untuk menghasilkan imbal hasil yang lebih tinggi dibandingkan obligasi pemerintah dan perusahaan jangka panjang sementara memberikan volatilitas dan risiko dalam jangka pendek.

Hasil yang diharapkan dari aset program ditentukan dengan mempertimbangkan imbal hasil yang diharapkan atas aset dengan mengacu pada kebijakan investasi. Hasil investasi bunga tetap didasarkan pada hasil pengembalian bruto pada tanggal pelaporan.

Manajemen berkeyakinan bahwa estimasi (aset)/liabilitas atas imbalan pasca-kerja per 31 Desember 2016 dan 2015 telah memenuhi persyaratan minimum UU Ketenagakerjaan No. 13 tahun 2003.

Analisis jatuh tempo yang diharapkan dari manfaat pensiun tidak didiskontokan adalah sebagai berikut:

	2016
< 1 tahun	2,529
1 – 2 tahun	-
> 2 – 5 tahun	32,762
> 5 tahun	10,630,626

34. EMPLOYEE BENEFITS (continued)

The movement in the fair value of plan assets during the year is as follows:

	2015	
	70,842	Balance at beginning of year
	5,526	Expected return on plan assets
	31,749	Employer's contribution
	(4,168)	Benefits paid
	468	Actuarial gain/(losses)
Saldo akhir tahun	104,417	Balance at end of year

All of the pension plan assets are placed on time deposits issued by the Bank with fair value of Rp 148,488 in 2016 (2015: Rp 104,417).

The Bank is exposed to asset volatility risks through its defined benefit pension plans. The plan liabilities are calculated using a discount rate set with reference to government bond yields, if plan assets underperform this yield, this will create a deficit. The Bank's defined benefit pension plans hold a significant proportion of equities, which are expected to out perform government and corporate bonds in the long-term while providing volatility and risk in the short-term.

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the reporting date.

Management believes that the estimated post-employment benefit (assets)/liabilities as at 31 December 2016 and 2015 have fulfilled the minimum requirements of Labor Law No. 13 year 2003.

Expected maturity analysis of undiscounted pension benefits are as follows:

	2015	
	133	< 1 year
	-	1 – 2 years
	20,551	2 – 5 years
	13,147,091	> 5 years

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

34. LIABILITAS IMBALAN KERJA (lanjutan)

Sensitivitas dari kewajiban imbalan pasti terhadap perubahan asumsi aktuarial utama adalah sebagai berikut:

34. EMPLOYEE BENEFITS (continued)

The sensitivity of the defined benefit obligation to changes in the principal actuarial assumptions is as follows:

Dampak program pensiun manfaat pasti/ Impact on defined benefit pension plan				
	Perubahan Asumsi/ Change in Assumption	Nilai kini kewajiban imbalan kerja/ Present value of benefit obligation	Biaya jasa kini/ Current service cost	
Tingkat diskonto	Kenaikan/increase 1% Penurunan/decrease 1%	109,180 137,661	25,217 32,144	Discount rate
Tingkat kenaikan gaji	Kenaikan/increase 1% Penurunan/decrease 1%	137,684 108,857	32,161 25,139	Salary increase rate

Analisa sensitivitas didasarkan pada perubahan atas satu asumsi aktuarial dimana asumsi lainnya dianggap konstan. Dalam prakteknya, hal ini jarang terjadi dan perubahan beberapa asumsi mungkin saling berkorelasi. Dalam perhitungan sensitivitas kewajiban imbalan pasti atas asumsi aktuarial utama, metode yang sama (perhitungan nilai kini kewajiban imbalan pasti dengan menggunakan metode *projected unit credit* di akhir periode) telah diterapkan seperti dalam penghitungan kewajiban pensiun yang diakui dalam laporan posisi keuangan.

The sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to principal actuarial assumptions, the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

Imbalan Jangka Panjang Lainnya

Mutasi kewajiban imbalan kerja jangka panjang lainnya selama tahun berjalan adalah sebagai berikut:

Other Long Term Employment Benefits

The movement in other long term employment benefit obligation over the year is as follows:

	2016	2015	
Saldo awal tahun	7,186	5,173	Balance at beginning of year
Biaya jasa kini	2,511	2,165	Current service cost
Beban bunga	611	404	Interest expense
Pembayaran manfaat	(259)	(160)	Benefit payment
Pengukuran kembali:			Remeasurement:
- Penyesuaian asumsi keuangan	(201)	(200)	Changes in financial assumption -
- Penyesuaian pengalaman	(36)	(196)	Experience adjustment -
Saldo akhir tahun	9,812	7,186	Balance at end of year

Beban imbalan kerja jangka panjang lainnya yang dibebankan pada laporan laba rugi adalah sebagai berikut:

Other long term employment benefits expenses recognised in the statement of profit and loss are as follows:

	2016	2015	
Biaya jasa	2,511	2,165	Service cost
Beban bunga	611	404	Interest expense
Pengukuran kembali imbalan kerja jangka panjang	(237)	(396)	Remeasurement of other long-term employee benefit
	2,885	2,173	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

34. LIABILITAS IMBALAN KERJA (lanjutan)

Imbalan Jangka Panjang Lainnya (lanjutan)

Rekonsiliasi perubahan selama tahun berjalan atas perubahan liabilitas bersih yang diakui di laporan posisi keuangan adalah sebagai berikut:

	2016	2015
Saldo awal tahun	7,186	5,173
Beban tahun berjalan	2,885	2,173
Pembayaran manfaat	(259)	(160)
Saldo akhir tahun	9,812	7,186

Analisis jatuh tempo yang diharapkan dari manfaat pensiun tidak didiskontokan adalah sebagai berikut:

	2016	2015
< 1 tahun	258	782
1 – 2 tahun	1,281	1,541
> 2 – 5 tahun	13,853	11,694
> 5 tahun	249,979	283,368

Sensitivitas dari kewajiban imbalan jangka panjang lainnya terhadap perubahan asumsi aktuarial utama adalah sebagai berikut:

Dampak program imbalan jangka panjang lainnya/ Impact on other long term employee benefits plan			
	Perubahan Asumsi/ Change in Assumption	Nilai kini kewajiban imbalan kerja/ Present value of benefit obligation	Biaya jasa kini/ Current service cost
Tingkat diskonto	Kenaikan/increase 1% Penurunan/decrease 1%	9,355 10,328	2,388 2,650
Tingkat kenaikan gaji	Kenaikan/increase 1% Penurunan/decrease 1%	10,313 9,359	2,646 2,389

35. TRANSAKSI DENGAN PIHAK BERELASI

Dalam kegiatan usahanya, Bank mengadakan transaksi dengan pihak-pihak berelasi, terutama meliputi transaksi-transaksi keuangan.

Dibawah ini adalah ikhtisar pihak-pihak berelasi yang bertransaksi dengan Bank, termasuk sifat hubungan dan sifat transaksinya:

Personil manajemen kunci

Personil manajemen kunci adalah orang-orang yang mempunyai kewenangan dan tanggung jawab untuk merencanakan, memimpin dan mengendalikan aktivitas Bank, secara langsung atau tidak langsung, termasuk Direktur dan Komisaris dan pejabat eksekutif dari Bank sesuai dengan peraturan BI.

34. EMPLOYEE BENEFITS (continued)

Other Long Term Employment Benefits (continued)

The reconciliation of the movement during the year of the net liability recognised in the statements of financial position are as follows:

	2016	2015
Balance at beginning of year	5,173	5,173
Current year expense	2,173	2,173
Benefit payment	(160)	(160)
Balance at end of year	7,186	7,186

Expected maturity analysis of undiscounted pension benefits are as follows:

	2016	2015
< 1 year	782	782
1 – 2 years	1,541	1,541
> 2 – 5 years	11,694	11,694
> 5 years	283,368	283,368

The sensitivity of the other long term employee benefit obligation to changes in the principal actuarial assumptions is as follow:

35. RELATED PARTY TRANSACTIONS

In the normal course of business, the Bank engages in transactions with related parties, primarily consisting of financial transactions.

The following is a summary of related parties who have transactions with the Bank, and includes the nature of the relationship and transaction:

Key management personnel

Key management personnel are those people who have the authority and responsibility to plan, lead, and control activities of the Bank, directly or indirectly. Key management personnel are the Directors and Commissioners and executive employees of the Bank according to BI regulation.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)35. TRANSAKSI DENGAN PIHAK BERELASI
(lanjutan)

Personil manajemen kunci (lanjutan)

Transaksi antara Bank dengan personil manajemen kunci meliputi, penempatan dana oleh personil manajemen kunci pada Bank berupa rekening tabungan, giro dan/atau deposito berjangka; pembayaran kompensasi dan remunerasi berupa gaji pokok, honorarium, bonus, tantiem dan tunjangan lainnya; serta imbalan pasca kerja.

a. Jenis hubungan dan unsur transaksi berelasi

Pihak berelasi/ <i>Related parties</i>	Jenis hubungan/ <i>Nature of relationships</i>	Unsur transaksi pihak berelasi/ <i>Related parties transactions</i>
PT Bank Tabungan Pensiunan Nasional Tbk.	Induk perusahaan/ <i>Parent company</i>	Giro pada bank lain/ <i>Current accounts with other banks</i>
Direktur, Komisaris dan Pejabat Eksekutif sesuai peraturan BI/ <i>Directors, Commissioners and Executive employees according to BI regulation</i>	Personil manajemen kunci/ <i>Key management personnel</i>	Tabungan mudharabah, dan deposito mudharabah / <i>Mudharabah saving deposits and, mudharabah time deposit.</i>

b. Transaksi dengan pihak berelasi

Saldo dan rincian transaksi dengan pihak berelasi adalah sebagai berikut:

	2016	2015
Aset		
Giro pada bank lain (Catatan 6)		
PT Bank Tabungan Pensiunan Nasional Tbk	33,952	14,270
Persentase terhadap jumlah aset	<u>0.46%</u>	<u>0.27%</u>
Dana Syirkah Temporer		
Tabungan mudharabah (Catatan 18)		
Personil manajemen kunci	361	469
Deposito mudharabah (Catatan 19)		
Personil manajemen kunci	6,509	3,655
Jumlah dana syirkah temporer dari pihak-pihak berelasi	<u>6,870</u>	<u>4,124</u>
Persentase terhadap jumlah dana syirkah temporer	<u>0.16%</u>	<u>0.14%</u>

35. RELATED PARTY TRANSACTIONS (continued)

Key management personnel (continued)

Transactions between Bank and key management personnel include placement from key management personnel to the Bank in form of saving account, current account and/or time deposit; payment of compensation and remuneration in form of basic salary, honorarium, bonus, tantiem and other allowances; and also post-employment benefits.

a. Type of relationships and related parties transactions

b. Related party transactions

The outstanding balances and detail transactions with related parties are as follows:

Assets	Assets
Giro pada bank lain (Note 6)	Current accounts with other banks (Note 6)
PT Bank Tabungan Pensiunan Nasional Tbk	PT Bank Tabungan Pensiunan Nasional Tbk
Persentase terhadap total aset	Percentage of total assets
Temporary Syirkah Funds	Temporary Syirkah Funds
Tabungan mudharabah (Note 18)	Mudharabah savings deposits (Note 18)
Personil manajemen kunci	Key management personnel
Deposito mudharabah (Note 19)	Mudharabah time deposits (Note 19)
Personil manajemen kunci	Key management personnel
Total temporary syirkah funds from related parties	Total temporary syirkah funds from related parties
Percentage of total temporary syirkah funds	Percentage of total temporary syirkah funds

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)35. TRANSAKSI DENGAN PIHAK BERELASI
(lanjutan)

35. RELATED PARTY TRANSACTIONS (continued)

b. Transaksi dengan pihak berelasi (lanjutan)

b. Related party transactions (continued)

	2016	2015	
Hak pihak ketiga atas bagi hasil dana syirkah temporer			Third parties' share on returns of temporary syirkah funds
Tabungan	18	9	Saving accounts
Deposito berjangka	386	355	Time deposits
Jumlah	404	364	Total
Persentase terhadap jumlah hak pihak ketiga atas bagi hasil dana syirkah temporer	0.14%	0.15%	Percentage to third parties' shares on temporary syirkah funds
Beban umum dan administrasi Sewa	-	6,585	General and administrative expense Rent
Persentase terhadap jumlah beban umum dan administrasi	0.00%	1.91%	Percentage to total general and administrative expense

Kompensasi yang dibayar atau terutang pada manajemen kunci atas jasa kepegawaian adalah sebagai berikut:

The compensation paid or payable to key management for employee services is shown below:

2016									
	Dewan Direksi/ Board of Directors		Dewan Komisaris/ Board of Commissioners		Pemegang saham utama yang juga bagian dari manajemen/ Shareholders that are part of management		Personil manajemen kunci lainnya/ Other key management personnel		
	% ^{*)}	Rp	% ^{*)}	Rp	% ^{*)}	Rp	% ^{*)}	Rp	
Gaji dan imbalan karyawan jangka pendek lainnya	3.96%	30,547	0.97%	7,511	-	-	5.52%	42,536	Salaries and other short-term employee benefits
Aset imbalan pascakerja bersih	-	-	-	-	-	-	(0.67%)	(5,192)	Net post-employment benefits asset
Imbalan jangka panjang lainnya	-	-	-	-	-	-	0.05%	388	Other long term-benefits
Jumlah	3.96%	30,547	0.97%	7,511	-	-	4.90%	37,732	Total

*) % terhadap beban tenaga kerja

*) % to total salary expense

2015									
	Dewan Direksi/ Board of Directors		Dewan Komisaris/ Board of Commissioners		Pemegang saham utama yang juga bagian dari manajemen/ Shareholders that are part of management		Personil manajemen kunci lainnya/ Other key management personnel		
	% ^{*)}	Rp	% ^{*)}	Rp	% ^{*)}	Rp	% ^{*)}	Rp	
Gaji dan imbalan karyawan jangka pendek lainnya	3.09%	19,202	0.81%	5,013	-	-	5.57%	34,638	Salaries and other short-term employee benefits
Aset imbalan pascakerja bersih	-	-	-	-	-	-	(0.30%)	(1,852)	Net post-employment benefits asset
Imbalan jangka panjang lainnya	-	-	-	-	-	-	0.06%	351	Other long term-benefits
Jumlah	3.09%	19,202	0.81%	5,013	-	-	5.33%	33,137	Total

*) % terhadap beban tenaga kerja

*) % to total salary expense

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)35. TRANSAKSI DENGAN PIHAK BERELASI
(lanjutan)

35. RELATED PARTY TRANSACTIONS (continued)

c. Pembayaran berbasis saham

c. Share-based payments

Pembayaran berbasis saham yang diberikan kepada personil manajemen kunci adalah sebagai berikut:

Share-based payment given to the key management personnel as follows:

	2016		2015		
	Program 2015-2020		Program 2015-2020		
	BTPN Syariah		BTPN Syariah		
	Harga eksekusi Opsi/ Option exercise price	Opsi (dalam ribuan lembar saham)/ Options (in thousands of shares)	Harga eksekusi Opsi/ Option exercise price	Opsi (dalam ribuan lembar saham)/ Options (in thousands of shares)	
Dewan Direksi	4,000	9,400	4,000	7,900	Board of Directors
Manajemen kunci lainnya	4,000	9,760	4,000	9,760	Other key management
		19,160		17,660	

	2016		
	Program 2016-2021		
	BTPN Syariah		
	Harga eksekusi Opsi/ Option exercise price	Opsi (dalam ribuan lembar saham)/ Options (in thousands of shares)	
Dewan Direksi	-	-	Board of Directors
Manajemen kunci lainnya	2,617	3,780	Other key management
		3,780	

36. ANALISIS JATUH TEMPO

36. MATURITY ANALYSIS

Jatuh tempo aset dan liabilitas pada tanggal 31 Desember 2016 dan 2015 berdasarkan waktu yang tersisa sampai dengan tanggal jatuh tempo adalah sebagai berikut:

The maturity of assets and liabilities as at 31 December 2016 and 2015 based on the remaining period to maturity are as follows:

	2016					
	Sampai dengan 1 bulan/ Up to 1 month	Lebih dari 1 bulan sampai 3 bulan/ More than 1 month up to 3 months	Lebih dari 3 bulan sampai 1 tahun/ More than 3 months up to 1 year	Lebih dari 1 tahun/ More than 1 year	Sesuai permintaan/ On demand	Jumlah/ Total
Aset						Assets
Kas	-	-	-	-	191,662	191,662
Giro dan penempatan pada Bank Indonesia	1,222,500	-	50,590	-	275,777	1,548,867
Giro pada bank lain	-	-	-	-	34,490	34,490
Penempatan pada bank lain	-	-	-	-	-	-
Piutang murabahah-bersih	86,282	249,309	3,454,177	1,145,310	5,705	4,940,783
Pinjaman qardh	-	3	21	66	-	90
Biaya dibayar dimuka	-	-	-	-	70,805	70,805
Aset tetap - bersih	-	-	-	-	186,338	186,338
Aset tak berwujud - bersih	-	-	-	-	36,416	36,416
Aset pajak tangguhan	-	-	-	-	37,975	37,975
Aset lain-lain - bersih	-	-	-	-	275,921	275,921
Jumlah Aset	1,308,782	249,312	3,504,788	1,145,376	1,115,089	7,323,347
						Total Assets

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

36. ANALISIS JATUH TEMPO (lanjutan)

36. MATURITY ANALYSIS (continued)

2016 (lanjutan/continued)								
	Sampai dengan 1 bulan/ Up to 1 month	Lebih dari 1 bulan sampai dengan 3 bulan/ More than 1 month up to 3 months	Lebih dari 3 bulan sampai dengan 1 tahun/ More than 3 months up to 1 year	Lebih dari 1 tahun/ More than 1 year	Sesuai permintaan/ On demand	Jumlah/ Total		
Liabilitas							Liabilities	
Liabilitas segera	55,264	22,471	85	-	1,835	79,655	Liabilities due immediately	
Bagi hasil yang belum dibagikan	12,320	-	-	-	-	12,320	Undistributed revenue sharing	
Simpanan nasabah	-	-	-	-	992,850	992,850	Deposits from customers	
Utang pajak	22,245	-	51,951	-	-	74,196	Taxes payable	
Liabilitas lain- lain	10,777	-	25,888	-	47,269	83,934	Other liabilities	
Imbalan kerja	-	-	62,298	-	30,664	92,962	Employee benefit	
Jumlah Liabilitas	100,606	22,471	140,222	-	1,072,618	1,335,917	Total Liabilities	
Dana Syirkah Temporer							Temporary Syirkah Funds	
Tabungan mudharabah	-	-	-	-	64,002	64,002	Mudharabah saving deposits	
Deposito mudharabah	2,734,701	1,448,133	146,308	1,570	-	4,330,712	Mudharabah time deposits	
Jumlah Dana Syirkah Temporer	2,734,701	1,448,133	146,308	1,570	64,002	4,394,714	Total Temporary Syirkah Funds	
Perbedaan Jatuh Tempo	(1,526,525)	(1,221,292)	3,218,258	1,143,806	(21,531)	1,592,716	Maturity Gap	
2015								
	Sampai dengan 1 bulan/ Up to 1 month	Lebih dari 1 bulan sampai dengan 3 bulan/ More than 1 month up to 3 months	Lebih dari 3 bulan sampai dengan 1 tahun/ More than 3 months up to 1 year	Lebih dari 1 tahun/ More than 1 year	Sesuai permintaan/ On demand	Jumlah/ Total		
Aset							Assets	
Kas	-	-	-	-	108,438	108,438	Cash	
Giro dan penempatan pada Bank Indonesia	395,500	52,072	-	-	203,766	651,338	Current accounts and placements with Bank Indonesia	
Giro pada bank lain	-	-	-	-	14,883	14,883	Current accounts with other banks	
Penempatan pada bank lain	410,000	-	-	-	-	410,000	Placement with other banks	
Piutang murabahah-bersih	29,435	195,630	2,843,885	588,767	-	3,657,717	Murabahah receivables - net	
Pinjaman qardh	-	-	5	55	-	60	Funds of qardh	
Biaya dibayar dimuka	-	-	-	-	79,755	79,755	Prepayments	
Aset tetap - bersih	-	-	-	-	175,319	175,319	Fixed Assets -net	
Aset tak berwujud - bersih	-	-	-	-	22,411	22,411	Intangible assets-net	
Aset pajak tangguhan	-	-	-	-	17,271	17,271	Deferred tax asset	
Aset lain-lain - bersih	-	-	-	-	59,007	59,007	Other assets - net	
Jumlah Aset	834,935	247,702	2,843,890	588,822	680,850	5,196,199	Total Assets	
Liabilitas							Liabilities	
Liabilitas segera	6,325	1,341	195	-	59	7,920	Liabilities due immediately	
Bagi hasil yang belum dibagikan	11,152	-	-	-	-	11,152	Undistributed revenue sharing	
Simpanan nasabah	-	-	-	-	758,549	758,549	Deposits from customers	
Utang pajak	10,660	-	29,602	-	-	40,262	Taxes payable	
Liabilitas lain- lain	13,038	-	103,280	-	3,425	119,743	Other liabilities	
Imbalan kerja	-	-	33,164	-	10,520	43,684	Employee benefit	
Jumlah Liabilitas	41,175	1,341	166,241	-	772,553	981,310	Total Liabilities	
Dana Syirkah Temporer							Temporary Syirkah Funds	
Tabungan mudharabah	-	-	-	-	26,962	26,962	Mudharabah saving deposits	
Deposito mudharabah	1,897,100	919,802	206,494	1,060	-	3,024,456	Mudharabah time deposits	
Jumlah Dana Syirkah Temporer	1,897,100	919,802	206,494	1,060	26,962	3,051,416	Total Temporary Syirkah Funds	
Perbedaan Jatuh Tempo	(1,103,340)	(673,441)	2,471,155	587,762	(118,665)	1,163,471	Maturity Gap	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO

Kerangka Manajemen Risiko

Sistem pengelolaan manajemen risiko perbankan syariah memiliki keunikan tersendiri jika dibandingkan dengan perbankan konvensional. Namun demikian, secara umum masih memiliki banyak kesamaan sebagai lembaga/instansi yang bergerak di bidang keuangan.

Pengembangan manajemen risiko keuangan di Bank berpedoman pada peraturan Bank Indonesia tentang Penerapan Manajemen Risiko bagi Bank Umum serta dokumen-dokumen dari *Basel Committee on Banking Supervision*, terutama konsep *Basel Accord II*.

Kerangka manajemen risiko Bank diimplementasikan melalui kebijakan-kebijakan, prosedur-prosedur, limit-limit transaksi dan kewenangan, toleransi risiko serta perangkat manajemen risiko. Bank melakukan pengembangan manajemen risiko secara berkesinambungan sesuai dengan meningkatnya perkembangan dan kompleksitas bisnis, strategi dan sistem informasi manajemen.

Penerapan manajemen risiko mencakup:

- Pengawasan aktif Dewan Komisaris dan Direksi
- Kecukupan kebijakan, prosedur dan penetapan limit
- Kecukupan proses identifikasi, pengukuran, pemantauan dan pengendalian risiko serta sistem informasi manajemen risiko
- Pengendalian internal yang menyeluruh

Organisasi manajemen risiko Bank melibatkan pengawasan dari Dewan Komisaris dan Direksi. Bank telah membentuk Komite Pemantauan Risiko sebagai pengawas tertinggi di tingkat komisaris. Di tingkat direksi telah dibentuk Komite Manajemen Risiko yang merupakan bagian yang sangat penting dalam pengendalian risiko, yang memantau seluruh risiko yang terdapat pada kegiatan operasional Bank.

Komite Audit Bank memiliki tanggung jawab untuk memantau kepatuhan terhadap kebijakan dan prosedur manajemen risiko dan untuk menelaah kecukupan kerangka manajemen risiko yang terkait dengan risiko-risiko yang dihadapi oleh Bank. Dalam menjalankan fungsinya, Komite Audit dibantu oleh Divisi Internal Audit.

Risiko yang berasal dari instrumen keuangan Bank adalah risiko keuangan, termasuk diantaranya adalah risiko kredit, risiko likuiditas, risiko pasar, dan risiko operasional.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT

Risk Management Framework

Risk management system of sharia banking is unique when compared to conventional banking. However, generally they have a lot in common as institutions/agencies engaged in the financial sector.

Financial Risk management development in the Bank is guided by Bank Indonesia regulations which govern risk management implementation by banks operating in Indonesia, as well as Basel Accord documentation issued by the Basel Committee of Banking Supervision, especially on Basel Accord II concept.

The Bank risk management framework is implemented through policies, procedures, transaction and authorisation limits, risk tolerance as well as risk management tools. The Bank carries out continuous risk management development in line with the increasing complexity and development of business, strategy and management information systems.

Implementation of risk management covers:

- *Board of Commissioner and Board of Director active supervision*
- *Sufficient policy, procedure and sets limit*
- *Sufficient process of identification, measurement, risk oversight and control and risk management information system*
- *Overall internal control*

The organization of the Bank risk management involves the oversight from the Board of Commissioners and Directors. The Bank has established Risk Monitoring Committee as the highest risk authority in the commissioner level. At the director level, a Risk Management Committee has been established which constitutes a crucial element in risk control, to monitor all of the risks in the Bank operating activities.

The Bank's Audit Committee is responsible for monitoring compliance with the Bank risk management policies and procedures and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Bank. The Bank's Audit Committee is assisted in these functions by Internal Audit Division.

The risks arising from financial instruments to which the Bank is exposed are financial risks, which include credit risk, liquidity risk, market risk, and operational risk.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit

Risiko kredit adalah risiko kerugian keuangan yang timbul jika nasabah, klien atau rekanan Bank gagal memenuhi liabilitas kontraktualnya kepada Bank. Risiko kredit terutama berasal dari pembiayaan/piutang syariah.

Piutang Murabahah

Tujuan pengelolaan risiko kredit Bank selain untuk memenuhi persyaratan-persyaratan yang telah ditetapkan oleh peraturan Bank Indonesia, juga untuk mengelola risiko kredit itu sendiri sehingga diharapkan kemungkinan kerugian dari tidak dibayarnya pembiayaan yang diberikan dan kontrak keuangan lainnya seminimal mungkin, baik pada tingkat individual maupun portofolio pembiayaan secara keseluruhan.

Pengelolaan pembiayaan Bank diarahkan untuk melakukan ekspansi pembiayaan dan mengelola kualitas setiap pembiayaan sejak saat diberikan sampai dengan dilunasi untuk mencegah pembiayaan tersebut menjadi *Non-Performing Financing* ("NPF"). Pengelolaan pembiayaan yang efektif dapat meminimalkan kerugian dan mengoptimalkan penggunaan modal yang dialokasikan untuk risiko kredit.

Bank telah menyusun kebijakan dan prosedur pembiayaan tertulis. Kebijakan dan prosedur tersebut memberikan pedoman secara lengkap dan terperinci atas kegiatan manajemen pembiayaan dari saat pengajuan pembiayaan, proses analisis, persetujuan, pemantauan, pendokumentasian, pengendalian, dan penyelamatan/restrukturisasi. Dalam rangka mendukung proses pemberian pembiayaan yang lebih hati-hati, BTPN Syariah melakukan penelaahan dan penyempurnaan kebijakan pembiayaan secara periodik sesuai dengan perkembangan bisnis terkini.

Bank menggunakan model *incurred loss* untuk pengakuan kerugian penurunan nilai aset keuangan untuk tujuan akuntansi. Dengan demikian, kerugian hanya diakui jika terdapat bukti obyektif atas peristiwa kerugian spesifik.

Pertimbangan utama dalam melakukan evaluasi penurunan nilai pembiayaan yang diberikan, khususnya pembayaran pokok atau margin yang jatuh tempo lebih dari 90 hari atau terdapat kesulitan atau pelanggaran dari persyaratan yang terdapat dalam kontrak awal. Bank melakukan evaluasi penurunan nilai secara kolektif.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Credit risk

Credit risk is the risk of financial loss, should any of the Bank customers, clients or market counterparties fail to fulfill their contractual obligations to the Bank. Credit risk arises mainly from shariah financing/receivable.

Murabahah Receivables

The objectives of managing the Bank's credit risk instead of meeting the requirements set by Bank Indonesia regulation, and also to manage credit risk itself so that the possibility of losses from unpaid financing facilities and other financial contracts is at a minimum level, both on an individual and overall financing portfolio level.

The management of the Bank's financing is directed for the expansion of financing and managing the quality of its financing service since grant date until payment to prevent it from becoming Non-Performing Financing ("NPF"). Effective management of the financing can minimise losses and optimise the use of capital allocated for credit risk.

The Bank has written financing policies and procedures. These policies and procedures provide comprehensive and detailed guidance regarding the management activities on financing from the financing application, analysis process, approval, monitoring, documentation, control, and recovery/restructuring process. In order to support the prudent financing process, BTPN Syariah conducts the review and improvement of financing policies periodically in accordance with current business developments.

The Bank uses an incurred loss model for the recognition of impairment losses of financial assets for accounting purposes. These mean that losses can only be recognised when there is objective evidence of a specific loss event.

The main considerations for the financing impairment assessment include whether any payments of principal or margin are overdue by more than 90 days or there are any known difficulties or non-compliance of the original term of the contract. The Bank evaluates impairments using collective assessment.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)Piutang Murabahah (lanjutan)

Hal-hal yang dipertimbangkan dalam menentukan jumlah penyisihan kerugian penurunan nilai, antara lain kemampuan debitur untuk memperbaiki kinerja saat menghadapi kesulitan keuangan, proyeksi penerimaan dan ekspektasi pengeluaran saat terjadi kepailitan, ketersediaan dukungan keuangan lainnya, termasuk klaim terhadap pihak asuransi, nilai agunan yang dapat direalisasikan, dan ekspektasi waktu diperolehnya arus kas. Penyisihan kerugian penurunan nilai dievaluasi setiap tanggal pelaporan.

(i) Manajemen risiko kredit

Melakukan kaji ulang atas kebijakan pembiayaan secara periodik terutama jika terdapat perubahan kondisi perekonomian, perubahan peraturan dan/atau pendekatan bisnis.

Batas pemberian pembiayaan/piutang syariah ditetapkan dan ditelaah mengikuti perubahan pada kondisi pasar dan ekonomi. Telaahan pembiayaan/piutang syariah secara periodik dan penilaian atas kemungkinan wanprestasi juga dilakukan. Proses persetujuan pembiayaan dilakukan melalui komite persetujuan pembiayaan.

Bank juga dengan ketat memantau perkembangan portofolio pembiayaan yang memungkinkan Bank untuk melakukan tindakan pencegahan secara tepat waktu apabila terjadi penurunan kualitas pembiayaan salah satunya dengan melakukan deteksi dini permasalahan dan pemantauan yang disiplin.

Bank terus melanjutkan untuk mengelola dan mengawasi secara aktif kualitas portofolio pembiayaan dengan cara meningkatkan kebijakan manajemen risiko kredit secara efektif, penyempurnaan prosedur, dan pengembangan sistem.

Sistem Informasi Manajemen telah tersedia dan mencakup tingkat yang cukup rinci untuk mendeteksi setiap perkembangan yang kurang baik sedini mungkin sehingga memungkinkan dilakukannya tindakan secara tepat waktu atas penurunan kualitas pembiayaan atau untuk meminimalisasi kerugian kredit.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Credit risk (continued)Murabahah Receivables (continued)

Items considered when determining allowance for impairment losses include the sustainability of the debtors' business plan, its ability to improve performance once a financial difficulty is arisen, projected receipts and the expected payout should bankruptcy occurs, the availability of other financial support, including claim for the insurance party, the realisability of collateral, and the timing of expected cash flows. The allowance for impairment losses is evaluated at each reporting date.

(i) Credit risk management

Review of the financing policies periodically, especially if there is changing in market conditions, changes in regulations and/or business approach.

Lending limits for sharia financing/receivable are set and reviewed in the light of changing market and economic conditions. Periodic sharia financing/receivable reviews and assessments of probability of default are also conducted. Financing approval process is done through financing approval committee.

The Bank also closely monitors the development of its financing portfolios to enable the Bank to initiate a preventive action in a timely manner when there is a deterioration in financing quality by conducting early warning detection and disciplined monitoring.

Bank continued to actively manage and monitor the financing portfolio quality by improving credit risk management policies effectively, improving procedures, and systems development.

Management Information Systems (MIS) are in place and cover a sufficient level of detail to detect any adverse development at an early stage, allowing for timely measures to be taken to counteract for any possible deterioration in financing credit quality or to minimise credit losses.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)Piutang Murabahah (lanjutan)

(ii) Cadangan kerugian penurunan nilai

Penurunan nilai adalah kondisi dimana terdapat bukti obyektif terjadinya peristiwa yang merugikan sebagai akibat dari satu atau lebih peristiwa yang terjadi setelah pengakuan awal pembiayaan yang diberikan tersebut dan peristiwa yang merugikan tersebut berdampak pada estimasi arus kas masa datang atas aset keuangan atau kelompok aset keuangan yang dapat diestimasi secara andal.

Cadangan kerugian penurunan nilai dihitung menggunakan metode kolektif berdasarkan PSAK 55, Instrumen Keuangan: Pengakuan dan Pengukuran.

Cadangan kerugian penurunan nilai yang diakui pada pelaporan keuangan hanyalah kerugian yang telah terjadi pada tanggal laporan keuangan atas posisi keuangan berdasarkan bukti obyektif.

(iii) Eksposur maksimum risiko kredit disajikan setelah cadangan kerugian penurunan nilai tanpa memperhitungkan agunan dan pendukung lainnya.

Eksposur risiko kredit terhadap aset keuangan pada laporan posisi keuangan pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	Eksposur maksimum/ Maximum exposure	
	2016	2015
Giro pada bank lain	34,485	14,878
Piutang <i>murabahah</i> - bersih	4,940,783	3,657,717
Pinjaman <i>qardh</i>	90	60
	4,975,358	3,672,655

Pada tanggal 31 Desember 2016 dan 2015, tidak ada fasilitas piutang *murabahah* kepada nasabah yang belum ditarik – *committed*. Sebagai akibatnya, tidak terdapat risiko kredit terhadap rekening administratif.

37. RISK MANAGEMENT (continued)

Credit risk (continued)Murabahah Receivables (continued)

(ii) Allowance for impairment losses

Impairment is a condition where there is objective evidence of adverse events as a result of one or more events occurring after the initial recognition of these financing and these adverse events impact on the estimated future cash flows of financial assets or groups financial assets that can be reliably estimated.

The allowance for impairment losses is calculated using collective assessment method in accordance with SFAS 55, Financial Instruments: Recognition and Measurement.

Allowance for impairment losses are recognised for financial reporting purposes only for losses that have been incurred at the date of the statement of financial position based on objective evidence.

(iii) Maximum exposure to credit risk are presented net after allowance for impairment losses without considering collateral held or other enhancements.

Credit risk exposures on financial asset in the statements of financial position assets as at 31 December 2016 and 2015 is as follows:

Current accounts with
other banks
Murabahah receivables - net
Funds of *qardh*

As at 31 December 2016 and 2015, there are no unused *murabahah* receivables facilities granted – *committed*. As such, there are no credit risk exposures related to off-balance sheet items.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)Piutang Murabahah (lanjutan)

- (iii) Eksposur maksimum risiko kredit disajikan setelah cadangan kerugian penurunan nilai tanpa memperhitungkan agunan dan pendukung lainnya (lanjutan)

Risiko konsentrasi kredit

Bank mengelola dan mengendalikan konsentrasi risiko kredit dimanapun risiko tersebut teridentifikasi - secara khusus, terhadap debitur individu dan kelompok, dan industri serta sektor geografis yang disajikan setelah cadangan kerugian penurunan nilai.

Bank menentukan tingkat risiko kredit yang dimiliki dengan menetapkan batas jumlah risiko yang bisa diterima yang terkait dengan satu debitur atau beberapa kelompok debitur.

Konsentrasi risiko aset keuangan dengan eksposur risiko kredit

a) Sektor geografis

2016					
	Jawa/Java	Bali & Nusa Tenggara	Sumatera	Kalimantan & Sulawesi	Jumlah/ Total
Giro pada bank lain	34,485	-	-	-	34,485
Piutang <i>murabahah</i> dan dan pinjaman <i>qardh</i> - bersih	3,597,236	185,196	943,892	214,549	4,940,873
	3,631,721	185,196	943,892	214,549	4,975,358
2015					
	Jawa/Java	Bali & Nusa Tenggara	Sumatera	Kalimantan & Sulawesi	Jumlah/ Total
Giro pada bank lain	14,878	-	-	-	14,878
Piutang <i>murabahah</i> dan dan pinjaman <i>qardh</i> - bersih	2,826,682	140,794	590,601	99,700	3,657,777
	2,841,560	140,794	590,601	99,700	3,672,655

b) Sektor industri

Tabel berikut ini menggambarkan rincian eksposur pembiayaan Bank pada nilai tercatat, yang dikategorikan berdasarkan sektor industri.

2016						
	Pemerintah/ Government	Lembaga keuangan/ Financial institution	Perdagangan/ Trading	Jasa/ Business Services	Perindustrian/ Manufacturing	Lain-lain/ Others
Giro pada bank lain	-	34,485	-	-	-	-
Piutang <i>murabahah</i> dan dan pinjaman <i>qardh</i> - bersih	-	-	4,368,091	171,005	160,994	240,783
	-	34,485	4,368,091	171,005	160,994	240,783

37. RISK MANAGEMENT (continued)

Credit risk (continued)Murabahah Receivables (continued)

- (iii) Maximum exposure to credit risk are presented net after allowance for impairment losses without considering collateral held or other enhancements (continued)

Concentration of credit risk

The Bank manages and controls concentrations of credit risk wherever they are identified - in particular, to individual and group counterparties, and to industries and geographical sectors that are presented net after allowance for impairment losses.

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower or more borrowers.

Concentration of risks of financial assets with credit risk exposure

a) Geographical sectors

b) Industry sectors

The following table breaks down the Bank's financing exposure at carrying amounts, as categorised by the industry sectors.

Current accounts with other banks
Murabahah receivable and funds of qardh - net

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)

- (iii) Eksposur maksimum risiko kredit disajikan setelah cadangan kerugian penurunan nilai tanpa memperhitungkan agunan dan pendukung kredit lainnya (lanjutan)

Konsentrasi risiko aset keuangan dengan eksposur risiko kredit (lanjutan)

b) Sektor industri (lanjutan)

37. RISK MANAGEMENT (continued)

Credit risk (continued)

- (iii) Maximum exposure to credit risk are presented net after allowance for impairment losses without considering collateral held or other credit enhancements (continued)

Concentration of risks of financial assets with credit risk exposure (continued)

b) Industry sectors (continued)

	2015						
	Pemerintah/ Government	Lembaga keuangan/ Financial institution	Perdagangan/ Trading	Jasa/ Business Services	Perindustrian/ Manufacturing	Lain-lain/ Others	
Giro pada bank lain	-	14,878	-	-	-	-	14,878
Piutang murabahah dan pinjaman qardh - bersih	-	-	3,188,003	112,831	160,759	196,184	3,657,777
	-	14,878	3,188,003	112,831	160,759	196,184	3,672,655

Current accounts with other banks
Murabahah receivable and funds of qardh - net

Pembiayaan/piutang syariah pada sektor "Lain-lain" terutama terdiri dari pembiayaan untuk sektor pertanian.

Sharia financing/receivables in sector "Others" mostly consist of sharia financing/receivables to agriculture industry sector.

c) Kualitas pembiayaan dari aset keuangan

Pada tanggal 31 Desember 2016 dan 2015, kualitas kredit atas aset keuangan terbagi atas:

c) Financing quality of financial assets

As at 31 December 2016 and 2015, credit quality of financial assets are divided as follows:

	2016				
	Belum jatuh tempo atau tidak mengalami penurunan nilai/ Neither past due nor impaired	Telah jatuh tempo tetapi tidak mengalami penurunan nilai/ Past due but not impaired	Mengalami penurunan nilai/ Impaired	Jumlah/ Total	
Giro pada bank lain	34,485	-	-	34,485	Current accounts with other banks Murabahah receivable and funds of qardh - net
Piutang murabahah dan pinjaman qardh - bersih	4,887,680	43,025	10,168	4,940,873	
Jumlah	4,922,165	43,025	10,168	4,975,358	
	2015				
	Belum jatuh tempo atau tidak mengalami penurunan nilai/ Neither past due nor impaired	Telah jatuh tempo tetapi tidak mengalami penurunan nilai/ Past due but not impaired	Mengalami penurunan nilai/ Impaired	Jumlah/ Total	
Giro pada bank lain	14,878	-	-	14,878	Current accounts with other banks Murabahah receivable and funds of qardh - net
Piutang murabahah dan pinjaman qardh - bersih	3,626,426	25,113	6,238	3,657,777	
Jumlah	3,641,304	25,113	6,238	3,672,655	

Total

Total

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)

- (iii) Eksposur maksimum risiko kredit disajikan setelah cadangan kerugian penurunan nilai tanpa memperhitungkan agunan dan pendukung kredit lainnya (lanjutan)

Konsentrasi risiko aset keuangan dengan
eksposur risiko kredit (lanjutan)

- c) Kualitas pembiayaan dari aset keuangan (lanjutan)

Pada tanggal 31 Desember 2016 dan 2015, rincian kualitas pembiayaan yang belum jatuh tempo dan tidak mengalami penurunan nilai berdasarkan rating internal adalah sebagai berikut:

37. RISK MANAGEMENT (continued)

Credit risk (continued)

- (iii) Maximum exposure to credit risk are presented net after allowance for impairment losses without considering collateral held or other credit enhancements (continued)

Concentration of risks of financial assets with
credit risk exposure (continued)

- c) Financing quality of financial assets (continued)

The credit quality of financing that are "neither past due nor impaired" as at 31 December 2016 and 2015 can be assessed by reference to the internal rating system as follows:

	2016			
	Lancar/ Current	Pernah mengalami keterlambatan pembayaran/ Has an overdue experience	Jumlah/ Total	
Piutang murabahah dan Pinjaman qardh - bersih				Murabahah receivable and funds of qardh - net
- Modal kerja	4,795,799	50,444	4,846,243	Working capital -
- Investasi	18	-	18	Investment -
- Konsumsi	90	-	90	Consumer -
	4,795,907	50,444	4,846,351	
Pendapatan margin/bunga yang masih akan diterima	52,405	580	52,985	Accrued interest margin/income
Cadangan kerugian penurunan nilai	(11,535)	(121)	(11,656)	Allowance for impairment losses
	4,836,777	50,903	4,887,680	
	2015			
	Lancar/ Current	Pernah mengalami keterlambatan pembayaran/ Has an overdue experience	Jumlah/ Total	
Piutang murabahah dan Pinjaman qardh - bersih				Murabahah receivable and funds of qardh - net
- Modal kerja	3,562,480	31,994	3,594,474	Working capital -
- Investasi	50	8	58	Investment -
- Konsumsi	60	-	60	Consumer -
	3,562,590	32,002	3,594,592	
Pendapatan margin/bunga yang masih akan diterima	39,311	444	39,755	Accrued interest margin/income
Cadangan kerugian penurunan nilai	(7,850)	(71)	(7,921)	Allowance for impairment losses
	3,594,051	32,375	3,626,426	

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. MANAJEMEN RISIKO (lanjutan)

Risiko kredit (lanjutan)

- (iii) Eksposur maksimum risiko kredit disajikan setelah cadangan kerugian penurunan nilai tanpa memperhitungkan agunan dan pendukung kredit lainnya (lanjutan)

Konsentrasi risiko aset keuangan dengan eksposur risiko kredit (lanjutan)

- c) Kualitas kredit dari aset keuangan (lanjutan)

Penjelasan pembagian kualitas pembiayaan yang "belum jatuh tempo atau tidak mengalami penurunan nilai" adalah:

- Lancar
Pembiayaan dalam kategori ini memiliki kemampuan yang sangat kuat untuk membayar kembali margin dan pokok piutang *murabahah* kepada Bank.
- Pernah mengalami keterlambatan pembayaran
Pembiayaan dalam kategori ini dianggap memiliki kapasitas memadai untuk membayar margin dan pokok piutangnya. Namun terdapat pertimbangan terkait dengan kemampuan nasabah dalam melakukan pembayaran pada saat jatuh tempo.

Analisa umur pembiayaan yang diberikan yang "telah jatuh tempo tetapi tidak mengalami penurunan nilai" pada tanggal 31 Desember 2016 dan 2015 adalah sebagai berikut:

	2016	2015
1 – 30 hari	36,129	20,100
31 – 60 hari	21,025	9,632
61 – 90 hari	<u>16,904</u>	<u>7,852</u>
	74,058	37,584
Pendapatan bunga/margin yang masih harus diterima	4,932	1,994
Cadangan kerugian penurunan nilai	<u>(35,965)</u>	<u>(14,465)</u>
	<u>43,025</u>	<u>25,113</u>

Risiko Pasar

Risiko pasar adalah potensi timbulnya kerugian dalam nilai buku atau fluktuasi arus kas di masa mendatang yang diakibatkan oleh perubahan suku bunga pasar atau nilai tukar.

37. RISK MANAGEMENT (continued)

Credit risk (continued)

- (iii) Maximum exposure to credit risk are presented net after allowance for impairment losses without considering collateral held or other credit enhancements (continued)

Concentration of risks of financial assets with credit risk exposure (continued)

- c) Credit quality of financial assets (continued)

Details for financing quality that are "neither past due nor impaired" are as follow:

- Current
This category is considered as very strong repayment capacity of margin and principal of *murabahah* receivables back to the Bank.
- Has an overdue experience
This category of financing is considered to have adequate capacity to pay margin and principal receivables. However, there is a concern over the debtor's ability to make payments when due.

An aging analysis of financing that are "past due but not impaired" on 31 December of 2016 and 2015 is as follows:

1 – 30 days
31 – 60 days
61 – 90 days

Accrued interest margin income
Allowance for impairment losses

Market Risk

Market risk is the potential loss in book value or future cash flows fluctuation due to changes in market interest rates or exchange rates.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Risiko Pasar (lanjutan)

Bank tidak memiliki aset maupun liabilitas keuangan dalam mata uang asing, maupun dalam posisi diperdagangkan.

Dilihat dari aktivitas Bank saat ini, adapun faktor risiko pasar yang dapat mempengaruhi nilai laporan posisi keuangan dan rekening administratif Bank adalah perubahan tingkat suku bunga pasar pada portfolio buku Bank.

Dalam melaksanakan proses manajemen risiko pasar, Bank melakukan identifikasi, pengukuran, pemantauan, dan pengendalian terhadap faktor-faktor risiko pasar. Kebijakan yang dijalankan Bank dalam pengendalian terhadap risiko suku bunga pasar:

- Melakukan pemantauan risiko suku bunga pasar.
- Melakukan simulasi perhitungan *net margin income* terhadap semua kemungkinan perubahan tingkat suku bunga pasar.
- Melakukan pemantauan terhadap *Repricing Gap Profile Asset & Liability* secara keseluruhan dalam mengantisipasi pergerakan tren suku bunga pasar yang dapat menyebabkan kerugian.
- Melakukan pemantauan risiko suku bunga pasar.

Risiko Likuiditas

Risiko likuiditas adalah risiko akibat ketidakmampuan Bank untuk memenuhi kewajiban yang jatuh tempo dari sumber pendanaan arus kas dan/atau aset likuid berkualitas tinggi yang dapat diagunkan, tanpa mengganggu aktivitas dan kondisi keuangan Bank. Hal ini disebabkan adanya *mismatch* jangka waktu antara sumber dana dan penyaluran dana Bank.

Dalam melaksanakan proses manajemen risiko likuiditas, Bank melakukan identifikasi, pengukuran, pemantauan, dan pengendalian terhadap faktor-faktor risiko likuiditas, antara lain ketersediaan aset likuid, rasio likuiditas, proyeksi arus kas, dan profil maturitas. Pengukuran atas risiko likuiditas dilakukan baik untuk kondisi normal maupun stress.

Bank mengungkapkan aset dan liabilitas berdasarkan umur jatuh tempo. Pengungkapan tersebut telah diterapkan di Catatan 36.

Kebijakan yang dijalankan Bank dalam mengendalikan risiko likuiditas adalah:

- Menetapkan kebijakan pengendalian risiko likuiditas yang telah disesuaikan dengan misi, strategi bisnis, kecukupan permodalan, sumber daya manusia, dan *risk appetite* Bank.
- Menetapkan kebijakan dan prosedur penetapan limit risiko likuiditas secara tertulis, lengkap, memadai, dan cukup mudah ditelusuri.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Market Risk (continued)

The Bank does not have any assets or liabilities that dominated in foreign currencies, or held for trading.

In current Bank's activities, the market risk factors that may affect the value of statement of financial position and administrative accounts of the Bank is the changes of market interest rate in portfolio of the Bank.

In carrying out the market risk management process, the Bank identifies, measures, monitors, and controls the market risk factors. Policies adopted by the Bank in managing its market interest rate risk including:

- Monitoring of market interest rate risk.
- To simulate net margin income calculation on all possible market interest rate changes.
- Monitoring of overall Repricing Gap Profile Assets and Liabilities in order to anticipate adverse movement of market interest rate.
- Monitoring of market interest rate risk.

Liquidity Risk

Liquidity risk is the risk due to inability of Bank to meet maturing obligations from cash flow funding sources and/or high quality liquid assets that can be pledged, without disturbing the activities and financial condition of the Bank. This is due to a mismatch between the period of funding and disbursement of Bank funds.

In carrying out the liquidity risk management process, the Bank identifies, measures, monitors, and controls the liquidity risk factors, among others the availability of liquid assets, liquidity ratio, cash flow projections and maturity profile. Liquidity risk measurement is performed both for normal and stress condition.

Bank has disclosed assets and liabilities based on its maturity. These have been provided in Note 36.

Policies adopted by the Bank in managing its liquidity risk include:

- Establish liquidity risk control policy that is suited to the Bank's mission, business strategy, capital adequacy, human resources, and risk appetite.
- Establish liquidity risk limit policies and procedures that are written, complete, adequate and easy to follow.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Risiko Likuiditas (lanjutan)

- Membentuk satuan kerja pengendali risiko likuiditas dan melaksanakan pengendalian risiko likuiditas secara konsisten dan independen.
- Melaksanakan fungsi ALCO (*Asset & Liability Committee*) untuk mengatur tingkat bagi hasil dalam usaha meningkatkan/menurunkan sumber dana tertentu.
- Mengelola portofolio pendanaan untuk menghindari risiko konsentrasi dan ketergantungan pada sumber pendanaan tertentu. Hal ini dimonitor secara bulanan oleh ALCO dan *Risk Management Committee* (RMC).
- Menetapkan prosedur dan tim kontijensi pendanaan likuiditas, sebagai bagian dari pengendalian risiko likuiditas, khususnya pada saat kondisi krisis.

Risiko Operasional

Risiko operasional adalah risiko terjadinya kerugian yang disebabkan oleh ketidakcukupan dan/atau tidak berfungsinya proses internal, kesalahan manusia, kegagalan sistem atau adanya kejadian-kejadian eksternal.

Kerangka Kerja Pengelolaan Risiko Operasional

1. Kerangka kerja pengelolaan risiko operasional Bank dilakukan dengan pembagian akuntabilitas dan peran yang jelas. Direksi seperti halnya Dewan Komisaris bertanggung-jawab untuk mengawasi efektivitas dari kerangka kerja pengelolaan risiko operasional secara menyeluruh maupun pada pelaksanaannya.

Pada tingkatan operasional dibentuk sistem pengendalian secara berlapis, dimana Sistem Pengendalian Internal ("QA") berperan membantu *Risk Taking Unit* ("RTU") dalam penegakan pengelolaan risiko operasional sehari-hari. Pada lapis pengendalian berikutnya, *Operational Risk Management* ("ORM") bersama-sama dengan Divisi *Compliance* berperan dalam pendefinisian, penyempurnaan, dan pemeliharaan kerangka kerja risiko operasional, memastikan kecukupan mitigasi risiko, kebijakan, dan prosedur, serta berperan sebagai koordinator/fasilitator atas aktivitas pengelolaan risiko operasional.

Berikutnya, Internal Audit secara independen berperan memastikan bahwa risiko yang tersisa (*residual risks*) masih berada dalam batasan yang dapat diterima (*risk appetite*).

Penyelarasan kerja antara pihak-pihak yang terkait praktik pengendalian internal Bank dilakukan secara berkelanjutan melalui forum-forum periodik dan fasilitasi rutin.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Liquidity Risk (continued)

- *Forming a liquidity risk control work unit and performing consistent and independent liquidity risk control.*
- *Implementing the ALCO (Asset & Liability Committee) function to manage profit sharing in an effort to increase/decrease certain sources of funds.*
- *Managing its funding portfolio to avoid concentration risk and dependence on single source of funding. This matter is monthly monitored by ALCO and Risk Management Committee (RMC).*
- *Establish procedures and team for funding liquidity contingency, as part of the liquidity risk control, especially in crisis condition.*

Operational Risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

Operational Risk Management Framework

1. *The Bank operational risk management framework is executed with clear accountabilities of all parties involved. The Board of Directors and the Board of Commissioners are responsible to oversee the effectiveness of the overall operational risk management framework as well as its execution.*

Layered of defenses was formed at the operational levels, whereas System of Internal Controls ("QA") is assisting the Risk Taking Units ("RTUs") in day-to-day enforcement of operational risk management practices. While in the next layer, Operational Risk Management ("ORM") together with Compliance Division act in defining, refining, and maintaining the operational risk framework, ensuring the adequacy of risk mitigation, policies, and procedures, and act as the coordinator/facilitator of the overall operational risk management activities.

The Internal Audit is then independently performing the assurance that all residual risks are within the agreed risk appetite.

Continuous alignment between all parties related to internal control practices in the Bank is conducted through regular forums and facilitations.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Kerangka Kerja Pengelolaan Risiko Operasional
(lanjutan)

2. Pelaksanaan Kerangka Kerja pengelolaan risiko operasional di Bank dilakukan dalam tahapan proses yang terpadu dan terdiri dari proses Identifikasi, Pengukuran, Pemantauan serta Pengendalian/Mitigasi Risiko.

Dalam proses ini secara bertahap dilakukan tinjauan risiko secara menyeluruh atas produk, sistem, layanan maupun aktivitas/proses Bank yang baru maupun perubahannya, pengembangan sistem registrasi risiko, pendefinisian mitigasi/mekanisme kontrol, serta secara menerus melakukan pengukuran atas pemaparan risiko dan tingkat kedisiplinan Unit Kerja dalam menerapkan mekanisme kontrol.

3. Otomasi dari proses pengelolaan risiko operasional sehari-hari dilakukan melalui ORMS (*Operational Risk Management System*) yang merupakan aplikasi *online real-time internal* untuk memudahkan pencatatan, analisis, dan pelaporan dari data risiko operasional, dengan kemampuan melakukan identifikasi risiko, penilaian/pengukuran, pemantauan, dan pengendalian/mitigasi yang dilaksanakan secara terintegrasi, sehingga dapat meningkatkan efektivitas dari pengelolaan risiko operasional.
4. Perhitungan beban modal untuk risiko operasional dilakukan Bank dengan menggunakan Pendekatan Indikator Dasar sesuai dengan jadwal Regulator (Bank Indonesia/OJK). Sementara persiapan untuk langkah selanjutnya yaitu *Internal Capital Adequacy Assessment Process* ("ICAAP") dengan menggunakan Pendekatan Standar maupun *Advance Measurement Approach* terus dilakukan dan disesuaikan dengan jadwal Regulator.
5. Bank telah menyusun pedoman bagi Pengelolaan Kelangsungan Usaha yang komprehensif dengan tujuan untuk mengantisipasi risiko operasional yang mungkin terjadi dari situasi ekstrim/kritikal karena bencana alam seperti banjir, gempa bumi, dan juga faktor lainnya seperti kebakaran, gangguan sistem utama, gangguan pasokan listrik, hingga situasi bisnis yang kurang menguntungkan, sehingga kelangsungan layanan kepada nasabah dapat terjamin.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Operational Risk Management Framework
(continued)

2. Practices of ORM Framework in Bank are conducted through an integrated processes consists of Risk Identification, Measurement, Monitoring and Controlling/Mitigating.

The stages of its processes involve comprehensive risk reviews over new and/or changes to Bank's products, system, services and activities/processes, development of risk registration, definition of mitigations/control mechanisms as well as continuous measurement over residual risk exposures and the level of the units' discipline in deploying control mechanisms.

3. Automation of day-to-day ORM processes is enabled by the ORMS (*Operational Risk Management System*), an internally designed online-real time application which is implemented to strengthen the capture, analysis and reporting of operational risk data by enabling risk identification, assessment/measurement, monitoring and controlling/mitigating to be conducted in an integrated manner, thereby enhance the effectiveness of operational risk management.
4. Bank have performed the capital charges calculation for operational risk by using Basic Indicator Approach as per Regulator's (Bank Indonesia/OJK) timeline. Whilst, preparation towards the adoption of the next stage Internal Capital Adequacy Assessment Process ("ICAAP") by using Standardised Approach and Advance Measurement Approach are continuously exercised and will concur to Regulator timetable.
5. Bank have developed a comprehensive Business Continuity Management ("BCM") guidelines to anticipate operational risks which might arise from critical situations such as natural disasters e.g. flood, earthquake, and other factors e.g. fire, major system disruption, power failure, as well as non-conductive business environment to ensure continuous services to customer.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Kerangka Kerja Pengelolaan Risiko Operasional
(lanjutan)

6. Beberapa inisiatif pokok telah dilaksanakan guna terus menyempurnakan praktek pengelolaan risiko operasional, yaitu :
- Menyempurnakan kemampuan sistem *Operational Risk Management System* (ORMS), yaitu sistem yang digunakan sebagai pusat database dan informasi terkait pengelolaan risiko operasional, dan diantaranya digunakan untuk pencatatan kejadian risiko, kerugian dan *recovery* kerugian risiko operasional.
 - Perluasan proses identifikasi risiko melalui registrasi risiko dengan basis produk, kejadian berisiko, dan aset informasi.
 - Melakukan implementasi fungsi dan peran *Quality Assurance* di setiap direktorat sebagai peningkatan pengelolaan risiko operasional di lini pertama pada kerangka kerja pengendalian internal bank.
 - Perluasan proses penilaian risiko melalui kajian risiko operasional secara berkelanjutan terhadap inisiatif yang disampaikan oleh Unit-unit Bisnis.
 - Membentuk tim penanganan bencana pada struktur organisasi, di level kantor pusat sampai dengan wilayah, termasuk kantor cabang dan kantor fungsional bank, sebagai upaya mitigasi risiko operasional yang disebabkan oleh faktor eksternal maupun situasi ekstrim/kritis.
 - Peningkatan kesadaran budaya risiko (*risk awareness*) melalui pelatihan dan media sosialisasi lainnya (diantaranya *broadcast email*, poster dan buletin).

Bank juga memonitor risiko non keuangan sebagai berikut:

- (i) risiko hukum untuk mengurangi kemungkinan kerugian dari tuntutan hukum atau kelemahan aspek yuridis, contohnya yang disebabkan oleh lemahnya perikatan, ketiadaan peraturan perundang-undangan yang menyebabkan suatu transaksi yang telah dilakukan tidak sesuai dengan ketentuan yang ada, dan proses litigasi;
- (ii) risiko reputasi untuk mengurangi kemungkinan kerugian dari publikasi negatif yang terkait dengan kegiatan usaha Bank atau persepsi negatif terhadap Bank;
- (iii) risiko strategi untuk mengurangi kemungkinan kerugian akibat ketidaktepatan dalam pengambilan dan/atau pelaksanaan suatu keputusan strategik yang gagal mengantisipasi perubahan lingkungan bisnis; dan
- (iv) risiko kepatuhan untuk mengurangi kemungkinan kerugian karena tidak mematuhi atau tidak melaksanakan peraturan perundang-undangan dan ketentuan lain yang berlaku, termasuk prinsip syariah bagi Bank.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Operational Risk Management Framework
(continued)

6. Some major initiatives have been put into effect to continuously improve ORM practices such as:
- Revamping the *Operational Risk Management System* (ORMS) capabilities, a system used as a database and information center relating to operational risk management, which among other is used to record risk event, loss and recovery of operational risk loss.
 - Extension of risk identification process through risk register based on product, risk events, and information asset.
 - Implementing the role and function of *Quality Assurance* in each directorate as part of operational risk management in the first line of the Bank's internal control framework.
 - Extension of risk assessment process through continuous operational risk assessment into initiatives which were conveyed by Business Units.
 - Establishing incident / disaster handling team in organisational structure, at Head office to regional offices, including branch office and functional office, as mitigation of operational risk due to external factors as well as extreme/critical situation.
 - Increasing cultural risk awareness through training and other media socialisation (including broadcast email, posters and newsletters).

The Bank also monitors non financial risk as follows:

- (i) legal risks to minimise possible losses from lawsuits and/or weaknesses in juridical matters, for example caused by the weak legal arrangements, an absence and/or change of regulations, which causes a transaction to become illegal and litigation process;
- (ii) reputation risks to minimise possible losses from negative publicity relating to the business activities of the Bank or negative perception about the Bank;
- (iii) strategic risks to minimise possible losses arising from wrong decision and/or carrying out a strategic decision that fails to anticipate changes in the business environment; and
- (iv) compliance risks to minimise possible loss from non-compliance or failure to implement prevailing laws and regulations, including sharia principles for the Bank.

PT BANK TABUNGAN PANSIUNAN NASIONAL SYARIAH

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Kerangka Kerja Pengelolaan Risiko Operasional
(lanjutan)

Upaya-upaya yang dilakukan untuk mengelola risiko-risiko hukum, risiko reputasi, risiko strategis, dan risiko kepatuhan seperti tersebut di atas diantaranya adalah:

- Risiko hukum dikelola dengan cara:
 - (i) Tersedianya unit kerja khusus bidang hukum;
 - (ii) Tersedianya kebijakan pengendalian risiko hukum terutama yang berpengaruh kepada aktivitas fungsional. Kebijakan dievaluasi minimal satu tahun sekali;
 - (iii) Mengidentifikasi dan mengendalikan risiko hukum yang melekat pada produk dan aktivitas baru sebelum diperkenalkan kepada nasabah;
 - (iv) Mengidentifikasi risiko hukum yang terdapat pada setiap aktivitas fungsional;
 - (v) Pengukuran risiko hukum secara kuantitatif.
- Risiko reputasi dikelola dengan cara:
 - (i) Tersedianya satuan kerja yang memiliki kewenangan dan tanggung jawab untuk memberikan informasi yang komprehensif kepada nasabah dan pemangku kepentingan;
 - (ii) Menetapkan kebijakan komunikasi dalam rangka menghadapi publikasi negatif atau pencegahannya. Kebijakan dievaluasi minimal satu tahun sekali;
 - (iii) Mengidentifikasi risiko reputasi yang terdapat pada setiap aktivitas fungsional;
 - (iv) Mengukur risiko reputasi secara kuantitatif.
- Risiko strategis dikelola dengan cara:
 - (i) Menyusun rencana korporasi dan rencana kerja 3 (tiga) tahun sesuai dengan misi dan strategi Bank yang disetujui oleh Komisaris serta Direksi dengan memperhitungkan dampak terhadap permodalan, dan dilakukan review minimal semesteran;
 - (ii) Membangun Sistem Informasi Manajemen dengan pengukuran kinerja yang tepat dan melakukan pemantauan berkala atas *key initiatives* yang dilaksanakan oleh unit-unit Bank untuk mencapai target rencana kerja sesuai dengan tenggat waktunya; dan
 - (iii) Menetapkan kebijakan yang mengatur perumusan dan pemantauan pelaksanaan strategi termasuk rencana korporasi dan rencana bisnis.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Operational Risk Management Framework
(continued)

Initiatives taken to manage legal risks, reputation risks, strategic risks and compliance risks as described above, include the following:

- *Legal risks are managed by:*
 - (i) *Availability of a legal division;*
 - (ii) *Availability of policies of legal risk controls particularly risks affecting functional activities. Those policies are evaluated annually;*
 - (iii) *Identifying and controlling legal risks that were inherent to products and new activities before launching;*
 - (iv) *Identifying legal risks affecting all functional activities;*
 - (v) *Quantifying legal risks.*
- *Reputation risks are managed by:*
 - (i) *Availability of a unit that is authorised and responsible to provide comprehensive information to customers and stakeholders;*
 - (ii) *Establishing communication policies to anticipate any negative publication or its prevention. The policies are reviewed once a year;*
 - (iii) *Identifying reputation risks in all functional activities;*
 - (iv) *Quantifying reputation risks.*
- *Strategic risks are managed by:*
 - (i) *Setting up 3 (three) years period corporate and business plan in accordance with the Bank's objectives and strategies that have been approved by Board of Commissioners and Directors by considering the impact to capital, and reviewed at least semi-annually;*
 - (ii) *Setting up a Management Information System with an accurate performance measurement that periodically monitors key initiatives initiated by Banks' units to achieve business plan goal within the prescribed time; and*
 - (iii) *Establishing guidance to set up and monitor the implementation of strategies including corporate and business plan.*

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

37. MANAJEMEN RISIKO (lanjutan)

Risiko non keuangan lainnya (lanjutan)

- Risiko kepatuhan dikelola dengan cara:
 - (i) Tersedianya unit kerja kepatuhan independen dalam struktur organisasi yang melakukan pengawasan aktif kepada unit-unit kerja secara periodik;
 - (ii) Menetapkan prosedur pengendalian risiko kepatuhan, kebijakan pengaturan tanggung jawab, dan *review* kepatuhan secara berkala;
 - (iii) Menetapkan prosedur identifikasi dan pengukuran untuk risiko kepatuhan pada seluruh aktivitas fungsional;
 - (iv) Memiliki sistem laporan risiko kepatuhan secara periodik minimal setiap bulan;
 - (v) Melakukan pemisahan fungsi yang jelas antara satuan kerja operasional, satuan kerja pengendalian risiko dan satuan kerja pemantau risiko dalam struktur organisasi.

Berpedoman pada SEOJK no 13/SEOJK.03/2015 dan *New Basel II Capital Accord* yang memasukkan risiko operasional dalam perhitungan *regulatory capital*, Bank telah menerapkan prinsip-prinsip manajemen risiko operasional, termasuk perhitungan beban modal risiko operasional.

Proses pengelolaan risiko operasional BTPN Syariah dilakukan oleh setiap unit kerja Bank (*risk owner*), sehingga unit-unit kerja di kantor pusat dan kantor-kantor cabang, dengan difasilitasi oleh unit manajemen risiko, bertanggung jawab dalam proses identifikasi, penilaian, pengukuran, pemantauan serta pengendalian risiko operasional menjadi lebih akurat dan cepat.

PERISKOP mempunyai beberapa modul seperti *Self Assessment*, *Loss Event Data Base*, dan *Action Plan*, yang memungkinkan proses identifikasi risiko dilakukan sendiri oleh unit kerja, peristiwa kejadian di 8 (delapan) lini bisnis dan tindak lanjut untuk memitigasi risiko operasional lebih termonitor.

Untuk mengantisipasi terhadap kejadian-kejadian yang dapat mengganggu operasional Bank, sebagai akibat faktor internal seperti gangguan pada sistem teknologi informasi dan faktor eksternal seperti bencana alam, kerusuhan, dan kebakaran, BTPN Syariah mengembangkan *Business Continuity Management* dan *Disaster Recovery Plan*.

Kesiapan dalam penerapan manajemen risiko operasional, di seluruh jenjang organisasi Bank akan mendorong pertumbuhan bisnis dan meningkatkan kinerja Bank sehingga menghasilkan nilai tambah bagi para *stakeholder*.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

37. RISK MANAGEMENT (continued)

Other non financial risk (continued)

- Compliance risks are managed by:
 - (i) Availability of an independent compliance division which performs active monitoring to other divisions periodically;
 - (ii) Establishing procedure of compliance risk control, policies of responsibility, and compliance review periodically;
 - (iii) Establishing procedures to identify and assess compliance risks in all functional activities;
 - (iv) Establishing risk compliance report system periodically at the minimum once a month;
 - (v) Setting up a clear segregation of duties between operational, risk control and risk monitoring unit in the organisation structure.

Following Otoritas Jasa Keuangan Regulation SEOJK no 13/SEOJK.03/2015 and the *New Basel II Capital Accord*, which adds operational risk in the calculation of regulatory capital, the Bank has applied the principles of operational risk management, including operational risk capital charge.

Operational risk management process of BTPN Syariah was performed by each unit of the Bank (*risk owner*), so that the units in head office and branches, facilitated by risk management unit, are responsible to identify, measure, monitoring, and controlling operational risk, to become faster and more accurate.

PERISKOP has several modules such as *Self Assessment*, *Loss Event Data Base* and *Action Plan*, which enables the risk identification process being carried out solely by the working unit, the incidence of events in 8 (eight) business lines and follow-up are monitored to mitigate the operational risks.

To anticipate events that can disrupt the operations of the Bank, as a result of internal factors such as disturbances in information technology systems and external factors such as natural disasters, riots, and fires, BTPN Syariah has developed the *Business Continuity Management* and *Disaster Recovery Plan*.

Readiness in the implementation of operational risk management, at all levels of the organisation in the Bank will promote business growth and improve the performance of the Bank, thus to generate added value for its stakeholders.

PT BANK TABUNGAN PENSIUNAN NASIONAL SYARIAH

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

38. MANAJEMEN MODAL

Tujuan manajemen permodalan Bank adalah untuk mempertahankan posisi modal yang kuat untuk mendukung pertumbuhan bisnis dan mempertahankan investor, deposan, pelanggan dan kepercayaan pasar. Dalam pengelolaan permodalan, Bank mempertimbangkan faktor-faktor seperti: pengembalian modal yang optimal pada pemegang saham, menjaga keseimbangan antara keuntungan yang lebih tinggi dengan *gearing ratio* serta keamanan yang diberikan oleh posisi modal yang sehat.

Rasio Kewajiban Penyediaan Modal Minimum (KPMM) Bank dikaitkan dengan profil risiko Bank dan dihitung berdasarkan Peraturan Otoritas Jasa Keuangan No. 21/POJK.03/2014 tanggal 19 November 2014. Bank juga telah memasukan Risiko Operasional dalam menghitung KPMM berdasarkan Peraturan Otoritas Jasa Keuangan No.21/POJK.03/2014 tanggal 19 November 2014 dan Surat Edaran Otoritas Jasa Keuangan No.13/SEOJK.03/2015 tanggal 27 April 2015. Rasio KPMM tersebut adalah sebagai berikut:

	2016	2015
Modal inti		
Modal disetor	693,333	693,333
Agio saham	226,667	226,667
Cadangan wajib	15,000	7,206
Laba bersih tahun berjalan	412,495	80,685
Laba tahun lalu setelah diperhitungkan pajak	227,089	56,242
Keuntungan/(kerugian) pendapatan Komprehensif lainnya	1,743	(4,575)
Cadangan kerugian penurunan nilai aset non-produktif	(3,476)	(3,476)
Opsi saham	5,793	-
Saldo surplus revaluasi aset tetap	5,239	-
Aset pajak tangguhan	(37,975)	-
Hak milik intelektual lainnya	(36,416)	-
Jumlah modal inti	1,509,492	1,056,082
Modal pelengkap (maksimum 100% dari modal inti)		
Cadangan umum kerugian penurunan nilai (maksimum 1,25% dari ATMR)	11,656	7,921
Jumlah modal pelengkap	11,656	7,921
Jumlah modal	1,521,148	1,064,003
Aset Tertimbang Menurut Risiko (ATMR)	6,390,259	5,338,868
Risiko Kredit dan Risiko Operasional	23.80%	19.93%
Rasio KPMM Bank	23.80%	19.93%
Rasio KPMM yang diwajibkan	9% - 10%	8%

38. CAPITAL MANAGEMENT

The Bank capital management objective is to maintain a strong capital position to support business growth and to sustain investor, depositor, customer and market confidence. In managing its capital, the Bank considers factors such as: providing optimal capital rate of return to shareholders and maintaining a balance between high return with gearing ratio and safety provided by a sound capital position.

The Minimum Required Capital Adequacy Ratio (CAR) of the Bank is related with the Bank's risk profile and calculated based on Otoritas Jasa Keuangan Regulation No.21/POJK.03/2014 dated 19 November 2014. The Bank has also included Operational Risk in calculating CAR based on Otoritas Jasa Keuangan Regulation No.21/POJK.03/2014 dated 19 November 2014 and Otoritas Jasa Keuangan Circular Letter No. 13/SEOJK.03/2015 dated 27 April 2015. Such CAR is as follows:

Core capital
Paid-in capital
Additional paid-in capital
Legal reserves
Net income in the current year
Prior income after tax
Other comprehensive income/(loss)
Allowance for impairment losses for non-productive asset
Stock option
Asset revaluation surplus
balance
Deferred tax asset
Other intellectual property rights
Total core capital
Supplementary capital (maximum at 100% from core capital)
General reserve on allowance for impairment losses of earning assets (maximum at 1.25% of ATMR)
Total supplementary capital
Total capital
Risk Weighted Assets (RWA)
Credit Risk and Operational Risk
Total supplementary capital
Minimum CAR

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

39. OPINI DEWAN PENGAWAS SYARIAH

Berdasarkan surat No. S.004/DPS/I/2017 tanggal 18 Januari 2017 dan No. S.001/DPS/I/2016 tanggal 13 Januari 2016 masing-masing untuk tahun yang berakhir pada tanggal 31 Desember 2016 dan 2015, Dewan Pengawas Syariah ("DPS") BTPN Syariah menyatakan bahwa secara umum aspek syariah dalam operasional PT Bank Tabungan Pensiunan Nasional Syariah sudah sesuai dengan prinsip dan nilai-nilai syariah.

40. KEBIJAKAN KONVERSI PRODUK BANK KONVENSIONAL

Berdasarkan Surat Keputusan Dewan Komisiner OJK No.KEP-49/D-03/2014 tanggal 22 Mei 2014 Bank memperoleh izin perubahan kegiatan usaha bank umum konvensional menjadi bank umum yang melaksanakan kegiatan usaha berdasarkan prinsip syariah. Selama 60 (enam puluh) hari setelah keputusan tersebut, Bank wajib melaksanakan kegiatan usaha berdasarkan prinsip syariah dan selambat-lambatnya 1 (satu) tahun setelah keputusan, Bank wajib menyelesaikan seluruh pinjaman yang diberikan dan kewajiban debitur atau nasabah dari kegiatan konvensional.

Kebijakan konversi produk pembiayaan bank konvensional ke bank syariah adalah sebagai berikut:

1. Masa konversi produk pembiayaan yang diperkenankan oleh Bank Indonesia adalah selama 1 (satu) tahun terhitung dari tanggal efektif konversi bank menjadi bank syariah.
2. Memberitahukan rencana konversi secara tertulis kepada seluruh debitur.
3. Pinjaman yang diberikan komersial dikonversi menjadi pembiayaan syariah dengan skema bagi hasil jual beli *murabahah* tergantung kesesuaian produknya.
4. Pinjaman rekening koran yang tidak dikonversi akan dilunasi oleh nasabah pada saat jatuh tempo dalam jangka waktu 1 (satu) tahun.
5. Selama belum dikonversi, pinjaman yang diberikan akan dilanjutkan sebagai pinjaman konvensional sampai batas waktu transisi maksimum 1 (satu) tahun sejak tanggal efektif ijin konversi Bank.

Sedangkan kebijakan konversi dana pihak ketiga dari produk bank konvensional ke bank syariah adalah sebagai berikut:

1. Memberitahukan rencana konversi dan tahapan-tahapan konversi secara tertulis kepada seluruh nasabah.
2. Giro dikelola berdasarkan prinsip *wadiah*.
3. Tabungan dan deposito berjangka dikelola berdasarkan prinsip *mudharabah*.
4. Memberikan nisbah/bagi hasil pada masa-masa awal setelah konversi kepada seluruh nasabah.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016

(Expressed in millions of Rupiah,
unless otherwise stated)

39. OPINION OF THE SHARIA SUPERVISORY BOARD

Based on Letter No. S.004/DPS/I/2017 dated 18 January 2017, and No. S.001/DPS/I/2016 dated 13 January 2016 for the years ended 31 December 2016 and 2015, the Sharia Supervisory Board ("DPS") of BTPN Syariah stated that in general the sharia aspects in the operation of PT Bank Tabungan Pensiunan Nasional Syariah have complied with sharia principles and values.

40. CONVERSION POLICY OF CONVENTIONAL BANK PRODUCT

Based on Decision Letter of Commissioner OJK No. KEP-49/D-03/2014 dated 22 May 2014, the Bank obtained approval to change its business activities from conventional commercial bank into commercial bank which conduct business activity based on sharia principle. During 60 (sixty) days after the decision, the Bank must conduct its business activity based on sharia principle and at the latest 1 (one) year after the decision, the Bank must settle all of its loans and obligations to customers from conventional activities.

The conversion policies of Bank's financing product from conventional bank to sharia bank are as follows:

1. Conversion period of financing product allowed by Bank Indonesia is 1 (one) year since the conversion's the effective date of the Bank obtain the approval from Bank Indonesia become a sharia bank.
2. Inform the written conversion plan to all of its debtors.
3. Corporate loans should be converted into sharia financing with profit sharing scheme under sale-purchase *murabahah* principle depends on the appropriateness of the product.
4. Unconverted current account should be settled by customer at maturity date within the 1 (one) year.
5. As long as has not yet converted, loans will continue to be considered as conventional loan until transition maximum time limit 1 (one) year since the effective date of Bank's conversion permit.

Conversion policies for third party funds from conventional bank into sharia bank products are as follows:

1. Inform the written plan of conversion and conversion steps to the entire customers.
2. Current accounts is managed based on *wadiah* principle.
3. Saving deposits and time deposits are managed based on *mudharabah* principle.
4. Provide the profit sharing ratio to entire customer in earlier period after the conversion.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016

(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)

40. KEBIJAKAN KONVERSI PRODUK BANK
KONVENSIIONAL (lanjutan)

Bagi nasabah dan debitur yang tidak setuju dikonversi akan dilakukan penyelesaian seketika atau secara bertahap. Berdasarkan opini Dewan Pengawas Syariah Bank, terhadap aset dan portofolio yang masih menggunakan perjanjian yang tidak sesuai dengan syariah dan belum dapat dikonversikan karena adanya hal-hal yang tidak dapat dihindari, maka kondisi tersebut dianggap darurat.

Pada tanggal 30 Juni 2015, seluruh produk bank konvensional yang terdiri dari pinjaman yang diberikan dan dana pihak ketiga telah diselesaikan atau dikonversi menjadi produk syariah.

41. STANDAR AKUNTANSI BARU

Standar baru, amandemen dan interpretasi yang telah diterbitkan, namun belum berlaku efektif untuk tahun buku yang dimulai pada 1 Januari 2016 adalah sebagai berikut:

- PSAK 69 "Agrikultur"
- ISAK 31 "Interpretasi atas ruang lingkup PSAK 13: Properti Investasi"
- Amandemen PSAK 1 "Penyajian laporan keuangan"
- Amandemen PSAK 16 "Aset tetap"
- Amandemen PSAK 101 "Penyajian laporan keuangan syariah"
- Amandemen PSAK 102 "Akuntansi Murabahah"
- Amandemen PSAK 103 "Akuntansi Salam"
- Amandemen PSAK 104 "Akuntansi Istishna"
- Amandemen PSAK 107 "Akuntansi Ijarah"
- Amandemen PSAK 108 "Akuntansi transaksi asuransi syariah"

Amandemen PSAK 101 "Penyajian laporan keuangan syariah", PSAK 102 "Akuntansi Murabahah", PSAK 103 "Akuntansi Salam", PSAK 104 "Akuntansi Istishna", PSAK 107 "Akuntansi Ijarah" dan PSAK 108 "Akuntansi transaksi asuransi syariah" berlaku efektif pada 1 Januari 2017. Penerapan dini atas standar-standar tersebut tidak diperkenankan.

Amandemen PSAK 1 "Penyajian laporan keuangan" dan ISAK 31 "Interpretasi atas ruang lingkup PSAK 13: Properti investasi" berlaku efektif pada 1 Januari 2017 sedangkan standar lain berlaku efektif pada 1 Januari 2018. Penerapan dini atas standar-standar tersebut diperkenankan.

Pada saat penerbitan laporan keuangan, Bank masih mempelajari dampak yang mungkin timbul dari penerapan standar baru dan amendemen tersebut serta pengaruhnya pada laporan keuangan Bank.

NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016

(Expressed in millions of Rupiah,
unless otherwise stated)

40. CONVERSION POLICY OF CONVENTIONAL
BANK PRODUCT (continued)

For depositors and debtors who do not agree with the conversion, there will be immediate or gradual settlement. Based on opinion of the Bank's Sharia Supervisory Board, assets and portfolio which still use the agreements that do not comply with sharia principle and have not yet converted due to unavoidable things, it will be recognised as an emergency situation.

As of 30 June 2015, all conventional bank product that consist of loan and third party funds have settled or converted into syariah product.

41. NEW PROSPECTIVE ACCOUNTING
STANDARDS

New standards, amendments and interpretations issued but not yet effective for the financial year beginning 1 January 2016 are as follows:

- SFAS 69 "Agriculture"
- IFAS 31 "Interpretation of scope of SFAS 13: Investment property"
- Amendment to SFAS 1 "Presentation of financial statements"
- Amendment to SFAS 16 "Fixed asset"
- Amendment to SFAS 101 "Presentation of sharia financial statements"
- Amendment to SFAS 102 "Murabahah accounting"
- Amendment to SFAS 103 "Salam accounting"
- Amendment to SFAS 104 "Istishna accounting"
- Amendment to SFAS 107 "Ijarah accounting"
- Amendment to SFAS 108 "Sharia insurance transaction accounting"

The amendment to SFAS 101 "Presentation of sharia financial statements", SFAS 102 "Murabahah accounting", SFAS 103 "Salam accounting", SFAS 104 "Istishna accounting", SFAS 107 "Ijarah accounting", SFAS 108 "Sharia insurance transaction accounting" are effective on 1 January 2017. Early adoption of the above standards is not permitted.

The amendment to SFAS 1 "Presentation of financial statements" and IFAS 31 "Interpretation on the scope of SFAS 13: Investment property" are effective on 1 January 2017 while the other standards are effective on 1 January 2018. Early adoption of the above standards is permitted.

As at the authorisation date of these financial statements, the Bank is still evaluating the potential impact of the implementation of these new and amendment accounting standards to its financial statements.

PT BANK TABUNGAN Pensiunan Nasional Syariah

CATATAN ATAS LAPORAN KEUANGAN
31 DESEMBER 2016(Dinyatakan dalam jutaan Rupiah,
kecuali dinyatakan lain)NOTES TO THE FINANCIAL STATEMENTS
31 DECEMBER 2016(Expressed in millions of Rupiah,
unless otherwise stated)

42. REKLASIFIKASI

Akun-akun tertentu dalam laporan keuangan untuk tahun yang berakhir pada tanggal 31 Desember 2015 telah direklasifikasi agar sesuai dengan penyajian laporan keuangan untuk tahun yang berakhir pada tanggal 31 Desember 2016.

42. RECLASSIFICATION

Certain accounts in the financial statements for the year ended 31 December 2015 have been reclassified to conform the presentation of financial statements for the year ended 31 December 2016.

31 Desember/December 2015			
	Sebelum reklasifikasi/ Before reclassification	Reklasifikasi/ Reclassification	Sesudah reklasifikasi/ After reclassification
Aset			Assets
Aset lain-lain	51,821	7,186	59,007 Other assets
Liabilitas			Liabilities
Imbalan kerja karyawan			Employee benefits
- Imbalan pasca kerja	36,498	7,186	43,684 Post employment benefit -

Consolidated Financial Statement of Parent Company

LAPORAN POSISI KEUANGAN			
Tanggal 31 Des 2016 dan 2015			
(Dalam jutaan Rupiah)			
POS - POS		KONSOLIDASI	
		31 Des 2016	31 Des 2015
		Diaudit	Diaudit
ASET			
1.	Kas	1.448.180	1.352.401
2.	Penempatan pada Bank Indonesia	10.568.941	9.280.062
3.	Penempatan pada bank lain	1.918.431	1.766.674
4.	Tagihan spot dan derivatif	43.652	-
5.	Surat berharga	5.934.058	4.921.634
a.	Diukur pada nilai wajar melalui laporan laba/rugi	-	-
b.	Tersedia untuk dijual	1.081.238	1.467.790
c.	Dimiliki hingga jatuh tempo	4.852.820	3.453.844
d.	Pinjaman yang diberikan dan piutang	-	-
6.	Surat berharga yang dijual dengan janji dibeli kembali (<i>Repo</i>)	-	-
7.	Tagihan atas surat berharga yang dibeli dengan janji dijual kembali (<i>Reverse Repo</i>)	2.696.767	1.094.401
8.	Tagihan akseptasi	-	-
9.	Kredit	58.171.598	54.909.356
a.	Diukur pada nilai wajar melalui laporan laba/rugi	-	-
b.	Tersedia untuk dijual	-	-
c.	Dimiliki hingga jatuh tempo	-	-
d.	Pinjaman yang diberikan dan piutang	58.171.598	54.909.356
10.	Pembiayaan syariah	4.996.812	3.678.027
11.	Penyertaan	22	22
12.	Cadangan kerugian penurunan nilai aset keuangan -/-	(685.304)	(543.585)
a.	Surat berharga	-	-
b.	Kredit	(685.304)	(543.585)
c.	Lainnya	-	-
13.	Aset tidak berwujud	995.989	620.092
	Akumulasi amortisasi aset tidak berwujud -/-	(360.614)	(240.058)
14.	Aset tetap dan inventaris	2.879.774	1.887.565
	Akumulasi penyusutan aset tetap dan inventaris -/-	(1.247.509)	(1.011.342)
15.	Aset non produktif	3.509	3.625
a.	Properti terbengkalai	-	-
b.	Aset yang diambil alih	3.476	3.476
c.	Rekening tunda	27	143
d.	Aset antar kantor	6	6
i.	Melakukan kegiatan operasional di Indonesia	6	6
ii.	Melakukan kegiatan operasional di luar Indonesia	-	-
16.	Cadangan kerugian penurunan nilai dari aset non keuangan -/-	-	-
17.	Sewa pembiayaan	-	-
18.	Aset pajak tangguhan	122.597	91.281
19.	Aset lainnya	3.884.484	3.229.508
TOTAL ASET		91.371.387	81.039.663
LIABILITAS DAN EKUITAS			
LIABILITAS			
1.	Giro	371.921	354.658
2.	Tabungan	7.295.107	7.441.894
3.	Simpanan berjangka	54.139.770	49.425.425
4.	Dana investasi revenue sharing	4.394.714	3.051.419
5.	Pinjaman dari Bank Indonesia	-	-
6.	Pinjaman dari bank lain	914.535	160
7.	Liabilitas spot dan derivatif	8.344	-
8.	Utang atas surat berharga yang dijual dengan janji dibeli kembali (<i>Repo</i>)	-	-
9.	Utang akseptasi	-	-
10.	Surat berharga yang diterbitkan	2.469.143	2.605.384
11.	Pinjaman yang diterima	3.699.172	2.737.113
12.	Setoran jaminan	-	-
13.	Liabilitas antar kantor	-	-
a.	Melakukan kegiatan operasional di Indonesia	-	-
b.	Melakukan kegiatan operasional di luar Indonesia	-	-
14.	Liabilitas pajak tangguhan	-	-
15.	Liabilitas lainnya	1.766.253	1.499.751
16.	Dana investasi profit sharing	-	-
TOTAL LIABILITAS		75.058.959	67.115.804
EKUITAS			
17.	Modal disetor	114.902	116.806
a.	Modal dasar	150.000	150.000
b.	Modal yang belum disetor -/-	(33.194)	(33.194)
c.	Saham yang dibeli kembali (<i>treasury stock</i>) -/-	(1.904)	-
18.	Tambahan modal disetor	1.368.994	1.576.542
a.	Agio	1.168.885	1.429.385
b.	Disagio -/-	-	-
c.	Modal sumbangan	-	-
d.	Dana setoran modal	-	-
e.	Lainnya	200.109	147.157
19.	Penghasilan komprehensif lain	719.215	32
a.	Penyesuaian akibat penjabaran laporan keuangan dalam mata uang asing	-	-
b.	Keuntungan dari perubahan nilai aset keuangan dalam kelompok kelompok tersedia untuk dijual	3.303	1.014
c.	Bagian efektif lindung nilai arus kas	-	-
d.	Keuntungan revaluasi aset tetap	724.449	-
e.	Bagian penghasilan komprehensif lain dari entitas asosiasi	-	-
f.	Pengukuran kembali atas program imbalan pasti	(12.466)	(1.791)
g.	Pajak penghasilan terkait dengan penghasilan komprehensif lain	3.929	809
h.	Lainnya	-	-
20.	Selisih kuasi reorganisasi	-	-
21.	Selisih restrukturisasi entitas sepengendali	-	-
22.	Ekuitas lainnya	-	-
23.	Cadangan	23.361	23.361
a.	Cadangan umum	23.361	23.361
b.	Cadangan tujuan	-	-
24.	Laba/rugi	13.611.424	11.859.327
a.	Tahun-tahun lalu	11.859.327	10.157.480
b.	Tahun berjalan	1.752.097	1.701.847
TOTAL EKUITAS YANG DAPAT DIATRIBUSIKAN KEPADA PEMILIK BANK		15.837.896	13.576.068
25.	Kepentingan non pengendali	474.532	347.791
TOTAL EKUITAS		16.312.428	13.923.859
TOTAL LIABILITAS DAN EKUITAS		91.371.387	81.039.663

LAPORAN LABA RUGI DAN PENGHASILAN KOMPREHENSIF LAIN			
Untuk tahun-tahun yang berakhir pada tanggal 31 Des 2016 dan 2015			
(Dalam jutaan Rupiah, kecuali laba bersih per saham)			
POS - POS	KONSOLIDASI		
	31 Des 2016	31 Des 2015	
	Diaudit	Diaudit	
PENDAPATAN DAN BEBAN OPERASIONAL			
A. Pendapatan dan Beban Bunga			
1. Pendapatan Bunga dan Pendapatan Syariah	13.695.226	13.003.876	
a. Rupiah	13.694.781	13.003.876	
b. Valuta asing	445	-	
2. Beban Bunga dan Bagi Hasil Syariah	4.841.247	5.308.265	
a. Rupiah	4.796.263	5.308.265	
b. Valuta asing	44.984	-	
Pendapatan Bunga dan Syariah Bersih	8.853.979	7.695.611	
B. Pendapatan dan Beban Operasional Selain Bunga			
1. Pendapatan Operasional Selain Bunga	746.688	764.485	
a. Peningkatan nilai wajar aset keuangan	35.307	-	
i. Surat berharga	-	-	
ii. Kredit	-	-	
iii. Spot dan derivatif	35.307	-	
iv. Aset keuangan lainnya	-	-	
b. Penurunan nilai wajar liabilitas keuangan	-	-	
c. Keuntungan penjualan aset keuangan	6.354	-	
i. Surat berharga	6.354	-	
ii. Kredit	-	-	
iii. Aset keuangan lainnya	-	-	
d. Keuntungan transaksi spot dan derivatif (<i>realised</i>)	-	-	
e. Dividen	-	-	
f. Keuntungan dari penyertaan dengan <i>equity method</i>	-	-	
g. Komisi/provisi/fee dan administrasi	294.062	277.823	
h. Pemulihan atas cadangan kerugian penurunan nilai	22.819	58.702	
i. Pendapatan lainnya	388.146	427.960	
2. Beban Operasional Selain Bunga	6.991.441	6.000.389	
a. Penurunan nilai wajar aset keuangan	-	-	
i. Surat berharga	-	-	
ii. Kredit	-	-	
iii. Spot dan derivatif	-	-	
iv. Aset keuangan lainnya	-	-	
b. Peningkatan nilai wajar liabilitas keuangan	-	-	
c. Kerugian penjualan aset keuangan	-	-	
i. Surat berharga	-	-	
ii. Kredit	-	-	
iii. Aset keuangan lainnya	-	-	
d. Kerugian transaksi spot dan derivatif (<i>realised</i>)	114.417	-	
e. Kerugian penurunan nilai aset keuangan (<i>impairment</i>)	892.580	844.537	
i. Surat berharga	-	-	
ii. Kredit	751.201	726.981	
iii. Pembiayaan syariah	141.379	117.556	
iv. Aset keuangan lainnya	-	-	
f. Kerugian terkait risiko operasional	20.324	12.210	
g. Kerugian dari penyertaan dengan <i>equity method</i>	-	-	
h. Komisi/provisi/fee dan administrasi	26.751	24.721	
i. Kerugian penurunan nilai aset lainnya (non keuangan)	-	-	
j. Beban tenaga kerja	3.035.911	2.764.285	
k. Beban promosi	224.592	161.532	
l. Beban lainnya	2.676.866	2.193.104	
Beban Operasional Selain Bunga Bersih	(6.244.753)	(5.235.904)	
LABA OPERASIONAL	2.609.226	2.459.707	
PENDAPATAN DAN BEBAN NON OPERASIONAL			
1. Kerugian penjualan aset tetap dan inventaris	(1.892)	(1.757)	
2. Keuntungan penjabaran transaksi valuta asing	491	-	
3. Beban non operasional lainnya	(3.306)	(25.339)	
BEBAN NON OPERASIONAL BERSIH	(4.707)	(27.096)	
LABA TAHUN BERJALAN SEBELUM PAJAK	2.604.519	2.432.611	
Pajak penghasilan			
a. Taksiran pajak tahun berjalan	(756.398)	(707.478)	
b. Pendapatan pajak tangguhan	27.725	27.476	
LABA BERSIH TAHUN BERJALAN	1.875.846	1.752.609	
PENGHASILAN/(KERUGIAN) KOMPREHENSIF LAIN			
1. Pos-pos yang tidak akan direklasifikasi ke laba rugi	719.435	140.609	
a. Keuntungan revaluasi aset tetap	749.032	-	
b. (Kerugian)/keuntungan aktuarial program imbalan pasti	(8.780)	187.479	
c. Bagian penghasilan komprehensif lain dari entitas asosiasi	-	-	
d. Lainnya	-	-	
e. Pajak penghasilan terkait pos-pos yang tidak akan direklasifikasi ke laba rugi	(20.817)	(46.870)	
2. Pos-pos yang akan direklasifikasi ke laba rugi	2.740	633	
a. Penyesuaian akibat penjabaran laporan keuangan dalam mata uang asing	-	-	
b. Keuntungan dari perubahan nilai aset keuangan dalam kelompok tersedia untuk dijual	2.289	845	
c. Bagian efektif dari lindung nilai arus kas	-	-	
d. Lainnya	-	-	
e. Pajak penghasilan terkait pos-pos yang akan direklasifikasi ke laba rugi	451	(212)	
PENGHASILAN KOMPREHENSIF LAIN TAHUN BERJALAN - SETELAH PAJAK	722.175	141.242	
TOTAL LABA KOMPREHENSIF TAHUN BERJALAN, SETELAH PAJAK	2.598.021	1.893.851	
Laba Bersih Tahun Berjalan yang dapat diatribusikan kepada :			
PEMILIK	1.752.097	1.701.847	
KEPENTINGAN NON PENGENDALI	123.749	50.762	
TOTAL LABA BERSIH TAHUN BERJALAN	1.875.846	1.752.609	
Total Laba Komprehensif Tahun Berjalan yang dapat diatribusikan kepada :			
PEMILIK	2.471.280	1.841.495	
KEPENTINGAN NON PENGENDALI	126.741	52.356	
TOTAL LABA KOMPREHENSIF TAHUN BERJALAN	2.598.021	1.893.851	
TRANSFER LABA (RUGI) KE KANTOR PUSAT	-	-	
DIVIDEN	-	-	
LABA BERSIH PER SAHAM (dalam satuan Rupiah)			
- Dasar	304	291	
- Dilusi	294	281	

LAPORAN KOMITMEN DAN KONTINJENSI			
Tanggal 31 Des 2016 dan 2015			
(Dalam jutaan Rupiah)			
POS - POS		KONSOLIDASI	
		31 Des 2016 Diaudit	31 Des 2015 Diaudit
I.	TAGIHAN KOMITMEN	4.082.168	-
	1. Fasilitas pinjaman yang belum ditarik	-	-
	a. Rupiah	-	-
	b. Valuta asing	-	-
	2. Posisi pembelian spot dan derivatif yang masih berjalan	4.082.168	-
	3. Lainnya	-	-
II.	KEWAJIBAN KOMITMEN	8.803.826	4.229.705
	1. Fasilitas kredit kepada nasabah yang belum ditarik	4.669.070	4.126.188
	a. BUMN	350.000	210.000
	i. <i>Committed</i>	-	-
	- Rupiah	-	-
	- Valuta asing	-	-
	ii. <i>Uncommitted</i>	350.000	210.000
	- Rupiah	350.000	210.000
	- Valuta asing	-	-
	b. Lainnya	4.319.070	3.916.188
	i. <i>Committed</i>	-	-
	ii. <i>Uncommitted</i>	4.319.070	3.916.188
	2. Fasilitas kredit kepada bank lain yang belum ditarik	80.142	103.517
	a. <i>Committed</i>	-	-
	i. Rupiah	-	-
	ii. Valuta asing	-	-
	b. <i>Uncommitted</i>	80.142	103.517
	i. Rupiah	80.142	103.517
	ii. Valuta asing	-	-
	3. <i>Irrevocable L/C yang masih berjalan</i>	-	-
	a. <i>L/C luar negeri</i>	-	-
	b. <i>L/C dalam negeri</i>	-	-
	4. Posisi penjualan spot dan derivatif yang masih berjalan	4.054.614	-
	5. Lainnya	-	-
III.	TAGIHAN KONTINJENSI	56.457	42.294
	1. Garansi yang diterima	2.021	-
	a. Rupiah	-	-
	b. Valuta asing	2.021	-
	2. Pendapatan bunga dalam penyelesaian	54.436	42.294
	a. Bunga kredit yang diberikan	54.436	42.294
	b. Bunga lainnya	-	-
	3. Lainnya	-	-
IV.	KEWAJIBAN KONTINJENSI	-	-
	1. Garansi yang diberikan	-	-
	a. Rupiah	-	-
	b. Valuta asing	-	-
	2. Lainnya	-	-

LAPORAN PERUBAHAN EKUITAS KONSOLIDASIAN UNTUK TAHUN-TAHUN YANG BERAKHIR Tanggal 31 Des 2016 dan 2015 (Dalam jutaan Rupiah)		
	KONSOLIDASI	
	31 Des 2016 Diaudit	31 Des 2015 Diaudit
SALDO AWAL	13.923.859	11.927.076
Laba Bersih Tahun Berjalan	1.875.846	1.752.609
PENDAPATAN/(BEBAN) KOMPREHENSIF LAINNYA		
Aset keuangan tersedia untuk dijual	2.289	845
Penilaian kembali imbalan kerja	(8.780)	187.479
Cadangan revaluasi aset tetap	749.032	-
Efek pajak terkait	(20.366)	(47.082)
TOTAL LABA KOMPREHENSIF SELAMA TAHUN BERJALAN	2.598.021	1.893.851
SAHAM TREASURI	(262.404)	-
PEMBAYARAN BERBASIS SAHAM	52.952	54.932
TAMBAHAN MODAL DISETOR ENTITAS ANAK	-	48.000
SALDO AKHIR	16.312.428	13.923.859

Catatan:

1. Penyajian Laporan Keuangan Publikasi pada tanggal dan untuk tahun yang berakhir pada tanggal 31 Desember 2016 dan 2015 di atas disusun berdasarkan Laporan Keuangan Konsolidasian PT Bank Tabungan Pensiunan Nasional Tbk dan Entitas Anak yang telah diaudit oleh Kantor Akuntan Publik Tanudiredja, Wibisana, Rintis & rekan – a member firm of PwC global network dengan partner penanggungjawab Angelique Dewi Daryanto, S.E., CPA yang laporannya tertanggal 17 Februari 2017 dan 29 Februari 2016 menyatakan pendapat Tanpa Modifikasi.
2. Laporan keuangan di atas telah disusun untuk memenuhi :
 - a. Peraturan Otoritas Jasa Keuangan (POJK) No.32/POJK.03/2016 tanggal 8 Agustus 2016 tentang perubahan atas Peraturan Otoritas Jasa Keuangan No. 6/POJK.03/2015 tentang Transaparansi dan Publikasi Laporan Bank;
 - b. Surat Edaran Otoritas Jasa Keuangan No. 43/SEOJK.03/2016 tanggal 28 September 2016 tentang Transparansi dan Publikasi Laporan Bank Umum Konvensional;
 - c. Peraturan Bapepam LK Nomor X.K.2 Lampiran Keputusan Ketua Bapepam LK Nomor: Kep-346/BL/2011 tanggal 5 Juli 2011 perihal penyampaian Laporan Keuangan Berkala Emiten atau Perusahaan Publik;
 - d. Keputusan Direksi PT Bursa Efek Jakarta Nomor Kep-306/BEJ/07/2004 tanggal 19 Juli 2004 tentang Peraturan Nomor I-E tentang Kewajiban Penyampaian Informasi;
 - e. Informasi Keuangan dan Laporan Arus Kas dalam Laporan Keuangan Publikasi juga disusun sesuai dengan Peraturan Bapepam LK no. VIII.G.7 Lampiran Keputusan Ketua Bapepam LK No. 347/BL/2012 tanggal 25 Juni 2012 mengenai Penyajian dan Pengungkapan Laporan Keuangan Emiten atau Perusahaan Publik.
3. Bank memperoleh izin melakukan kegiatan usaha dalam valuta asing berdasarkan surat Keputusan Otoritas Jasa Keuangan No. 382/PB.12/2015 tanggal 22 Desember 2015 tentang pemberian izin melakukan kegiatan usaha dalam valuta asing. Bank mulai melakukan kegiatan usaha sebagai bank devisa pada tanggal 16 Februari 2016.
4. Kurs tukar mata uang asing untuk 1 USD per tanggal 31 Desember 2016 adalah Rp 13.472,50.

this page is intentionally left blank

Financial Services Authority (OJK) Reference

financial services authority (OJK) reference - ARA criteria 2015

criteria		page
I. general		
1. The annual report is presented in proper Bahasa Indonesia with recommendation to also be presented in English.		✓
2. The annual report is printed on brightly colored paper for readability and clarity.		✓
3. The annual report clearly publishes the company's identity.	The Name of Company and Year of Annual Report are displayed on the: 1. Cover; 2. Side; 3. Back cover; and 4. Every page.	✓
4. Annual report is displayed on the Company's website.	Covering the current and at least four previous years annual reports.	✓
II. financial highlights		
1. Information on Company's results of operations in the form of three (3) years comparison or from the start of business, if the Company has conducted business activities for less than 3 (three) years.	Information includes, among others: 1. Sales/revenue; 2. Income (loss): a. Attributed to the shareholders of the holding company; and b. Attributed to the interest of the non-controlling; 3. Total net income (loss) and other comprehensive income: a. Attributed to the shareholders of the holding company; and b. Attributed to the interest of the non-controlling; and 4. Earnings (loss) per share. Note: If the Company has no subsidiaries, total net income (loss) and other comprehensive income should be disclosed.	6
2. Information on Company's financial position in the form of three (3) years comparison or from the start of business, if the Company has conducted business activities for less than 3 (three) years.	Information includes, among others: 1. Total investments in associates and/or joint ventures; 2. Total assets; 3. Total liabilities; and 4. Total equity.	6, 7
3. Financial ratio in the form of three (3) years comparison or from the start of business, if the Company has conducted business activities for less than 3 (three) years.	Information includes five (5) financial ratios that are general and relevant to the company.	6, 7
4. Stock price information in tables and charts.	1. Information with tables and charts which expose: a. Total shares outstanding; b. Market capitalization; c. Highest, lowest, and closing price of stock; and d. Trading volume. 2. Information in the form of graphs that contains at least the closing price and trading volume of the stock. Quarterly for the last 2 (two) financial years.	N/A
5. Information on outstanding bonds, sukuk or convertible bonds in the last two (2) financial years.	The information includes: 1. Total of bonds/sukuk/convertible bonds outstanding; 2. Interest rate/return; 3. Expiry date; and 4. Bonds/sukuk rating.	N/A

	criteria	page	
III. Report from the Board of Commissioners and Board of Directors			
1.	Report of the Board of Commissioners	Includes the following: 1. Assessment on the Board of Directors' Performance in Managing the Company; 2. View on the Company's business prospect prepared by the Board of Directors; 3. Assessment on the performance of committees under the Board of Commissioners; and 4. Changes in the Board of Commissioners' composition and its reasons (if any).	13-15 15 16, 159-168 N/A
2.	Report of the Board of Directors	Includes the following: 1. The Company's performance that include strategic policy, achieved results to target ratio, obstacles that the Company faced; 2. Description on business prospects; 3. Implementation of good corporate governance; 4. Assessment on the performance of Board of Directors committees (if any); and 5. Changes in the Board of Directors' composition and its reasons (if any).	19-21 22 20-21, 117-181 20-21, 168-175 N/A
3.	Signatures of the Board of Directors and Board of Commissioners	Include the following: 1. Signatures are placed in a separate page; 2. A statement that the Board of Directors and Board of Commissioners are fully responsible for the accuracy of the Annual Report's content; 3. Signed by all members of the Board of Commissioners and the Board of Directors, with name and title; and 4. Written explanation in a separate letter in by any member of the Board of Commissioners or Directors who did not sign the annual report, or, written explanation in a separate letter by the other members should the written explanation is not available.	194 194 194 N/A
IV. company profile			
1.	The Company's name and full address	Information which contain name and address, zip code, telephone & fax number, email, and website.	51-52, cover belakang
2.	A brief history of the Company	Including: date/year of establishment, name, and change(s) to the Company's name (if any). Note : please disclose if the company has never conducted the company name changes.	34, 51
3.	Business	Descriptions on, among others: 1. The Company's business activities according to the latest Bank's Article of Association; 2. Business activities; and 3. Description of products and/or services.	51 69-81 72-74, 188
4.	Organizational structure	With chart, including the name and position of at least up to one level below the Board of Directors.	36-37
5.	Company's vision, mission, and corporate culture	Includes: 1. The Company's vision; 2. The Company's mission; 3. A statement declaring that the vision and mission has been approved by the Board of Directors/Board of Commissioners; and 4. A statement on the corporate culture of the Company.	32-33

	criteria	page
6. Brief background information of the Board of Commissioners	Information includes, among others: 1. Name; 2. Positions (including position(s) in other companies or institutions); 3. Age; 4. Domicile; 5. Education; 6. Working experience; and 7. Date of first appointment as a member of the Board of Commissioners.	38-39
7. Brief background information of the Board of Directors	Information includes, among others: 1. Name; 2. Positions (including position(s) in other companies or institutions); 3. Age; 4. Domicile; 5. Education; 6. Working experience; and 7. Date of first appointment as a member of the Board of Directors.	40-43
8. Number of employees (2 years comparison) and a description of competence development (eg. employees' education and training)	Information includes, among others: 1. The number of employees for each level of the organization; 2. The number of employees for each level of education; 3. The number of employees based on employment status; 4. Employee trainings that have been conducted to reflect equal opportunities to all employees; and 5. Incurred costs.	86-87 86-87 86-87 83-86
9. Composition of shareholders	Includes, among others: 1. Names of the top 20 shareholders and percentage of share ownership; 2. Detail of shareholders and percentage of share ownership include: a. Shareholders' name with 5% or more of share ownership; b. Commissioners and Directors' name with ownership; and c. Group of public shareholders with less than 5% ownership.	48-50, 64 48-50 N/A N/A
10. List of subsidiaries and/or associates	Information includes, among others: 1. Name of subsidiaries and/or associates; 2. Percentage of share ownership; 3. Description of the subsidiaries and/or associates' business; and 4. Information on subsidiaries and/or associates operational status (has yet operated or not).	N/A
11. Company's group structure	Company's group structure which describes the structure of subsidiaries, associates, joint ventures and special purpose vehicle (SPV), or a statement of no ownership of group.	50-53
12. Share listing chronology	Includes the following: 1. Share listing chronology; 2. Types of corporate actions that prompt changes in the number of shares; 3. Changes to number of shares from the start of bookkeeping to the end of fiscal year; and 4. Names of stock markets where the shares are listed.	N/A

	criteria	page
13. Listing chronology of other securities	Includes the following: 1. Listing chronology of other securities; 2. Types of corporate actions that prompt changes in the number of other securities; 3. Changes of other total securities from the beginning of listing to the end of fiscal year; 4. Names of stock markets where the securities are listed; and 5. Securities rating.	N/A
14. Name and address of capital market institutions and/or professionals	Includes the following: 1. Name and address of the securities administration agency; 2. Name and address of the public accounting firm; and 3. Name and address of rating agency.	N/A
15. Awards and/or certification received, both national and international	Includes the following: 1. Name of awards and/or certificates; 2. Year received; 3. Award and/or certification issuer; and 4. Validity period (for certification).	10-11
16. Name and address of subsidiaries and/or branches or representative (if any)	Covering information among others: 1. Name and address of subsidiary; and 2. Name and address of branch offices/representatives. Note: If the Company has no subsidiaries/branches/representative offices, it should be stated.	N/A 189-193
17. Information on Company's website	Should include at a minimum: 1. Shareholders information up to ultimate shareholder; 2. The Company's group structure (when applicable); 3. Financial performance analysis; 4. Annual financial report (of the last 5 years); and 5. Board of Commissioners and Board of Directors' profile.	✓

V. management discussion and analysis

1. Review of operations per operational segment	Contains a description of: 1. Explanation of each business unit. 2. The performance of each business unit, such as: a. Production; b. Increase/decrease of production capacity; c. Sales/Revenue; and d. Profitability.	69-72 69-103
2. Description of the Company's financial performance	Financial performance analysis that includes a comparison between the financial performance of the relevant year and with previous years (both in narrative and tables), which covers the following: 1. Current assets, non-current assets, and total assets; 2. Short-term liabilities, long term liabilities and total liabilities; 3. Equity; 4. Sales/revenues, expenses, and net income (loss), other comprehensive income, and total Comprehensive Income (loss); and 5. Cash flow.	62-65
3. Discussion and analysis of the Company's solvability and receivable collectability level, by presenting the calculation of relevant ratios	With details on: 1. Short and long term solvability; and 2. Receivable collectability level.	63

	criteria	page
4.	Discussion on capital structure and capital structure policy	64-65
	With details on: 1. Capital structure; and 2. Capital structure policies.	
5.	Discussion on capital goods investment material commitment	N/A
	Explanation on: 1. The purpose of the commitment; 2. Expected source of fund to fulfil the respective commitments; 3. Currency of denomination; and 4. Steps taken by the company to protect the risk against related foreign currency position. Note: Should be disclosed if the company has no material ties in investments in capital goods.	
6.	Discussion of capital investments that were realized in the last financial year	N/A
	Explanation on: 1. Types of capital investments; 2. The objectives of capital investments; and 3. The value of capital investments incurred in the last financial year. Note: please disclose if there is no realization on capital goods investments.	
7.	Comparative information between target at the beginning of fiscal year with realization, and target or projection for next one year regarding revenue, income, capital structure, or other aspects considered significant for the Company	N/A 66-67
	Information discloses, as follows: 1. Comparison between target at the beginning of fiscal year with the realization; and 2. Implemented target or projection in the next one year.	
8.	Material Information and facts subsequent to the accountant's reporting date	65
	Description regarding significant events subsequent the accountant's reporting date, including their impact on future business performance and risks. Note: Should be disclosed if there is no significant subsequent event after accountant's reporting date.	
9.	Description on Company's business prospect	66-67
	Description on Company's business prospect related with industry and economy in general, supported with supporting quantitative data from accountable data sources.	
10.	Marketing aspect description	70-81
	Information regarding the marketing aspect of the company's products and services, namely marketing and market share strategy.	
11.	Description regarding the dividend policy as well as date and amount of cash dividend per share and amount of dividend per year as announced or paid during the past two (2) years	122
	Contains information on: 1. Policy of dividend payout; 2. Amount of dividend; 3. Amount of cash dividend per share; and 4. Date of announcement and cash dividend payout. For each year. Note: if there is no dividend payment, the reasons should be disclosed.	
12.	Share ownership by employees program, and/or management conducted by the company (ESOP/MSOP)	N/A
	Contains information on: 1. Amount of ESOP/MSOP shares and its realization; 2. Time frame; 3. Requirement for the rights of employee and/or management; and 4. Exercise value. Note: If there is no such program, it should be stated.	
13.	IPO Proceeds realization (regarding the Company is obligated to disclose IPO proceeds realization report)	N/A
	Contains information on: 1. Total funds acquired; 2. IPO Proceeds plan; 3. Details of IPO Proceeds; 4. Outstanding Proceeds; and 5. Date of GMS Approval on IPO Proceeds amendment (if any).	

	criteria	page
14. Information on material transactions with conflict of interest and/or transactions with related parties	Contains information on: 1. Name of person performing the transaction and nature of affiliated transaction; 2. Transaction fairness statement; 3. Reason of the transaction; 4. Transaction realization in current period; 5. Company's policy related with transaction review mechanism; and 6. Compliance with regulation and related provision. Note: if there is no respective transaction, should be disclosed.	N/A
15. Explanation regarding changes in regulation that holds significant impact to the company	Description should contain, among others: any changes in regulation and its impact on the Company. Note: If there is no change in regulation which have a significant effect, should be disclosed.	65
16. Explanation regarding changes in accounting policy applied by the Company on the last fiscal year	Description should contain among others: changes in accounting policy as well as its reason and impact to the financial statement. Note: if there is no change in accounting policy, should be disclosed.	65
17. Information on sustainability	Disclosure of the information on: 1. Matters that potentially affects the sustainability of the Company's business significantly at the end of the financial year; 2. Management's assessment on the matters mentioned on point 1; and 3. Assumption used by the management in making the assessment. Note: If there is no matters that potentially affects the sustainability of the Company's business significantly at the end of the financial year, the assumption that based the believe of the management that there is no matters that potentially affects the sustainability of the Company's business significantly at the end of the financial year should be stated.	65

VI. good corporate governance

1. Board of Commissioners description	Description includes, as follows: 1. Description of the Board of Directors' duties; 2. Training program to enhance Board of Commissioners' competency or orientation program for new Commissioners; and 3. Disclosure of the Board Charter (Board of Commissioners Charter) disclosure.	126-131
2. Information on Independent Commissioners	Includes the following: 1. Criteria for the assignment of an independent commissioner; and 2. Statement of independence of each Independent Commissioner.	127-129
3. Board of Directors description	Description includes: 1. Scope of works and responsibilities of each member of the Board of Directors; 2. Training program to enhance Board of Directors' competency or orientation program for new Directors; and 3. Disclosure of the Board Charter (Board of Directors Charter); and Policy on Directors' succession.	135-142
4. Board of Commissioners and/or Board of Directors members assessment	The information should include: 1. Board of Commissioners and/or Board of Directors members' performance assessment implementation process; 2. Criteria used in carrying the assessment of Board of Commissioners and/or Board of Directors' members' performance; and 3. Related party who performed the assessment.	127-128, 137-141, 165-166

	criteria	page
5. Board of Directors remuneration policy	Description includes, as follows: 1. Remuneration policy disclosure. 2. Remuneration structure indicating short-term remuneration, post employment and/or long term Remuneration type and amount for every member of Board of Directors. 3. Remuneration structure indicating the type and total of short term Compensation, post employment and/or other long term Compensation for every member of the Board of Directors; and 4. Key performance indicators disclosure to assess Board of Directors' performance.	142-143
6. Frequency and level of attendance of Board of Commissioners meetings, Board of Directors meetings and joint meetings of the Board of Commissioners and Board of Directors	Information containing among others: 1. Date of Meeting; 2. Meeting Participants. 3. Agenda of Meeting. For every Board Commissioners, Board of Directors and joint meeting.	141-142
7. Information regarding majority and controlling Shareholders both directly or indirectly, to individual ownership	In diagram or chart, except for the SOEs that fully owned by the government.	48-53
8. Disclosure of affiliated relationship between members Board of Directors, members of Board of Commissioners and/or Majority/Controlling Shareholders	Includes the following: 1. Affiliated relationship between Board of Directors and Board of Commissioners members. 2. Affiliated relationship between Board of Directors members with Majority and/or Controlling Shareholders. 3. Affiliated relationship between Board of Commissioners members 4. Affiliated relationship between Board of Commissioners members with Majority/Controlling Shareholders. 5. Affiliated relations between members of the Board of Commissioners with the Major Shareholders and/or Controlling Shareholders. Note: should be disclosed if there is no respective affiliated relationship.	144
9. Audit Committee	Includes the following: 1. Name and position of Audit Committee members. 2. Educational qualification and employment history of Audit Committee members. 3. Audit committee members independency. 4. Duties and responsibilities description. 5. Audit committee meeting frequency and attendance level. 6. Meeting frequency and attendance of audit committee.	162-164
10. Remuneration and Nomination Committee	Includes the following: 1. Name, position, and brief profile of Nomination and/or Remuneration Committee members. 2. Nomination and/or remuneration committee members' independency 3. Description of duties and responsibilities. 4. Nomination and/or remuneration committee duties implementation report. 5. Nomination and/or remuneration committee meeting frequency and attendance level. 6. Statement if there is a guiding nomination and/or remuneration committee/ function; and 7. The Board of Directors' succession policy.	164-166
11. Other committees under the Board of Commissioners	Includes the following: 1. Name, title, and brief profile of the members of the committees. 2. Independency of other committees' members. 3. Duties and responsibilities description. 4. Other committees' duties implementation report. 5. Other committees' meeting frequency and attendance level.	159-161, 167-168

	criteria	page
12. Corporate Secretary duties and function description	Includes the following: 1. Name and brief profile of Corporate Secretary officer. 2. Corporate Secretary duties implementation report. 3. Training program for competence development of corporate secretary.	119
13. Description of the previous year's General Meeting of Shareholders (GMS)	Includes, among others: 1. The previous year's GMS resolution; 2. Realization of the GMS in fiscal year; and 3. Reasons for any decisions of GMS that has not yet been realized.	121-125
14. Description regarding internal audit unit in the Company	Includes among others: 1. Name of the Head of internal audit. 2. Number of internal audit employees. 3. Qualification/certification as an internal audit professional. 4. Organizational structure or position of the internal audit. 5. Duties implementation report. 6. Respective party that appoints or dismisses the Head of Internal Audit.	152-155
15. Corporate Accountant	Information discloses, as follows: 1. Number of audit periods that the accountant has audited the Company's financial statements. 2. Total period of Public Accounting Firm in conducting the audit of annual financial report. 3. The amount of audit or other attestation fee. 4. Other service provided by the accountant apart from financial audit service. Notes: if there is no other service, should be disclosed.	144
16. Description regarding the Company's Risk Management	Includes the following: 1. Explanation on Risk Management System. 2. Explanation on Evaluation of Risk Management Processes. 3. Explanation of the risks faced by the company. 4. Efforts to manage those risks.	96-103, 172-173, 117-118
17. Explanation on Internal Controlling System	Includes the following: 1. Brief explanation regarding internal audit system, including operational and financial audit. 2. Explanation of internal audit system conformity with international recognized framework/COSO (control environment, risk assessment, control activities, information and communication, and monitoring activities). 3. Explanation regarding evaluation on internal audit system effectiveness.	144-145
18. Description regarding Corporate Social Responsibility on environment	Information should include: 1. Policy determined by the management. 2. Activities performed related to the environmental program that related with Company's operational, such as environmentally friendly and recyclable materials, energy utilization, Company's waste management system and so forth. 3. Certification on environmental sector.	176-177
		N/A

	criteria	page
19. Description regarding corporate social responsibility on workforce and occupational health and safety	Information should include: 1. Policy determined by the management; and 2. Activities performed related to employment practice, occupational health and safety such as gender equality and job opportunity, occupational infrastructure and safety, employee turnover rate, occupational accident rate and so forth.	119
20. Description regarding corporate social responsibility on social and community	Information should include: 1. Policy determined by the management; 2. Activities performed related to product responsibility, customer's health and safety, product information, facility, numbers of and response to customer's complaints, and so forth.	176-177
21. Description of Corporate Social Responsibility related to responsibility to consumers	Includes, among others, information on: 1. Policy stipulated by the management; and 2. Prevailing activities. In relation to the product responsibility, such as consumers' health and safety, product information, facilities, amount and handling of consumers' complaints, etc.	148-150, 119
22. Litigation or legal cases faced by the Company, subsidiaries, members of Board of Directors and/ or Board of Commissioners serving on the Annual Report period	Information should include: 1. Description of case/litigation; 2. Case/litigation settlement status; 3. Impacts on the Company's financial condition; and 4. Administration sanctions that have been applied to the entity, Board of Commissioners, Board of Directors, by relevant authorities (capital market, banking, or others) on the last fiscal year (or a statement of no administration sanction applied). Notes: Should be disclosed if there's no litigations occurred.	181
23. Information access and corporate data	Description on access to corporate information and data to the public, for example through website, mass media, mailing list, bulletin etc.	51
24. Discussion on the Bank's Code of Conduct	Containing descriptions, as follows: 1. Code of Conduct content; 2. Disclosure that the Code of Conduct's is applicable for all organizational level; 3. Dissemination of Code of Conduct; 4. Type of sanction for each violation of Code of Conduct; and 5. Total violation of Code of Conduct as well as the given sanctions at the end of the financial year. Notes: If there is no violation to Code of Conduct at the end of the financial year it is to be stated	145-147
25. Disclosures of the whistleblowing system	Includes the whistleblowing system mechanism of: 1. Violation reporting; 2. Protection for the whistleblower; 3. Report handling; 4. Report management; and 5. Result of report handling and report being processed at the last fiscal year and its follow-up. Notes: If there is no violation report at the end of the financial year it is to be stated.	144-145
26. Composition diversity of the Board of Commissioners and the Board of Directors	Description of the company policy on the composition diversity of the Board of Commissioners and the Board of Directors in education (field study), working experience, age, and gender. Note: if there is no policy as stated above, please disclose the reasons and considerations.	119, 127-128, 137-139

	criteria	page
VII. financial information		
1.	Board of Directors' statement regarding responsibility on the financial statement	Financial Statement compliance with related regulation. 194, 197
2.	Independent auditor's opinion on the financial statement	198-199
3.	Independent auditor's opinion on the financial statement	The description should contain: 1. Name and signature; 2. Audit Report Date; and 3. Public Accountant Office and Individual Public Accountant license number. 198-199
4.	Comprehensive financial statements	Covering a comprehensive financial report materials: 1. Financial position (balance sheet) report; 2. Comprehensive income statement; 3. Changes in Equity Report; 4. Cash Flow Report; 5. Notes on Financial Statements; 6. Comparative information on the previous period; and 7. Report of the financial position at the beginning of the previous period, presented when the entity implements a particular accounting policy retrospectively or restates the financial report posts, or when the entity reclassifies posts in their financial report (when considered relevant). 200-285
5.	Profitability ratio comparison	Comparison of current year's profit/loss with previous year. 203
6.	Cash flow report	Should comply with the following provisions: 1. Categorization of three activities: operating, investing, and financing activities; 2. Using direct method to present cash flow from operating activity; 3. Separating the presentation between cash acquisition and or cash expenses on operating, investing and financing activities in current year; and 4. Non-cash activity disclosure has to be presented in financial statement notes. 205-206
7.	Accounting policy highlights	Should include at least: 1. Compliance with FAS; 2. Financial statement measurement and preparation foundation; 3. Income and expense recognition; 4. Fixed Asset; and 5. Financial Instrument. 213-233
8.	Affiliated Party transaction disclosure	Several aspects disclosed, as follows: 1. Name of the affiliated parties, as well as the nature and relationship with the affiliated parties; 2. Value of the transaction and the percentage on total related income or expenses; and 3. Total balance and the percentage towards total asset or liabilities. 263-266

	criteria	page
9. Disclosure on any aspects related with Taxes	Several aspects that shall be disclosed, as follows: 1. Fiscal reconciliation and calculation of current tax; 2. Statement on the relation between Tax expense (income) and accounting income; 3. Taxable Profit as calculated through reconciliation is in accordance with the Tax Return statement; 4. Details of deferred tax assets and liabilities presented in the balance sheet in each period of presentation, and amount of deferred tax expense (income) recognized in the profit loss statement if the said amount is not evident in the asset or liability of deferred tax recognized in the financial position report; and 5. Tax dispute disclosure or lack thereof.	231-232, 245-247
10. Disclosure related to fixed assets	Must include disclosures on: 1. Depreciation method used; 2. Description of the accounting policies selected between the model and the cost model revaluation; 3. Methods and significant assumptions used in estimating the fair value of fixed assets (revaluation model) or disclosure of the fair value of fixed assets (for the cost model); and 4. A reconciliation of the gross carrying amount and accumulated depreciation of fixed assets at the beginning and end of the period that featuring: addition, subtraction and reclassification.	223-225, 241-242
11. Disclosure related to segments of operations	Must include disclosures on: 1. General information which includes the factors used to identify the reported segments; 2. Information on profit and loss, assets, and the liabilities of the reported segments; 3. Reconciliation of the segments' total revenues, reported segments' profit and loss, assets, liabilities, and other materials towards relevant amount within the entity; and 4. Disclosure in entity level, which covers information on product and/or services, geographical location, and major customers.	N/A
12. Disclosure regarding the Financial Instruments	Should disclose the following: 1. Accounting policy, requirement and condition for every financial instrument group; 2. Financial instrument classification; 3. Fair value for every financial instrument group; 4. Explanation of financial instrument inherent risk: market risk, credit risk and liquidity risk; and 5. Quantitative analysis on every risk related to financial instrument.	216-219
13. Issuance of Financial Statements	Several aspects shall be disclosed, as follows: 1. Date of financial statements issuance; and 2. Responsible parties in authorizing financial statements.	197



annual report 2016



syariah
btpn

PT Bank Tabungan Pensiunan Nasional Syariah

Menara Cyber 2, 34th Floor
Jl. H.R. Rasuna Said Blok X-5 No. 13
South Jakarta 12950

Phone. +62 21 300 26 400
Fax. +62 21 290 21 699

www.btpnsyariah.com